



Tereos Finance Groupe I
(a société anonyme incorporated in the Republic of France)

€400,000,000 4.125 per cent. Bonds due 2023
unconditionally and irrevocably guaranteed by Tereos UCA
Issue Price: 99.257 per cent.

This document constitutes a prospectus (the "**Prospectus**") for the purposes of Article 5.3 of Directive 2003/71/EC, as amended (the "**Prospectus Directive**"). Application has been made to the *Autorité des marchés financiers* ("**AMF**") for approval of this Prospectus in its capacity as competent authority pursuant to Article 212-2 of its *Règlement Général* which implements the Prospectus Directive.

This Prospectus contains information relating to the issue by Tereos Finance Groupe I (the "**Issuer**") of its €400,000,000 4.125 per cent. Bonds due 16 June 2023 (the "**Bonds**"). The Bonds will be unconditionally and irrevocably guaranteed by Tereos UCA (the "**Guarantor**") in accordance with the terms of the guarantee dated 14 June 2016 (the "**Guarantee**") as more fully described in "*Description of the Guarantee*".

The Bonds will be issued on 16 June 2016 and will bear interest at a rate of 4.125 per cent. per annum from, and including, 16 June 2016 to, but excluding, 16 June 2023, payable annually in arrear on 16 June in each year, commencing on 16 June 2017, as more fully described in "*Terms and Conditions of the Bonds – Interest*". Payments of principal and interest on the Bonds will be made without deduction for or on account of French taxes as more fully described in "*Terms and Conditions of the Bonds – Taxation*".

Unless previously redeemed or purchased and cancelled, the Bonds will be redeemed in full at their principal amount on 16 June 2023. The Bonds may, in certain circumstances, be redeemed, in whole but not in part, at their principal amount together with accrued interest in the event that certain French taxes are imposed as more fully described in "*Terms and Conditions of the Bonds – Redemption and Purchase*".

Bondholders will be entitled, following a Change of Control, to request the Issuer to redeem or, at the option of the Issuer, procure the purchase of their Bonds at their principal amount together with any accrued interest as more fully described under "*Terms and Conditions of the Bonds – Change of Control*".

Application has been made for the Bonds to be listed and admitted to trading on Euronext Paris. Euronext Paris is a regulated market within the meaning of the Directive 2004/39/EC, as amended.

The Bonds will on the date of their issue be inscribed (*inscription en compte*) in the books of Euroclear France which shall credit the accounts of the Account Holders. **Account Holders** shall mean any financial intermediary institution entitled to hold accounts, directly or indirectly, on behalf of its customers with Euroclear France, and includes Euroclear Bank S.A./N.V. ("**Euroclear**") and the depositary bank for Clearstream Banking, société anonyme ("**Clearstream, Luxembourg**").

The Bonds will be issued in dematerialised bearer form in the denomination of €100,000 each. The Bonds will at all times be represented in book-entry form (*dématisés*) in the books of the Account Holders in compliance with Articles L.211-3 and R.211-1 of the French *Code monétaire et financier*. No physical document of title (including *certificats représentatifs* pursuant to Article R.211-7 of the French *Code monétaire et financier*) will be issued in respect of the Bonds.

The Bonds are expected to be rated BB by Standard & Poor's Ratings Services and BB by Fitch Ratings. As of the date of this Prospectus, the Guarantor is rated BB/Stable outlook by Standard & Poor's Ratings Services and BB/Stable outlook by Fitch Ratings. A credit rating is not a recommendation to buy, sell or hold Bonds and may be subject to revision, suspension, reduction or withdrawal at any time by the relevant rating agency. The credit ratings included or referred to in this Prospectus have been issued by Standard & Poor's Ratings Services and Fitch Ratings, which are established in the European Union and registered under Regulation (EC) No. 1060/2009 on credit ratings agencies, as amended (the "**CRA Regulation**") and included in the list of credit rating agencies registered in accordance with the CRA Regulation published on the European Securities and Markets Authority's website (www.esma.europa.eu/page/List-registered-and-certified-CRAs) as of the date of this Prospectus.

See "**Risk Factors**" beginning on page 6 of this Prospectus for certain information relevant to an investment in the Bonds.

Copies of this Prospectus are available for inspection free of charge, at the office of the Paying Agent and on the websites of Tereos (www.tereos.com) and the AMF (www.amf-france.org).



In accordance with articles L.412-1 and L.621-8 of the French *Code monétaire et financier* and with the General Regulations (*Règlement général*) of the AMF, in particular articles 211-1 to 216-1, the AMF has granted to this Prospectus the visa no. 16-245 on 14 June 2016. This Prospectus has been prepared by the Issuer and its signatories assume responsibility for it. In accordance with article L.621-8-1-I of the French *Code monétaire et financier*, the visa has been granted following an examination by the AMF of "whether the document is complete and comprehensible, and whether the information in it is coherent". It does not imply that the AMF has verified the accounting and financial data set out in it and the appropriateness of the issue of the Bonds.

GLOBAL COORDINATORS AND JOINT PHYSICAL BOOKRUNNERS

BNP PARIBAS

NATIXIS

RABOBANK

JOINT PHYSICAL BOOKRUNNERS

CM-CIC

HSBC

JOINT BOOKRUNNERS

COMMERZBANK

ING

This Prospectus has been prepared for the purpose of giving information with regard to Tereos Finance Groupe I (the “**Issuer**”), Tereos UCA (the “**Guarantor**”), the Guarantor’s consolidated subsidiaries taken as a whole (the “**Group**” or “**Tereos**”) and the Bonds, which is necessary to enable investors to make an informed assessment of the assets and liabilities, financial position and profit and losses of the Issuer and the Guarantor as well as the rights attached to the Bonds.

This Prospectus does not constitute an offer of, or an invitation by or on behalf of the Issuer, the Guarantor or the Joint Lead Managers (as defined in “Subscription and Sale” below) to subscribe or purchase, any of the Bonds. The distribution of this Prospectus and the offering of the Bonds in certain jurisdictions may be restricted by law. Persons into whose possession this Prospectus comes are required by the Issuer, the Guarantor and the Joint Lead Managers to inform themselves about and to observe any such restrictions. The Bonds and the Guarantee have not been and will not be registered under the United States Securities Act of 1933, as amended (the “**Securities Act**”). Subject to certain exceptions, the Bonds may not be offered or sold, directly or indirectly, in the United States. For a description of certain restrictions on offers and sales of Bonds and on distribution of this Prospectus, see “Subscription and Sale”.

No person is authorised to give any information or to make any representation not contained in this Prospectus and any information or representation not so contained must not be relied upon as having been authorised by or on behalf of the Issuer, the Guarantor or the Joint Lead Managers. Neither the delivery of this Prospectus nor any sale made in connection herewith shall, under any circumstances, create any implication that there has been no change in the affairs of the Issuer and/or the Guarantor at the date hereof or the date upon which this Prospectus has been most recently amended or supplemented or that there has been no adverse change in the financial position of the Issuer and/or the Guarantor and/or the Group since the date hereof or the date upon which this Prospectus has been most recently amended or supplemented or that the information contained in it or any other information supplied in connection with the Bonds is correct as of any time subsequent to the date on which it is supplied or, if different, the date indicated in the document containing the same.

The Joint Lead Managers have not separately verified the information contained in this Prospectus in connection with the Issuer, the Guarantor and/or the Group. None of the Joint Lead Managers makes any representation, express or implied, or accepts any responsibility, with respect to the accuracy or completeness of any of the information in this Prospectus in connection with the Issuer and the Guarantor and/or the Group. Neither this Prospectus nor any other information supplied in connection with the offering of the Bonds are intended to provide the basis of any credit or other evaluation and should be considered as a recommendation by any of the Issuer, the Guarantor and the Joint Lead Managers that any recipient of this Prospectus or any other information supplied should purchase the Bonds. Each potential purchaser of Bonds should determine for itself the relevance of the information contained in this Prospectus and its purchase of Bonds should be based upon such investigation as it deems necessary. None of the Joint Lead Managers undertakes to review the financial condition or affairs of the Issuer and/or the Guarantor during the life of the arrangements contemplated by this Prospectus nor to advise any investor or potential investor in the Bonds of any information coming to the attention of any of the Joint Lead Managers.

In connection with the issue of the Bonds, Natixis (the “**Stabilising Manager**”) (or any person acting on behalf of the Stabilising Manager) may (but will not be required to) over-allot Bonds or effect transactions within a specified period, with a view to supporting the market price of the Bonds at a level higher than that which might otherwise prevail. However, there is no assurance that the Stabilising Manager will undertake stabilisation action. Any stabilisation action may begin on or after the date on which adequate public disclosure of the terms of the offer of the Bonds is made and, if begun, may be ended at any time, but it must end no later than the earlier of 30 calendar days after the issue date of the Bonds and 60 calendar days after the date of the allotment of the Bonds. Any stabilisation action or over-allotment must be conducted by the Stabilising Manager in accordance with all applicable laws and rules.

All or some of the Joint Lead Managers and their affiliates have and/or may in the future engage, in investment banking, commercial banking and other financial advisory and commercial dealings with the Issuer, the Guarantor and its subsidiaries and in relation to securities issued by any entity of the Group. They have or may (i) engage in investment banking, trading or hedging activities including in activities that may include prime brokerage business, financing transactions or entry into derivative transactions, (ii) act as underwriters in connection with offering of shares or other securities issued by any entity of the Group or (iii) act as financial advisers to the Issuer, the Guarantor or other companies of the Group. In the context of these transactions, certain of such Joint Lead Managers have or may hold shares or other securities issued by entities of the Group. Where applicable, they have or will receive customary fees and commissions for these transactions.

In this Prospectus, unless otherwise specified, references to a “**Member State**” are references to a Member State of the European Economic Area, references to “**EU**” are references to European Union, references to “**UK**” are references to United Kingdom, references to “**EUR**” or “**Euro**” or “**€**” are to the single currency introduced at the start of the third stage of European Economic and Monetary Union pursuant to the Treaty establishing the European Community, as amended. References to “**\$**”, “**US\$**”, “**USD**” and “**U.S. Dollars**” are to the lawful currency of the United States of America. References to “**R\$**”, “**BRL**”, “**Brazilian Real**” or to “**Real**” and “**Reais**” refer to the currency of Brazil.

In this Prospectus, “**2015/16**” refers to the financial year ended 31 March 2016 and “**2014/15**” refers to the financial year ended 31 March 2015

In this Prospectus, unless otherwise specified, references to “**Adjusted EBITDA**” are references to Adjusted EBITDA before price complements which corresponds to the net income (loss) before income taxes, share of profit of associates and joint ventures, net financial income (expense), depreciation, amortization and change due to harvest, impairment of assets and gain on bargain purchase, and price complements. It is also restated from the change in fair value of financial instruments, of inventories and of sales and purchase commitments, from the change in fair value of biological assets, and from non-recurring items (mainly disposals of subsidiaries) and seasonality effect. The seasonality effect corresponds to a timing difference in the recognition of depreciation and price complement between the Company’s Consolidated Financial Statements under IFRS and Company’s management accounts. Adjusted EBITDA before price complement is not a financial measure defined by IFRS as a measurement of financial performance and may not be comparable to other similarly-titled indicators used by other companies. Adjusted EBITDA before price complement is provided as additional information only and should not be considered as a substitute for operating income or net cash provided by operating activities.

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PERSONS RESPONSIBLE FOR THE INFORMATION CONTAINED IN THE PROSPECTUS

For the Issuer

I hereby certify, having taken all reasonable care to ensure that such is the case, that the information relating to the Issuer contained in this Prospectus is, to the best of my knowledge, in accordance with the facts and contains no omission likely to affect its import.

Tereos Finance Groupe I
11 rue Pasteur
02390 Origny-Sainte-Benoîte
France

Duly represented by Mr. Alexis Duval,
Président-Directeur Général

Dated 14 June 2016

For the Guarantor

I hereby certify, having taken all reasonable care to ensure that such is the case, that the information relating to the Guarantor contained in this Prospectus is, to the best of my knowledge, in accordance with the facts and contains no omission likely to affect its import.

Tereos UCA
11 rue Pasteur
02390 Origny-Sainte-Benoîte
France

Duly represented by Mr. Alexis Duval,
Président du Directoire

Dated 14 June 2016

RISK FACTORS

The Issuer considers that the risk factors described below are important to make an investment decision in the Bonds and/or may alter its ability to fulfil its obligations under the Bonds towards investors. All of these factors are contingencies which are unpredictable and may or may not occur and the Issuer is not in a position to express a view on the likelihood of any such contingency occurring. The risk factors may relate to the Issuer, the Group, the Guarantor or to any of its subsidiaries.

The following describes the main risk factors relating to the Issuer, the Group, the Guarantor and the Bonds that the Issuer considers, as of the date hereof, material with respect to the Bonds. The risks described below are not the only risks the Issuer, the Guarantor and its subsidiaries face and they do not describe all of the risks of an investment in the Bonds. The inability of the Issuer to pay interest, principal or other amounts on or in connection with any Bonds or the inability of the Guarantor to make payments under the Guarantee, may occur for other reasons and the Issuer and the Guarantor do not represent that the statements below regarding the risks of holding any Bonds are exhaustive. Additional risks and uncertainties not currently known to the Issuer and the Guarantor or that they currently believe to be immaterial could also have a material impact on their business operations or on an investment in the Bonds.

Prior to making an investment decision in the Bonds, prospective investors should consider carefully all the information contained or incorporated by reference in this Prospectus, including the risk factors detailed below. In particular, prospective investors, subscribers and holders of Bonds must make their own analysis and assessment of all the risks associated to the Bonds and the risks related to the Issuer, the Guarantor, their activities and financial position. They should also consult their own financial or legal advisors as to the risks entailed by an investment in the Bonds and the suitability of such an investment in light of their particular circumstances.

The Bonds should only be purchased by investors who are financial institutions or other professional investors who are able to assess the specific risks implied by an investment in the Bonds, or who act on the advice of financial institutions.

The order in which the following risk factors are presented is not an indication of the likelihood of their occurrence.

Terms defined in "Terms and Conditions of the Bonds" below shall have the same meaning where used below.

I - Risks related to the Group

Risks relating to the Group's business sectors

Risks relating to the cyclical nature of the markets in which the Group operates

The Group sells sugar, starch & sweeteners, alcohol & ethanol, co-products and electricity in markets that have historically been highly cyclical and sensitive to fluctuations in supply and demand both at the domestic and international levels. To manufacture its products, the Group is required to buy sugarbeet, sugarcane, cereals (e.g., wheat and corn), tubers (e.g., potatoes and manioc) and energy (e.g., gas, coal, electricity, diesel fuel). The purchase price of the sugarcane and most of the sugarbeet bought by the Group are currently in part subject to market fluctuations in the price of some of the Group's end products, such as sugar or ethanol (for more information on the sugarbeet contractual arrangements post 2017, please see section "Risks related to the EU Sugar Regime"). The purchase price of cereals, tubers and energy bought by the Group are subject to price fluctuations dictated by the market. Reference market prices have been volatile in recent years and these fluctuations may adversely affect the Group's business and results of operations. Various factors, many of which are beyond the Group's control, contribute to volatility in the price of cereals, sugarbeet, sugarcane, tubers and energy that it purchases, and in the price of the products that it sells, including the level of both domestic and international supply and demand, farmers' decision to expand, or on the contrary decrease, the acreage space devoted to growing the Group's agricultural raw materials, weather conditions and natural disasters, the Group's and its competitors' respective production capacity, policies to promote the production, sale, export and consumption of these products, the availability and cost of substitute products (such as oil, gasoline, diesel, or other natural sweeteners), incentives, subsidies and Government legislation and regulations, tariff barriers and other import restrictions, speculation on the future price of these products, evolutions of bilateral and multilateral trade agreements and exchange rates for the Euro and foreign currencies.

Historically, the international sugar market has been particularly cyclical. Periods of limited supply, during which sugar prices and industry profit margins have increased, have been followed by industry expansion and a resulting oversupply, causing declines in sugar prices and industry profit margins.

Generally, a reduction in demand for the Group's products, a lower than expected raw material supply (in the case of sugarbeet and sugarcane), a decrease in the price of the products that it sells or in the price of substitute products, or the inability to pass on raw material price increases to customers may have a material adverse effect on the Group's business, financial position and results of operations.

Risks relating to the evolution of the economic environment and financial markets

Current economic conditions may adversely impact demand for the Group's products or reduce its access to credit (also affecting its suppliers or its customers), all of which could adversely impact the Group's business, results of operations, financial condition and cash flows.

Economic conditions in Europe, Brazil, and other regions in which the Group does business may remain challenging for the foreseeable future. General business and economic drivers that could affect the Group include short-term and long-term interest rates, unemployment, inflation, and fluctuations in debt markets. While currently these conditions have not impaired the Group's ability to access credit markets and finance its operations, there can be no assurance that there will not be a further deterioration in these economic and financial conditions.

There could be a number of other effects from these economic developments on the Group's business, including insolvency of the Group's suppliers or customers, resulting in lack of raw material supply or increased provisions for credit losses, and reduced customer demand for the Group's products, including order delays or cancellations and counterparty failures negatively impacting the Group's operations.

In addition, the current challenging worldwide economic conditions and market instability make it more difficult for the Group, its customers and its suppliers to accurately forecast future product demand trends, which could cause the Group to produce excess products that could increase its inventory carrying costs. Alternatively, this difficulty to forecast accurately could cause a shortage of raw materials that could result in an inability to satisfy demand for its products.

Risks relating to the EU Sugar Regime

The Sugar Europe division accounted for 39.7% of the Group's consolidated revenues for the financial year ended 31 March 2016. These activities, which were performed exclusively in EU member states (in France, Spain, the United Kingdom, the Czech Republic and Romania), as well as the sugarcane processing business in Reunion Island (a French overseas department), are subject to the "EU Sugar Regime" resulting from the provisions of (EC) Regulation N° 1308/2013 of the Council of 17 December 2013 establishing a common organization of agricultural markets. The Regulation has set a minimum price for beet and a reference sugar price for the 2006-2017 period. These prices amounted to €26.29 per tonne of sugarbeet, €404.40 per tonne of white sugar and €335.20 per tonne of raw sugar at the date of this Prospectus.

A new sugar regulation will enter into force in the EU on 1 October 2017, abolishing the minimum price for beet and the production quotas regime for sugar and isoglucose. Production and sales of sugar and isoglucose on the domestic market as well as exports to the world market will no longer be limited in volume as long as exports are not subsidised. Under the current EU Sugar Regime, total annual quotas of sugar sales in the EU for domestic producers are set at 13.5 million tonnes and export quotas are set at 1.35 million tonnes. Inter-trade relations will still be regulated by the EU but the pricing of the sugarbeet will be determined at company level. The Group will negotiate new contractual arrangements with its cooperative owners (in France) and third party suppliers (in the Czech Republic and Romania) of sugarbeet from the 2017 crop onwards. The current price sharing provisions, established by way of regulation and inter-trade agreements, will be terminated.

With the removal of the quotas, sugarbeet production in the EU is expected to increase by 2017, especially in the most competitive regions (sugar belt), with EU domestic and world prices being more closely correlated. Isoglucose production is expected to increase as well but the volume will depend on economic conditions. As a result, the Group will have to significantly develop its exports on the world market and therefore capture new markets. Prices in the EU are expected to align with export parity prices.

The sugar reform will not affect the EU import regime: import duties will remain in place (€419 per tonne for white sugar and €339 per tonne for raw sugar), as well as the preferential access for ACP countries (Africa, Caribbean and Pacific) & LDC countries (Least Developed Countries), international commitments taken by the EU (CXL import quotas¹ at reduced €98 per tonne duty) and the various tariff rate quotas negotiated under free trade agreements (Central America, Balkans, etc.).

As a consequence, the reform may lead to an increased and more volatile production of sugar and isoglucose, which could negatively affect the price of sugar and isoglucose and hence have a material adverse effect on European sugar companies and in particular the results of operations, financial position and prospects of the Group.

¹ CXL import quotas refer to the EU Schedule attached to the General Agreement on Tariffs and Trade signed in 1994 in Marrakech.

Risks relating to the unavailability or higher prices of agricultural raw materials

For the financial year ended on 31 March 2016, 44% of the raw materials processed by the Group have been provided by third parties (excluding sugarbeet and potato cooperative members). Although most of the agricultural raw materials processed by the Group (sugarbeet, sugarcane, manioc, potatoes and cereals) are provided by a large number of suppliers, with the largest third party supplier, a cereal supplier in Europe, accounting for 6% of the Group's total annual purchases of agricultural raw materials (in volume), the Group cannot guarantee that its agricultural raw materials supply will not be interrupted or that supply contracts will not be terminated in the future. In the event of an interruption to the supply of agricultural raw materials (due, for instance, to labour unrest) or if one or more major supply contracts were terminated, the Group may be required to pay a higher price for these raw materials, or to process lower quantities of them.

Furthermore, the price of certain agricultural raw materials (sugarbeet and sugarcane) may also depend on decisions taken by public or professional authorities, which are responsible for regulating its evolution. In Brazil, for example, the sugarcane price is determined via the price mechanism established by the *Conselho dos Produtores de Cana, Açúcar e Alcool* (Council of Sugarcane, Sugar and Ethanol Producers, or "CONSECANA"), which governs in particular the Group's supply contracts. Likewise, in the EU, the sugarbeet price is determined under the EU Sugar Regime provided for in (EC) Regulation 318/2006 (see above) which will end in September 2017. Following the end of the EU Sugar Regime, the sugarbeet prices will need to be renegotiated on a contractual basis in Europe.

Any increase in the price of the agricultural raw materials processed by the Group, or any interruption to the supply of these products may have a material adverse effect on its business activities, its results of operations, financial condition and its prospects.

Risks relating to increased energy costs

The Group uses large quantities of energy in its operations, primarily for producing sugar, starch & sweeteners, ethanol & alcohol and co-products from sugarbeet, sugarcane, potatoes, manioc and cereals. In Europe and Asia, the Group's factories currently use natural gas as their main source of energy with some facilities using coal or marginally fuel oil. The energy procurement is guaranteed via multi-year physical supply contracts with major suppliers in the sector indexed on spot prices; however, the Group's exposure to energy prices fluctuations are hedged mostly by entering in financial price swaps with reputable banks or leading physical suppliers, under a defined Group energy risk policy. In contrast, the Group's sugarcane processing facilities in Brazil are self-sufficient. In Brazil the excess electricity is sold to the market. Since the Group purchases significant quantities of energy especially for its European and Asian operations and despite hedging arrangements entered into by the Group, an increase in energy prices or unforeseen adverse changes in the energy markets may have a material adverse effect on its production costs, its results of operations, financial condition and its prospects.

Should the price of CO₂ emission allowances in the European Union Emissions Trading Scheme (EU ETS) increase in the remaining period of the Phase III of the EU ETS (2013-2020) or during the upcoming Phase IV, depending on exact level of free allowances allocation, this may adversely impact the Group's profitability. Additionally, potential changes in the European regulation of CO₂ emissions, especially around the Phase IV of the EU ETS, might adversely impact the results of the Group. Total CO₂ emissions in 2015 represented 2.27 million tonnes of CO₂ for the activities subject to the European Carbon scheme, of which 1.66 million tonnes were freely allocated to the Group. The free allocation of CO₂ emission allowances is decreased each year by about 2.3%.

Risks relating to climate conditions and to seasonality

Agricultural products are the main raw materials used by the Group's business operations. Sugarbeet, sugarcane, wheat, corn, potatoes and manioc, like most other crops, are affected by climate conditions, soil quality, disease and parasites and availability of fertilizers or crop protection chemicals. These crops may also be affected by extreme weather conditions, among which floods, drought, frost or natural disasters (e.g., cyclones in the Reunion Island). If climate conditions are less favorable than expected, the quantity and quality of raw materials produced may be insufficient for the Group's processing needs, which could affect the results (e.g., it will be forced to pay higher prices for these raw materials) or even reduce the activity of some of its plants. Moreover, it may also result in increased unitary processing costs and/or in decreased production, which may have significant financial consequences.

Furthermore, the Group's business is subject to seasonal trends based on the sugarbeet, sugarcane, cereals, potatoes and manioc crop cycles. As an example, the annual sugarbeet harvesting period generally begins in September and ends in January. This seasonality creates fluctuations in its stock of finished products, in particular sugar and ethanol stocks usually peak in the third quarter of the financial year, in order to cover sales in the intercrop period. These seasonal trends affect the Group's financial position, as well as its periodic liquidity and financing needs.

Risks relating to the competitive environment

Competition on sales of the Group's products (mainly sugar, starch & sweeteners, alcohol & ethanol and co-products) is intense and based to a large extent on quality, customer service, price and reliability. The Group tries to differentiate products through brands and know-how that benefit from a reputation for producing quality products. But, generally, certain of the Group's end markets are more akin to a commodities market. As a result, parts of the Group's market share may not be protected through product differentiation, and it may be unable to pass on cost increases to its customers. In addition, the Group's competitors may benefit from lower costs, including for the supply of agricultural raw materials, or from greater financial, technological or other resources than the Group and may be able to react more rapidly to technological changes or customer requirements. Moreover, in certain markets, such as the EU, various tariff and regulatory barriers, as well as the subsidies in place (for sugarbeet growers in certain countries), currently and after September 2017, make importing sugar and ethanol products more difficult. Although the Group believes that its international operations and its significant investments in production should enable it to compete successfully with other major producers, increased competition and price pressure could have a material adverse effect on its business, financial position, or results of operations.

In this highly competitive environment, the Group has implemented ambitious plans to enhance the Group's performance in three major business units (French sugar business, the European starch & sweeteners business and the Brazilian sugar & energy business), which include for instance objectives of energy consumption savings in France, industrial efficiency improvements in Europe and agricultural and industrial efficiency improvements in Brazil. The Group cannot guarantee the success of these performance plans and that they will be sufficient to face increased competition in markets where prices are decreasing.

Risks relating to the development of substitute products

The Group's products are subject to the competition of substitute products.

In the biofuel market, for instance, ethanol competes with other established fuels and with fuels that are still at a development stage. In addition to biodiesel, other examples of these competing products include methanol and butanol from biomass. Alternative fuels could become more successful than ethanol in the biofuels market over the medium or long term, due, for instance, to raw material availability and price volatility, lower production costs, greater environmental benefits, taxation level, or any other more favorable product features. Besides, alternative fuels could also benefit from tax incentives or other favorable support measures at the expense of first generation ethanol. The Group's success also depends on its ability to identify new developments relating to products and production methods, as well as on the continuous improvement of its expertise, in order to ensure that its product range remains at the cutting edge of technology. Although the Group is itself involved in various initiatives to develop second generation biofuels (notably through the Futurol project) and the industrial and commercial viability of these second generation biofuels is still to be demonstrated, competitors may gain a competitive advantage by, for example, developing new products and production methods or by introducing new products to the market, or by securing exclusive rights to new technologies, if the Group is unable to quickly identify and adapt to new trends in alternative fuels and alternative production methods.

Furthermore, sugar is facing competition from sweeteners like high fructose syrups, dextrose, and from low-calorie ingredients, such as polyols and additives (including high intensity sweeteners like aspartame, sucralose or stevia). The use of alternative sweeteners, in particular by soft drinks and confectionery producers, has adversely affected the growth of the overall demand for sugars in Europe, despite the protection offered by its sugar regime, Brazil and the rest of the world, and may continue to do so in the future. The Group cannot predict the consumption trend for these alternative sweeteners or for other similar products. However, if their use further decreases demand for sugar, although the Group is already a significant producer of alternative sweeteners (notably fructose syrups in Europe), this could negatively affect the Group's business.

More generally, any increase in the demand of products that substitute the Group's products could result in a significant decrease in the demand for the Group's products and therefore have a material adverse effect on the Group's business, financial position and results of operations.

Risks relating to changes in consumption patterns

As the population in many developed countries becomes more health-conscious, consumer preferences are changing, resulting in a decline in the overall consumption of foodstuffs containing full-calorie sweeteners. Because of concerns about weight gain or dental hygiene, some consumers choose to avoid products that contain sugar, or opt for products with reduced sugar content or containing low-calorie sweeteners. In addition, initiatives are ongoing at the World Health Organization and within the EU at various levels to enact legislation to combat obesity, especially among children. This could include the implementation of tax duties for sugar-rich products and measures restricting advertising for sugar-based products such as the tax on sugar content introduced in 2016 in the United Kingdom. Any significant decline in demand for sugar and sweeteners in mature markets that is not offset by increased sales in developing countries or new end markets or by increased market share may adversely affect the Group's business, financial position and results of operations.

Risks relating to the policies and regulations applicable to the agricultural industry

The Group's operations are subject to a variety of national, regional and local laws and regulations, including environmental, health, safety and labour rights laws and regulations. The Group invests important financial and managerial resources in order to comply with these laws and with the related authorizations requirements. Any failure in this respect could expose the Group to fines or penalties, enforcement actions, claims for personal injury or property damages, as well as to investigation and/or remedy obligations; furthermore, if applicable laws and regulations or the interpretation or implementation thereof become more stringent in the future, the Group could incur investments or costs beyond those currently anticipated.

The Group is also subject to various laws and regulations imposed, among others by the *Direction Générale des Douanes et Droits Indirects* (General Directorate of Customs and Excise Taxes, DGDDI) and FranceAgriMer (the National Agency for Agricultural Activities) in France, as well as by equivalent administrative bodies in EU countries where the Group operates and by the *Agência Nacional do Petróleo, Gás Natural e Biocombustível* (National Agency for Oil, Gas and Biofuels or ANP) and the *Agência Nacional de Energia Elétrica* (National Electric Power Agency, or ANEEL) in Brazil. Failure to comply with applicable regulatory requirements could lead the relevant agency to impose restrictions on the Group's operations, or to revoke or suspend its authorizations and licenses, which may result in the temporary interruption or discontinuity of operations at the corresponding production facilities, and therefore in a material adverse effect on the Group's business, financial position and results of operations.

Agricultural production and trade flows in agricultural products may be materially affected by public policies and regulations. Regulations applicable to the agricultural industry in terms of taxes, customs duties, subsidies and import and export restrictions on agricultural products and other commodities, may have an impact on the agricultural industry's profitability. These policies and regulations also affect the decision to develop certain types of crops, the location and size of harvests, the trading in unprocessed and processed commodities, and the volume and types of imports and exports.

In particular, the current framework of the Common Agricultural Policy (CAP) is applicable until 2020. It will be redefined for the period after 2020, based on new financial perspectives to be defined, on the mid-term review concerning selected mechanisms (environmental subsidies paid to the farmers) and on new policy guidelines to be proposed by the EU Commission and negotiated by 2020. The readjustment of the CAP will affect both the nature and the number of policy instruments as well as their budget allocation and subsidiarity between Member States and the EU.

Changes in public policies and regulations affecting the agricultural industry in countries where the Group operates may have a material impact on the supply, demand and prices for its products, and restrict its ability to do business in both its existing and target markets, which could have a material adverse effect on its results of operations.

Risks relating to environmental regulations

The Group's operations are subject to numerous national and local environmental laws and regulations in most of the countries where it operates, especially regarding the setting-up, operation and closure of sites, emissions and disposal of hazardous waste, protecting water and soils and biodiversity and controlling odor and noise. The Group has incurred significant investments in the past in order to comply with these laws and regulations upon their adoption, and intends to continue investing the amounts as well as to take appropriate actions required for environmental compliance purposes.

Environmental laws and regulations and related civil liability risks could expose the Group to substantial fines, criminal sanctions, the withdrawal of operating licenses, the closure of facilities, and the payment of compensation for environmental, physical, or property damage, including in connection with assets in use and assets that the Group no longer owns and activities that have been discontinued.

In addition, the regulation of greenhouse gas emissions is increasing around the world. The EU has specifically established carbon dioxide emission quotas for European industry in order to limit greenhouse gas emissions and to comply with the Kyoto Protocol. The Group's European plants have been allocated carbon emission allowances, whereas the Group already buys some carbon dioxide allowances in the market. The Group needs to purchase less than 1.5 million tonnes of CO₂ EU Allowances until 2020 to fulfill its obligations under the Phase III of the EU ETS (2013-2020). As a result, the Group may need to purchase more carbon dioxide allowances in the market in the future. The acquisition cost of these allowances could have a material adverse effect on its financial position and results of operations.

Environmental legislation tends to develop and to become more stringent, in both industrialized and emerging countries, sometimes rapidly. Therefore, the size and timing of the investments and/or operational costs required to comply with such legislation may differ from those originally planned, and limit the Group's ability to finance other investments. In addition, if the cost of complying with environmental laws and regulations continue to increase and if it is not possible for the Group to integrate these costs into the price of its products, such changes could affect its profitability. The cost of compliance with environmental regulations, the discovery of currently unknown difficulties as well as changes in environmental laws and regulations could thus have a material adverse effect on the Group's business, financial position and results of operations.

Risks relating to the Group's business activities

Risks relating to the expansion of the Group's business through acquisitions and strategic alliances

The Group has historically expanded through both organic growth and mergers and acquisitions; in 2015, it made in particular an acquisition in the United Kingdom (acquisition of Napier Brown Sugar Limited, one of Europe's largest independent sugar distributors). The Group regularly explores opportunities to acquire businesses or assets and intends to pursue its external growth in order to supplement or strengthen its existing operations. The Group may also enter into strategic alliances, including in the form of joint ventures, that are intended to increase its competitiveness and international presence, as illustrated by the establishment of its joint ventures in Europe with the Frandino Group, in China with the Wilmar Group and in Indonesia with the FKS Group and by its partnerships with Petrobras in Brazil and Axereal in France for the brewing and distillery industry.

However, the Group is unable to predict whether or when prospective acquisitions or strategic alliances will occur, their likely timetable or whether such transactions will occur under favorable terms and conditions for the Group. The Group's ability to continue to expand its business successfully through acquisitions or alliances depends on many factors, and in particular on its ability to identify targets, to provide the required financing and to negotiate transactions on favorable terms. These potential acquisitions could result in the Group resorting to debt financing and off balance sheet liabilities, as well as in an increase in goodwill and other intangible assets.

Mergers and acquisitions, and the setting up of current or future joint ventures, present various operational and financial risks, including the cost of integrating the acquired companies, primarily in terms of integrating information system management and financial controls, marketing, customer service, logistics and product range systems, the implementation of the strategy planned for the combined entity and the extraction of the envisaged synergies and benefits, diverting the management's attention from day-to-day business concerns, unforeseen legal, regulatory, contractual, labour, tax or other issues arising from the acquisitions, obtaining authorizations from the relevant authorities, especially the competition authorities, the liabilities of the acquired companies, including any undisclosed or potential liabilities, additional capital expenditure requirements, retention of customers, the integration of different companies and management cultures, operating in new geographic markets, introducing new products in the Group's portfolio, the need for more extensive management coordination and retaining, hiring and training of key personnel.

Should any of the above risks materialize, it could have a material adverse effect on the Group's business, financial position and results of operations.

Risks relating to major investments made in order to maintain or improve production capacity

The Group produces sugar, starch and sweeteners, alcohol and ethanol, co-products, electricity and other products derived from sugarbeet, sugarcane, cereals, potatoes and manioc. The transformation of these raw materials into finished products requires complex industrial processes, technology and machinery. The Group's profitability is partly dependent on its ability to maintain and expand its production capacity. Therefore, it must invest on a regular basis in maintaining and improving its industrial processes, technology and machinery. The Group may not be in a position to foresee exceptional events that require extensive capital expenditures, such as machine or equipment breakdowns at certain of its plants, the development of new technologies, or commercial or industrial initiatives taken by its competitors. The Group may therefore be required to make unexpected investments, which could have a material adverse effect on its financial position and results of operations.

Risks relating to the construction of plants

As part of its strategy to increase its market share and to improve its competitiveness by taking advantage of economies of scale, the Group is currently involved in several projects aimed at expanding or reconvertng its current plants and building new ones (primarily in Europe and Asia). Although the Group has a long experience in developing plants in its core operations, extensions, conversions and greenfield sites involve risks, including the risk that projects may be delayed or abandoned due to certain regulatory or technical obstacles, relating in particular to construction, financing, or regulation, which could significantly increase costs and delay any return on investment. Furthermore, the Group may face the risk of insufficient demand for the additional goods or of not being able to sell additional production at competitive prices. The Group's ability to complete its projects on time and within estimated budgets is subject to certain factors beyond its control. In the event the estimated costs of these projects are exceeded, or deadlines are not complied with, or the Group is unable to sell the additional production, or the production cost of its products is increased, its business, financial position and results of operations may be materially affected as a consequence.

Risks relating to the disruption of operations at the Group's plants

The Group operates, directly or through joint ventures, 49² production plants worldwide at the date of this Prospectus. The Group's revenues are, and will continue to be, derived primarily from the sale of products manufactured at these plants. The Group's activities may be subject to significant disruption if any of its plants experiences a major accident or is damaged by severe weather or other natural disasters. In addition, the Group's activities may be subject to unscheduled downtime, or to other operational hazards inherent to the industry, such as equipment failures (e.g. during the financial year ended 31 March 2016, the Dobrovice plant (Czech Republic) experienced an accidental production interruption), fires, explosions, short circuits, pipeline ruptures or transportation accidents. Some of these operational hazards may cause personal injury or loss of life, severe damage to or destruction of property and equipment, or even environmental damage, and may result in the suspension of operations or in modification of the license to operate and the imposition of civil or criminal penalties. The Group's casualty and third-party insurance policies may not adequately cover the operational hazards described above, and the Group may not be able to renew this insurance, or renew it on commercially acceptable terms.

Risks relating to the Group's presence in different geographies and in particular in emerging countries

Although the Group generated 76% of its revenues in Europe in the financial year 2015/16 (including French overseas departments), it has diversified activities in Asia, Brazil and Africa, where the business and results of the Group are exposed to various risks inherent to operations in emerging markets. These risks primarily include difficulties in attracting and retaining qualified management and employees, exposure to adverse local economic conditions, compliance with a variety of national regulatory requirements, being subject to multiple tax regimes, including regulations relating to transfer pricing and withholding tax on remittance and other payments by or to subsidiaries or joint ventures, difficulties in enforcing agreements, fluctuations in exchange rates, changes in pricing policies, political instability, natural disasters, uncertain and changing climate conditions, foreign exchange controls and other restrictions on repatriation of funds, import restrictions and corruption or fraud.

The Group is exposed to these risks in all of its activities, to various extents, which could have an effect on its financial position and results of operations in certain markets where the political and legal environment is less stable.

Risks relating to Brazilian operations

In the financial year ended 31 March 2016, the Group generated approximately 13% of its consolidated revenues in Brazil. In the past, measures taken by the Brazilian Government to control inflation, and other policies and regulations that it has introduced have in particular involved changes in tax policies, interest rates, price controls, currency devaluations, foreign exchange controls, restrictions on foreign investments and capital outflows, as well as in regulations affecting the energy sector (such as electricity and gasoline prices, fuel taxes or ethanol blending ratios). The Group could be affected by such policy or regulatory changes, which may, for instance, affect interest rates, monetary policy, exchange rate controls and restrictions on transfers abroad, exchange rate fluctuations, inflation, prices of electricity and fuel, ethanol blending ratios, liquidity of internal capital and financial markets, tax policy and any other political, labour or economic area in Brazil or that affects Brazil.

² Including four production plants from APM Déshy

In particular, the Brazilian government has a strong influence over gasoline prices, as the major shareholder of Petrobras, which is the main gasoline producer in Brazil, and also over the share of anhydrous ethanol that must be mixed in the gasoline blend; both are impacted by the Brazilian government's reactions to macroeconomic and political issues (e.g., inflation, public perception). Those two parameters have significant impact on prices of both hydrous ethanol, which can be used as a substitute for gasoline in most light vehicles in Brazil, and anhydrous ethanol, which is mixed in the gasoline blend. Given that a large number of mills in Brazil are flexible in terms of the share of sugarcane they will use to produce either sugar or ethanol, changes in gasoline prices or taxes, and changes in the share of anhydrous ethanol in the gasoline blend, may lead to fluctuations in sugar prices as well, through a supply-and-demand mechanism.

In addition, uncertainty regarding whether measures may be implemented in these various areas, or in any other area, may contribute to heighten economic uncertainty in Brazil and to increase the volatility of the Brazilian financial markets and of securities issued abroad which are related to securities of Brazilian issuers as well as to the value of the currency, and to access to financing. These uncertainties and other potential developments in the Brazilian economy may also affect the Group's business, financial position and results of operations.

In 2016, the Brazilian government is experiencing an unstable political environment, with the impeachment of Brazil's President Dilma Rousseff. The impeachment process may have a significant impact for the Brazilian economy as a whole, with potential impacts in exchange rates, interest rates, inflation, tax policies, monetary policies, fiscal reforms, and other political and economic-related variables.

In addition to this political instability, Brazilian economy is passing through a recession period in 2016, which may also increase volatility and uncertainties of economic indicators.

Finally, in Brazil, social movements, such as the Landless Rural Workers Movement (*Movimento dos Trabalhadores Rurais Sem Terra*) and the Pastoral Commission on Land (*Comissão Pastoral da Terra*), are actively demanding that the federal government carry out a land reform and a compulsory redistribution of land. Occupations of rural land by large numbers of people are commonly conducted by members of these movements. The Group cannot guarantee that the properties involved in its lease and agricultural partnership contracts in Brazil will not be subject to occupation by groups of this kind. Any occupation of these properties may have a material adverse effect on the crops and consequently have a material adverse effect on the Group's business and results of operations.

Risks relating to the failure to obtain or renew licenses and authorizations

Some of the Group's business activities, including the operation of industrial facilities, require, among other conditions, to obtain authorizations and licenses. These formalities, which vary from one country to another, must be performed with various national and local authorities; the wide range of competent authorities can make obtaining the authorizations and corresponding permits a long and complex process. Therefore, the Group cannot guarantee that the authorizations and licenses will be obtained for production facilities or units that are currently at the development stage.

Furthermore, in connection with existing production facilities, although the Group pays very close attention to their operating conditions, the renewal or retention of the relating operating authorizations could be questioned, in particular if the Group cannot comply with the provisions of such authorizations or if there are any changes on existing laws and regulations.

Failure to obtain construction permits or operating authorizations for facilities under development or failure to renew or retain such permits and authorizations obtained by the Group for its existing facilities could have a material adverse effect on the Group's business, financial position or results of operations, or on its ability to achieve its targets.

Risks relating to the European ethanol operations

The Group's profitability in the European ethanol industry varies in part according to the variation in the purchase price of wheat and sugarbeet, as well as the oil price. Without government support (especially mandates and fiscal incentives), biofuels (including ethanol) produced in the EU or outside would not always be competitive with fossil fuels. Consequently, and in order to address these fluctuations, the growth of the biofuel market, in the EU or anywhere in the world, is fully dependent on the existence of a favorable regulatory framework. This will remain true as long as the price of oil does not include the cost of its externalities (*i.e.* cost of pollution on the environment and on human health).

The EU regulatory framework aimed at promoting the use of biofuels will be in force until 31 December 2019. It requires each Member State to reach a minimum of 10% of renewable energy in transports by 2020. At the date of this Prospectus, as a result of the transposition of several European directives (including Directives 2009/28/EC of 23 April 2009 and 2009/30/EC of 23 April 2009), government support for biofuels in the Member States primarily takes the form of tax reductions and biofuel blending obligations imposed on fuel distributors.

At EU level, discussions have already started as to which regulatory framework will be in place post 2020. The outcome of these discussions cannot be guaranteed by the Group and could result in a reduced ethanol demand and hence have a material adverse effect on the Group's business, financial position and results of operations. However, France has already set a target of 15% of renewable energy in transports by 2030.

Furthermore, while most of the imported ethanol enters the EU market under a reduced or a zero import duty, the USA (first world ethanol producer) and Brazil (second largest producer) still pay the full import duty. These countries enjoy much lower production costs mostly as a result of cheaper energy and raw material costs. However, on-going trade negotiations with Mercosur and the USA (TTIP) could lead to a significant reduction or repeal of these customs duties for these two countries in the medium or long term. In this event, Brazilian and US ethanol would exert a downward pressure on the EU market price which would have a significant adverse effect on the Group's business, financial position and results of operations in Europe.

More generally, any adverse change in the current tax regime applicable to ethanol in EU member states Europe could negatively impact the Group's results of operations and prospects.

Risks relating to the Brazilian ethanol operations

In Brazil, since the launch of biofuels in the 1970s, the bioethanol program has consistently aimed at stimulating ethanol demand and supporting the profitability of the sugar/ethanol industry. The most important measure is a blending obligation of a minimum percentage of ethanol into gasoline currently set at 27% while it was only 4.5% in 1977. This percentage is adjustable and may vary between a minimum of 18% and a maximum of 27.5%. A reduction of the current ethanol blend percentage could therefore result in a reduction in demand for ethanol. Beside the fact that the Brazilian government controls gasoline prices of the state-owned Petrobras oil company, the Brazilian ethanol activities benefit from different tax reductions and exemptions strengthening the competitiveness of fuel ethanol versus gasoline. The Contribution for Intervention in Economic Domain (CIDE) is one of them. Some other taxes are also impacting ethanol and gasoline prices, among which the Contribution to the Social Integration Program (PIS) and the Contribution for financing Social Security (COFINS). Another tax mechanism is the Tax for Circulation of Goods and Services (ICMS) which vary from state to state. ICMS charged on ethanol varies from 12 to 27 percent and from 25 to 31 percent for gasoline. This is of particular significance taking into account the fact that over 60% of the car fleet and over 88% of the new light vehicle registrations in Brazil is "flex fuel" (*source: Anfavea, EPE and Company analysis*) allowing consumers to choose between gasoline and ethanol. Therefore, any tax change on either ethanol or gasoline would result in a substantial shift of consumption from one product to the other.

This also means that any change in gasoline prices, which is indirectly set by the government, would have a direct impact on ethanol prices. These measures could have a material adverse effect on the Group's business, financial position and results of operations.

Risks relating to the operation of high-risk industrial facilities

Some of the Group's ethanol and alcohol production facilities, including its Lillebonne, Nesle and Origny plants in France, are classified as "SEVESO II" sites under EU and French regulations governing the production, packaging and storage of hazardous products (Directive 96/82/EC of 9 December 1996). Operators of SEVESO II facilities are subject to increased obligations and liabilities. Although the Group complies with these regulations, accidents or malicious acts could nevertheless occur and cause extensive harm.

In the event of an incident at one of its SEVESO II classified facilities, the Group's liability may be invoked, especially in cases of actual or alleged personal injury, damage to property, or damage to the environment. In particular, the production and transportation of ethanol may result in hazardous substances leaks, which may lead to penalties from government authorities or claims from third parties. Likewise, an accident at one of its facilities may force the Group to suspend its operations and result in significant remediation costs and operating loss as well as non-renewal of related licenses or authorisations to operate. The corresponding insurance proceeds, where applicable, may not be timely received and may be insufficient to cover all losses. These risks may have a serious adverse effect on the Group's business, financial position and results of operations.

Risks relating to a disruption of transportation and logistics services or insufficient investment in public infrastructure

The Group's operations are dependent upon the uninterrupted operation of logistics infrastructure, including ports, warehouses, roads and the means of transportation operated by the Group, third party providers, suppliers and customers. Operations at any of these facilities could be partially or completely shut down, either temporarily or permanently, due to circumstances beyond the Group's control, such as catastrophic events, environmental remediation, labour difficulties, and/or disruptions in the supply of products to the Group's facilities or means of transportation. Any significant interruption at these facilities or any inability to transport products between these facilities or between the Group and its suppliers or customers, for any reason, could adversely affect, in a material way, the Group's results of operations and cash flow.

The Group companies within the Group periodically enter into agreements with third parties to provide transportation and logistics services required for their operations. Consequently, termination of such agreements or an inability to renew them or negotiate new agreements with other service providers under similar terms may significantly affect the Group's business or results of operations.

In Brazil, substantial investments in logistics infrastructure are necessary to allow access to export terminals at competitive prices. A significant portion of Brazilian food production is still transported by truck, which is significantly more expensive than other means of transportation available to European and other international producers. Future investments or improvements to infrastructure in Brazil may not be made on a timely basis. Any delay or failure in making these infrastructure investments or improvements may hurt the demand or prices for the Group's products, prevent its delivery of products, impose additional costs on it or otherwise have a material adverse effect on its business, financial condition and results of operations.

Risks relating to product quality and to compliance with quality standards

Most of the Group's products, in particular products such as sugars (refined, amorphous, granulated, liquid and inverted sugars), potable alcohol, ethanol, starch & sweeteners, proteins and co-products, are sold directly to final consumers or are used as ingredients or components for other products. The Group could be subject to claims for damages arising as the quality of its products may not meet its clients' technical specifications (especially if such clients have used the products as an ingredient or component in their own production). Such procedures could involve the payment of substantial damages, in particular in case of damages to brand's image or reputation, which could have a material adverse effect on the Group's business and financial position.

Risks relating to contamination and other product-related risks

The Group's activities are subject to hazards and liability risks, such as potential contamination of ingredients or products, regardless of whether it is deliberate. Contamination of one of the Group's products may result in the need for a product recall, which may significantly affect its reputation as a supplier of quality products. Any such contamination may also result in legal action against the Group from third parties, including consumers, which may adversely affect its business, financial position and results of operations, as well as its reputation. Indeed, the Group's reputation for product quality is one of its principal competitive advantages, and, in this respect, any damage to its reputation as a quality supplier could have a material adverse effect.

In addition, many of the Group's products must comply with strict national and international standards in terms of hygiene and customer expectations. The Group's industrial facilities are also subject to regular inspection by the authorities for compliance with the hygiene regulations applicable to the manufacturing of food products. Should any non-compliance with these regulations be discovered during an inspection, authorities could temporarily shut down the Group plant concerned and impose a fine to the Group. Any production lost due to a shutdown or to a threatened shutdown may have a material adverse effect on the Group's results and profitability.

Risks relating to dependency on suppliers

The primary raw materials used in the Group's business operations are sugarbeet, sugarcane, wheat, corn and, to a lesser extent, potato and manioc. During the financial year ended 31 March 2016, although the Group purchased 85% of its sugarbeet requirements in volume, 100% of potatoes volume from its cooperative members and 33% of the volumes of wheat, corn and cassava processed by it from its cereal cooperatives partners (that are shareholders of Tereos Internacional), the remaining 15% of its sugarbeet requirements and 67% of the volumes of wheat, corn and cassava processed by it are purchased from unrelated third party suppliers and approximately 62% of its sugarcane requirements in volume are purchased from third party suppliers. As a result, any shortage or significant increase in prices by such third party suppliers, as well as any deterioration or changes in relations with such suppliers or any breach by such suppliers could have a material adverse effect on the Group's business, its financial position, its results of operations or its ability to achieve its targets.

Risks relating to partnerships and joint ventures

In several countries, and in particular in Brazil as part of the production of sugar and energy (partnership with Petrobras), in China with respect to starch production (joint venture with Wilmar), in Indonesia with respect to corn starch production (joint venture with FKS Group) and elsewhere in Europe (notably joint ventures with the Frandino Group), the Group conducts its business in alliance with strategic partners. Where these partnerships are set up by means of joint entities, some of these entities may be subject to joint control; in such cases, the Group must therefore obtain its partner's consent for any strategic decision.

The occurrence of a disagreement with its partners or the termination of one or more of such partnerships, would deprive the Group of a driving force for its development and could therefore have a material adverse effect on its business, its financial position, its results of operations or its ability to achieve its targets.

Risk relating to non-payment by customers and to the implementation of certain contract specifications

Although most of its major customers are well-established agribusiness, food, feed, industrial and fuel companies, as well as distributors, no guarantee may be given as to whether the Group's customers will meet their contractual obligations in the current adverse economic environment, or whether some of them will not be the subject to bankruptcy or liquidation proceedings given the current economic slowdown. Moreover, some of the Group's contracts provide for force majeure exemptions for the benefit of customers and/or for minimum sales obligations subject to penalties for the Group.

Therefore, if the Group's customers fail to meet their contractual payment obligations, or one of the aforementioned contractual provisions or an equivalent provision is triggered, this could have a material adverse effect on the Group's business, financial position or results of operations, or on its ability to achieve its targets.

Risks relating to dependency on major customers

During the financial year ended 31 March 2016, the ten major customers of the Group accounted for approximately 17% of its consolidated revenues, the most significant client accounting for approximately 5%. Although the Group has a diversified customer base and that many of them are major players in the agribusiness, food, feed, industrial and fuel sectors, as well as distributors, with which it has historical relationships, if several of such customers would simultaneously interrupt their relationship with the Group, due to the non-renewal or termination of contracts, to litigation or to economic difficulties, this could have a material adverse effect on the Group's operations, its financial position, its results of operations or its ability to achieve its targets.

Risks relating to the activities of Tereos Commodities

In 2014, the Group established its sugar commodities business (responsible for the distribution of white and raw sugar). This is an essential part of the initiatives the Group has taken to develop its sugar exports capabilities in the context of the end of the EU Sugar Regime in 2017. Up to that time, the Group had limited experience in the field of sugar distribution outside of Europe and Brazil. There can be no assurance that its sugar commodities business will find the necessary distribution channels and purchasers for the Group's white and raw sugar. In addition, when there is decreased demand or oversupply, the volume of sugar distributed may be reduced for long periods. Finally, in the mid to long term perspective, the Group is aiming at diversifying its sugar commodities business by way of buying and distributing sugar produced by third parties. The failure to adequately develop the activities of sugar commodities business in the coming years could have a material adverse effect on the Group's operations, its financial position, its results of operations or its ability to achieve its targets.

In April 2016, the Group also established ethanol commodities business (responsible for the commercialization of ethanol). Its mission is to enhance Tereos ethanol commercial capabilities with the intention to optimize revenues derived from ethanol. Ethanol commodities business' target is also to diversify its sourcing to better attend the Group's customer needs and amplify the range of products it can deliver. There can be no assurance that these new markets will bring additional revenues to the Group. The failure to adequately develop the activities of ethanol commodities business in the coming years could have a material adverse effect on the Group's operations, its financial position, its results of operations or its ability to achieve its targets.

Lastly, although the Group pays strict attention to the compliance with applicable laws, including those related to sanctioned countries and individuals, it cannot exclude that certain clients of its commodities business could trade with such countries or individuals.

Risk relating to key personnel

The Group's success is largely dependent upon the continued commitment of its management team and of the members of its executive committee. The Group's future growth and success also depends on its ability to attract, train, retain and motivate skilled managerial, sales, administrative, operating and technical personnel. The loss of one or more of its key management or operating personnel, or the failure to attract and retain additional key staff, could have a material adverse effect on the Group's operations.

Risks relating to workforce

During the financial year ended 31 March 2016, the Group employed 15,351 people on a permanent basis, and regularly used seasonal workers primarily for harvests (8,437 other contracts employees during the financial year ended 31 March 2016). In the event of any changes to its employees' terms of employment and of adverse employees' reaction to such changes, the Group could experience labour disputes and work stoppages at one or more of its facilities. The Group has not experienced significant work stoppages in the past; however, the Group cannot guarantee that a labour disturbance or work stoppage at any of its facilities will not happen, nor that, in such case, it would not have an adverse effect on that facility's operations and, potentially, on the Group's operations.

Risks relating to information technology systems and processes

The Group's information technology systems, some aspects of which are dependent on services provided by third-parties, provide critical data connectivity, information and services for internal and external users. The Group uses its information technology systems in connection with ordering and managing supplies, converting raw materials to finished products, managing inventory, shipping products to customers, processing transactions, summarizing and reporting the Group's results of operations, complying with regulatory, legal or tax requirements, and conducting other activities necessary to operate the Group's business. If the Group's information technology systems are damaged, or cease to function properly due to any number of causes, such as catastrophic events, technical outages, or security breaches, the Group may suffer interruptions in the ability to manage its operations, which could have a material adverse effect on its financial position and results of operations.

Risks relating to the Group's ability to offer new innovative and high quality products and meet consumer demand

Meeting consumer demand with new and high quality products produced over increasingly shorter product development cycle times is critical to the success of the Group. The Group's ability to strengthen its position within its traditional product and market segments through research and development of innovative products and services while identifying new and expanding into additional market segments with such new products will be crucial to the Group's future success. A general shift in consumer preference towards different types of products, which could result from, among other things, government regulations or taxes, health authority guidelines and reports, media crisis and environmental concerns, could have a negative effect on the Group's profitability. Inability to continue to improve quality of its products, delays in bringing new products to market, the inability to achieve defined efficiency targets without suffering from quality losses and the lack of market acceptance could have a material adverse effect on the Group's business, financial position, results of operations or prospects.

Legal risks

Risks relating to ongoing litigation

The Group is involved in a certain number of contentious proceedings (see in particular section VII of section "Description of the Guarantor" of this Prospectus); moreover, it cannot guarantee that new disputes will not arise. For the financial year ended 31 March 2016, the Group recorded a total provision of €20.9 million in respect of these proceedings. The Group is not in a position to foresee the outcome of such proceedings, and cannot rule out being ordered to pay significant amounts as a result of unfavorable decisions (including fines and late payment penalties) which could have a material adverse effect on its business, its financial position and its results of operations.

Risks relating to insurance cover

The Group has in place insurance policies for usual business interruptions (e.g., accident, incident, fire, explosion, etc.). However, business interruptions due to labour unrest are not covered. Therefore, strikes or work stoppages could have a material adverse effect on the Group. An attack or an operational incident leading to an interruption of its business could also have a material adverse effect on the Group's financial position or results of operations (e.g., possible losses of market share resulting from business interruptions). The Group's operations are also subject to a number of hazards and risks against which it is covered for usual situations in its industry. However, this insurance may not be adequate to cover all losses or liabilities that might be incurred in its operations. Moreover, the Group is subject to the risk of not being able to maintain or obtain insurance of the type and amount desired at reasonable costs. Any significant damage the Group may suffer and for which it is not fully insured could have a material adverse impact on its business, its financial position and its

results of operations. In addition, the insurance policies subscribed by the Group are group insurance policies (casualty, third-party liability, corporate officer policies, etc); they are subscribed with a captive reinsurance company.

Tax and customs-related risks

Irrespective of its policy of ensuring compliance with the tax laws and regulations applicable in each of the countries where the Group companies operate and with international tax law, some tax regulations may pose a risk to the Group because of their imprecise nature, difficulties in their interpretation or changes in their interpretation by local authorities. In addition, the tax regimes (including in terms of customs duties) applicable to its operations vary from one country to another and may be subject to future changes which may be either favorable or unfavorable to the Group.

In addition, Group companies may be subject to tax audits by local authorities in the ordinary course of their business. Tax audits may result in additional tax assessments and may lead to legal disputes before the competent courts. The Group is currently subject to an investigation from the French customs administration relating to the application of the excise duty on alcohol losses and shortages (*pertes et déchets*) on some of the Group's French sites and to a tax audit for the financial years 2013-2015. The Group is also involved in various tax disputes in Brazil (see section VII of section "Description of the Guarantor" of this Prospectus).

Intellectual property risk

The Group's commercial success partly depends on obtaining and maintaining trademarks, patent protection for some of its products and technologies, and on successfully defending these trademarks and patents against third-party claims or counterfeiting. Where the Group chooses not to file a patent, it is important that it is in a position to protect its confidential information and trade secrets. Third parties may develop technologies similar to the Group's or copy its technologies. The Group's patents are filed for defined periods and are likely to fall into the public domain once they have been commercialized, therefore affecting their protection. The Group may be required to initiate infringement proceedings in order to enforce its rights under its trademarks and patents, protect its trade secrets or know-how, or determine the scope and validity of its proprietary rights or of the proprietary rights of third parties. The Group cannot guarantee that it will be in a position to protect its patents, trademarks and other intellectual property rights against challenges to their validity, violations and abusive use by third parties, in particular in markets in which the Group has not been active in the past, which could have a material adverse effect on its business, financial position and results of operations.

Risks relating to the Group's legal status

Tereos UCA has been incorporated as an agricultural cooperative partnership governed by French law pursuant to the French *Code rural et de la pêche maritime* (Code of Maritime Fishing). As a result, Tereos UCA is exempt from corporate tax on the profits generated by the sale of products processed in France from the agricultural raw materials supplied by the cooperative's partners. In addition, Tereos is also exempted from a part of the corporate property tax (CFE). Any change to or repeal of the provisions of the French *Code rural et de la pêche maritime* that results in the Group losing the advantage of the aforementioned tax regime, and which would increase its tax charge, may have a material adverse effect on its financial position and results of operations.

Risks related to competition law

The Group's activities may be subject to legal action or investigations with respect to competition, marketing practices and price setting, which could impact the Group's business, results of operations and financial condition. The Group could be held liable for any failure to comply with competition law, either directly or indirectly (including because of a failure by one of the Group's agents, franchisees or partners), which may have a material adverse effect on its financial position and results of operations.

Risks relating to the Group's image

The Group's continued success depends on its ability to maintain its reputation as a serious, trustworthy, sustainable, responsible and independent company as well as on its acceptance by local communities. Although the Group pays close attention to the quality of its services, it cannot guarantee that it will be able to protect itself from the harmful consequences a potential accident, conflict of interest, or litigation involving it and which receives substantial media coverage may have on its reputation, in particular if this event highlights serious, actual, or alleged failures by the Group to meet its obligations. The occurrence of such events, which are likely to seriously damage the Group's reputation and its ability to retain its customers' trust and to attract new customers, could have a material adverse effect on the Group's business, financial position, results of operations or prospects.

Risks relating to corruption and ethics

The Group may operate in countries that suffer from administrative corruption. The Group is committed to doing business in accordance with all applicable laws; however, the risk that Group companies or their officers, directors, employees, or agents may act in breach of current legislation, cannot be excluded. Any such violations could result in substantial civil or criminal penalties or even losses and may have a material adverse effect on its business, financial position and results of operations.

Financial risk

Risks relating to the Group's leverage

The Group has entered into significant borrowing agreements. As at 31 March 2016, the Group's consolidated net debt (excluding related parties) amounted to €2,079 million, resulting in a net debt / Adjusted EBITDA ratio, restated for seasonal operational working capital, of 4.6x (4.7x before restatement). The obligations relating to servicing the debt may have major consequences for the Group, including increasing its vulnerability to general adverse economic and industry conditions, requiring the Group to dedicate a substantial portion of its cash flow from operations to the payment of principal or interest with respect to its indebtedness, which would reduce the funds available for financing its working capital needs, capital expenditures, acquisitions and other general financing requirements, reducing its flexibility in planning for, or reacting to, changes in its businesses and the industries in which the Group operates and limiting its ability to borrow additional funds on favorable terms.

Risks relating to the Group's financing

The Group's existing senior credit facilities and other financing agreements (see note 25.2.1 in the Group's consolidated financial statements for the financial year ended 31 March 2016) contain restrictive covenants limiting the Group's ability to incur additional indebtedness or, as the case may be, certain subsidiaries' ability to incur or guarantee additional indebtedness or issue preferred shares, create or permit to exist liens or other encumbrances on its assets, create or incur restrictions on the ability to pay dividends or make other payments, enter into certain types of transactions with its affiliates, issue or sell capital securities of subsidiaries and dispose of assets, or merge or consolidate with another company.

Complying with the restrictions contained in some of these covenants requires the Group to maintain specific financial ratios and to meet specific financial criteria. Events beyond the Group's control may affect its ability to comply with these provisions and to meet these ratios and criteria. The breach of any of these covenants would result in a default event under its senior credit facilities, which would enable the lenders to declare all amounts borrowed under these agreements to be due and payable, together with the accrued interest and other ancillary amounts, and to proceed against the collateral securing these indebtedness. In the event of early repayment of any indebtedness incurred by the Group, its assets may not be sufficient to enable the full repayment, and the Group's bondholders could lose the entire value of their investment.

Finally, global financial and economic conditions have been, and continue to be, volatile. If funding is not available when needed, or is available only on unfavorable terms, the Group could find it difficult to meet its financing needs, to take advantage of business opportunities or to react to competitive pressure, which could have a material adverse effect on its business, financial position and results of operations.

Risks relating to a downgrade of credit ratings

The Group has been assigned a rating of BB by Standard & Poor's Ratings Services and BB by Fitch Ratings (the "**Rating Agencies**"). A rating may be revised or withdrawn by the Rating Agencies at any time. Any negative change in an applicable credit rating of the Group could negatively affect the Group, in particular its ability to obtain financing and/or its cost of financing.

Market risk

A detailed description of market risk (interest rate risk, foreign exchange risk, commodity risk and energy risk) is provided in note 27 to the financial statements for the financial year ended 31 March 2016, which are included in this Prospectus (see also paragraph "Risks relating to the unavailability or higher prices of agricultural raw materials", paragraph "Risks relating to increased energy costs" and paragraph "Risks relating to the evolution of the economic environment and financial markets" above).

Tereos has defined a market risk management framework at Group level. Key risks are identified and regularly assessed. Market risk policies are set up at business unit level so as to manage these risks to an acceptable level. Implementation of these policies entail putting in place various procedures to monitor market exposure and to execute derivatives transactions. Regular market risk committees are held with executive members of each business unit and central risk functions to review effectiveness of policies, review exceptions and propose policy updates.

II - Risk management and internal control procedures

The Group implements a dynamic risk management policy. In addition to providing for adequate insurance cover, the Group pays close attention to limiting the risks relating to its business in all the markets where it operates.

Specifically, the Group ensures to limit its risks by spreading them across all the areas where it operates. Its presence in European countries (Belgium, the Czech Republic, France, Italy, Spain, Romania and the United Kingdom), in Brazil, Africa, the Indian Ocean and Asia enables it to spread the risks linked to regulatory changes and development prospects.

Regarding its investments, in particular its acquisitions or partnerships, the Group selects its projects according to a thorough process, and considers their prospects while taking care to limit development costs. Each significant project is subject to a prior review by the Supervisory Board based on strict criteria.

In the operation of its industrial sites, the Group continuously monitors their operation, in order to limit the frequency and duration of incidents (such as technical breakdowns). The Group also pays close attention to the environment of which its operations are part, in order to limit their potential impact. In addition to compliance with legal obligations, the Group thus implements an environmental management policy, based on a code of best practices and on a monitoring approach. Twelve of its facilities are now ISO 14001 certified (Selby, Zaragoza, Aalst, Haussimont, Boiry, Vertente, Sucrerie du Gol, Dobrovice, Ceské Mezirici, Kojetin, Sucrerie Bois Rouge and Eurocanne) for their environmental management.

More generally, the aim of the Group's current organizational structure for managing and controlling risk is to prevent the occurrence of events that may have a material adverse effect on its business, results of operations, financial position, net assets and prospects, together with its image. It also supports the Group's external growth, targeting in particular the integration of the companies acquired into common processes and identification of the risks specific thereof.

Organization of the internal control system

The process for managing and controlling risk at the Group level is managed by the Risk and Internal Control Department, who reports directly to the Director of Legal, Tax & Compliance Department. The Risk and Internal Control Department is based in Lille (France).

The Risk and Internal Control Department's main tasks are:

- where internal controls and compliance are concerned:
 - defining and updating the internal control procedures for each area (governance charter, control environment and signing authorities);
 - defining and updating the internal control guidelines for each area (embedded controls, manual controls and authorizations);
 - implementing and managing the internal control self-assessment system;
 - compliance of equipment and personal information, and relationships with third parties (the CNIL (French data protection authority), etc.);
 - providing training and information on internal control guidelines at the various divisions and Head Office;
 - controlling access to the SAP management system;

- analysing conflicts regarding the division of tasks when creating and/or altering user accounts; and
- defining the mitigating controls for the entities to implement in the event of non-compliance with the rules.
- where the internal audit process is concerned:
 - defining the audit schedule;
 - monitoring the execution of the assignments performed by service providers and the teams;
 - managing the post-audit action plans;
 - informing the management team; and
 - drafting and preparing documents for external communication (risk, internal control and internal audit).

The Group has also created an internal audit team to monitor the respect by the Group's entities of the internal controls and compliance procedures.

Insurance

The policy in terms of insurance is managed by the Risk and Internal Control Department and implemented in each country where the Group operates.

Generally, the insurance policies subscribed by Tereos UCA and its subsidiaries are group insurance policies (casualty, third-party liability and corporate officer policies, etc.). Only certain specific policies are subscribed on a local basis, such as policies for car fleets, for example.

The Group has also contracted a Directors and Officers Civil Liability insurance policy (D&O) in benefit of its senior management and its subsidiaries' management. The purpose of such insurance policy is to reimburse managers in case of condemnations arising out of acts or facts occurred during the Group's management, except if such manager's acts were taken with intent.

The Risk and Internal Control Department is in charge of managing risk guidelines and updating risk mapping procedures, managing risk action plans, insurance policies and relations with insurance companies and brokers and managing claims.

III - Risks related to the Bonds

Risks relating to the ability of the Issuer to pay interest on the Bonds or to redeem the Bonds

The Issuer is a special purpose vehicle created by the Group for the purpose of its bonds issues (including the €500 million bonds issued in 2013); it does not pursue any activity generating taxable income and the proceeds of the bonds issued by it are lent to other members of the Group. The ability of the Issuer to make payments under the Bonds thus depends on the cash flows generated by other entities of the Group, in particular by the Guarantor through the dividends received and interest on intragroup loans. If the payments due in respect of the principal of the Bonds at redemption are not made by the Issuer for any reason whatsoever, it does not expect to have sufficient capital resources allowing it to make payments in respect of the Bonds. In any such circumstances, the Bondholders shall seek for the implementation of the guarantee granted by the Guarantor for the issuance.

Risks relating to the ability of the Guarantor to make payments due under the Guarantee

The Guarantor unconditionally and irrevocably guarantees the due payment of all sums expressed to be due and payable under the Bonds. In the event of implementation of the Guarantee, the Guarantor may not be in a position to pay all sums expressed to be due under the Guarantee. The ability of the Guarantor to pay the due sums will depend on its financial position at the time of such payment and may be limited by applicable law (in particular if the Guarantor is subject to insolvency proceedings), by the terms of its indebtedness and by the conditions of new financings at that time which may replace, supplement or amend its present or future indebtedness.

The ranking of the Guarantee does not affect in any way the capacity of the Guarantor to dispose of its assets or to grant any security over such assets

The guarantee of payment of all sums agreed by the Guarantor which may become due by the Issuer in relation to the Bonds, according to the terms of the Guarantee, constitutes a direct, unconditional, unsubordinated and unsecured obligation of the Guarantor, and rank and will rank *pari passu* and (subject to such exceptions as are from time to time mandatory under French law) equally and rateably with all other present or future unsubordinated and unsecured obligations of the Guarantor.

The ranking of the Guarantee does not affect in any way the right of the Guarantor to dispose, subject to the provisions of Condition 4 (Negative Pledge) of the Terms and Conditions of the Bonds, of its assets or grant any security in respect of such assets in any other circumstances (see "Description of the Guarantee" below).

The Bonds may not be a suitable investment for all investors

Each potential investor in the Bonds must determine the suitability of that investment in light of its own circumstances. In particular, each potential investor should:

- (i) have sufficient knowledge and experience to make a meaningful evaluation of the Bonds, the merits and risks of investing in the Bonds and the information contained in this Prospectus or any applicable supplement;
- (ii) have access to, and knowledge of, appropriate analytical tools to evaluate, in the context of its particular financial situation, an investment in the Bonds and the impact the Bonds will have on its overall investment portfolio;
- (iii) have sufficient financial resources and liquidity to bear all of the risks of an investment in the Bonds, including where the currency for principal or interest payments is different from the potential investor's currency;
- (iv) understand thoroughly the terms of the Bonds and be familiar with the behaviour of any relevant indices and financial markets;
- (v) be able to evaluate (either alone or with the help of a financial adviser) possible scenarios for economic, interest rate and other factors that may affect its investment and its ability to bear the applicable risks; and
- (vi) consult its own advisers as to legal, tax and related aspects of an investment in the Bonds.

Legal investment considerations may restrict certain investments

The investment activities of certain investors are subject to legal investment laws and regulations, or review or regulation by certain authorities. Each potential investor should consult its legal advisers to determine whether and to what extent (i) Bonds are legal investments for it, (ii) Bonds can be used as collateral for various types of borrowings and (iii) other restrictions apply to its purchase or pledge of any Bonds. Financial institutions should consult their legal advisors or the appropriate regulators to determine the appropriate treatment of Bonds under any applicable risk-based capital or similar rules.

Risks related to the financial markets generally

Set out below is a brief description of the principal market risks, including liquidity risk, exchange rate risk, interest rate risk and credit risk:

No active secondary market for the Bonds

An investment in the Bonds should be considered primarily with a view to holding them until their maturity (*i.e.*, June 2023). As of the date of this Prospectus, there is no existing market for the Bonds, and there can be no assurance that any market will develop for the Bonds or that Bondholders will be able to sell their Bonds in the secondary market, in which case the market or trading price and liquidity of the Bonds may be adversely affected. Bondholders may be unable to sell their Bonds easily or within satisfactory price conditions, in particular in respect of the yield available in similar investments with a secondary market. The sale price of the Bonds prior to maturity will be equal to their market price, which may entail either a gain or a loss for the selling Bondholders.

The liquidity of any market for the Bonds will depend upon the number of Bondholders (which could be very limited), the market for similar securities, the interest of securities dealers in making a market, general economic conditions and the Issuer's financial condition, performance, prospects and other factors. Historically, the market for indebtedness with characteristics similar to the Bonds has not been consistently liquid and has been subject to disruptions that have caused substantial volatility in the prices of such securities. There can be no assurance that the market for the Bonds will not be subject to similar disruptions. Any such disruptions may have an adverse effect on Bondholders. In addition, market-making activity in the Bonds, if any, will be subject to limits imposed by applicable laws and regulations. As a result, the Issuer cannot assure Bondholders that an active trading market will develop for the Notes.

Exchange rate risks and exchange controls

The Issuer will pay principal and interest on the Bonds in Euro. This presents certain risks relating to currency conversions if an investor's financial activities are denominated principally in a currency or currency unit (the "**Investor's Currency**") other than Euro. These include the risk that exchange rates may change significantly (including changes due to devaluation of Euro or revaluation of the Investor's Currency) and the risk that authorities with jurisdiction over the Investor's Currency may impose or modify exchange controls. An appreciation in the value of the Investor's Currency relative to the Euro would decrease (i) the Investor's Currency-equivalent yield on the Bonds, (ii) the Investor's Currency-equivalent value of the principal payable on the Bonds and (iii) the Investor's Currency-equivalent market value of the Bonds.

Government and monetary authorities may impose (as some have done in the past) exchange controls that could adversely affect an applicable exchange rate. As a result, investors may receive less interest or principal than expected, or no interest or principal.

Interest rate risks

The Bonds bearing interest at a fixed rate, investment in the Bonds involves the risk that subsequent changes in market interest rates may adversely affect the value of the Bonds.

The Bonds may be redeemed prior to maturity

The Issuer reserves the right to purchase Bonds in the open market or otherwise at any price in accordance with applicable regulations. Such transactions shall have no impact on the normal repayment schedule of outstanding Bonds, but they decrease the yield of Bonds which would be redeemed prior to their stated maturity.

The Issuer may also, at its option, at any time or from time to time, as from the Call Option Date until the Maturity Date, redeem the Bonds, in whole or in part, as further described in Condition 6(d) (Residual Maturity Call Option) of the Terms and Conditions of the Notes. Such redemption options would be exercised at the principal amount of the Notes together with interest accrued to the date of redemption.

In the event that the Issuer would be obliged to pay additional amounts in respect of any Bond due to any withholding as provided in Condition 6(b) of the Terms and Conditions of the Bonds, the Issuer may, and in certain circumstances shall, redeem all of the Bonds then outstanding in accordance with such Condition.

In the event that an Event of Default occurred and is continuing, as provided in Condition 9, then the Representative (as defined in Condition 10) shall cause all the Bonds (but not some only) to become immediately due and payable in accordance with such Condition.

Any early redemption of the Bonds may result, for the Bondholders, in a yield that is considerably lower than anticipated. In addition, investors may not be able to reinvest the moneys they receive upon such early redemption in securities with the same yield as the redeemed Bonds.

Market value of the Bonds

The market value of the Bonds will be affected by the creditworthiness of the Issuer and of the Guarantor and a number of additional factors, including market interest and yield rates.

The value of the Bonds depends on a number of interrelated factors, including economic, financial and political events in France or elsewhere, including factors affecting capital markets generally and the stock exchange on which the Bonds are traded. The price at which a Bondholder will be able to sell the Bonds may be at a discount, which could be substantial, from the issue price or the purchase price paid by such purchaser.

If the creditworthiness of the Issuer and/or the Guarantor deteriorates, the value of the Bonds may also decrease and investors selling their Bonds prior to maturity may lose all or part of their investment.

Change of Control

In the event of a Change of Control of the Issuer or of the Guarantor (as more fully described in "Terms and Conditions of the Bonds - Redemption at the option of the Bondholders following a Change of Control"), each Bondholder will have the right to request the Issuer to redeem or procure the purchase of all or part of its Bonds at their principal amount together with any accrued interest. In such case, any trading market in respect of those Bonds in respect of which such redemption right is not exercised may become illiquid. In addition, Bondholders having exercised their put option may not be able to reinvest the moneys proceeds upon such early redemption in securities with the same yield as the redeemed Bonds.

Credit Rating may not reflect all risks

The Bonds are expected to be rated BB by Standard & Poor's Ratings Services and BB by Fitch Ratings (the "**Rating Agencies**"). The rating assigned by the Rating Agencies to the Bonds may not reflect the potential impact of all risks related to structure, market, additional factors discussed above, and other factors that may affect the value of the Bonds. A rating is not a recommendation to buy, sell or hold securities and may be revised or withdrawn by the Rating Agencies at any time. Any negative change in an applicable credit rating could adversely affect the trading price for the Bonds.

Change of law

The Terms and Conditions of the Bonds and the Guarantee are based on the laws of France in effect as at the date of this Prospectus. No assurance can be given as to the impact of any possible judicial decision or change to the laws of France or administrative practice after the date of this Prospectus. Furthermore, each of the Guarantor and the Issuer operates in a heavily regulated environment and has to comply with extensive regulations in France and elsewhere. No assurance can be given as to the impact of any possible judicial decision or change to laws or administrative practices after the date of this Prospectus.

Modification of the terms and conditions of the Bonds

Bondholders will be grouped automatically for the defence of their common interests in a *Masse*, as defined in "Terms and Conditions of the Bonds - Representation of the Bondholders", and a general meeting of Bondholders can be held. The provisions of the French *Code de commerce* (Commercial Code) permit in certain cases defined majorities to bind all Bondholders including Bondholders who did not attend and vote at the relevant general meeting and Bondholders who voted in a manner contrary to the majority.

The general meeting of Bondholders may deliberate on any proposal relating to the modification of the Terms and Conditions of the Bonds and the Guarantee, notably on any proposal, whether for arbitration or settlement, relating to rights in controversy or which were subject of judicial decisions.

Legality of Purchase

None of the Issuer, the Guarantor, the Joint Lead Managers, or any of their respective affiliates has or assumes responsibility for the lawfulness of the subscription or acquisition of the Bonds by a prospective investor in the Bonds, whether under the laws of the jurisdiction of its incorporation or the jurisdiction in which it operates, or for compliance by that prospective investor with any law, regulation or regulatory policy applicable to it.

French insolvency law

Under French insolvency law, holders of debt securities are automatically grouped into a single assembly of holders (the "**Assembly**") in order to defend their common interests if a safeguard procedure (*procédure de sauvegarde*), an accelerated safeguard procedure (*procédure de sauvegarde accélérée*), an accelerated financial safeguard procedure (*procédure de sauvegarde financière accélérée*) or a judicial reorganisation procedure (*procédure de redressement judiciaire*) is opened in France with respect to the Issuer. The Assembly comprises holders of all debt securities issued by the Issuer (including the Bonds) regardless of their governing law. The Assembly deliberates on the proposed safeguard plan (*projet de plan de sauvegarde*), proposed accelerated safeguard plan (*projet de plan de sauvegarde accélérée*), proposed accelerated financial safeguard plan (*projet de plan de sauvegarde financière accélérée*) or judicial reorganisation plan (*projet de plan de redressement*) applicable to the Issuer and may further agree to:

- increase the liabilities (*charges*) of holders of debt securities (including the Bondholders) by rescheduling due payments and/or partially or totally writing off receivables in form of debt securities;
- establish an unequal treatment between holders of debt securities (including the Bondholders) as appropriate under the circumstances; and/or
- decide to convert debt securities (including the Bonds) into securities that give or may give right to share capital.

Decisions of the Assembly will be taken by a two-thirds majority (calculated as a proportion of the debt securities held by the holders who have casted a vote at such Assembly). No quorum is required to convoke the Assembly.

The procedures, as described above or as they will or may be amended, could have an adverse impact on holders of the Bonds seeking repayment in the event that the Issuer or its subsidiaries were to become insolvent.

Taxation

Potential purchasers and sellers of the Bonds should be aware that they may be required to pay taxes or documentary charges or duties in accordance with the laws and practices of the country where the Bonds are transferred or other jurisdictions. In some jurisdictions, no official statements of the tax authorities or court decisions may be available for financial instruments such as the Bonds. Potential investors are advised not to rely upon the tax summary contained in this Prospectus but to ask for their own tax adviser's advice on their individual taxation with respect to the acquisition, holding, sale and redemption of the Bonds. Only these advisors are in a position to duly consider the specific situation of the potential investor. This investment consideration has to be read in connection with the taxation sections of this Prospectus.

Financial Transaction Tax

On 14 February 2013, the EU Commission published a proposal (the "Commission's Proposal") for a Directive for a common financial transactions tax (the "EU FTT") in Belgium, Germany, Estonia, Greece, Spain, France, Italy, Austria, Portugal, Slovenia and Slovakia (the "Participating Member States").

The Commission's Proposal has very broad scope and could, if introduced, apply to certain dealings in bonds (including secondary market transactions) in certain circumstances. The issuance and subscription of bonds should, however, be exempt.

Under the Commission's Proposal, the EU FTT could apply in certain circumstances to persons both within and outside of the Participating Member States. Generally, it would apply to certain dealings in Notes where at least one party is a financial institution, and at least one party is established in a Participating Member State. A financial institution may be, or be deemed to be, "established" in a Participating Member State in a broad range of circumstances, including (a) by transacting with a person established in a Participating Member State or (b) where the financial instrument which is subject to the dealings is issued in a Participating Member State.

In a joint statement released on 8 December 2015, the Participating Member States, with the exception of Estonia, indicated in a joint statement that the EU FTT could be implemented by the end of June 2016. Such implementation is to be progressive with an initial focus on the taxation of shares and certain derivatives.

The EU FTT could therefore apply, if implemented in its current draft form, to transactions involving the transfer of bonds to persons located both within and outside the Participating Member States.

Prospective holders of the Bonds should consult their own tax advisors concerning the implementation of the EU FTT.

FORWARD-LOOKING STATEMENTS

This Prospectus contains certain statements that are forward-looking including statements with respect to the Issuer's, the Guarantor's and the Group's business strategies, expansion and growth of operations, trends in the business, competitive position, market share, and technological and regulatory changes, information on exchange rate risk and generally all statements preceded by, followed by or that include the words "should", "could", "believe", "expect", "project", "anticipate", "seek", "estimate" or similar expressions.

Forward-looking statements involve risks, uncertainties and assumptions because they relate to future events and therefore depend on circumstances that may or may not occur. The Group's business, financial condition, results of operations, strategies, market share, competitive position in the market and prospects may differ materially from those expressed in or suggested by these forward-looking statements. Many of the factors which will determine these results and values are beyond the Group's ability to control or predict. Investors must not place undue reliance on any forward-looking statements.

TERMS AND CONDITIONS OF THE BONDS

The issue of the €400,000,000 4.125 per cent. Bonds due 2023 (the “**Bonds**”) of Tereos Finance Groupe I (the “**Issuer**”) has been authorised pursuant to a decision of Mr. Alexis Duval, member of the Board of Directors (*Conseil d'administration*) of the Issuer dated 9 June 2016 acting pursuant to a resolution of the Board of Directors (*Conseil d'administration*) of the Issuer dated 17 May 2016. The Bonds will be unconditionally and irrevocably guaranteed by Tereos UCA (the “**Guarantor**”). The Supervisory Board (*Conseil de surveillance*) of the Guarantor on 17 May 2016 has authorised the President of the Management Board (*Président du Directoire*) of the Guarantor to enter with the Issuer into a guarantee agreement dated 14 June 2016 in relation to the Bonds (the “**Guarantee**”).

The Issuer and the Guarantor have entered into an agency agreement (the “**Agency Agreement**”) dated 14 June 2016 with BNP Paribas Securities Services as fiscal agent and paying agent. The fiscal agent and paying agent for the time being are referred to in these Conditions as the “**Paying Agent**”, which expression shall include the successors from time to time of the relevant persons, in such capacities, under the Agency Agreement.

References below to “**Conditions**” are, unless the context otherwise requires, to the numbered paragraphs below.

1 Form, Denomination and Title

The Bonds are issued on 16 June 2016 (the “**Issue Date**”) in dematerialised bearer form in the denomination of €100,000 each. Title to the Bonds will be evidenced in accordance with Articles L.211-3 and R.211-1 of the French *Code monétaire et financier* by book-entries (*dématisation*). No physical document of title (including *certificats représentatifs* pursuant to Article R.211-7 of the French *Code monétaire et financier*) will be issued in respect of the Bonds.

The Bonds will, upon issue, be inscribed in the books of Euroclear France which shall credit the accounts of the Account Holders. For the purpose of these Conditions, “**Account Holders**” shall mean any financial intermediary institution entitled to hold accounts, directly or indirectly, on behalf of its customers with Euroclear France, and includes Euroclear Bank S.A./N.V. (“**Euroclear**”) and the depositary bank for Clearstream Banking, société anonyme (“**Clearstream, Luxembourg**”).

Title to the Bonds shall be evidenced by entries in the books of Account Holders and will pass upon, and transfer of Bonds may only be effected through, registration of the transfer in such books.

2 Guarantee

The Guarantor has unconditionally and irrevocably guaranteed the due payment of all sums expressed to be due and payable by the Issuer under the Bonds and in accordance with their terms and conditions. The obligations of the Guarantor in this respect arise pursuant to the Guarantee executed by the Guarantor and dated 14 June 2016, a copy of which appears under “Description of the Guarantee” below.

3 Status

A. Status of the Bonds

The Bonds constitute direct, unconditional, unsubordinated and unsecured obligations of the Issuer and rank and will rank *pari passu* without any preference among themselves and (subject to such exceptions as are from time to time mandatory under French law) equally and rateably with all other present or future unsecured and unsubordinated obligations of the Issuer.

B. Status of the Guarantee

The obligations of the Guarantor under the Guarantee, if any, constitute direct, unconditional, unsubordinated and unsecured obligations of the Guarantor and rank and will rank *pari passu* and (subject to such exceptions as are from time to time mandatory under French law) equally and rateably with all other present or future unsecured and unsubordinated obligations of the Guarantor.

4 Negative Pledge

A. Issuer

So long as any of the Bonds remain outstanding (as defined below), the Issuer will not create or permit to subsist any mortgage, charge, pledge, lien or other form of encumbrance or security interest which would constitute a *sûreté réelle* or its equivalent under any applicable legislation upon all or part of its business (*fonds de commerce*), assets or revenues, present or future, to secure (i) any Bond Indebtedness (as defined below) or (ii) any guarantee in respect of any Bond Indebtedness (whether before or after the issue of the Bonds) unless the obligations of the Issuer under the Bonds are equally and rateably secured therewith so as to rank *pari passu* with such Bond Indebtedness or the guarantee thereof. Such undertakings are given only in relation to security interests given for the benefit of other bondholders and do not affect in any way the right of the Issuer to dispose of its assets or to grant any security in respect of such assets in any other circumstances.

B. Guarantor

Until all payments due in connection with the Guarantee have been paid, the Guarantor and its Material Subsidiaries (as defined in Condition 9) will not create or permit to subsist any mortgage, charge, pledge, lien or other form of encumbrance or security interest which would constitute a *sûreté réelle* or its equivalent under any applicable legislation upon all or part of its business (*fonds de commerce*), assets or revenues, present or future, to secure (i) any Bond Indebtedness (as defined below) or (ii) any guarantee in respect of any Bond Indebtedness (whether before or after the issue of the Bonds) unless the obligations of the Guarantor under the Bonds are equally and rateably secured therewith so as to rank *pari passu* with such Bond Indebtedness or the guarantee thereof. Such undertakings are given only in relation to security interests given for the benefit of other bondholders and do not affect in any way the right of the Guarantor to dispose of its assets or to grant any security in respect of such assets in any other circumstances.

C. Definitions

“Bond Indebtedness” means any other present or future indebtedness for borrowed money in the form of, or represented by, bonds (*obligations*) or other securities (including *titres de créance négociables*) which are, or are capable of being, quoted, admitted to trading or ordinarily dealt in any stock exchange, multilateral trading facility, over-the-counter or other securities market.

“Outstanding” means all the Bonds issued other than (a) those that have been redeemed in accordance with the Conditions, (b) those in respect of which the date for redemption in accordance with the Conditions has occurred and the redemption moneys (including all interest accrued on such Bonds to the date for such redemption and any interest payable after such date) have been duly paid as provided in Condition 7, (c) those in respect of which claims have become prescribed under Condition 12, and (d) those which have been purchased and cancelled as provided in the Conditions.

5 Interest

Each Bond bears interest from, and including, 16 June 2016 (the “**Interest Commencement Date**”) to, but excluding, 16 June 2023 at the annual rate of 4.125 per cent., payable annually in arrear on 16 June in each year (each an “**Interest Payment Date**”), commencing on 16 June 2017. The period commencing on, and including, the Interest Commencement Date and ending on, but excluding, the first Interest Payment Date and each successive period beginning on, and including, an Interest Payment Date and ending on, but excluding, the next succeeding Interest Payment Date is called an “**Interest Period**”.

Bonds will cease to bear interest from the date provided for their redemption, unless the Issuer defaults in making due provision for their redemption on said date. In such event, the Bonds will continue to bear interest in accordance with this Condition (as well after as before judgment) on the principal amount of such Bonds until whichever is the earlier of (i) the day on which all sums due in respect of such Bonds up to that day are received by or on behalf of the relevant holder and (ii) the day after the Paying Agent has notified the holders of the Bonds (the “**Bondholders**”) in accordance with Condition 11 of receipt of all sums due in respect of all the Bonds up to that day.

Interest will be calculated on an Actual/Actual (ICMA) basis. Where interest is to be calculated in respect of a period which is equal to or shorter than an Interest Period (as defined below), it shall be calculated on the basis of the number of days elapsed in the relevant period, from and including the date from which interest begins to accrue to but excluding the date on which it falls due, divided by the number of days in the Interest Period in which the relevant period falls (including the first such day but excluding the last).

6 Redemption and Purchase

The Bonds may not be redeemed otherwise than in accordance with this Condition 6 and Condition 9.

(a) Final Redemption

Unless previously redeemed or purchased and cancelled as provided below or in Condition 9, the Bonds will be redeemed in full at par by the Issuer on 16 June 2023 (the “**Maturity Date**”).

(b) Redemption for taxation reasons

- A. If, by reason of a change in French law or regulation, or any change in the official application or interpretation of such law, becoming effective after the Issue Date, the Issuer would on the occasion of the next payment due in respect of the Bonds, not be able to make such payment without having to pay additional amounts as specified in Condition 8 below, the Issuer may at any time, subject to having given not more than 45 nor less than 30 days’ prior notice to the Bondholders (which notice shall be irrevocable), in accordance with Condition 11, redeem all, but not some only, of the outstanding Bonds at their principal amount plus accrued but unpaid interest provided that the due date for redemption of which notice hereunder may be given shall be no earlier than the latest practicable date on which the Issuer could make payment of principal and interest without withholding for French taxes or, if such date is past, as soon as practicable thereafter.
- B. If the Issuer would on the occasion of the next payment in respect of the Bonds be prevented by French law from making payment to the Bondholders of the full amount then due and payable, notwithstanding the undertaking to pay additional amounts contained in Condition 8 below, then the Issuer shall forthwith give notice of such fact to the Paying Agent and the Issuer shall upon giving not less than seven days’ prior notice to the Bondholders in accordance with Condition 11 redeem all, but not some

only, of the Bonds then outstanding at their principal amount plus accrued but unpaid interest on the latest practicable date on which the Issuer could make payment of the full amount payable in respect of the Bonds without withholding for French taxes, or, if such date is past, as soon as practicable thereafter.

(c) Redemption at the option of the Bondholders following a Change of Control

If at any time while any Bond remains outstanding, there occurs (i) a Change of Control and (ii) within the Change of Control Period, a Rating Downgrade occurs or has occurred as a result of such Change of Control (a **“Put Event”**), the holder of such Bond will have the option (the **“Put Option”**) (unless, prior to the giving of the Put Event Notice, the Issuer gives notice of its intention to redeem the Bonds under Condition 6(b) (Redemption for taxation reasons)) to require the Issuer to redeem or, at the Issuer's option, to procure the purchase of that Bond, on the Optional Redemption Date at its principal amount together with (or where purchased, together with an amount equal to) interest accrued to, but excluding, the Optional Redemption Date.

A **“Change of Control”** shall be deemed to have occurred (i) if any third party or third parties, other than the *Associés Coopérateurs* of the Guarantor, acting alone or in concert (within the meaning of article L.233-10 of the French *Code de commerce*) acquire(s), directly or indirectly, the control (within the meaning of article L.233-3 of the French *Code de commerce*) of the Guarantor, and/or (ii) if the Guarantor ceases to hold, directly or indirectly, 50% of the shares and voting rights exercisable at a general meeting of the Issuer.

“Affiliate” means any entity which is controlled (within the meaning set forth under Article L.233-3 I of the French *Code de commerce*), directly or indirectly, by any *associé coopérateur* of the Guarantor as at the date of this Prospectus.

“Associés Coopérateurs of the Guarantor” means Union BS, Union SDA Collecte, SDHF, CFH, CFVA and the *associés coopérateurs* of the Guarantor from time to time, their Affiliates, their *associés coopérateurs* from time to time, as the case may be, any successor of any of the foregoing and/or any entity resulting from the merger, contribution, amalgamation or reorganization involving any of the foregoing.

“Change of Control Period” means the period commencing on the date that is the earlier of (1) the date of the first public announcement of the relevant Change of Control; and (2) the date of the earliest Potential Change of Control Announcement (if any) and ending on the date which is 120 days after the date of the first public announcement of the relevant Change of Control (or such longer period for which the Bonds are under consideration (such consideration having been announced publicly within the period ending 90 days after the date of the first public announcement of the relevant Change of Control) for rating review or, as the case may be, rating by, a Rating Agency, such period not to exceed 60 days after the public announcement of such consideration).

A **“Rating Downgrade”** shall be deemed to have occurred in respect of a Change of Control if (a) within the Change of Control Period, the rating previously assigned to the Bonds by any Rating Agency (as defined below) is (i) withdrawn or (ii) changed from an investment grade rating (BBB-, or its equivalent for the time being, or better) to a non-investment grade rating (BB+, or its equivalent for the time being, or worse) or (iii) if the rating previously assigned to the Bonds by any Rating Agency was below an investment grade rating (as described above), lowered by at least one full rating notch (for example, from BB to BB-; or their respective equivalents) or (b) if, on the first public announcement of the relevant Change of Control or on the date of a Potential Change of Control Announcement (the **“Relevant Announcement Date”**), no rating to the Notes is outstanding at the time and, within the Change of Control Period, no Rating Agency assigns a rating to the Notes, provided that, with respect to (a) and (b) above, (i) a Rating Downgrade otherwise arising by virtue of

a particular change in rating shall be deemed not to have occurred in respect of a particular Change of Control, as the case may be, if the Rating Agency making the change in rating does not publicly announce or publicly confirm that the reduction or withdrawal was the result, in whole or in part, of any event or circumstance comprised in or arising as a result of, or in respect of, the applicable Change of Control, as the case may be and (ii) any Rating Downgrade must have been confirmed in a letter or other form of written communication sent to the Issuer and publically disclosed. It being specified that if on any Relevant Announcement Date, the Bonds carry a credit rating from more than one Rating Agency, at least one of which is investment grade, then sub-paragraph (a)(i) and (ii) above will apply.

“Rating Agency” means Standard & Poor’s Ratings Services, Fitch Ratings or any other rating agency of equivalent international standing specified from time to time by the Issuer and, in each case, their respective successors or affiliates.

“Potential Change of Control Announcement” means any public announcement or public statement by the Issuer, the Guarantor, any actual or potential bidder or any advisor thereto relating to any potential Change of Control.

Promptly upon the Issuer becoming aware that a Put Event has occurred, the Issuer shall give notice (a **“Put Event Notice”**) to the Bondholders in accordance with Condition 11 specifying the nature of the Put Event, the circumstances giving rise to it and the procedure for exercising the Put Option contained in this Condition 6(c).

To exercise the Put Option to require redemption or, as the case may be, (at the Issuer’s option) purchase of the Bonds following a Put Event, a Bondholder must transfer or cause to be transferred its Bonds to be so redeemed or purchased to the account of the Paying Agent specified in the Put Option Notice (as defined below) for the account of the Issuer within the period (the **“Put Period”**) of 45 days after the Put Event Notice is given together with a duly signed and completed notice of exercise (a **“Put Option Notice”**) and in which the holder may specify a bank account to which payment is to be made under this Condition 6(c).

A Put Option Notice once given shall be irrevocable. The Issuer shall redeem or, at the option of the Issuer, procure the purchase of, the Bonds in respect of which the Put Option has been validly exercised as provided above and subject to the transfer of such Bonds to the account of the Paying Agent for the account of the Issuer, on the date which is the fifth business day following the end of the Put Period (the **“Optional Redemption Date”**). Payment in respect of such Bonds will be made on the Optional Redemption Date by transfer to the bank account specified in the Put Option Notice and otherwise subject to the provisions of Condition 7.

For the avoidance of doubt, the Issuer shall have no responsibility for any cost or loss of whatever kind (including breakage costs) which the Bondholder may incur as a result of or in connection with such Bondholder’s exercise or purported exercise of, or otherwise in connection with, any Put Option (whether as a result of any purchase or redemption arising there from or otherwise).

(d) Residual Maturity Call Option

The Issuer may, on giving not less than 15 nor more than 30 days’ irrevocable notice in accordance with Condition 11 to the Bondholders, redeem, at any time or from time to time, as from the **“Call Option Date”** which shall be no earlier than 90 days before the Maturity Date, until the Maturity Date, the Bonds, in whole or in part, at par together with interest accrued to, but excluding, the date fixed for redemption.

All Bonds in respect of which any such notice is given shall be redeemed on the date specified in such notice in accordance with this Condition.

In the case of a partial redemption under this Condition, the redemption will be effected by the Issuer, by reducing the nominal amount of all such Bonds in proportion to the aggregate nominal amount redeemed.

(e) Purchases

The Issuer may at any time purchase Bonds together with rights to interest relating thereto in the open market or otherwise at any price. Bonds so purchased by or on behalf of the Issuer may be held and resold in accordance with Articles L.213-1A and D.213-1A of the French *Code monétaire et financier* for the purpose of enhancing the liquidity of the Bonds.

(f) Cancellation

All Bonds which are redeemed or purchased by or on behalf of the Issuer for cancellation pursuant to this Condition 6 (excluding paragraph (e)) will forthwith be cancelled and accordingly may not be reissued or resold.

7 Payments

(a) Method of Payment

Payments of principal and interest in respect of the Bonds will be made in Euro by credit or transfer to a euro-denominated account (or any other account to which Euro may be credited or transferred) specified by the payee in a city which banks have access to the TARGET2 System. “**TARGET2 System**” means the Trans-European Automated Real-Time Gross Settlement Express Transfer (TARGET2) System, or any successor thereto.

Such payments shall be made for the benefit of the Bondholders to the Account Holders and all payments validly made to such Account Holders in favour of the Bondholders will be an effective discharge of the Issuer and the Paying Agent, as the case may be, in respect of such payments.

Payments of principal and interest on the Bonds will be subject in all cases to any fiscal or other laws and regulations applicable thereto in the place of payment, but without prejudice to the provisions of Condition 8.

(b) Payments on Business Days

If any due date for payment of principal or interest in respect of any Bond is not a Business Day, then the Bondholder thereof shall not be entitled to payment of the amount due until the next following day which is a Business Day (as defined below) and the Bondholder shall not be entitled to any interest or other sums in respect of such postponed payment.

In this Condition “**Business Day**” means any day, not being a Saturday or a Sunday on which the TARGET2 System is operating and on which Euroclear France is open for general business.

No commission or expenses shall be charged to the Bondholders in respect of such payments.

(c) Paying Agent

The name of the initial Paying Agent and its specified office is set out below.

The Issuer reserves the right at any time to vary or terminate the appointment of the Paying Agent and/or appoint additional or other Paying Agents or approve any change in the office through which any such agent acts, provided that there will at all times be a Paying Agent having a specified office in a European city. Notice of any such change or any change of specified office shall promptly be given to the Bondholders in accordance with Condition 11.

8 Taxation

(a) Withholding Tax Exemption

All payments of principal and interest by or on behalf of the Issuer in respect of the Bonds shall be made free and clear of, and without withholding or deduction for, any taxes, duties, assessments or governmental charges of whatever nature imposed, levied, collected, withheld or assessed by or within any jurisdiction or any authority therein or thereof having power to tax, unless such withholding or deduction is required by law.

(b) Additional Amounts

If, pursuant to French laws or regulations, payments of principal or interest in respect of any Bond, and/or payments under the Guarantee become subject to deduction or withholding in respect of any present or future taxes, duties, assessments or other governmental charges of whatever nature imposed by or on behalf of France or any authority therein or thereof having power to tax, the Issuer, or as the case may be, the Guarantor, shall, to the fullest extent then permitted by law, pay such additional amounts as may be necessary in order that the holder of each Bond, after such deduction or withholding, will receive the full amount then due and payable thereon in the absence of such withholding; provided, however, that the Issuer shall not be liable to pay any such additional amounts in respect of any Bond:

- (i) to, or to a third party on behalf of a Bondholder who is liable to such taxes, duties, assessments or governmental charges in respect of such Bond by reason of his having some connection with France other than the mere holding of such Bond; or
- (ii) where such withholding or deduction is imposed on a payment to an individual and is required to be made pursuant to any European Council Directive 2003/48/EC, as amended, or any other EU Directive implementing the conclusions of the ECOFIN Council meeting of 26-27 November 2000 on the taxation of savings or any law implementing or complying with, or introduced in order to conform to, such Directive. In practice, such withholding or deduction should only apply in case the interest would be paid by the Issuer out of Austria.

See also provisions on the early redemption of the Bonds in part II of the Risk Factors section.

Any references to these Conditions to principal and interest shall be deemed also to refer to any additional amounts which may be payable under the provisions of this Condition 8.

9 Events of Default

If any of the following events (each an “**Event of Default**”) shall have occurred and be continuing:

- (i) in the event of default by the Issuer in the payment of principal and interest on any of the Bonds or default by the Guarantor in any payment when due under the Guarantee and such default shall not have been cured within 15 days thereafter;
- (ii) in the event of default by the Issuer or the Guarantor in the due performance of any provision of the Bonds or the Guarantee, as the case may be, other than as referred in Condition 9(i) above and such default shall not have been cured within 30 days after receipt by the Paying Agent of written notice of such default given by the Representative (as defined in Condition 10);
- (iii) any other present or future indebtedness of the Issuer or the Guarantor or any of the Material Subsidiaries (as defined below) for borrowed monies in excess of €50,000,000 (or its equivalent in any other currency), whether individually or in the aggregate, becomes, following, where applicable, the expiry of any originally applicable grace period, due and

payable (*exigible*) prior to its stated maturity as a result of a default thereunder, or any such indebtedness shall not be paid when due or, as the case may be, within any originally applicable grace period therefor, or any guarantee or indemnity given by the Issuer or the Guarantor or any of the Material Subsidiaries for, or in respect of, any such indebtedness of others shall not be honoured when due and called upon unless the Issuer or the Guarantor, or such Material Subsidiary, as the case may be, has disputed in good faith that such borrowed money is due or such guarantee or indemnity is callable, and such dispute has been submitted to a competent court in which case such event shall not constitute an event of default hereunder so long as the dispute has not been finally adjudicated;

- (iv) a judgement is issued for the judicial liquidation (*liquidation judiciaire*) or for a transfer of the whole of the business (*cession totale de l'entreprise*) or substantially the whole of the business of the Issuer or the Guarantor, or any of the Material Subsidiaries or, to the extent permitted by law, the Issuer or the Guarantor, or any of the Material Subsidiaries is subject to any other insolvency or bankruptcy proceedings under any applicable laws or the Issuer or the Guarantor, or any of the Material Subsidiaries makes any conveyance, assignment or other arrangement for the benefit of its creditors or enters into a composition with its creditors;
- (v) if the Issuer, or the Guarantor, is wound up or dissolved or ceases to carry on all or substantially all of its business except in connection with a merger, consolidation, amalgamation or other form of reorganisation (including a management buy-out or leveraged buy-out) pursuant to which the surviving entity shall be the transferee of or successor to all or substantially all of the business of the Issuer and assumes all of the obligations of the Issuer with respect to the Bonds; or
- (vi) the Guarantee is not (or is claimed by the Guarantor not to be) in full force and effect;

then the Representative upon request of any Bondholder shall, by written notice to the Issuer and the Paying Agent given before all continuing Events of Default shall have been cured, cause all the Bonds (but not some only) to become immediately due and payable as of the date on which such notice for payment is received by the Paying Agent without further formality at the principal amount of the Bonds together with any accrued interest thereon.

For the purpose of this Condition, “**Material Subsidiary**” means at any relevant time a Subsidiary of the Guarantor:

- (i) whose revenues or EBITDA (or where such Subsidiary prepares consolidated accounts whose consolidated revenues or consolidated EBITDA), attributable to the Guarantor represents not less than 5 per cent. of the consolidated revenues or the consolidated EBITDA of the Guarantor, as calculated by reference to the then latest audited annual accounts of such Subsidiary (or where applicable the then latest audited consolidated accounts of such Subsidiary) and the then latest audited consolidated annual accounts of the Guarantor and its consolidated Subsidiaries; or
- (ii) to which are transferred all or substantially all of the assets of a Subsidiary which immediately prior to such transfer was a Material Subsidiary, in which case the transferring entity will no longer be considered as a Material Subsidiary as of the day of such transfer.

“**EBITDA**” means net income adjusted by net financial income (loss), share of profit of associates, income taxes, amortization, depreciation and change due to harvest expenses.

“**Subsidiary**” means any person or entity at any time which is a subsidiary within the meaning of Articles L.233-1 and L.233-3 of the French *Code de commerce*.

10 Representation of the Bondholders

The Bondholders will be grouped automatically for the defence of their common interests in a *masse* (hereinafter referred to as the “**Masse**”).

The Masse will be governed by the provisions of the French *Code de commerce* applicable to the Masse.

(c) Legal Personality

The Masse will be a separate legal entity, by virtue of Article L.228-46 of the French *Code de commerce*, acting in part through a representative (the “**Representative**”) and in part through a general meeting of the Bondholders (the “**General Meeting**”).

The Masse alone, to the exclusion of all individual Bondholders, shall exercise the common rights, actions and benefits which now or in the future may accrue with respect to the Bonds.

(d) Representative

The Representative shall be:

DIIS GROUP
12, rue Vivienne
75002 Paris
mail: mo@diisgroup.com

In the event of dissolution, incompatibility, resignation or revocation of the Representative, a replacement will be elected by the General Meeting.

The Issuer shall pay to the appointed Representative an amount of €450 per annum, payable on 16 June of each year from 2016 to 2022 provided that the Bonds remain outstanding at each such dates.

In accordance with Article R.228-71 of the French *Code de commerce*, the right of each Bondholder to participate in General Meetings will be evidenced by the entries in the books of the relevant Account Holder of the name of such Bondholder as of 0:00, Paris time, on the second business day in Paris preceding the date set for the meeting of the relevant General Meeting.

The place where a General Meeting shall be held will be set out in the notice convening such General Meeting.

11 Notices

Any notice to the Bondholders shall be validly given if it is transmitted to Euroclear France and, so long as the Bonds are listed and admitted to trading on Euronext Paris and the rules of that exchange so require, in a leading daily economic and financial newspaper having general circulation in France (which is expected to be *Les Echos*). Any such notice shall be deemed to have been given on the date of such publication or, if published more than once or on different dates, on the first date on which such publication is made.

12 Prescription

Claims against the Issuer for the payment of principal and interest in respect of the Bonds shall be prescribed 5 years (in the case of principal or interest) from the due date for payment thereof.

13 Further Issues and Consolidation

The Issuer may from time to time without the consent of the Bondholders issue further bonds to be assimilated (*assimilables*) with the Bonds as regards their financial service, provided that such bonds and the Bonds shall carry rights identical in all respects (or in all respects except for the first payment of interest thereon) and that the terms of such further bonds shall provide for such assimilation. In the event of such assimilation, the Bondholders and the holders of any assimilated (*assimilables*) bonds will for the defense of their common interest be grouped in a single Masse having legal personality.

14 Governing Law and Jurisdiction

The Bonds are governed by and construed in accordance with French law.

Any suit, action, or proceeding against the Issuer in connection with the Bonds will be submitted to the competent court located in the jurisdiction of the registered office of the Issuer.

USE OF PROCEEDS

The net proceeds of the Bonds will be used for the general financing needs of the Group, including refinancing of existing bank debt facilities. This offering of Bonds is part of the Group's strategy to diversify its financing sources and extend its debt maturity profile.

DESCRIPTION OF THE ISSUER

I. HISTORY AND DEVELOPMENT OF THE ISSUER

Name of the Issuer

The Issuer's legal name is Tereos Finance Groupe I.

Place and number of registration of the Issuer

The Issuer is registered with the Commercial and Companies Register of Saint-Quentin (France) under number 418 603 700.

Date of constitution and duration of the Issuer

The Issuer has been created on 4 May 1998 for a period of 99 years, as an ad hoc entity for the financing purposes of the Group.

Registered office, legal form and legislation applying to the activities and the financial year

The Issuer is a *société anonyme* governed by French law, with a board of directors (*conseil d'administration*) and its registered office is located at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte (France).

Its financial year ends on 31 March of each year.

History of the Issuer

The Issuer has been created on 4 May 1998 and has no operating activity as at the date of this Prospectus. The Issuer is a subsidiary of the agricultural cooperative partnership Tereos, a major actor in the transformation of sugarbeet, sugarcane and cereals (see paragraph "*Description of the Guarantor*" of the present Prospectus).

The share capital of the Issuer amounts to €152,500, divided into 10,000 shares of €15.25 nominal value each as at the date of this Prospectus.

In 2013, the Issuer issued bonds of a nominal amount of €500 million redeemable at maturity in 2020 and admitted to trading on Euronext Paris.

AUDITED FINANCIAL STATEMENTS OF THE ISSUER FOR THE YEARS ENDED 31 MARCH 2016 AND 31 MARCH 2015

The financial statements appearing below are the English translation of the financial statements of the Issuer for the years ended 31 March 2016 and 31 March 2015 as audited by its statutory auditor and free English translations of its reports thereon appear on pages 57 and 72 of this Prospectus.

I. AUDITED FINANCIAL STATEMENTS OF THE ISSUER FOR THE YEAR ENDED 31 MARCH 2016

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2. BALANCE SHEET – ASSETS

Description	Gross	Dep., amort. & prov.	31/03/2016	31/03/2015
Uncalled subscribed capital	-	-	-	-
INTANGIBLE ASSETS				
Start-up costs	-	-	-	-
Development costs	-	-	-	-
Concessions, patents and similar rights	-	-	-	-
Goodwill	-	-	-	-
Other intangible assets	-	-	-	-

Description	Gross	Dep., amort. & prov.	31/03/2016	31/03/2015
Advances and downpayments on intangible assets	-	-	-	-
PROPERTY, PLANT AND EQUIPMENT				
Land	-	-	-	-
Buildings	-	-	-	-
Technical installations, equipment and industrial tools	-	-	-	-
Other property, plant and equipment	-	-	-	-
Non-current assets in progress	-	-	-	-
Advances and downpayments	-	-	-	-
FINANCIAL FIXED ASSETS				
Equity interests accounted for under the equity method	-	-	-	-
Other equity interests	-	-	-	-
Receivable from equity interests	-	-	-	-
Other long-term investments	-	-	-	-
Loans	-	-	-	-
Other financial fixed assets	-	-	-	-
TOTAL				
INVENTORIES AND WORK-IN-PROGRESS				
Raw materials and supplies	-	-	-	-
Work-in-progress - goods	-	-	-	-
Work-in-progress - services	-	-	-	-
Semi-finished and finished goods	-	-	-	-
Goods purchased for resale	-	-	-	-
Advances and downpayments on orders	-	-	-	-
RECEIVABLES				
Trade receivables	-	-	-	-
Other receivables	497,405,794	-	497,405,794	495,172,851
Called, unpaid subscribed capital	-	-	-	-
MISCELLANEOUS				

Description	Gross	Dep., amort. & prov.	31/03/2016	31/03/2015
Marketable securities	-	-	-	1,109,922
(of which treasury shares)	-	-	-	-
Cash and cash equivalents	4,696	-	4,696	9,056
ACCRUALS AND PREPAYMENTS				
Prepaid expenses	54,864	-	54,864	-
TOTAL	497,465,354	-	497,465,354	496,291,828
Deferred debt issuance costs	2,426,550	-	2,426,550	3,044,779
Bond redemption premiums	2,074,644	-	2,074,644	2,603,215
Unrealized foreign exchange losses	-	-	-	-
GRAND TOTAL	501 966 548	-	501 966 548	501,939,822

3. BALANCE SHEET – EQUITY AND LIABILITIES

Description	31/03/2016	31/03/2015
EQUITY		
Share capital or personal capital (of which paid-up capital: 152,500)	152,500	152,500
Additional paid-in capital	-	-
Revaluation reserve (of which equity accounting reserve:)	-	-
Legal reserve	356	-
Statutory or contractual reserves	-	-
Regulated reserves (of which special reserve for exchange rate fluctuations)	-	-
Other reserves (of which reserve for purchase of original works of art)	6,773	-
Retained losses	-	(9,899)
NET INCOME FOR THE PERIOD	25,439	17,029
Investment subsidies	-	-
Tax-regulated provisions	-	-
TOTAL	185,069	159,630
OTHER EQUITY		
Income from issues of equity securities		-
Conditional advances		-
TOTAL		

Description	31/03/2016	31/03/2015
PROVISIONS FOR CONTINGENCIES AND EXPENSES		
Provisions for contingencies		-
Provisions for expenses		-
TOTAL		-
PAYABLES		
Convertible bonds		-
Other bonds	501,770,833	501,770,833
Bank loans and borrowings		20
Miscellaneous loans and borrowings (of which equity loans)		-
Advances and down payments received on orders in-progress		-
Trade payables	6,434	9,339
Tax and social security liabilities	4,212	-
Payable on fixed assets	-	-
Other payables	-	-
ACCRUALS AND PREPAYMENTS		
Prepaid income	-	-
TOTAL	501,781,480	501,780,193
Unrealised foreign exchange gains	-	-
GRAND TOTAL	501,966,548	501,939,822

Income for the period (in € cents)

25,438.79

Total assets (in€ cents)

501,966,548.37

4. INCOME STATEMENT – PART 1

Description	France	Export	31/03/2016	31/03/2015
Sale of goods	-	-	-	-
Production sold - goods	-	-	-	-
Production sold - services	-	-	-	-
NET REVENUE				
Production taken to inventory			-	-
Production capitalised			-	-
Operating subsidies			-	-
Reversals of depreciation, amortisation and provisions; expense transfers			-	111,121

Description	France	Export	31/03/2016	31/03/2015
Other income			-	-
TOTAL OPERATING INCOME			-	111,121
Purchases of goods for resale (including customs duties)			-	-
Change in inventories (goods for resale)				-
Purchases of raw materials and other supplies (including customs duties)			-	-
Change in inventories (raw materials and supplies)			-	-
Other purchases and external charges			11,091	116,780
Taxes, duties and other levies			121	120
Wages and salaries			-	-
Social security charges			-	-
OPERATING PROVISIONS				
Fixed assets: - depreciation/amortisation expense			618,229	635,294
- additions to provisions			-	-
Current assets: additions to provisions			-	-
Contingencies and expenses: additions to provisions			-	-
Other expenses			-	-
TOTAL OPERATING EXPENSES			629,441	752,194
NET OPERATING LOSS			(629,441)	(641,073)
JOINT OPERATIONS				
Net income allocated or loss transferred			-	-
Loss incurred or net income transferred			-	-
FINANCIAL INCOME				
Financial income from equity interests				-
Financial income from other marketable securities and fixed asset receivables				149
Other interest and related income			22,446,085	22,445,150
Reversals of provisions and expense transfers			-	-
Foreign exchange gains			-	-
Net income on sales of marketable securities			340	213
TOTAL FINANCIAL INCOME			22,446,425	22,445,511
Financial depreciation, amortisation and provision expense			528,571	528,571
Interest and related expenses			21,250,255	21,250,333
Foreign exchange losses			-	-

Description	France	Export	31/03/2016	31/03/2015
Net expenses on sales of marketable securities			-	-
TOTAL FINANCIAL EXPENSES			21,778,826	21,778,904
NET FINANCIAL INCOME			667,599	666,608
RECURRING INCOME BEFORE TAX			38,157	25,535

5. INCOME STATEMENT – PART 2

Description	31/03/2016	31/03/2015
Non-recurring income on management transactions	-	-
Non-recurring income on capital transactions	0	1
Reversals of provisions and expense transfers	-	-
TOTAL NON-RECURRING INCOME	0	1
Non-recurring expenses on management transactions	-	-
Non-recurring expenses on capital transactions	-	-
Non-recurring depreciation, amortisation and provision expense	-	-
TOTAL NON-RECURRING EXPENSES	-	-
NET NON-RECURRING INCOME	0	1
Employee profit-sharing	-	-
Income tax	12,719	8,507
TOTAL INCOME	22,446,425	22,556,634
TOTAL EXPENSES	22,420,986	22,539,605
NET INCOME (total income less total expenses)	25,439	17,029

6. NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2016

6.1. HIGHLIGHTS

None

6.2. ACCOUNTING POLICIES AND METHODS

The financial statements have been prepared in accordance with the French general chart of accounts and generally accepted accounting principles, and in compliance with the principle of prudence.

The following fundamental assumptions were also applied:

- Going concern
- Consistency
- Accrual basis

Accounting items are generally measured and recorded at historical cost.
The main accounting methods used are described below.

PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment are measured at acquisition cost. Depreciation provided for accounting purposes is identical to economic depreciation and is calculated over the estimated useful life of each asset.

RECEIVABLES

Receivables are measured at face value. A provision for impairment is recognised when their realisable value is lower than their carrying amount.

MARKETABLE SECURITIES

Marketable securities are initially recorded at acquisition cost.

Impairment may be recognised based on their realisable value at the end of the reporting period. Any potential capital gains are not recognised.

DEFERRED CHARGES

Deferred charges amount to €4,328,000 and comprise debt issuance costs (€1,328,000) and bank fees (€3,000,000).

Charges are deferred on a straight-line basis over the term of the borrowing (seven years).

An amount of €618,229 was expensed in the period.

At 31 March 2016, net deferred charges represent €2,427,000.

REDEMPTION PREMIUM

The Company recognises a redemption premium for a total amount of €3,700,000 in respect of bonds issued under par (99.26%). This redemption premium is recognised on a straight-line basis over the term of the borrowing (seven years).

The corresponding expense for the period as calculated from the issue date totals €528,571.

At 31 March 2016, the net redemption premium represents €2,075,000.

6.3. NOTES TO THE FINANCIAL STATEMENTS

- Breakdown of share capital
- Statement of changes in equity
- Maturity of receivables and payables
- Receivables and payables with related companies and equity interests
- Accrued income and expenses
- Breakdown of income tax expense
- Off-balance sheet commitments
- Five-year financial summary

6.4. ADDITIONAL INFORMATION

NAME OF CONSOLIDATING COMPANY

Tereos Cooperative

Capital: €619,165,248

Registered office: 11 rue Pasteur, 02390 Origny-Ste-Benoite, France

SUBSEQUENT EVENTS

None

7. BREAKDOWN OF SHARE CAPITAL

Share category	Number of shares			Par value
	At end of the period	Created during the period	Repaid during the period	
Ordinary shares	10,000	-	-	15.25

8. STATEMENT OF CHANGES IN EQUITY

Equity at beginning of period		Balance
Equity before dividends paid out of net income for prior periods		159,630
Dividends paid out of net income for prior periods		-
Equity after dividends paid out of net income for prior periods		159,630
Changes during the period		
		Decreases
Net income for the period		-
BALANCE		25,439
Equity at end of period		Balance
Equity (before appropriation of net income)		185,069

9. MATURITY OF RECEIVABLES AND PAYABLES

MATURITY OF RECEIVABLES	Gross	1 year or less	More than 1 year
Receivable from equity interests	-	-	-
Loans	-	-	-
Other financial fixed assets	-	-	-
Doubtful or disputed receivables	-	-	-
Other trade receivable	-	-	-
Receivable on securities lent	-	-	-
Receivable from employees	-	-	-
Receivable from social security and similar bodies	-	-	-
- income tax	-	-	-
- value added tax	-	-	-
- other taxes and related payments	-	-	-
-other	-	-	-

MATURITY OF RECEIVABLES	Gross	1 year or less	More than 1 year
Group and shareholders	497,405,794	4,105,794	493,300,000
Miscellaneous debtors (including repos)	-	-	-
Prepaid expenses	54,864	54,864	-
TOTAL	497,460,658	4,160,658	493,300,000
Amount: - loans granted during the period	-		
- loans repaid during the period	-		
Loans and advances granted to shareholders	-		

MATURITY OF PAYABLES	Gross	1 year or less	More than 1 year and less than 5 years	More than 5 years
Convertible bonds	-	-	-	-
Other bonds	501,770,833	1,770,833	500,000,000	
Bank loans and borrowings - current	-	-	-	-
- non-current	-	-	-	-
Misc. loans and borrowings	-	-	-	-
Trade payables	6,434	6,434		
Payable to employees	-	-	-	-
Payable to social security and similar bodies	-	-	-	-
- income tax	4,212	4,212	-	-
- value added tax	-	-	-	-
Tax payable: - guaranteed bonds	-	-	-	-
- other taxes	-	-	-	-
Payable on fixed assets	-	-	-	-
Group and shareholders	-	-	-	-
Other payables (repos)	-	-	-	-
Payable on securities borrowed	-	-	-	-
Prepaid income	-	-	-	-
TOTAL	501,781,480	1,781,480	500,000,000	-
Loans taken out in the period	-			
Loans repaid in the period	-			
Associated loans and borrowings	-			

10. RECEIVABLES AND PAYABLES WITH RELATED COMPANIES AND EQUITY INTERESTS

Description <i>In € thousands</i>	Related companies	Equity interests	Commercial paper receivables and payables
FIXED ASSETS			
CURRENT ASSETS			
Other receivables	497,405	-	-
PAYABLES			
Financial income	22,446	-	-
Financial expenses	-	-	-

11. ACCRUED INCOME AND EXPENSES

Description of accrued expenses	Amount	Accounting recognition
Bonds	1,770,833	-
Trade payables	5,280	-
TOTAL	1,776,113	-

Description of accrued income	Amount	Accounting recognition
Other receivables	1,870,429	-
TOTAL	1,870,429	-

12. BREAKDOWN OF INCOME TAX EXPENSE

Breakdown	Income before tax	Tax	Net income after tax
Recurring income	38,157	12,719	25,438
Non-recurring income - short-term portion	0	-	0
BOOK INCOME	38,158	12,719	25,439

13. FINANCIAL COMMITMENTS GIVEN AND RECEIVED

Commitments given						
Description	Total	To				
		Managers	Subsidiaries	Equity interests	Other related companies	Other
TOTAL	-	-	-	-	-	-

Commitments received						
Description	Total	From				
		Managers	Subsidiaries	Equity interests	Other related companies	Other
TEREOS - Bonds	500,000,000	-	-	-	500,000,000	-
TOTAL	500,000,000	-	-	-	500,000,000	-

Intercompany commitments						
Description	Total	Managers	Subsidiaries	Equity interests	Other related companies	Other
TOTAL	-	-	-	-	-	-

14. FIVE-YEAR FINANCIAL SUMMARY

Reporting date	31 March 2016	31 March 2015	31 March 2014	30 Sept. 2013	30 Sept. 2012
Duration of reporting period	(12 months)	(12 months)	(12 months)	(6 months)	(12 months)
CAPITAL AT END OF PERIOD					
Share capital	152,500	152,500	152,500	152,500	152,500
Number of					
- ordinary shares	10,000	10,000	10,000	10,000	10,000
- preferred shares					
Maximum number of shares to be created through					
- convertible bonds	-	-	-	-	-
- pre-emptive rights	-	-	-	-	-

Reporting date Duration of reporting period	31 March 2016 (12 months)	31 March 2015 (12 months)	31 March 2014 (12 months)	30 Sept. 2013 (6 months)	30 Sept. 2012 (12 months)
RESULTS OF OPERATIONS AND INCOME					
Revenue excluding value added tax		-	-	-	-
Income (loss) before tax, profit-sharing, depreciation, amortisation and provision expense	1,184,958	1,189,401	1,154,415	80,528	(4,377)
Income tax	12,719	8,507	10,929	-	-
Employee profit- sharing		-	-	-	-
Depreciation, amortisation and provision expense	1,146,800	1,163,865	1,132,661	83,084	-
Net income (loss)	25,439	17,029	10,825	(2,556)	(4,377)
Dividend paid		-	-	-	-
EARNINGS PER SHARE					
Income (loss) after tax and profit-sharing, but before depreciation, amortisation and provision expense	117	118	114	8	0
Income (loss) after tax, profit-sharing, depreciation, amortisation and provision expense	3	2	1	0	0
Dividend allocated		-	-	-	-
HEADCOUNT					
Average headcount		-	-	-	-
Total payroll		-	-	-	-
Amounts paid in respect of employee benefits (social security, charitable works, etc.)		-	-	-	-

STATUTORY AUDITOR'S REPORT ON THE FINANCIAL STATEMENTS (For the year ended 31 March 2016)

This is a free translation into English of the Statutory Auditor's report issued in French and is provided solely for the convenience of English speaking readers. The Statutory Auditor's report includes information specifically required by French law in such reports, whether modified or not. This information is presented below the opinion on the financial statements and includes an explanatory paragraph discussing the Auditor's assessments of certain significant accounting and auditing matters. These assessments were considered for the purpose of issuing an audit opinion on the financial statements taken as a whole and not to provide separate assurance on individual account captions or on information taken outside of the financial statements.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

"Tereos Finance Groupe I

Société Anonyme with share capital of €152,500

11, rue Pasteur

02390 Origny-Sainte-Benoîte

To the Shareholders,

In compliance with the assignment entrusted to us by your General Meeting, we hereby report to you, for the year ended 31 March 2016, on:

- *the audit of the accompanying financial statements of Tereos Finance Groupe I;*
- *the justification of our assessments;*
- *the specific verifications and information required by law.*

These financial statements have been approved by the Board of Directors. Our role is to express an opinion on these financial statements based on our audit.

I - Opinion on the financial statements

We conducted our audit in accordance with professional standards applicable in France. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit involves performing procedures, using sampling techniques or other methods of selection, to obtain audit evidence about the amounts and disclosures in the financial statements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

In our opinion, the financial statements give a true and fair view of the assets and liabilities and of the financial position of the Company at 31 March 2016 and of the results of its operations for the year then ended in accordance with French accounting principles.

II - Justification of our assessments

In accordance with the requirements of Article L.823-9 of the French Commercial Code (Code de commerce) relating to the justification of our assessments, we bring to your attention the following matters:

Accounting policies and methods

The paragraphs relating to "Deferred charges" and "Redemption premium" in Note 2 "Accounting policies and methods" of the notes to the financial statements describe the accounting policies and methods applied to deferred issuance costs and the bond redemption premium.

As part of our assessment of the rules and accounting principles followed by the Company, we have verified that the accounting methods described above and the information provided in the notes were appropriate and consistently applied.

These assessments were made as part of our audit of the financial statements taken as a whole, and therefore contributed to the opinion we formed which is expressed in the first part of this report.

III - Specific verifications and information

In accordance with professional standards applicable in France, we have also performed the specific verifications required by French law.

We have no matters to report as to the fair presentation and the consistency with the financial statements of the information given in the management report of the Board of Directors, and in the documents addressed to the shareholders with respect to the financial position and the financial statements.

Concerning the information given in accordance with the requirements of Article L.225-102-1 of the French Commercial Code relating to remuneration and benefits received by corporate officers and any other commitments made in their favour, we have verified its consistency with the financial statements, or with the underlying information used to prepare these financial statements and, where applicable, with the information obtained by your Company from companies controlling it or controlled by it. Based on this work, we attest to the accuracy and fair presentation of this information.

Neuilly-sur-Seine, 02 June 2016

The Statutory Auditor
PricewaterhouseCoopers Audit

Philippe Aerts”

II. AUDITED FINANCIAL STATEMENTS OF THE ISSUER FOR THE YEAR ENDED 31 MARCH 2015

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11. Accrued income and expenses
12. Breakdown of income tax expense
13. Financial commitments given and received
14. Five-year financial summary

2. BALANCE SHEET – ASSETS

Description	Gross	Dep., amort. & prov.	31/03/2015	31/03/2014
Uncalled subscribed capital	-	-	-	-
INTANGIBLE ASSETS				
Start-up costs	-	-	-	-
Development costs	-	-	-	-
Concessions, patents and similar rights	-	-	-	-
Goodwill	-	-	-	-
Other intangible assets	-	-	-	-
Advances and down payments on intangible assets	-	-	-	-
PROPERTY, PLANT AND EQUIPMENT				
Land	-	-	-	-
Buildings	-	-	-	-
Technical installations, equipment and	-	-	-	-

Description	Gross	Dep., amort. & prov.	31/03/2015	31/03/2014
industrial tools				
Other property, plant and equipment	-	-	-	-
Non-current assets in progress	-	-	-	-
Advances and down payments	-	-	-	-
FINANCIAL FIXED ASSETS				
Equity interests accounted for under the equity method	-	-	-	-
Other equity interests	-	-	-	-
Receivable from equity interests	-	-	-	-
Other long-term investments	-	-	-	-
Loans	-	-	-	-
Other financial assets	-	-	-	-
TOTAL				
INVENTORIES AND WORK-IN-PROGRESS				
Raw materials and supplies	-	-	-	-
Work in progress - goods	-	-	-	-
Work in progress - services	-	-	-	-
Semi-finished and finished goods	-	-	-	-
Goods purchased for resale	-	-	-	-
Advances and down payments on orders	-	-	-	-
RECEIVABLES				
Trade receivables	-	-	-	-
Other receivables	495,172,851	-	495,172,851	495,170,429
Called, unpaid subscribed capital	-	-	-	-
MISCELLANEOUS				
Marketable securities	1,109,922	-	1,109,922	63,718
(of which treasury shares)				
Cash and cash equivalents	9,056	-	9,056	848
ACCRUALS AND PREPAYMENTS				
Prepaid expenses	-	-	-	62,370
TOTAL	496,291,828	-	496,291,828	495,297,366

Description	Gross	Dep., amort. & prov.	31/03/2015	31/03/2014
Deferred debt issuance costs	3,044,779	-	3,044,779	3,568,952
Bond redemption premiums	2,603,215	-	2,603,215	3,131,786
Unrealized foreign exchange losses	-	-	-	-
GRAND TOTAL	501,939,822	-	501,939,822	501,998,104

3. BALANCE SHEET – EQUITY AND LIABILITIES

Description	31/03/2015	31/03/2014
EQUITY		
Share capital or personal capital (of which paid-up capital: 152,500)	152,500	152,500
Additional paid-in capital	-	-
Revaluation reserve (of which equity accounting reserve:)	-	-
Legal reserve	-	-
Statutory or contractual reserves	-	-
Regulated reserves (of which special reserve for exchange rate fluctuations)	-	-
Other reserves (of which reserve for purchase of original works of art)	-	-
Retained losses	(9,899)	(20,724)
NET INCOME FOR THE PERIOD	17,029	10,825
Investment subsidies	-	-
Tax-regulated provisions	-	-
TOTAL	159,630	142,601
OTHER EQUITY		
Income from issues of equity securities	-	-
Conditional advances	-	-
TOTAL		
PROVISIONS FOR CONTINGENCIES AND EXPENSES		
Provisions for contingencies	-	-
Provisions for expenses	-	-
TOTAL	-	-
PAYABLES		
Convertible bonds	-	-
Other bonds	501,770,833	501,770,833

Description	31/03/2015	31/03/2014
Bank loans and borrowings	20	-
Miscellaneous loans and borrowings (of which equity loans)	-	-
Advances and down payments received on orders in-progress	-	-
Trade payables	9,339	73,740
Tax and social security liabilities	-	10,929
Payable on fixed assets	-	-
Other payables	-	-
ACCRUALS AND PREPAYMENTS		
Prepaid income	-	-
TOTAL	501,780,193	501,855,502
Unrealised foreign exchange gains	-	-
GRAND TOTAL	501,939,822	501,998,104

4. INCOME STATEMENT – PART 1

Description	France	Export	31/03/2015	31/03/2014
Sale of goods	-	-	-	-
Production sold - goods	-	-	-	-
Production sold - services	-	-	-	-
NET REVENUE				
Production taken to inventory			-	-
Production capitalised			-	-
Operating subsidies			-	-
Reversals of depreciation, amortisation and provisions; expense transfers			111,121	162,006
Other income			-	-
TOTAL OPERATING INCOME			111,121	162,006
Purchases of goods for resale (including customs duties)			-	-
Change in inventories (goods for resale)			-	-
Purchases of raw materials and other supplies (including customs duties)			-	-
Change in inventories (raw materials and supplies)			-	-
Other purchases and external charges			116,780	180,599
Taxes, duties and other levies			120	319

Description	France	Export	31/03/2015	31/03/2014
Wages and salaries			-	-
Social security charges			-	-
OPERATING PROVISIONS				
Fixed assets: - depreciation/amortisation expense - additions to provisions			635,294	604,090
Current assets: additions to provisions			-	-
Contingencies and expenses: additions to provisions			-	-
Other expenses			-	-
TOTAL OPERATING EXPENSES			752,194	785,008
NET OPERATING LOSS			(641,073)	(623,002)
JOINT OPERATIONS				
Net income allocated or loss transferred			-	-
Loss incurred or net income transferred			-	-
FINANCIAL INCOME				
Financial income from equity interests			-	-
Financial income from other marketable securities and fixed asset receivables			149	-
Other interest and related income			22,445,150	22,632,193
Reversals of provisions and expense transfers			-	-
Foreign exchange gains			-	-
Net income on sales of marketable securities			213	(15)
TOTAL FINANCIAL INCOME			22,445,511	22,632,178
Financial depreciation, amortisation and provision expense			528,571	528,571
Interest and related expenses			21,250,333	21,458,851
Foreign exchange losses			-	-
Net expenses on sales of marketable securities			-	-
TOTAL FINANCIAL EXPENSES			21,778,904	21,987,422
NET FINANCIAL INCOME			666,608	644,756
RECURRING INCOME BEFORE TAX			25,535	21,754

5. INCOME STATEMENT – PART 2

Description	31/03/2015	31/03/2014
Non-recurring income on management transactions	-	-
Non-recurring income on capital transactions	1	-
Reversals of provisions and expense transfers	-	-
TOTAL NON-RECURRING INCOME	1	-
Non-recurring expenses on management transactions	-	-
Non-recurring expenses on capital transactions	-	-
Non-recurring depreciation, amortisation and provision expense	-	-
TOTAL NON-RECURRING EXPENSES	-	-
NET NON-RECURRING INCOME	1	-
Employee profit-sharing	-	-
Income tax	8,507	10,929
TOTAL INCOME	22,556,634	22,794,184
TOTAL EXPENSES	22,539,605	22,783,359
NET INCOME (total income less total expenses)	17,029	10,825

6. NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2015

6.1. HIGHLIGHTS

None

6.2. ACCOUNTING POLICIES AND METHODS

The financial statements have been prepared in accordance with the French general chart of accounts and generally accepted accounting principles, and in compliance with the principle of prudence.

The following fundamental assumptions were also applied:

- Going concern
- Consistency
- Accrual basis

Accounting items are generally measured and recorded at historical cost.
The main accounting methods used are described below.

PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment are measured at acquisition cost.
Depreciation provided for accounting purposes is identical to economic depreciation and is calculated over the estimated useful life of each asset.

RECEIVABLES

Receivables are measured at face value. A provision for impairment is recognised when their realisable value is lower than their carrying amount.

MARKETABLE SECURITIES

Marketable securities are initially recorded at acquisition cost.

Impairment may be recognised based on their realisable value at the end of the reporting period. Any potential capital gains are not recognised.

DEFERRED CHARGES

Deferred charges amount to €4,328,000 and comprise debt issuance costs (€1,328,000) and bank fees (€3,000,000).

Charges are deferred on a straight-line basis over the term of the borrowing (seven years).

An amount of €635,294 was expensed in the period.

At 31 March 2015, net deferred charges represent €3,045,000.

REDEMPTION PREMIUM

The Company recognises a redemption premium for a total amount of €3,700,000 in respect of bonds issued under par (99.26%). This redemption premium is recognised on a straight-line basis over the term of the borrowing (seven years).

The corresponding expense for the period as calculated from the issue date totals €528,571.

At 31 March 2015, the net redemption premium represents €2,603,000.

6.3. NOTES TO THE FINANCIAL STATEMENTS

- Breakdown of share capital
- Statement of changes in equity
- Maturity of receivables and payables
- Receivables and payables with related companies and equity interests
- Accrued income and expenses
- Breakdown of income tax expense
- Off-balance sheet commitments
- Five-year financial summary

6.4. ADDITIONAL INFORMATION

NAME OF CONSOLIDATING COMPANY

Tereos Cooperative

Capital: €619,165,248

Registered office: 11 rue Pasteur, 02390 Origny-Ste-Benoite, France

SUBSEQUENT EVENTS

None

7. BREAKDOWN OF SHARE CAPITAL

Share category	Number of shares			Par value
	At end of the period	Created during the period	Repaid during the period	
Ordinary shares	10,000	-	-	15

8. STATEMENT OF CHANGES IN EQUITY

Equity at beginning of period		Balance
Equity before dividends paid out of net income for prior periods		142,601
Dividends paid out of net income for prior periods		
Equity after dividends paid out of net income for prior periods		142,601
Changes during the period		
		Decreases
Net income for the period		-
BALANCE		17,029
Equity at end of period		Balance
Equity (before appropriation of net income)		159,630

9. MATURITY OF RECEIVABLES AND PAYABLES

MATURITY OF RECEIVABLES		Gross	1 year or less	More than 1 year
Receivable from equity interests		-	-	-
Loans		-	-	-
Other financial fixed assets		-	-	-
Doubtful or disputed receivables		-	-	-
Other trade receivable		-	-	-
Receivable on securities lent		-	-	-
Receivable from employees		-	-	-
Receivable from social security and similar bodies		-	-	-
Tax receivable	- income tax	2,422	2,422	-
	- value added tax	-	-	-
	- other taxes and related payments	-	-	-
	-other	-	-	-

MATURITY OF RECEIVABLES	Gross	1 year or less	More than 1 year
Group and shareholders	495,170,429	1,870,429	493,300,000
Miscellaneous debtors (including repos)	-	-	-
Prepaid expenses	-	-	-
TOTAL	495,172,851	1,872,851	493,300,000
Amount: - loans granted during the period			
- loans repaid during the period	-		
Loans and advances granted to shareholders	-		

MATURITY OF RECEIVABLES	Gross	1 year or less	More than 1 year and less than 5 years	More than 5 years
Convertible bonds	-	-	-	-
Other bonds	501,770,833	1,770,833	500,000,000	
Bank loans and - current borrowings	20	20	-	-
- non-current	-	-	-	-
Misc. loans and borrowings	-	-	-	-
Trade payables	9,339	9,339	-	-
Payable to employees	-	-	-	-
Payable to social security and similar bodies	-	-	-	-
- income tax	-	-	-	-
- value added tax	-	-	-	-
Tax payable: - guaranteed bonds	-	-	-	-
- other taxes	-	-	-	-
Payable on fixed assets	-	-	-	-
Group and shareholders	-	-	-	-
Other payables (repos)	-	-	-	-
Payable on securities borrowed	-	-	-	-
Prepaid income	-	-	-	-
TOTAL	501,780,193	1,780,193	500,000,000	-
Loans taken out in the period	-			
Loans repaid in the period	-			
Associated loans and borrowings	-			

10. RECEIVABLES AND PAYABLES WITH RELATED COMPANIES AND EQUITY INTERESTS

Description <i>In € thousands</i>	Related companies	Equity interests	Commercial paper receivables and payables
FIXED ASSETS			
Uncalled subscribed capital	-	-	-
Advances and downpayments on intangible assets	-	-	-
Advances and downpayments on property, plant and equipment	-	-	-
Equity interests	-	-	-
Receivable from equity interests	-	-	-
Loans	-	-	-
Other long-term investments	-	-	-
Other financial fixed assets	-	-	-
CURRENT ASSETS			
Advances and downpayments on orders	-	-	-
Trade receivables	-	-	-
Other receivables	495,170	-	-
Called, unpaid subscribed capital	-	-	-
Marketable securities	-	-	-
Cash and cash equivalents	-	-	-
PAYABLES			
Convertible bonds	-	-	-
Other bonds	-	-	-
Bank loans and borrowings	-	-	-
Miscellaneous loans and borrowings	-	-	-
Advances and downpayments received on orders	-	-	-
Trade payables	-	-	-
Payable on fixed assets	-	-	-
Other payables	-	-	-

Description <i>In € thousands</i>	Related companies	Equity interests	Commercial paper receivables and payables
Financial income	22,445	-	-
Financial expenses	-	-	-

11. ACCRUED INCOME AND EXPENSES

Description of accrued expenses	Amount	Accounting recognition
Bonds	1,770,833	-
Bank borrowings	20	-
Trade payables	6,020	-
TOTAL	1,776,873	-

Description of accrued income	Amount	Accounting recognition
Other receivables	1,870,429	-
TOTAL	1,870,429	-

12. BREAKDOWN OF INCOME TAX EXPENSE

Breakdown	Income before tax	Tax	Net income after tax
Recurring income	25,535	8,507	17,028
Non-recurring income - short-term portion	1	-	1
BOOK INCOME	25,536	8,507	17,029

13. FINANCIAL COMMITMENTS GIVEN AND RECEIVED

Commitments given						
Description	Total	To				
		Managers	Subsidiaries	Equity interests	Other related companies	Other
TOTAL	-	-	-	-	-	-

Commitments received						
Description	Total	From				
		Managers	Subsidiaries	Equity interests	Other related companies	Other
TEREOS - Bonds	500,000,000	-	-	-	500,000,000	-
TOTAL	500,000,000	-	-	-	500,000,000	-

Intercompany commitments						
Description	Total	Managers	Subsidiaries	Equity interests	Other related companies	Other
TOTAL	-	-	-	-	-	-

14. FIVE-YEAR FINANCIAL SUMMARY

Reporting date Duration of reporting period	31 March 2015 (12 months)	31 March 2014 (12 months)	31 March 2013 (6 months)	30 Sept. 2012 (12 months)	30 Sept. 2011 (12 months)
CAPITAL AT END OF PERIOD					
Share capital	152,500	152,500	152,500	152,500	38,125
Number of - ordinary shares - preferred shares	10,000	10,000	10,000	10,000	2,500
Maximum number of shares to be created through - convertible bonds - pre-emptive rights	- -	- -	- -	- -	- -
RESULTS OF OPERATIONS AND INCOME					
Revenue excluding value added tax	-	-	-	-	-
Income (loss) before tax, profit-sharing, depreciation, amortisation and provision expense	1,189,401	1,154,415	80,528	(4,377)	(1,792)
Income tax	8,507	10,929	-	-	-
Employee profit-	-	-	-	-	-

Reporting date Duration of reporting period	31 March 2015 (12 months)	31 March 2014 (12 months)	31 March 2013 (6 months)	30 Sept. 2012 (12 months)	30 Sept. 2011 (12 months)
sharing					
Depreciation, amortisation and provision expense	1,163,865	1,132,661	83,084	-	-
Net income (loss)	17,029	10,825	(2,556)	(4,377)	(1,792)
Dividend paid	-	-	-	-	-
EARNINGS PER SHARE					
Income (loss) after tax and profit-sharing, but before depreciation, amortisation and provision expense	118	114	8	0	(1)
Income (loss) after tax, profit-sharing, depreciation, amortisation and provision expense	2	1	0	0	(1)
Dividend allocated	-	-	-	-	-
HEADCOUNT					
Average headcount	-	-	-	-	-
Total payroll	-	-	-	-	-
Amounts paid in respect of employee benefits (social security, charitable works, etc.)	-	-	-	-	-

STATUTORY AUDITOR'S REPORT ON THE FINANCIAL STATEMENTS (For the year ended 31 March 2015)

This is a free translation into English of the Statutory Auditor's report issued in French and is provided solely for the convenience of English speaking readers. The Statutory Auditor's report includes information specifically required by French law in such reports, whether modified or not. This information is presented below the opinion on the financial statements and includes an explanatory paragraph discussing the Auditor's assessments of certain significant accounting and auditing matters. These assessments were considered for the purpose of issuing an audit opinion on the financial statements taken as a whole and not to provide separate assurance on individual account captions or on information taken outside of the financial statements.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

*"Tereos Finance Groupe I
Société Anonyme with share capital of €152,500
11, Rue Pasteur
02390 Origny-Sainte-Benoîte*

To the Shareholders,

In compliance with the assignment entrusted to us by your General Meeting, we hereby report to you, for the year ended 31 March 2015, on:

- *the audit of the accompanying financial statements of Tereos Finance Groupe I;*
- *the justification of our assessments;*
- *the specific verifications and information required by law.*

These financial statements have been approved by the Board of Directors. Our role is to express an opinion on these financial statements based on our audit.

I - Opinion on the financial statements

We conducted our audit in accordance with professional standards applicable in France. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit involves performing procedures, using sampling techniques or other methods of selection, to obtain audit evidence about the amounts and disclosures in the financial statements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

In our opinion, the financial statements give a true and fair view of the assets and liabilities and of the financial position of the Company at 31 March 2015 and of the results of its operations for the year then ended in accordance with French accounting principles.

II - Justification of our assessments

In accordance with the requirements of Article L.823-9 of the French Commercial Code (Code de commerce) relating to the justification of our assessments, we bring to your attention the following matters:

Accounting policies and methods

The paragraphs relating to "Deferred charges" and "Redemption premium" in Note 2 "Accounting policies and methods" of the notes to the financial statements describe the accounting policies and methods applied to deferred issuance costs and the bond redemption premium.

As part of our assessment of the rules and accounting principles followed by the Company, we have verified that the accounting methods described above and the information provided in the notes were appropriate and consistently applied.

These assessments were made as part of our audit of the financial statements taken as a whole, and therefore contributed to the opinion we formed which is expressed in the first part of this report.

III - Specific verifications and information

In accordance with professional standards applicable in France, we have also performed the specific verifications required by French law.

We have no matters to report as to the fair presentation and the consistency with the financial statements of the information given in the management report of the Board of Directors, and in the documents addressed to the shareholders with respect to the financial position and the financial statements.

Concerning the information given in accordance with the requirements of Article L.225-102-1 of the French Commercial Code relating to remuneration and benefits received by corporate officers and any other commitments made in their favour, we have verified its consistency with the financial statements, or with the underlying information used to prepare these financial statements and, where applicable, with the information obtained by your Company from companies controlling it or controlled by it. Based on this work, we attest to the accuracy and fair presentation of this information.

Neuilly-sur-Seine, 30 June 2015

The Statutory Auditor

PricewaterhouseCoopers Audit

Philippe Aerts"

II. BUSINESS OVERVIEW

The Issuer has no business activity as of the date of this Prospectus.

In 2013, the Issuer issued bonds of a nominal amount of €500 million bearing a coupon of 4.25% redeemable at maturity in 2020 and guaranteed by Tereos UCA. The 2020 bonds are admitted to trading on Euronext Paris. The proceeds of such bonds issue were made available to other members of the Group.

A detailed description of the activities of the Group is set out in section “*Description of the Guarantor*” of this Prospectus.

III. STRUCTURE OF THE ISSUER

Description of the Issuer

The Issuer is part of the Group (see paragraph “Structure of the Guarantor” below).

Main subsidiaries of the Issuer

At the date of this Prospectus, the Issuer had no subsidiaries.

IV. ADMINISTRATIVE, MANAGEMENT, SUPERVISORY AND SENIOR MANAGEMENT BODIES OF THE ISSUER

General information relating to the managers and members of the Board of Directors

The table below presents the composition of the board of directors of the Issuer at the date of this Prospectus:

Name of the Member of the Board of Directors	Position	Date of appointment	Termination date
Alexis Duval	Chairman of the Board of Directors and Chief Executive Officer	General Meeting of 26 September 2012	General Meeting called to approve the financial statements for the financial year ended 31 March 2018
Olivier Casanova	Member of the Board of Directors	General Meeting of 26 September 2012	General Meeting called to approve the financial statements for the financial year ended 31 March 2018
Yves Belegaud	Member of the Board of Directors	General Meeting of 28 April 2014	General Meeting called to approve the financial statements for the financial year ended 31 March 2018

Biographies of the members of the Board of Directors are presented in the paragraph “Administrative, management, supervisory and senior management bodies” of the section “*Description of the Guarantor*” below.

All the members of the Board of Directors are domiciled at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte (France).

None of the members of the Board of Directors holds any significant mandate outside the Group.

Conflicts of interests with respect to the administrative, management, supervisory and senior management bodies

All of the members of the Board of Directors are members of the Management Board of Tereos UCA, controlling shareholder of the Issuer.

To the Issuer's knowledge, there are no potential conflicts of interest between the private interests and/or other duties of members of the Board of Directors of the Issuer and the duties they owe to the Issuer.

V. ORGANISATION OF THE ADMINISTRATIVE AND MANAGEMENT BODIES

Corporate governance

The Issuer is a French *société anonyme* governed by French law. Mr. Alexis Duval is Chairman and Chief Executive Officer of the Issuer.

VI. MAIN SHAREHOLDERS

Share capital and voting rights as at the date of this Prospectus

The table below sets forth information relating to the ownership of the Issuer as at the date of this Prospectus:

Shareholder	Number of shares	% of the share capital	Number of voting rights	% of voting rights
Tereos UCA	9,999	99.99%	9,999	99.99%
Tereos France⁽¹⁾	1	0.01%	1	0.01%
Total	10,000	100%	10,000	100%

⁽¹⁾ Company controlled by Tereos UCA.

As at the date of this Prospectus, Tereos UCA owns 99.99% of the share capital of the Issuer (see section “Description of the Guarantor” for a description of the Tereos UCA).

Arrangement which implementation could result in a change of control

As at the date of this Prospectus, there is no arrangement known to the Issuer, the operation of which may at a subsequent date result in a change of control of the Issuer.

VII. JUDICIAL AND ARBITRATION PROCEEDINGS

The Issuer, having taken all reasonable care to ensure that such is the case, certifies that, to the best of its knowledge, during a period covering the last 12 months, there have been no governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened of which the Issuer is aware) which may have, or have had in the recent past, a significant effect on the Issuer.

VIII. SIGNIFICANT CHANGE IN THE FINANCIAL OR TRADING POSITION

There has been no material adverse change in the prospects of the Issuer and no significant change in the financial or trading position of the Issuer has occurred since 31 March 2016. The Issuer does not prepare interim financial statements.

DESCRIPTION OF THE GUARANTOR

I. HISTORY AND DEVELOPMENT OF THE GUARANTOR

Name of the Guarantor

The Guarantor's name is Tereos UCA.

Place and number of registration of the Guarantor

The Guarantor is registered with the Commercial and Companies Register of Saint-Quentin under number 407 948 926.

Date of constitution and duration of the Guarantor

Tereos UCA was incorporated on 10 June 1996 for a period of 50 years.

Registered office, legal form and legislation applying to the activities and the financial year

The registered office is situated at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte.

The Guarantor is a French agricultural cooperatives partnership (*union de coopératives agricoles*) with variable capital governed by French law and Articles L.521-1 *et seq.* and R.521-1 *et seq.* of the French *Code rural et de la pêche maritime*.

Its financial year ends on 31 March of each year.

History and principal events in the development of the Guarantor

1932-1990: development of the Group

The origins of the Tereos group date back to 1932, with the creation of cooperative distillery in Origny by founding chairman Paul Cavenne. At the time, the majority of sugarbeet cooperatives were turning to alcohol production, which was already being used as a fuel. In 1951, a sugar factory is built in Origny under the leadership of Jean Duval. The Origny cooperative's growth gradually paves the way for Tereos to take shape.

In 1984, Philippe Duval replaces his father to become CEO of the Origny refinery and distillery. Under his influence, production of liquid sugars commenced from late 1987. Over the years, the number of cooperative members and volume of sugarbeet processed both increased.

1990-2001: national and international expansion of the Group

1990 is a key year to the Group's development, representing the starting point of its national and international expansion. Origny-Sainte-Benoîte and Vic-sur-Aisne cooperatives merge to create Sucreries et Distilleries de l'Aisne (**SDA**), one of the largest sugarbeet cooperatives in France at the time. The following year, SDA acquires a sugar facility in Berneuil.

In 1992, SDA makes its first expansion abroad, in the Czech Republic, through its investment in TTD. The French cooperative owns a majority of TTD, with the EBRD and subsequently Nordzucker, a major German sugar producer, also owning stakes.

In 1993, the Group launches wheat-based ethanol production at Origny in partnership with cereal cooperatives within Bio-Ethanol Nord Picardie (**BENP**).

From 1993 to 1996, SDA acquires two sugar refineries in Maizy and Bucy-le-Long and merges with a distillery in Brie.

In 1996, the Group creates Syral, in partnership with Jungbunzlauer (an Austrian industrial group specialising in fermentation products, and a leading producer of citric acid), at the Marckolsheim starch facility, hence developing its activity in corn starch and starch-based products manufacturing.

In 1998, the Group establishes SDS, which name has been changed to Tereos Finance Groupe I in 2013, the Issuer of the Bonds.

In 1999, SDA and Sucrierie-Distillerie d'Artenay merge, leading to the creation of Union SDA.

The year after, in 2000, Union SDA takes a decisive step forward, moving into the Brazilian market through a joint venture with Cosan, a leader in sugarcane processing.

2001 sees Union SDA expand its sugarcane business with the acquisition of the Bourbon Group's interests in sugar refineries in Reunion Island. In this way, Union SDA becomes the majority shareholder in Sucrierie de Bois Rouge and the Eurocanne packaging company, while acquiring significant interests in the Le Gol sugar plant and Loiret Haëntjens.

2002-2016: the Group becomes a global player in the sugar, alcohol, ethanol and starch-based products industries

2002/2003 is a key period in the development of Tereos. Following the acquisition of the Béghin-Say sugar business, Béghin-Say's sugarbeet suppliers group together in a new cooperative, Union BS. Union SDA and Union BS then merge their activities into the same cooperative group. The Group increases its scale, with 9,500 cooperative sugarbeet grower members. The number of sugarbeet refineries and distilleries operated by the Group in France increase from 5 to 10. With the acquisition of the Béghin-Say sugar business, the Béghin-Say consumer brand and the Brazilian company Guarani, with its two mills, Severinia and Cruz Alta, become part of the Group. Reflecting these changes, the Group adopts the Tereos name and a new corporate identity.

In 2004, the Group acquires Sodes, a company based in Lillebonne specializing in synthetic alcohol production through its subsidiary BENP. The Group creates Tereos BENP (in partnership with cereal cooperatives), a wheat ethanol production facility, launched in 2007. The same year, a new distillery is built in Origny, to produce potable alcohol and ethanol from sugarbeet.

Two years later, Tereos merges its activities with those of the sugarbeet cooperative Sucrieries et Distilleries des Hauts de France, the leader in the Nord-Pas-de-Calais region, adding three sugar refineries in France (Lillers, Attin and Abbeville). Tereos expands into Mozambique to produce and process sugarcane. In addition, in Brazil, Guarani acquires the São José sugar mill and the Tanabi project which starts the ethanol production in 2007.

In 2007, as part of the EU-led restructuring of the European sugar industry and the introduction of the new EU Sugar Regime, Tereos carries out a reorganisation of its European activities focusing its production on its most competitive sites.

Through the Syral subsidiary and in partnership with cereal cooperatives, the Group acquires five starch and glucose facilities from Tate & Lyle. Tereos believes it becomes Europe's third largest starch producer, according to the Group's estimates.

The same year, Guarani, the Brazilian subsidiary, acquires a majority of the Andrade sugar and ethanol production facility, becoming the third largest sugarcane processor in Brazil (*source: UNICA, Group estimates*) and carries out its listing in Brazil on BM&F Bovespa, the Sao Paulo stock exchange.

In 2008, Tereos and the Spanish agricultural cooperative Acor enter into a marketing and industrial agreement, following which a refinery is built at the Acor site in Olmedo, Spain.

In 2010, Tereos continues its external growth with the acquisition of Reunion-based assets of Quartier Français, enabling the Group to own all sugarcane processing facilities on the island. Through the acquisition of Quartier Français, Tereos becomes also the owner of a 40% stake in Sucrière des Mascareignes Ltd., a company owning 75% of Tanganyika Plantation Company, a sugar factory in Tanzania.

The same year, Tereos Internacional, a Brazilian company in which Tereos is the majority shareholder, is created by the contribution of all the sugarcane and cereal processing businesses of the Group, including Guarani. Tereos Internacional is then listed on BM&FBovespa in São Paulo. Public shareholders of Guarani receive shares of Tereos Internacional and Tereos Internacional becomes the new listed vehicle of the Group.

In the same year, a partnership is set up between Guarani, at that time a subsidiary of Tereos Internacional, and Petrobras Biocombustível, a wholly-owned subsidiary of Petróleo Brasileiro S.A., the leading Brazilian energy company. In parallel, Tereos Internacional strengthens its Brazilian presence through the acquisition by Guarani of facilities in Vertente and Mandu.

In 2011, Tereos enters into a partnership with Wilmar, one of the largest processors of agricultural products in Asia, to develop its cereal transformation activities in China. The same year Tereos enters also in an agreement with the Malay group PureCircle to develop and market sweetening solutions combining sugar and stevia. The Group also acquires Haussimont's starch-potato facility (France) and the manioc-based starch plant Halotek in Brazil, hence entering in the Brazilian starch market.

In 2012, the Group pursues its growth by acquiring a distillery in the Czech Republic (Moravský lihovar Kojetín).

In 2013, the Group completes the acquisition of a sugar plant in Romania (Ludus).

In 2014, the Group creates Tereos Commodities Sugar, with the view of becoming one of the global leaders in the international distribution of white sugar.

In the same year, the Group establishes its presence in Indonesia through the acquisition of a 50% stake in Redwood Indonesia, the country's only corn starch facility, in joint venture with the FKS Group, one of the main agro-industrial groups in Indonesia. Redwood Indonesia is later renamed Tereos FKS Indonesia.

The same year, CFH (*Coopérative Féculière de Haussimont*) and CFVA (*Coopérative Féculière de Vic-sur-Aisne*) joins the Group to strengthen the Group's position in the French potato-starch sector.

In April 2015, the Group also enters into a new partnership with Axereal, France's leading grain collector, through the acquisition of a minority stake in Boortmalt, one of the world's largest malt producers, to develop an innovative offer for its clients in the brewing and distillery sector.

In May 2015, the Group strengthens its positions in the United Kingdom by acquiring 100% of Napier Brown Sugar Limited, one of Europe's largest independent sugar distributors.

In August 2015, Sucrière des Mascareignes Ltd., a company that is 40% owned by Tereos Ocean Indien, acquires 51% of Transmara Sugar Company Limited, a sugar factory located in Kenya.

On 4 December 2015, the Group announces its intention to launch a tender offer for the remaining shares of Tereos Internacional. The Group targets a delisting from the Sao Paulo Stock Exchange during the third quarter of 2016, subject to approval from the Brazilian market authority (CVM).

In January 2016, the Group completes the final step of the strategic partnership signed with Petrobras in April 2010 (see section "Main Partnerships" of the Prospectus).

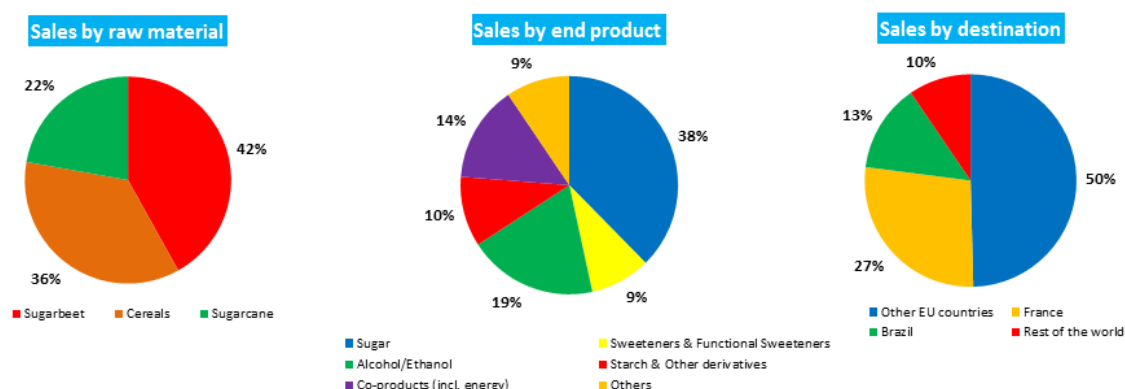
In April 2016, the Group establishes Tereos Commodities Ethanol with the intention of enhancing revenues from the commercialisation of ethanol.

In June 2016, Marne-based APM Déshy, a cooperative involved in alfalfa and beet pulp dehydration, merge into the Coopérative de Connantre, hence becoming part of the Group.

II. BUSINESS OVERVIEW³

The Group is the third largest world sugar producer (*source: F.O. Lichts, May 2015*), the third largest sugar producer in Europe (*source: Group estimates*), the third largest sugar producer in Brazil (*source: UNICA and Group estimates*) and the third largest starch & sweeteners producer in Europe (*source: Group estimates*). For the financial year ended 31 March 2016, the Group generated consolidated revenues of €4,201 million, an Adjusted EBITDA of €439 million and a negative net income of €34.4 million. At the date of this Prospectus, the Group operates, directly or in joint ventures, 49⁴ industrial facilities throughout the world, processes the agricultural production of the equivalent of approximately 1 million hectares and 44 million tonnes of agricultural raw materials per year and it employs approximately 24,000 employees (full time and seasonal employees).

The charts below represent the split of the Group's sales by raw material, by end product and by geography in the financial year ended 31 March 2016.



In Europe, the Group operates, directly or in joint ventures, in the sugarbeet processing business in France, the Czech Republic and Romania, in the sugar refining business in Spain and in Romania, in sugar distribution business in the United Kingdom, and in the cereals/tubers processing business in France, Belgium, Spain, Italy and the United Kingdom. The Group is the largest sugar producer in France (in volume and value), with well-known consumer brands (*Béghin-Say* and *La Perruche*), the leading sugar producer in the Czech Republic (*source: SZIF, Czech Republic authority*), one of the largest sugar producers in Romania (by volume), and a large distributor in the United Kingdom sugar market with a well-known consumer brand (*Whitworths*). Tereos is the third largest European producer of starch-based products, including starch & sweeteners, and one of the largest producers in the world for wheat proteins (*source: Group estimates*). Through its various sugarbeet and cereal processing units, the Group is the largest producer (by volume) of alcohol and ethanol in Europe. Tereos sells the products from its European plants throughout Europe as well as in export markets outside of Europe.

In Brazil, the Group is involved in processing sugarcane, through Guarani, for the production of sugar, ethanol and electricity (from bagasse). In 2010, the Group, through its subsidiary Guarani, entered into a strategic partnership with Petrobras Biocombustível, the wholly-owned subsidiary of Petróleo Brasileiro S.A. (Petrobras), the Brazilian national energy company.

In addition the Group is involved in the production of starch from cassava, since the acquisition of the Halotek business in 2011, and has launched in 2013 a new facility on the same site to produce starch & sweeteners from corn. The Group's Brazilian activities include eight industrial facilities.

³ Unless otherwise stated therein, all market positions of the Group are based on Group estimates.

⁴ Including four industrial facilities from APM Déshy

In Africa and in the Indian Ocean region, the Group's business activities mainly involve producing sugar from sugarcane. Since it acquired the sugar assets of the Quartier Français Group in 2010, the Group is the sole producer of sugar in the Reunion Island. The Group is also a major player in the sugar production industry in Mozambique through Companhia de Sena. In addition, Sucrière des Mascareignes Ltd., a company that is 40% owned by Tereos Ocean Indien, owns 75% of Tanganyika Plantation Company, a sugar factory in Tanzania, and 51% of Transmara Sugar Company Limited, a sugar plant located in Kenya.

In Asia, the Group has built a wheat-starch and isoglucose production plant in the South of China as part of a partnership it entered into with the Wilmar Group in 2011. It is also operating, in partnership with Wilmar, a corn-starch plant in Northern China. In 2014, the Group established its presence in Indonesia through the acquisition of a 50% stake in Redwood Indonesia, the country's only corn starch facility, which is a joint-venture with the FKS Group. Since then Redwood Indonesia has been renamed Tereos FKS Indonesia.

The Group's sugarcane processing operations (Brazil, the Indian Ocean and Africa) and its cereal processing activities (Europe, Brazil, Asia) are combined in Tereos Internacional, a Sao Paulo listed subsidiary in which the Group has a 69.83% interest⁵.

In the financial year ended 31 March 2016, the Group sold 4.1 million tonnes of sugar, 2.1 million tonnes of starch-based products, 1.6 million m³ of alcohol and ethanol, and around 800 GWh of electricity.

The Group faces two major challenges:

- anticipate the end of the sugar quota regime in Europe as of October 2017; and
- anticipate agricultural trends and evolutions in its end-markets (volatility and growth rates).

In view of the above, the Group's strategy is based on two major goals:

- strengthen its competitiveness on more open and volatile markets (through the increase of agricultural and industrial competitiveness, in particular through three ambitious performance improvement plans in the main business units, which are expected to deliver €100 million of savings over 3 years, and the development of the distribution capabilities of the Group in Europe and at export); and
- take advantage of the development potential in emerging markets (world sugar and starch consumption fuelled by growth in emerging countries and ramp-up of the Group's recent investments).

These objectives are applied to each of the three divisions of the Group:

- *in the Sugar Europe division*, the Group focuses (i) on further increasing its cost competitiveness, in anticipation of the end of the EU Sugar Regime in 2017, in particular by implementing a performance improvement plan, designed to continue to improve its performance in the fields of agriculture, purchasing, production and logistics, and through a multi-year investment program of over €100 million with the aim of reducing energy consumption by 15%, (ii) taking advantage of spare industrial capacity to increase its sugarbeet processing by approximately 20%, and its sugar production, after the end of the EU Sugar Regime, thereby providing further reductions of production costs per tonne, through better fixed cost absorption and improving product mix flexibility in order to optimize global margin, and (iii) further strengthening its commercial positions in regions with sugar deficits, including exports of white sugar outside of Europe post 2017. In this context, the Group set up

⁵ On 4 December 2015, the Group announces its intention to launch a tender offer for the remaining shares of Tereos Internacional. The Group targets a delisting from the Sao Paulo Stock Exchange during the third quarter of 2016, subject to approval from the Brazilian market authority (CVM).

Tereos Commodities Sugar with the aim of exporting white and raw sugar, including from Europe among other origins, to destinations all over the world. Tereos Commodities Sugar is a key element in the Group's efforts to anticipate the end of the EU Sugar Regime in 2017. In addition, the Group has also established Tereos Commodities Ethanol to enhance Tereos ethanol exports capabilities with the intention of optimizing revenues coming from ethanol and diversify its sourcing.

- *in the Sugar International division*, the Group continues (i) to make progress in its performance plan in Brazil, aiming to further improve agricultural productivity, as well as achieve major headway in industrial performance, and (ii) to further strengthen its commercial positions in the regions with sugar deficits, leveraging its trading subsidiaries, Tereos Commodities; and
- *in the Starch & Sweeteners division*, the Group is focusing on (i) successfully developing its presence in high growth markets (Brazil, China, Indonesia) and at the same time (ii) implementing a new performance in Europe with the aim of rebuilding margin overtime and anticipating the end of quotas on isoglucose in Europe in 2017. The Group continues to focus on R&D/Innovation particularly in developing new applications for client such as optimizing sweetening and texturing formulations, supplying high-quality feed ingredients, developing pharmaceutical excipients, improving quality of paper and corrugated boards and providing renewable resources for sustainable chemistry.

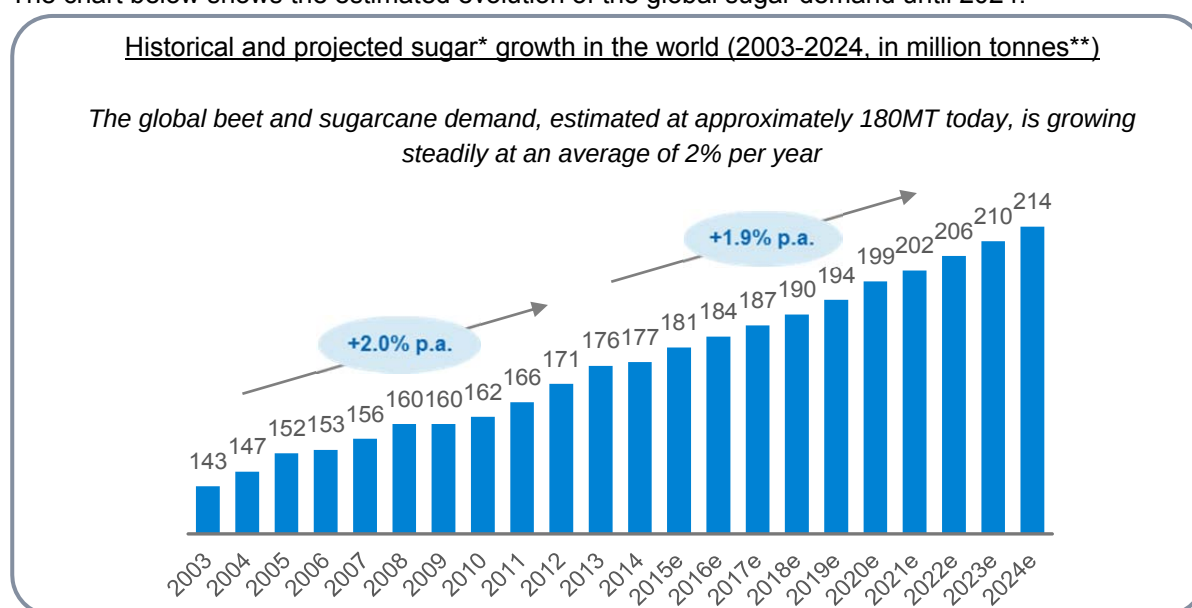
1 Description of the Group's main markets

The Group produces sugar, starch & sweeteners, ethanol (fuel and alcohol), co-products and electricity in Europe, Brazil, Africa, the Indian Ocean (Reunion Island) and Asia.

Sugar

The worldwide consumption of sugar has been characterized by constant growth during the last ten years, especially driven by demand in emerging countries. During that period, the international consumption of sugar has grown in average by some 2% per year and has therefore shown resilience to economic slowdowns. In 2015, the total consumption of sugar worldwide amounted to approximately 180 million tonnes, of which Europe accounted for 13%, North America 9%, and Asia, Africa and South America for a combined 78% (*source: Group estimates*).

The chart below shows the estimated evolution of the global sugar demand until 2024.



Notes: (*) excluding isoglucose (**) raw sugar equivalent

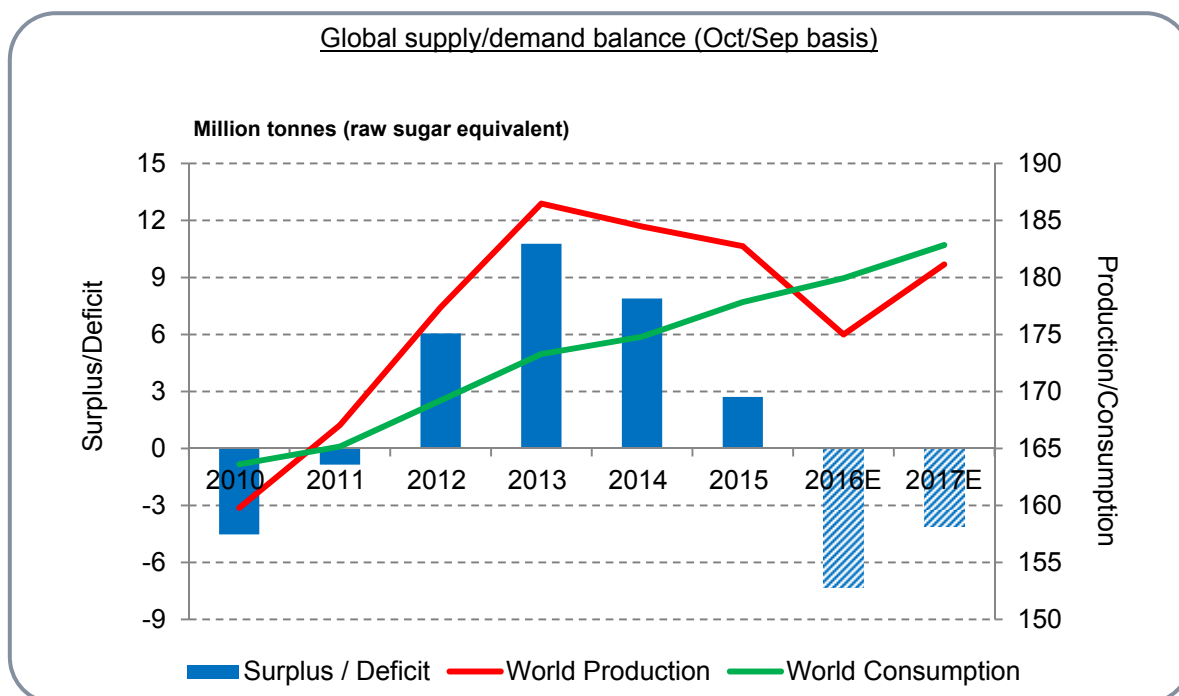
Sources: OECD, FAO, update May 2015

The worldwide production of sugar has also experienced a growth trend over the last 10 years. In 2015, 80% of the worldwide production of sugar came from sugarcane and the balance from sugarbeet (source: *F.O. Lichts, 2015*).

The sugar market has been characterized over the last few years by an excess of production over demand, largely due to favourable climate conditions in several key production regions, which led to a significant increase in inventory levels worldwide.

It is now forecasted that 2015/16 and 2016/17 will be two years of significant deficit, bringing inventory back to a more normal level (source: *Group estimates*).

The chart below represents the evolution of the world sugar balance since 2010 and shows the two years of deficit expected for 2015/16 and 2016/17.



Source: *Group, May 2016*

Global sugar consumption is expected to rise steadily in the coming decades, driven by approximately half by the growth of global population, which could reach 10 billion people in 2060 (source: *United Nations, 2011*) and for the other half by the consumption growth driven by a rising middle class. Sugar consumers are mainly urban middle classes, which population is expected to rise much faster than global population, representing 1 billion of new consumers in emerging market cities by 2025 (source: *McKinsey, 2012*). Consumption of sugar is expected therefore to reach approximately 200 million tonnes by 2021 (source: *F.O. Lichts*).

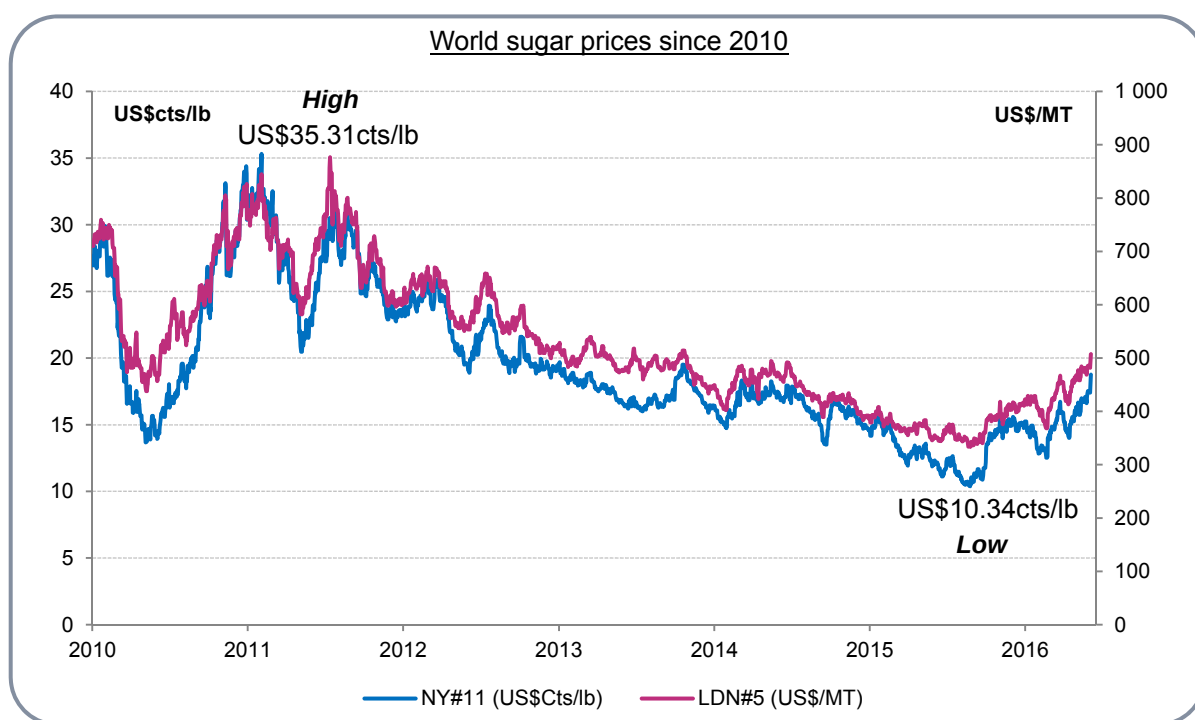
Around 66% of sugar consumed is produced locally; the international market for sugar amounted to approximately 60 million tonnes in 2015/16 (sources: *Group estimates*). The international sugar market is highly influenced by Brazilian sugar production, which represents close to 40% of global exports of sugar (source: *USDA*).

Sugar prices on the world market (*i.e.*, NY11 reference) are characterized by a strong volatility. World sugar prices are principally influenced by the supply/demand balance, the level of inventory and the evolution of the BRL/USD exchange rate, given that Brazilian exports of sugar account for some 40% of international world sugar trade. Prices reached historically high levels in 2011, temporarily surpassing USD35cts/lb (source: *Bloomberg*) due to a downturn in sugar production in Brazil as a consequence of weather-related incidents and reduced investments in cane fields. Since then, due to

continuous production/consumption surpluses, ample stock building and BRL devaluation against the USD, sugar prices have dropped to a low point of USD10.34cts/lb in August 2015 (annual average of USD13.1cts/lb in 2015).

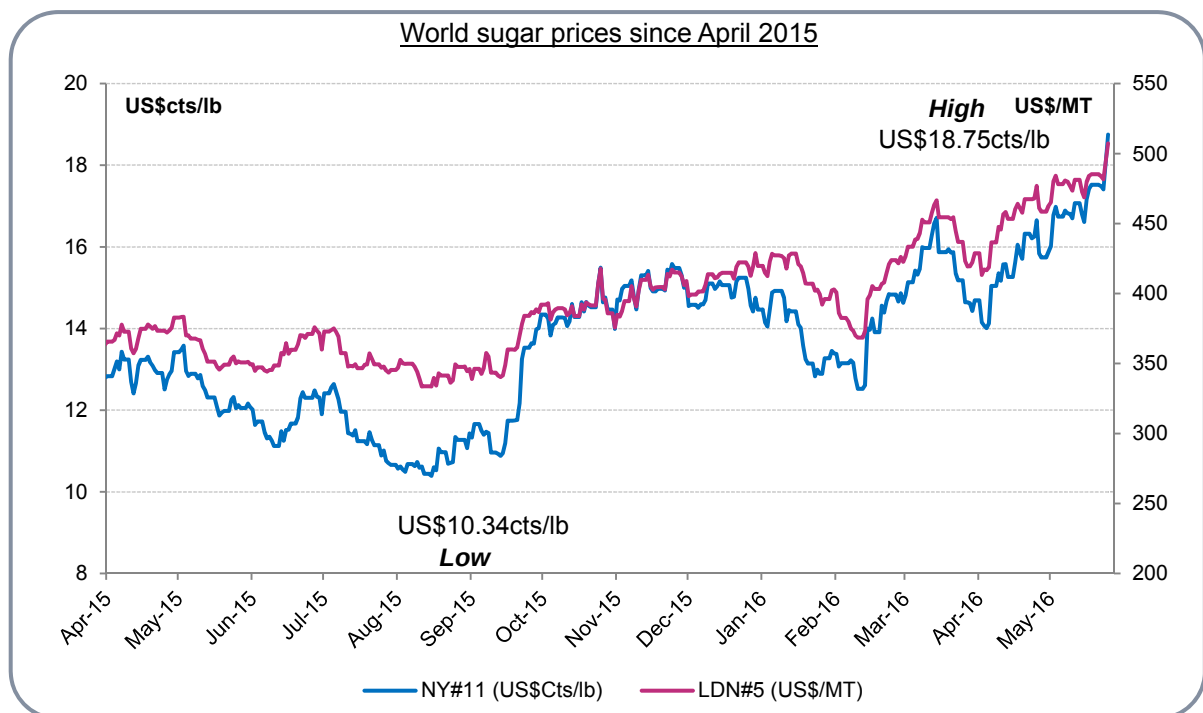
World sugar prices have rebounded since August 2015, due to the prospect of a new supply/demand deficit for 2015/16 on adverse weather conditions in key producing and exporting countries. The NY11 price for 2016 is currently averaging USD15.0cts/lb (source: Bloomberg, from 1 January 2016 to 3 June 2016).

The chart below shows the evolutions of the international sugar prices since 2010, and in particular the effect of the global surplus between 2012 and 2015, on world market prices (NY11 being the reference future contract for raw sugar and LDN5 being the reference future contract for white sugar).



Source: Bloomberg

The chart below shows the recent recovery of the international sugar prices since August 2015 on the back of anticipated deficits for the crops 2015/16 and 2016/17.

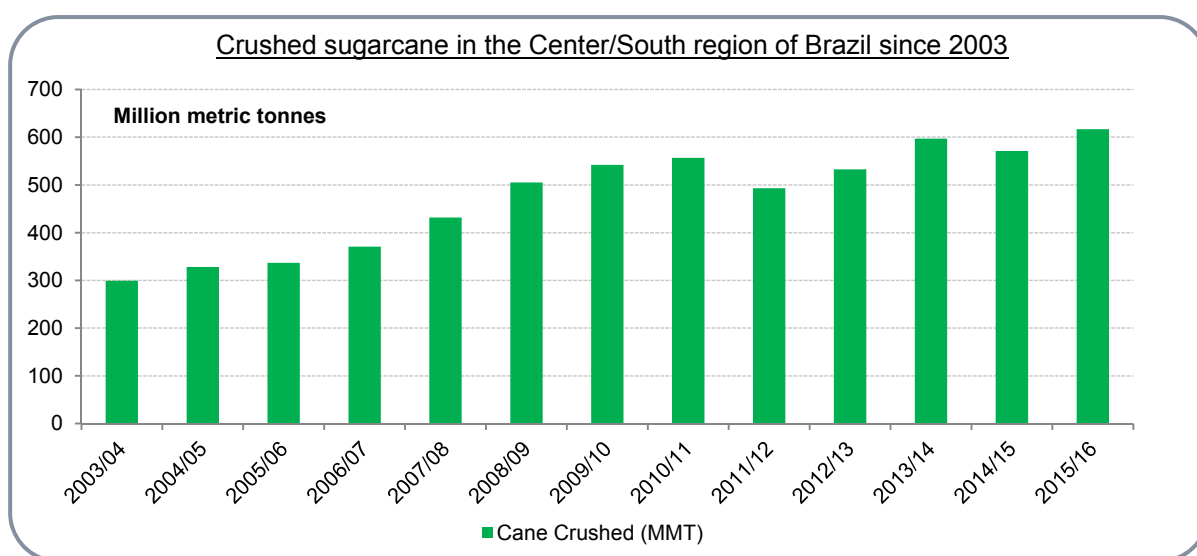


Source: Bloomberg

Sugar Brazil

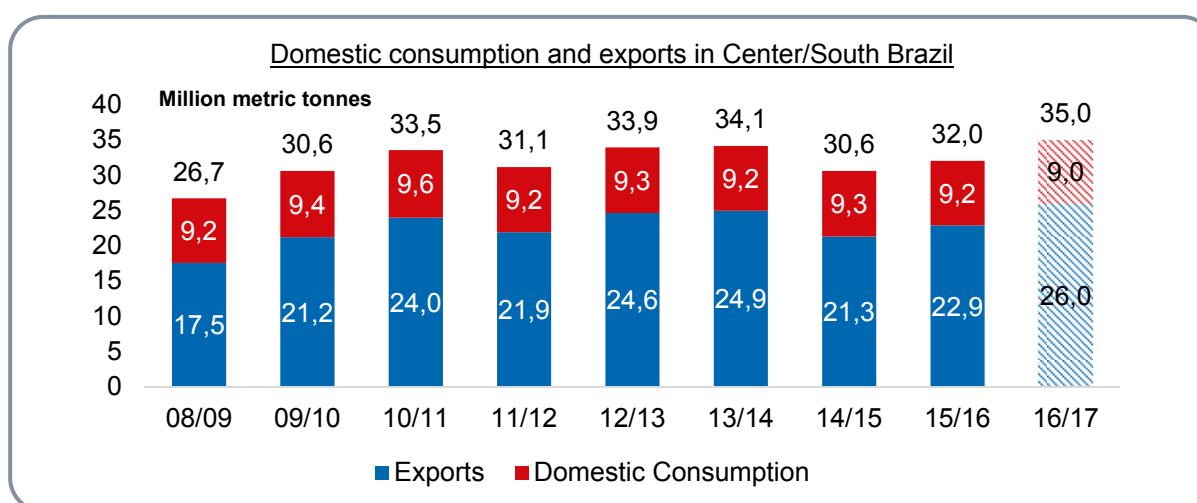
Brazil accounts for 20% of the world production of sugar with 35 million tonnes produced in 2015/16 and approximately 40% of the worldwide exports (*source: USDA*) and is recognized as having one of the lowest production costs globally. Since 2003, crushed sugarcane in the Center/South region of Brazil (which concentrates around 90% of the sugar production in Brazil) has been characterized by strong growth, increasing from less than 300 million tonnes crushed in 2003/04 to 617 million tonnes in 2015/16 (*source: UNICA*). Around 40% of this sugarcane is used for the production of sugar and the balance is used for the production of ethanol (*source: UNICA, 2015/16 crop*).

The chart below presents the evolution of crushed sugarcane in the Center/South region of Brazil since 2003 (crop year running from April to March).



Source: UNICA

Most of the sugar produced is exported. Out of the 32 million tonnes produced in 2015/16 in Center/South Brazil, only 9.2 million tonnes were locally-consumed, the largest part (72%) of the production was exported. Domestic consumption marginally increased over the last few years but has recently decreased because of the economic slowdown. The sugar production is expected to increase in 2016/17 because of better weather conditions and sugar prices above ethanol prices, the incremental production being dedicated to export in a global environment of expected global deficit.



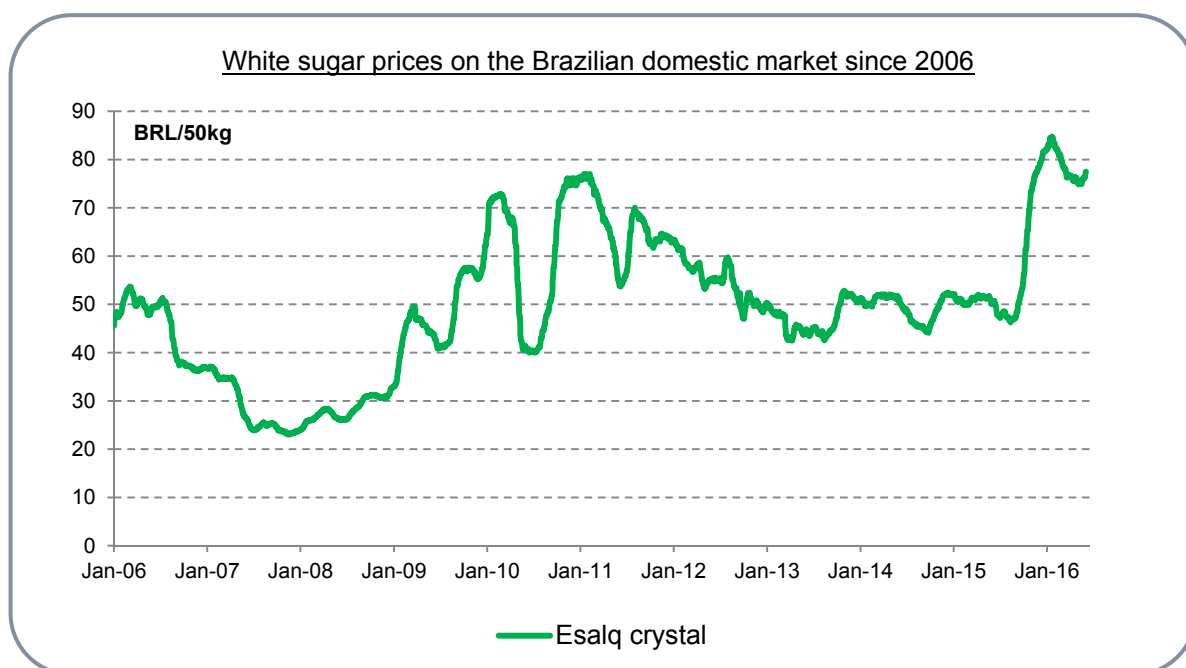
Source: UNICA until 2015/16 and Group estimates for 2016/17

The prices of Brazilian sugar for exports (mostly raw sugar) and for the domestic market (white sugar), both set out in the charts below, are strongly correlated. Both prices significantly increased since August 2015 because of the prospects of significant world deficits of sugar in 2015/16 and 2016/17.

Sugar prices are also to some extent influenced by the prices of ethanol in Brazil, given that most sugar producers are also producers of ethanol and can – within certain limits – arbitrage between the two products.



Source: Group



Source: Group

Sugar market in Europe

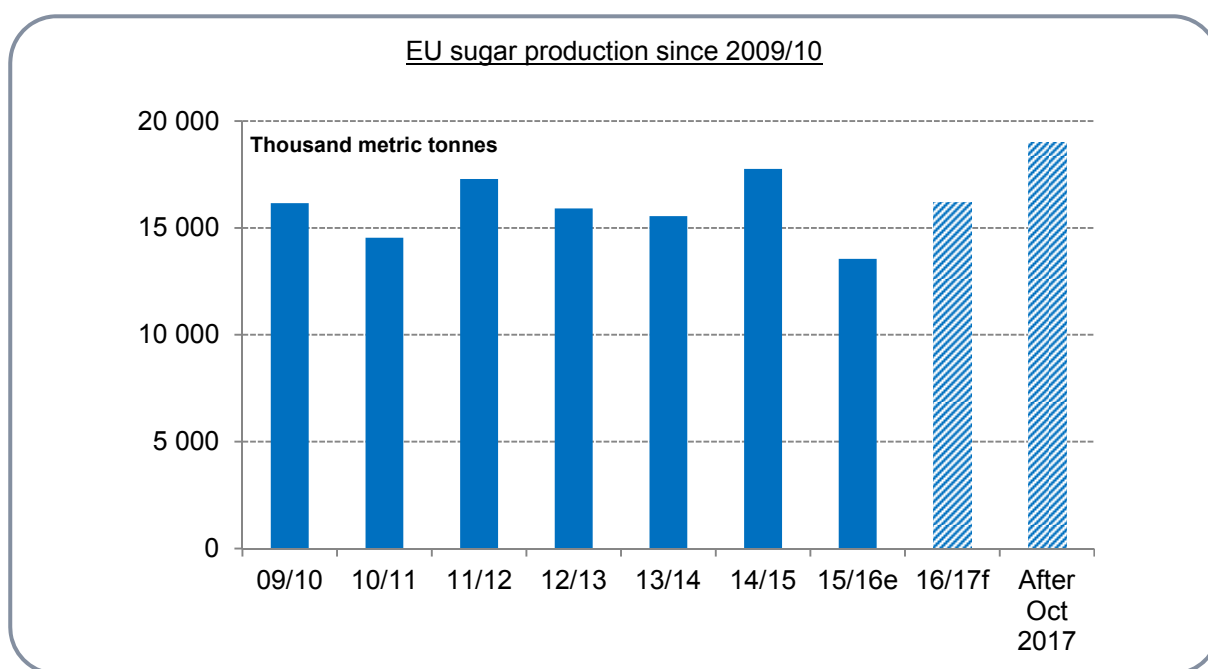
The EU is the world's second largest sugar market with 18.0 million tonnes consumed in 2015/16 (*source: FranceAgriMer*). Sugar consumption in Europe has remained relatively stable around these levels over the last 5 years, as the negative impact of certain European consumers wanting to reduce their daily sugar intake has been largely offset by other factors (population growth, increasing out-of-home eating and increase in middle-class in Eastern Europe). Because of its Sugar Regime, the EU is among the five largest importers in the world, with an estimated 3.1 million tonnes to be imported in 2015/16 (*source: FranceAgriMer*). In the 2015/16 campaign year (October to September), it is estimated that some 13.6 million tonnes of sugar will have been produced in Europe (from sugarbeet), compared to 17.8 million tonnes in the prior campaign year. In Europe, France is considered to have one of the highest sugarbeet yields per hectare (*source: CEFS, Comité Européen des Fabricants de sucre, 2015*), as evidenced by an average annual yield increase over 1.4% during the 1977-2015 period (*source: CGB and Group estimates*), and is the largest sugar producer (with 4.5 million tonnes per year) as well as the largest sugar exporter (with 45% of its production exported).

The sugarbeet processing business in Europe is subject to the "EU Sugar Regime" resulting, for the 2006-2017 period, from the provisions of (EC) Regulation No 1308/2013 of the Council of 17 December 2013 establishing a common organization of agricultural markets.

The sales of sugar on the domestic market (for food applications) are therefore regulated by quotas. 13.5 million tonnes of sugar can be sold by European producers under the quota regime. The demand of quota sugar is 16.0 million tonnes. As a consequence, the EU has to import on average around 3.0 million tonnes of sugar to compensate the shortfall between quota supply and demand. The subsidised exports of sugar are capped at 1.35 million tonnes by year under WTO disciplines. As sales on domestic market and exports are constrained, the outlets for EU sugar producers are currently restricted. Any surplus production has to be carried over to the following crop.

The Regulation also sets a minimum price for beet of €26.29 per tonne. In addition, the European Sugar Regime contains a provision allowing sugar manufacturers and beetgrowers to share part of the difference between the real market price (ex-works) and the reference price for sugar, for bulk and large-capacity bags. In France, the value sharing provision is triggered at €454 per tonne of sugar (ex-works), with a 40% allocation to the beetgrower, by means of article 31 of the inter-trade agreement.

The chart below shows the evolution of sugar production in the EU since 2009, as well as Group projections for the production levels expected post reform of the EU Sugar Regime. Within the constraints set out by the sugar quota regime, the level of sugar production varies from year to year as a consequence of yield improvements (over a long period), climate conditions and the field acreage devoted by farmers to the production of sugarbeet (which is related to the existing sugar stocks carried by producers). Production dropped significantly from 17.8 million tonnes last campaign to 13.6 million tonnes this campaign (2015/16), notably as a result of a reduction of sugarbeet acreage of some 11% across the EU, in reaction to significant inventory of quota sugar on the European market. A recovery in area under sugarbeet cultivation is expected for the 2016/17 campaign year (+10%), suggesting that EU production should recover somewhat this year. Another increase in domestic EU production is anticipated for the following crop (2017/18), with the end of the EU Sugar Regime, based on announcements made by several of the major EU sugar producers.



Source: Group estimates (end of campaign)

The EU Sugar Regime sets out a reference price for sugar for the 2006-2017 period (€404.40 for white sugar and €335.20 for raw sugar; per tonne). However, as EU needs to import sugar in order to fill the gap between the production quota and the domestic consumption, prices in the EU are currently driven principally by import parity as well as the EU supply/demand balance and EU inventory levels of quota sugar. In the EU, there has been a significant increase of the ending inventories (position as at end of September) of sugar since 2009, largely as a result of measures taken by the EU Commission (increasing the availabilities of imports and of quota sugar), which have continuously weighted on EU sugar prices since the second half of 2013. Two parameters explain the decrease of the EU sugar prices since 2013: (i) less imports were needed as ending stocks were elevated so the gap between EU sugar prices and world market sugar prices decreased in order to slow down imports by making them less profitable; and (ii) lower world market prices also influenced EU prices.

The table below shows the evolution of imports for the quota sugar in the EU (in thousands of tonnes) over the last four campaign years. Imports are subject to variability, notably due to climatic conditions in the countries of origin (EPA-EBA in 2015/16) and relative attractiveness of local/world markets compared to the EU market (CXL 2014/15). Decisions of the EU Commission to allow exceptional duty-free/reduced duty imports may also affect significantly the quantities imported to EU.

Imports, October-September (excl. 2015/16, October-April)				
	2012/13	2013/14	2014/15	2015/16 (est.)
CXL	656	340	150	650
EPA-EBA	1910	2168	2126	1900
Autres	968	370	516	530
Total	3534	2878	2792	3080

In thousand tonnes

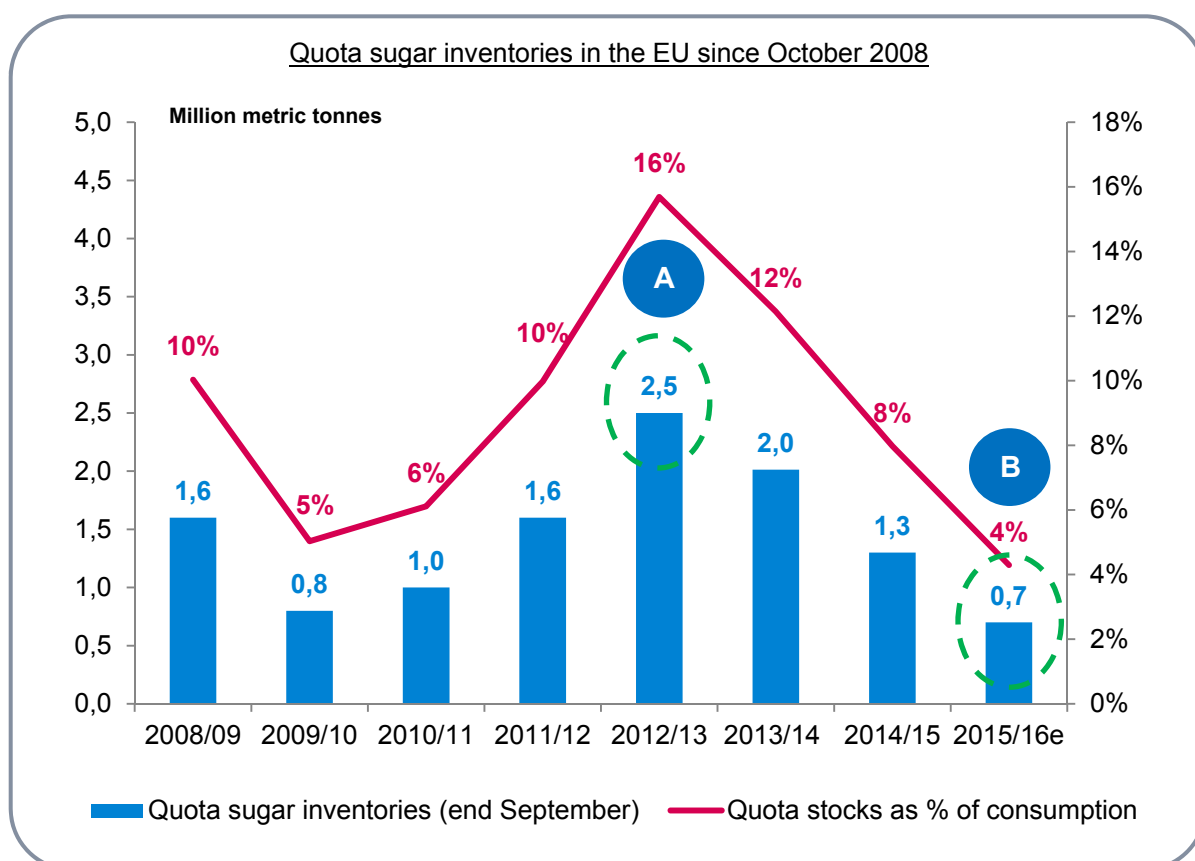
Source: FranceAgriMer, EU Commission

EPA: The Economic Partnership Agreements, dating from the 2006 sugar reform, were concluded between the EU and African, Caribbean and Pacific countries and regions. It replaces the Cotonou Agreement which the EU repealed. The EPA renews the trade relations between ACP countries and the EU and gives the ACP countries full duty free and quota-free access to the EU.

EBA: The EU offers to the 48 least developed countries (Least Developed Countries, LDC, within the meaning of the United Nations) the Everything But Arms initiative. This initiative is unilateral preferential trading regime which gives all LDCs full duty free and quota-free access to the EU for all their exports with the exception of arms and armaments.

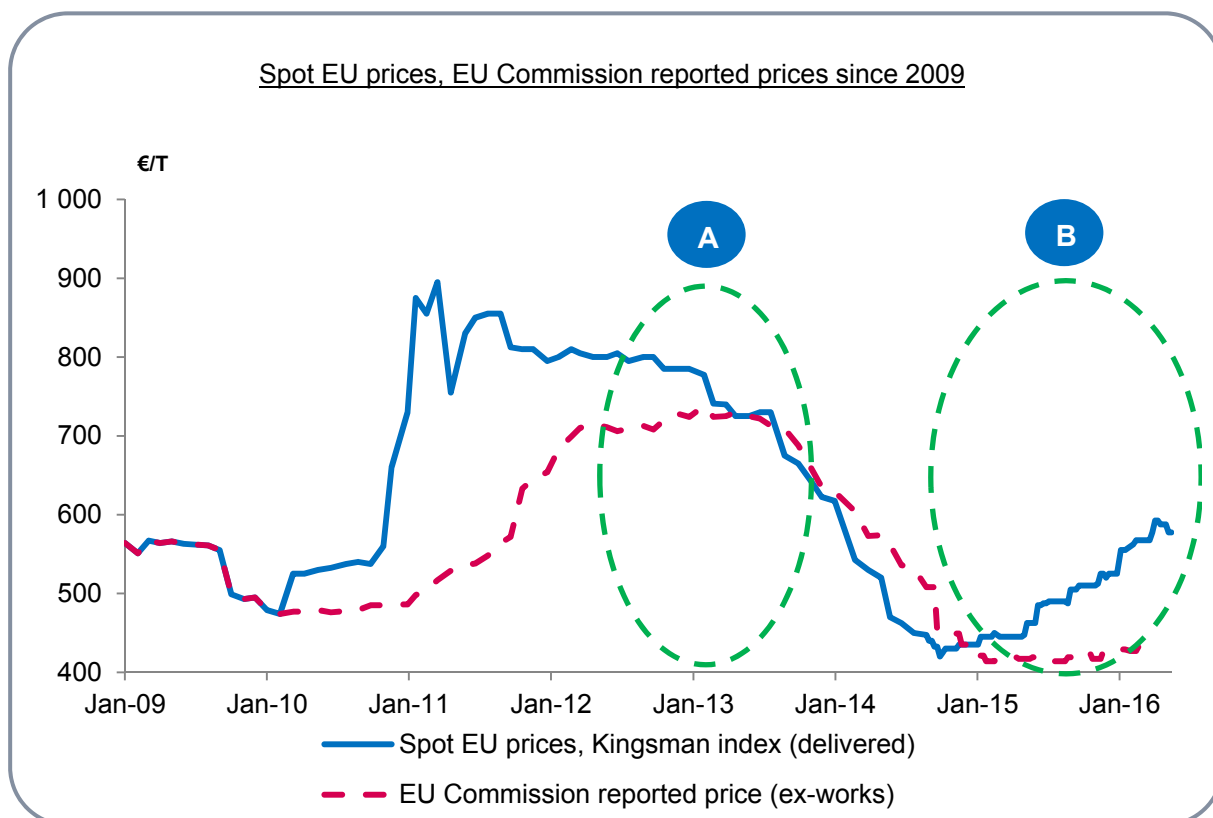
EU sugar stocks are expected to reach very low levels by September 2016 (source: EU Commission) due to lower imports and lower production. Consequently, there is a risk that the EU Commission might take measures to increase availability of quota sugar in the EU, through import at reduced duty or by requalifying non-quota sugar into quota sugar.

The chart below shows the evolution of quota sugar inventories since 2008 in the EU, which are expected to drop to a historically low level.



Source: Group, EU Commission, FranceAgriMer

The chart below shows the evolution of sugar quota prices in the EU since 2009 compared to the spot sugar price for the EU market.



Sources: EU Commission Price Observatory (for reported prices ex-work) and Kingsman (for spot EU prices – delivered basis)

As shown in the graph, sugar prices dropped significantly between 2013 and 2015, as a result of the significant excess inventory over that period. Reported prices have however stabilized since the beginning of 2015. Spot prices, on the other hand, have been increasing since 2015 because (i) more imports are required to fill the deficit and (ii) world market prices increased at the same time.

The prices reported by the EU Commission correspond to the invoice prices whereas the spot prices correspond to the prices of the contracts currently negotiated. As most of the contracts in the EU are for forward deliveries (up to 12 months ahead), there is a time lag between spot prices and prices reported by the EU Commission. The increase of the spot prices in 2015/16 will be likely reflected in EU Commission reported prices in the new campaign year (2016/17).

A new EU sugar regulation will enter into force on 1 October 2017, abolishing the minimum price for sugarbeet (and the sugar price sharing mechanism of Article 31) and the production and export quotas regime for sugar and isoglucose.

It will have significant implications for EU producers (see section “*Risks relating to the EU Sugar Regime*” in this Prospectus) since production and sales of sugar and isoglucose on the domestic market as well as exports to the world market will no longer be limited in volume. Inter-trade relations will still be regulated by the EU but the pricing of the beet will be entirely determined at the producer level. Producers will negotiate new contractual arrangements with cooperative owners and third party suppliers of sugarbeet from the 2017 crop onwards.

With the removal of the quotas, sugarbeet production in the EU is expected to increase by 2017, especially in the most competitive regions (sugar belt). The total consumption of sugar and sweeteners in the EU is expected to remain globally stable over the coming years (*source: Group estimates*). Current EU sugar consumption is close to 18 million tonnes per year. Isoglucose

consumption is close to 0.7 million tonnes. Both figures have barely changed over the last 5 years. The market share of isoglucose consumption (a starch sweetener competing with sugar for various applications) is expected to increase after 2017 at the expense of sugar (as isoglucose quotas are going to disappear) but the volume will depend on economic conditions. As a result, EU producers will have to significantly develop their exports in the world market and therefore capture new markets. Consequently, prices in the EU are expected to align with export parity prices.

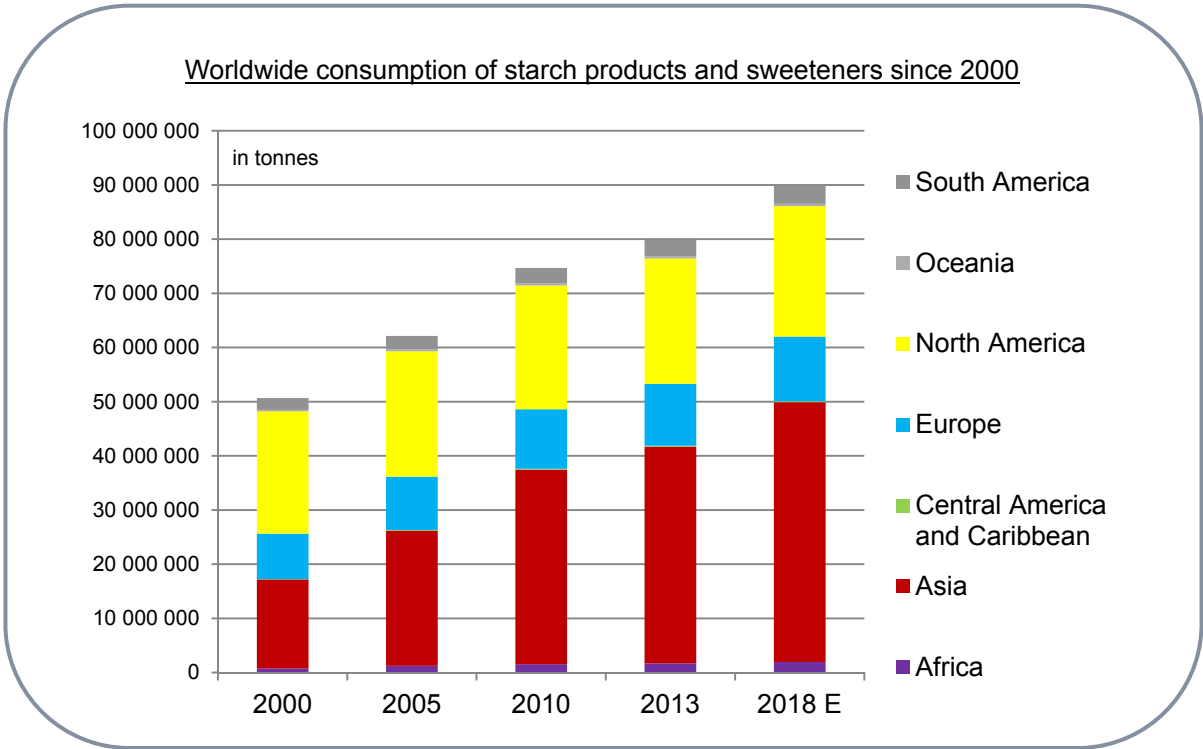
The sugar reform will not affect the EU import regime: import duties will remain in place (€419 per tonne for white sugar and €339 per tonne for raw sugar), as well as the preferential access for ACP & LDC, international commitments taken by the EU (CXL import quotas at reduced €98 per tonne duty) and the various tariff rate quotas negotiated under free trade agreements (Central America, Balkans, etc.).

Starch and sweeteners

A large variety of starch products are made out of corn, wheat and cassava: native starches, dextrose, isoglucose, polyol, maltodextrine, etc. The uses of these starch products are very diverse: in food products (bakery, confectionery, beverages, etc.) but also in industrial applications (paper and board, pharmaceutical and cosmetics, fermentation, construction, etc.). By-products of the starch industry have various applications in the pet food, animal feed and aquafeed sector.

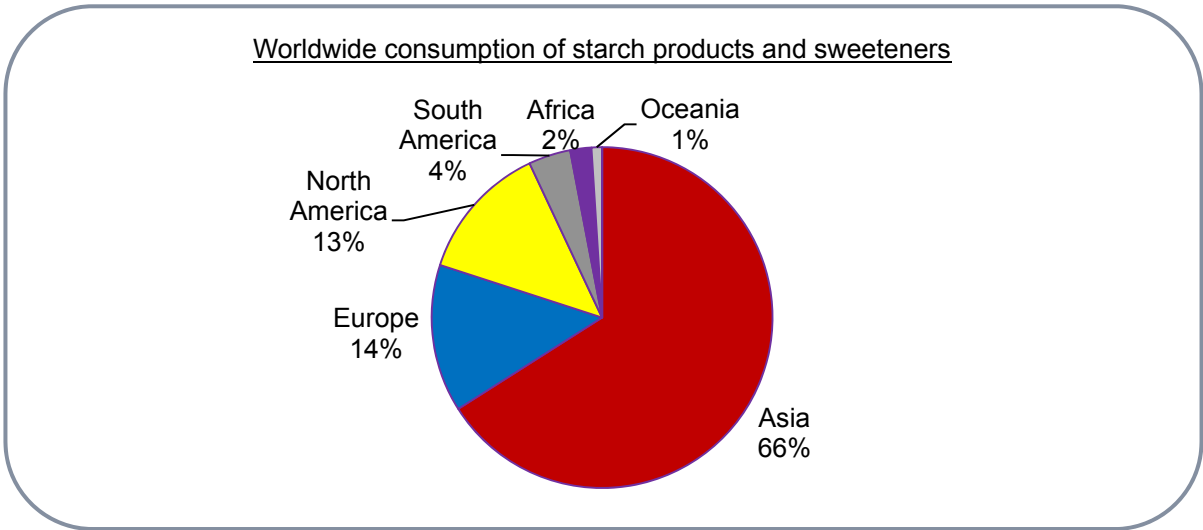
The worldwide consumption of starch products and sweeteners has been characterized by a strong growth and increased by 58% between 2000 and 2014 (*i.e.*, a 3.3% CAGR), to reach c. 80 million tonnes in 2013. Since 2000, this growth was mostly driven by emerging countries, such as China for which consumption was multiplied by c. 4.6x (*i.e.*, c. 12% CAGR) and Brazil where the consumption grew by 47%. China is now the largest market of starch products in the world, representing approximately 22 million tonnes of starches per year, ahead of the United States with 19 million tonnes (*source: LMC*). Brazil is also a large market of starch products, representing an average of 1.8 million tonnes of starches per year (*source: LMC*). However, the per capita consumption of these emerging countries remains generally around 1/3 of the starch consumption in mature markets, such as the United States and Europe (*source: Group estimates*).

The chart below shows the evolution of the worldwide consumption of starch products and sweeteners since 2000.



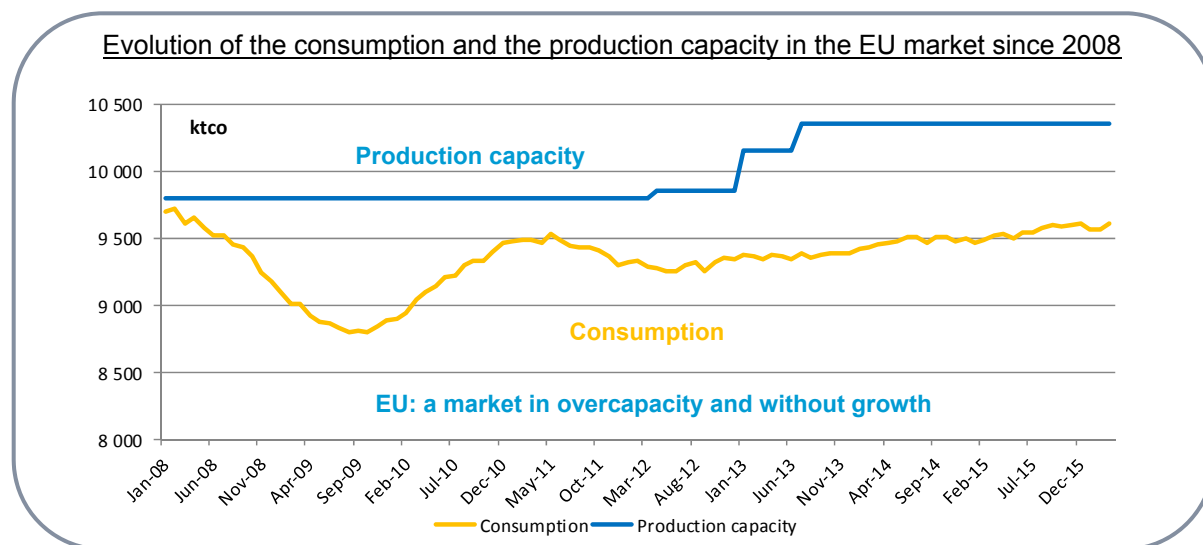
Source: LMC, 2014 (native and modified starches, and starch syrups)

The chart below shows the distribution of the worldwide consumption of starch products and sweeteners.



Source: LMC, 2014 (native and modified starches, and starch syrups)

In the EU, the starch and sweeteners consumption has been almost stagnant since 2011 while production capacity kept increasing exhibiting a significant production overcapacity in the EU of around 10%.



Source: Group estimates, Starch Europe (ex-AAF), EU28 excl. proteins, polyols datas from TSSE, 2016

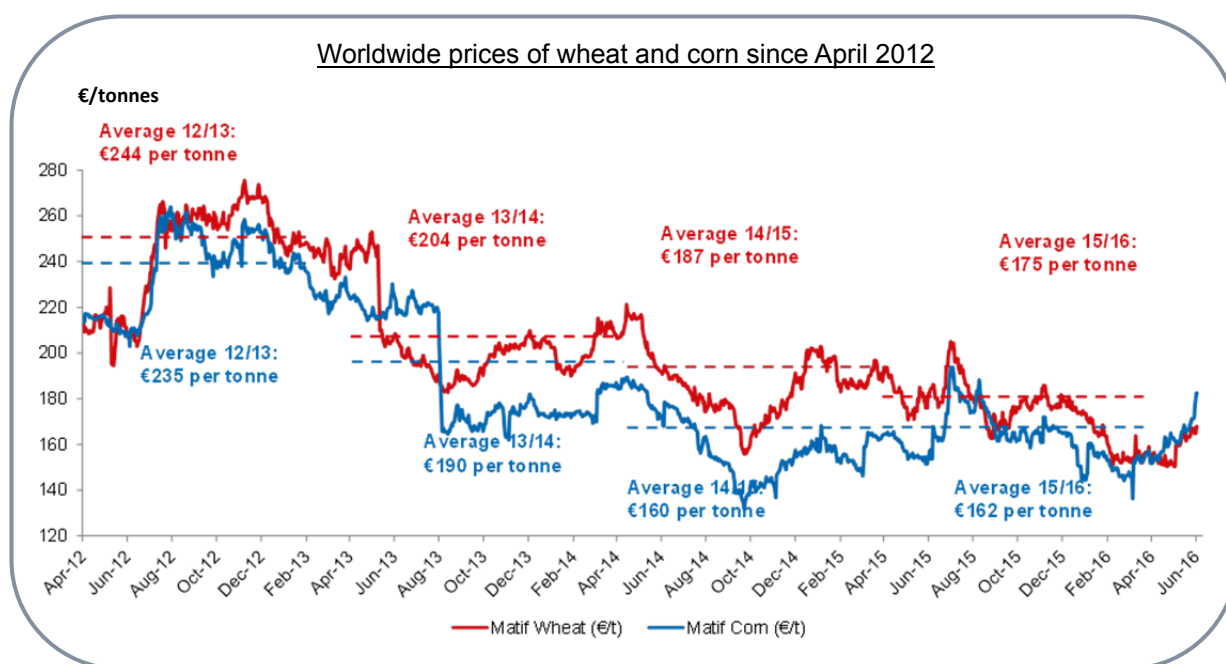
Prices for starches are influenced by supply/demand balance, but also, for a large part of the products, by the prices of the main raw materials, wheat and corn.

Prices for specialty products tend to be far less sensitive to raw material prices, whilst prices for isoglucose (and to some extent functional sweeteners such as glucose syrup) are also influenced by the price of sugar.

Corn and wheat prices have been highly volatile in the last few years, rising from €140/150 per tonne in June 2010 to approximately €250 per tonne in November 2012.

Since then, cereals prices have significantly decreased as a result of increased worldwide grain stocks arising from good harvests with no particular weather events. European wheat prices for 2015/16 are now trading close to €170 per tonne, a level unseen since the 2009/10 crop. As the current outlook for 2016/17 does not point out to a deficit, 2016/17 future prices are trading in a similar range (€168 per tonne for EU wheat and €183 per tonne for EU corn on Euronext exchange). Worldwide grain stocks are expected to reach their highest level at the end of the 2015/16 campaign.

The charts below show the evolution of the worldwide prices of wheat and corn since April 2012.

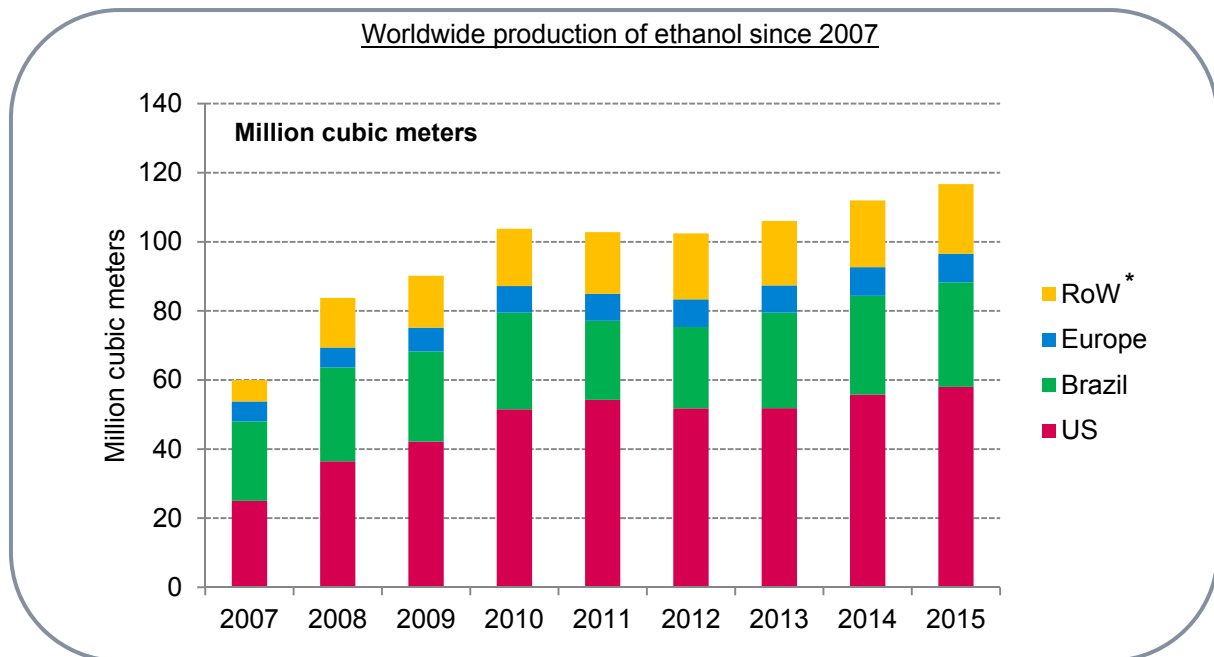


Source: Bloomberg (averages shown by The Group financial year and calculated by the Group)

Ethanol

Historically, global production was characterized by strong growth, increasing from less than 60 million cubic meters in 2007 to 117 million cubic meters in 2015 (*source: F.O. Lichts*). However, worldwide ethanol market growth has stalled over the last few years, due in part to a less favorable biofuels regulatory framework in the three main markets. In 2015, 80% of the ethanol was consumed as a fuel (blended with or replacing gasoline). Ethanol is also consumed by the non-fuel sector (beverage, chemical industry, etc.). The increase of the production over the last 10 years was mostly driven by the fuel sector, non-fuel usage increasing marginally on a global basis.

The chart below shows the evolution of the worldwide production of ethanol since 2007.



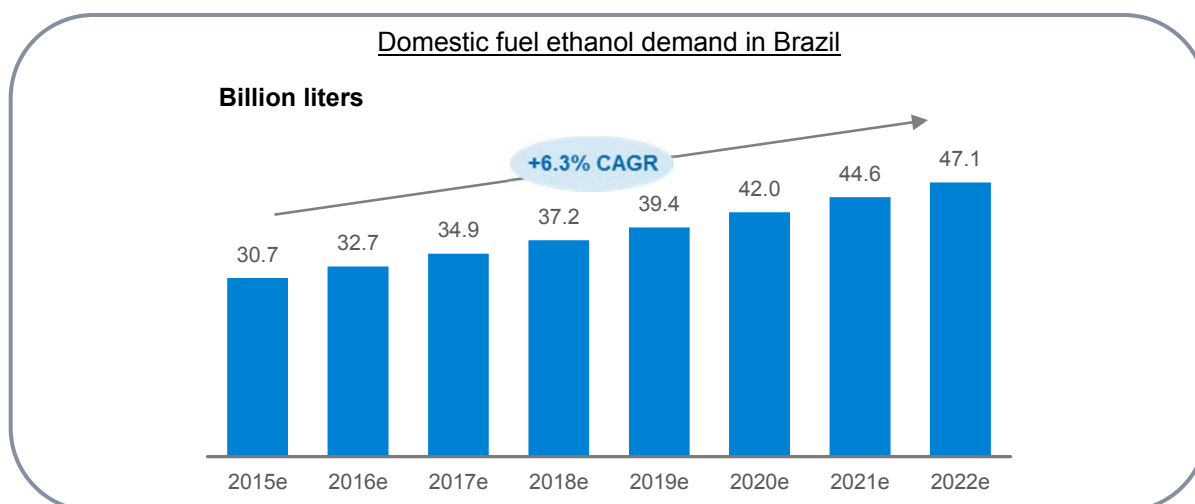
Source: F.O. Lichts

*Rest of the world

Ethanol Brazil

In Brazil, ethanol is produced from sugarcane. Around 60% of the sugarcane being grown in Brazil is used for ethanol (and 40% for sugar production). Brazil remains one of the most promising markets for ethanol given the continued growth in the vehicle market expected in the country over the next 10 years and as currently more than 80% of the new vehicles produced each year are equipped with flex-fuel engines (*source: Anfavea, Group*). In 2020, 34 million of vehicles are expected to be equipped with flex-fuel engines in Brazil compared to just 25 million in 2015 (*source: Anfavea, UNICA, Group*).

The chart below shows the estimated evolution of the fuel ethanol demand in Brazil until 2022.

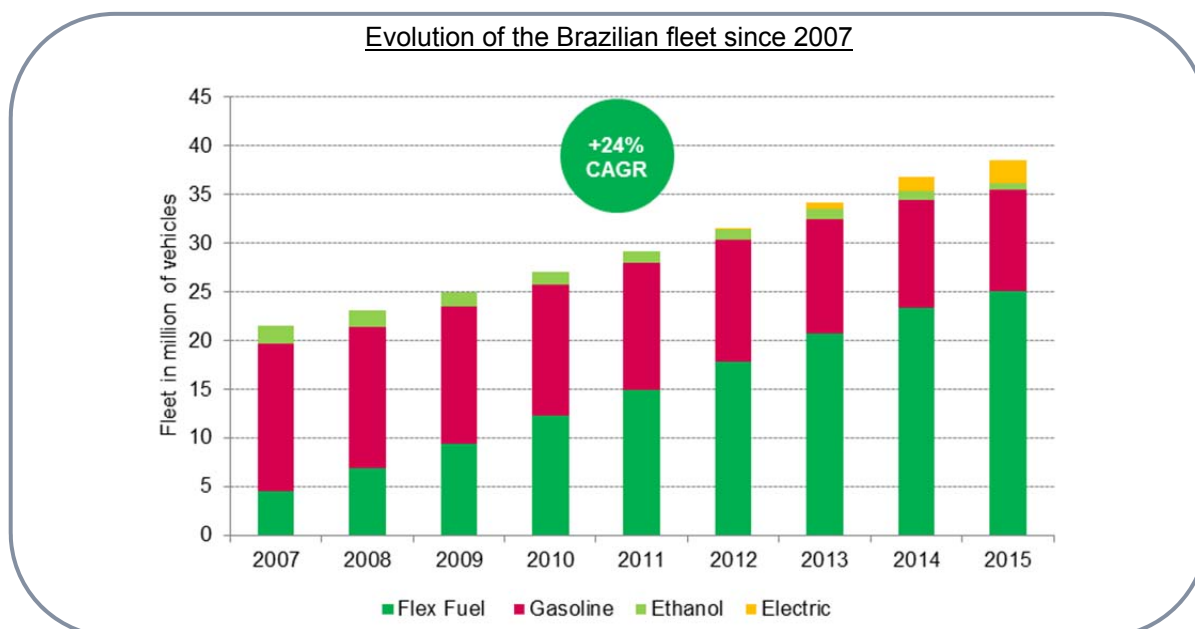


Sources: Group estimates

Overall ethanol production in Brazil has grown from 16 billion liters in 2005/06 to currently around 30 billion liters in 2015/16.

Anhydrous ethanol (the one blend in gasoline) represents 35% of the total production. Hydrous ethanol (the one replacing gasoline) represents 65% of the total production. Unlike sugar, most of the ethanol produced in Brazil is consumed domestically. In 2015/16, only 1.9 million m³ of ethanol was exported out of a total production of 28 million m³, i.e. 93% of the production was sold on the domestic market.

The chart below shows historical evolution of the flex fuel fleet.

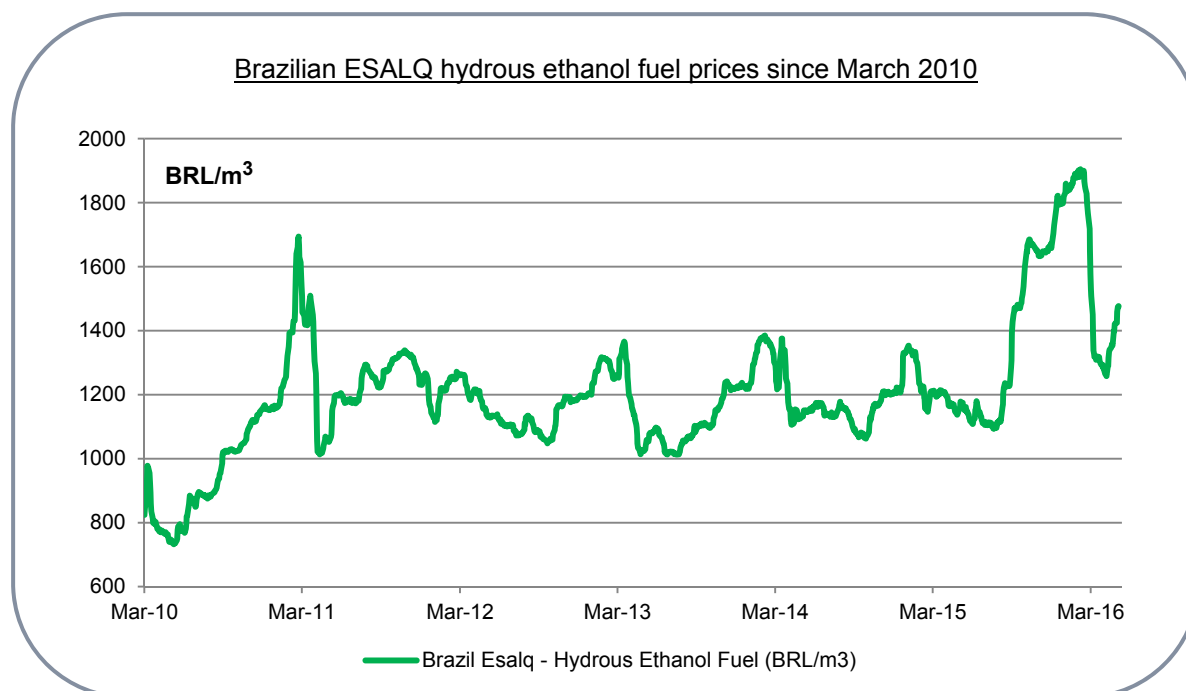


Source: UNICA

In Brazil, ethanol prices are influenced by the regulatory environment (e.g., taxes, blend ratio, gasoline prices, etc.). National blend mandate is now set at 27% ethanol in gasoline. With a flex-fuel car, Brazilian consumers can choose to put either the gasoline-ethanol blend (anhydrous ethanol being blend into gasoline) or only ethanol (hydrous ethanol in that case). As the gasoline price is state-regulated, and as gasoline and ethanol are substitutes for many consumers, ethanol price is

linked to gasoline one. Brazilian ethanol prices increased strongly during the second half of the 2015/16 campaign year (April to March) thanks to an increase of +6% in gasoline prices in October 2015 and a higher than expected domestic consumption, in large part driven by favourable tax measures taken by the Federal and regional governments.

Prices have weakened substantially in recent months, in large part as a result of the rapid ramp-up of the new campaign. Traditionally, prices tend to be their highest during the intercrop period (January to March).



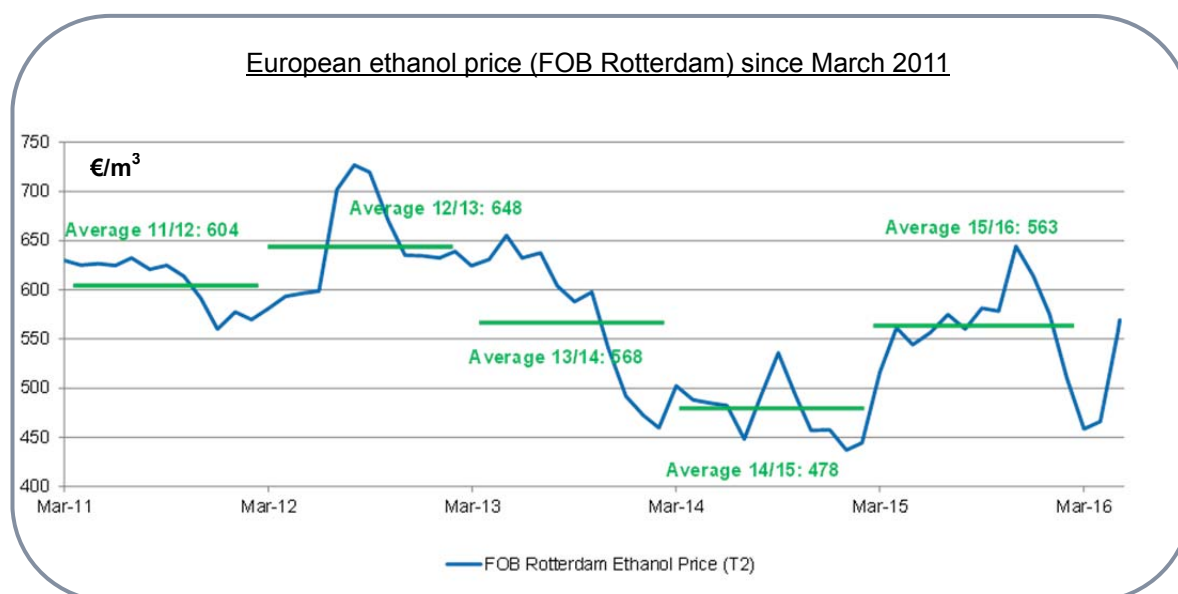
Source: Bloomberg

Ethanol EU

The EU ethanol market is much smaller than its Brazilian counterpart (5.8 million m³ of fuel ethanol produced in EU (*source: ePURE, 2015*)) and the EU ethanol consumption is driven principally by regulation as in any other country where biofuels are promoted. Under the Renewable Energy Directive revised by the ILUC Directive (2015/1513), Member States are required to reach a minimum of 10% of renewable energy in transports by 2020 and biofuels produced with food crops are capped at 7%. So called advanced biofuels, *i.e.* biofuels which are not in competition with food crop land and which deliver higher greenhouse gas (GHG) savings are to be encouraged under the revised Directive. Only biofuels delivering a minimum of 35% GHG savings can count towards the 10% target and this percentage will increase to 50% on 1 January 2018. The Fuel Quality Directive requires a reduction of 6% of GHG in fuels by 2020. The GHG performance of a biofuel is therefore increasingly important for EU ethanol producers as this new framework encourages them to improve their carbon footprint. Germany, the first EU ethanol market with a 26% share of EU consumption, changed its regulation on 1 January 2015 and switched from a blend mandate target to a GHG savings target with the result that more and more advanced biofuels are sold on this market.

Ethanol demand has been slightly decreasing over the last five years mostly due to the debate on food compared to fuel which encouraged a number of Member States to slowdown or stop increasing their biofuels consumption. The decreasing EU gasoline consumption did not help rebalance this trend. With the adoption of the ILUC Directive, the debate is settled for now. Given the fact that Member States are lagging behind their national biofuels objectives, fuel ethanol consumption may be expected to grow again to achieve the 10% by 2020. One possible way is to promote the consumption of E10 (*i.e.* gasoline with a maximum of 10% volume of ethanol) in the EU. Although E10 is authorized in the EU, it is only consumed in five Member states: Finland (61% of petrol market share in 2014), France (32%), Germany (c. 15%), Lithuania (c. 3%) and the Netherlands with very limited volumes (*source: ePURE*). Ethanol prices in Europe (T2 Rotterdam index) improved during the financial year 2015/16 with an increase in the average annual price of +13% compared to 2014/15. The mothballing of one important competitor's plant in the United Kingdom in April 2015 and pre-filing for bankruptcy from Abengoa, one of the largest EU ethanol producer, led to uncertainties regarding EU production. Prices reached new highs above €600 per m³ in November 2015, not seen since mid-2013. In Q4 2015/16, prices dropped due to lower seasonal consumption, higher seasonal production and some US imports. Prices have since rebounded to over €550 per m³ with renewed expectations of tensions on the supply/demand balance in the EU.

The chart below shows the evolutions of the European ethanol price since March 2011.



Source: Bloomberg (averages shown by the Group financial year and calculated by the Group)

2 Description of the Group's main business activities

As at the date of this Prospectus, the Group manages its operations based on three divisions: Sugar Europe, Sugar International and Starch & Sweeteners.

2.1 Sugar Europe

The Sugar Europe division includes the sugarbeet processing activities in France, the Czech Republic and Romania, as well as the sugar refining operations in Spain and the distribution operations in the United Kingdom. As of the date of this Prospectus, the Group estimates that it is the second largest European sugarbeet processor and that it has the second largest capacity per site in Europe.

For the financial year ended 31 March 2016, the Sugar Europe division accounted for revenues of €1,760 million, *i.e.*, a decrease of 6% compared with the financial year ended 31 March 2015. In Europe, the total sugarbeet volumes processed by the Group amounted to 17.4 million tonnes, *i.e.*, a decrease of 13% compared to the prior year. 68% were processed for sugar production and 32% for alcohol and ethanol production. In the Sugar Europe division, the Group sold 2.4 million tonnes of sugar in the financial year ended 31 March 2016.

The sugar prices have been historically low during the last financial year (with a decrease in sugar prices of 17% compared to the average of the previous financial year, at constant perimeter). According to data from FranceAgriMer, quota sugar prices in Europe have stabilized since February 2015. In the last twelve months, however, spot prices have been steadily increasing, from around €450 per tonne (delivered basis) in early 2015 to around €577.5 per tonne currently (Kingsman index).

In addition to producing sugar, approximately one third of the Group's sugarbeet volumes processed are used to produce alcohol and ethanol. In the Sugar Europe division, the Group sold 641,000 m³ of alcohol and ethanol in the financial year ended 31 March 2016, of which 89,000 m³ through its activities in the Czech Republic.

On the agricultural side, the sugarbeet yield of the cooperative members of the Group in France grew from 73.7 tonnes per hectare (at 16% sugar content) in the 1997/98 crop to 88.5 tonnes per hectare (at 16% sugar content) in the 2015/16 crop, and the Group is targeting a yield of 93 tonnes per hectare by 2020 in France. For the 2015/16 crop, the average sugar yield for the entire Sugar Europe division was 84.9 tonnes per hectare (at 16% sugar content). The Group demonstrated a strong industrial performance in 2015/16 with a very high average daily volume of sugarbeet processed in France (132,500 tonnes per day).

The regulation of sugar production quotas in Europe will end in September 2017. In order to prepare for this new regulatory environment, the Group is working on various initiatives:

- the implementation of an ambitious performance improvement plan;
- the reduction of its energy consumption through a multi-year investment plan of more than €100 million, which is designed to reduce consumption of energy in France by 15% by 2017, and carbon dioxide emissions by some 20%;
- the development of its sugar production, by approximately 20%, and product mix flexibility to increase capacity utilization of existing sugar production facilities, which requires securing additional volumes from its beet suppliers, and some selected investments in syrup storage capacity and process improvement;
- the development of sugar export sales from Europe, with the set-up of Tereos Commodities Sugar, and selected investments in container loading facilities in France;

- the enhancement of the Group ethanol exports capabilities with the intention to optimize revenues coming from ethanol and diversify its sourcing, with the set-up of Tereos Commodities Ethanol; and
- the evolution of beet pricing structure.

As a result of these initiatives, the Group decreased its sugarbeet production cost in France by 10% between financial year 2013/14 and financial year 2015/16 and expects to continue to lower such cost by approximately 5% for the financial year 2017/2018.

2.1.1 Operations

France

France is the Group's historical market, where it benefits from over 50 years' experience. The Group is the leading sugar producer in France and a major player of beet-based alcohol and ethanol (*source: Group estimates*).

As at the date of this Prospectus, the Group has nine sugar plants in France, mainly located in the North of the country, the historical area for sugarbeet growing. All of the Group's business activities in France are ISO 9001 certified. These plants are located in: Origny (Aisne), Artenay (Loiret), Attin (Pas de Calais), Boiry (Pas de Calais), Bucy (Aisne), Chevières (Oise), Connantre (Marne), Escaudœuvres (Nord) and Lillers (Pas de Calais). The Origny plant is the Group's historical plant. The Connantre sugar plant, with a potential production capacity of 3,300 tonnes of crystal sugar per day, is the factory with the largest daily production capacity in the world among the sugarbeet transformers. As of the date of this Prospectus, the Group produces raw and fine alcohol and ethanol from beet at five industrial facilities in France: Artenay, Bucy, Lillers, Morains-le-Petit and Origny.

The Group is currently implementing in France a multi-year energy consumption reduction program for sugarbeet production which covers in particular the Connantre site (new gas boilers) and the Artenay site (vinasse methanization).

Czech Republic

The Group has been operating in the Czech Republic since 1992 through Tereos TTD. The Group owns 62.07% of Tereos TTD, which is the main producer of sugar (*source: SZIF, Czech Republic authority*) and alcohol in the Czech Republic (*source: Group estimates*). Tereos TTD was founded in 1831, when the Dobrovice plant began operations; Dobrovice therefore has over 180 years' experience of producing sugar. The Dobrovice bioethanol plant is the largest industrial distillery producing bioethanol in the Czech Republic, and started up in 2006. Tereos TTD's other main shareholder is the German Group Nordzucker.

The Group has two sugar plants in the Czech Republic with an annual production capacity of sugar of 300,000 tonnes. Its Mělník packaging unit handled the packaging of over 60,000 tonnes of sugar. The Group also produces alcohol and ethanol from sugarbeet in its three distilleries. In February 2012, the Group strengthened its Czech activities with the acquisition of the Moravský lihovar Kojetín distillery in Moravia, in the Eastern part of the country. This distillery produces a highly refined alcohol for the food and cosmetics industries from molasses. Its annual production capacity amounts to 22,000 m³, thereby raising the Group's total capacity in the Czech Republic to over 140,000 m³.

Romania

Further to the acquisition of assets in Ludus in Romania in 2013, the Group created Tereos Romania in 2014. The sugar plant has an annual production capacity of 60,000 tonnes of white sugar from sugarbeet. In addition, a raw sugar refining unit was built in 2014 with an annual production capacity of 50,000 tonnes. It commenced operations during the 2015/16 financial year.

Spain

In 2008, the Group and Acor, a Spanish sugarbeet farmers' cooperative, created a joint industrial company. Under this agreement, a refining unit was established and started its activities in 2010 at Acor's factory in Olmedo, Valladolid, to refine 120,000 tonnes of raw sugar per annum. This unit is managed by Acor and relies on Tereos cooperative's past experience. On a long-term basis, Tereos guarantees the supply of raw sugar to be refined in Olmedo, mainly coming from the Group's sugar production units in the Reunion Island and Mozambique. In addition, the Group, via Tereos Sugar France is responsible for the distribution of sugars produced in the Olmedo refinery which produced 55,000 tonnes of white sugar during the refining period between April to June 2015. Moreover, Tereos and Acor act together to market sugar through a company 60% owned by Tereos and 40% by Acor, Acor and Tereos Iberia. This company is managed by Tereos, benefiting from the commercial expertise of both companies in Spain. It markets sugar produced by the refining unit, as well as sugar from the Acor cooperative and sugar imported by Tereos for Spain.

United Kingdom

In May 2015, the Group acquired Napier Brown Sugar Limited, one of the Europe's largest independent sugar distributors which distributes around 250,000 tonnes of sugar per year. Napier Brown's retail brand, *Whitworths* Sugar, is very popular among UK customers and its retail distribution business has experienced strong growth over the past few years and enjoys a market share of around 20% in the United Kingdom. Napier Brown is also a major partner for the food industry with a market share of around 15% in the United Kingdom. Napier Brown has 126 permanent employees as at the end of March 2016 and operates from two sites. Its logistics platform in Stallingborough, Lincolnshire, is dedicated to the import and the distribution of industrial sugars and is located to the east of the 'M62 corridor', the largest food production area in the United Kingdom. Its commercial and retail packing site in Normanton, Yorkshire, produces a broad range of sugars for retail distribution.

The Group was already a well-established player on the United Kingdom sugar market but is also active in the production and sale of alcohols, glucose syrups, starch and wheat protein.

In order to maximise its efficiency the business previously operated by Tereos UK and Syral UK are now operated by Napier Brown Sugar, which was renamed Tereos UK and Ireland Ltd. This created a business which sells around 375,000 tonnes of sugar annually, sourced from both Group companies and also third-party suppliers.

2.1.2 Main products

Sugar

In France, the Group produces solid sugars (granulated sugar and sugar lumps) and liquid sugars, for retail or industrial purposes. Some 90% of the Group's production in France is sold to industrial clients (B2B), mainly to food manufacturers, and the remaining 10% is sold to retail. For the financial year ended 31 March 2016, most of the Group's sugar volume was sold in the EU, for the major part outside France.

For the B2B activity, the Group is a key supplier to major international companies in the food sector as well as to the chemical, pharmaceutical and fermentation industries.

The retail sugars (B2C activity) include white sugar, brown sugar and specialty products in the form of powder or cubes, for direct usage addressing both demand from retailer chains as well as catering. In the retail segment, the Group relies on strong brands in each of its production countries with *Béghin-Say* in France *Whitworths* in the United Kingdom and *Elan Do Zivota* in the Czech Republic. In France for instance, *Béghin-Say*, *La Perruche* and *Blonvilliers* benefit from strong brand awareness; the Group's range of products covers all market segments with a full range of products, from traditional

sugars in lump or crystal form under the *Béghin-Say* brand, to specialties like *La Perruche* and *Blonvilliers* brown cane sugars. In the low calories segment, *Béghin-Say* holds a leading position with "*Ligne aux Extraits de Stevia*", a wide exclusive range available both in white and brown cane sugar mixed with Stevia extracts. Also, *La Perruche* is a worldwide brand now available in more than 42 countries.

In October 2010, the Group set up a joint venture, Tereos PureCircle Solutions ("**TPCS**"), jointly owned with the Malay PureCircle Group, the world leader in stevia-based ingredients for the food and beverage industry. In June 2015, it acquired the stake of Malay PureCircle Group and now holds 100% of TPCS. TPCS focuses on developing and marketing sweetening solutions combining sugar and stevia extracts to industrial customers in six European countries (Belgium, Spain, France, Italy, Portugal and the Czech Republic).

Bioethanol

In France, the Group produces ethanol from sugarbeet (first generation) and sugarbeet residue (Advanced Bioethanol). Bioethanol, used directly or in the form of ethyl tertiary butyl ether (ETBE), is often used as an additive to gasoline. The Group produces ethanol for both direct use and ETBE production. The Group also produces ethanol in the Czech Republic.

Alcohol

The Group produces alcohol by processing sugarbeet in France and in the Czech Republic. The sugar is extracted from beet and then fermented in order to be transformed into alcohol.

The Group produces different types of alcohol from sugarbeet which are intended for various non fuel usages:

- raw alcohol used as a chemical intermediate for instance for the production of solvents, or as an additive in inks, paints;
- high-purity alcohol known as "surfin" used in spirits, cosmetics (perfumes, aromas) pharmaceuticals;
- dehydrated high-purity alcohol used in pharmaceutical industries as a solvent for antibiotics production for example and also as a biocide as well as in the cosmetics industries in various cleaning solutions, deodorants and perfumes; and
- "heads & tails": alcohol containing impurities, used for windscreen washers, alcohol to burn or in addition to fuel ethanol.

Co-products

As co-products of its main sugar and alcohol & ethanol production from sugarbeet, the Group also produces pressed pulps and dehydrated pulps for animal feed, and vinasses used as land fertilizers. In addition, in the Artenay plant, Tereos has developed the world's first sugarbeet vinasse methanization unit (e.g., bio-gas). As another example of co-products value extraction, the Group commissioned, on the Origny plant site, a unit that produces betaine from beet vinasse. This unit, which is the world's largest betaine unit from beet vinasse, is owned by the US group DuPont and operated by the Group.

2.1.3 Main competitors

In the French sugar sector, the Group's main competitors are Cristal Union Group and Saint-Louis Sucre, a subsidiary of the German Südzucker Group. In Europe, the Group competes also notably Sudzucker, Nordzucker, British Sugar (part of Associated British Food) and Pfeifer & Langen.

In the European ethanol market, the Group's main competitors are CropEnergies (Südzucker Group), Abengoa and the Cristal Union Group.

In the French alcohol production industry, the Group's main competitors are the Cristal Union Group, Ryssen, CropEnergies (Südzucker Group) and Cargill, as well as various alcohol importers.

2.2 Sugar International

The Group's Sugar International division includes the activities of sugarcane processing in Brazil, Africa and the Indian Ocean.

Brazil

In 2002/03, the Brazilian company Guarani, with its two mills, Severinia and Cruz Alta, became part of the Group. In 2006, Guarani acquired the São José sugar mill and the Tanabi project which started the ethanol production in 2007. In 2007, Guarani acquired a majority of the Andrade sugar and ethanol production facility. Three years after, in 2010, the Group strengthened its Brazilian presence through the acquisition by Guarani of facilities in Vertente and Mandu. The Group's sugarcane crushing and electricity production has grown significantly since 2003. The total sugarcane harvest of the Group in Brazil during the 2015/16 crop amounted to 19.6 million tonnes, on a full consolidation basis (compared to 3.8 million tonnes of sugarcane in 2003/04) and the Group produced nearly 870 GWh of electricity (compared to 22 GWh of electricity in 2003/04).

Reunion Island

The Group acquired the sugar operations of Groupe Quartier Français (GQF), the largest sugar producer in the Reunion Island, in 2010. This acquisition enabled the Group to become the leading player in the Reunion Island sugar market with two sugar plants on the island, each of which benefits from an agreement with a cogeneration unit. The Reunion Island benefits from preferential treatment under European sugar regulations compared with other EU sugar producers. These provisions provide in particular for the granting of subsidies to growers with the aim of protecting sugarcane production which is key to the island's economy. The French Government also granted tax benefits in order to encourage investment and introduced a guaranteed minimum price for the purchase of electricity generated from bagasse.

Africa

In Mozambique, the Group owns 95.02% of Companhia de Sena, a sugarcane growing and processing company based in Marromeu in central Mozambique. Companhia de Sena benefits from certain tax advantages, which, combined with the availability of the land and the favorable weather conditions in Mozambique, make its operations complementary to the Group's export activities. Companhia de Sena specifically benefits from the European market export mechanism set up under the "Everything but Arms" program, which exempts all EU imports, with the exception of weapons, from certain developing countries, including Mozambique, from any applicable customs duties.

In 2010, through the acquisition of Quartier Français, Tereos became the owner of a 40% stake in Sucrière des Mascareignes Ltd., a company owning 75% of Tanganyika Plantation Company, a sugar factory in Tanzania. In August 2015, Sucrière des Mascareignes Ltd. also acquired 51% of Transmara Sugar Company Limited, a sugar factory located in Kenya.

Through Loiret & Haëntjens, a company majority owned by Tereos through Tereos Ocean Indien, the Group is active in importing, storing and distributing sugars and agricultural commodities in Europe.

The sugarcane crop in Brazil generally starts in April and ends in December, while the sugarcane in Africa and the Indian Ocean generally starts between late April and early July and ends in December. In Brazil, the Group is involved in the production, on leased land, of around 40% of its sugarcane needs (based on 2015/16 crop figures). The Group secures its access to sugarcane from third parties through long-term supply contracts with sugarcane producers (with an average of 6-year contracts in Brazil). In Mozambique, the Group ensures the production of all of its sugarcane supply, on long-term leased land. Finally, in the Reunion Island, the Group sources sugarcane from local third party growers.

For the financial year ended 31 March 2016, the Sugar International division accounted for revenues of €1,066 million. Through this division, the Group sold 1.9 million tonnes of sugar from sugarcane (including volumes sold via Tereos Commodities Sugar and sugar specialties), roughly 700 thousand m³ of ethanol and nearly 870 GWh of electricity were produced from biomass to be sold to the Brazilian grid, on a full consolidation basis.

The Group has also launched a wide ranging performance improvement plan with a particular emphasis put on the development of agricultural and industrial efficiency. In particular, in Brazil, the Group improved the harvesting efficiency by over 11% in 2015/16 compared to the 2014/15 harvest (and expects another 5% increase in the 2016/17 crop) and the sugarcane transportation efficiency improved by 22% in 2015/16 compared to 2014/15 (*source: Group estimates*).

As a result of the performance improvement plan, the Group decreased its sugarcane production cost⁶ in Brazil by 7% between financial year 2014/15 and financial year 2015/16 and expects to continue to lower such cost by approximately 7% for the financial year 2016/2017.

2.2.1 Operations

As at the date of this prospectus, the Group is the third largest sugar producer in Brazil (*source: UNICA, CTC, Group estimates*) with seven high-capacity industrial sites in the Sao Paulo State. Its annual sugarcane crushing capacity in Brazil amounts to some 23.0 million tonnes. The Group has seven industrial facilities in Brazil that are dedicated to crushing sugarcane, with an average crushing capacity of approximately 3.3 million tonnes per factory. The plants are located in the North-Western area of the State of Sao Paulo, one of the world's most productive regions for the sugarcane crops due to its favorable climate and fertile soil, as well as for the extent of available land and infrastructure for sugarcane cultivation. In addition, the plants are all close to one another, forming a "cluster", as well as to the main domestic market and main highways to access port infrastructures for exporting sugar and ethanol, which enables the Group to ensure efficient supply of raw materials and delivery of the Group's products. Furthermore, the seven plants all have their own biomass based energy production units which are used for internal consumption and six plants also commercialize part of the energy produced. The facilities include the plants of Cruz Alta, Severinia, São José, Tanabi, Andrade, Mandu and Vertente (owned through a 50/50 joint venture with the family-owned Humus Group, its historical operator). The Group is ensuring part of its sugarcane supply through the farming of approximately 140,000 hectares of land on long-term leases. This accounted for approximately 40% of the sugarcane supply in the financial year ended 31 March 2016.

⁶ Considers only own sugarcane costs of harvesting, loading, transportation and industrial costs, at constant Total Recoverable Sugars (it is the actual sugar content in harvested sugarcane, which determines how much sugar and ethanol can be produced (*source: UNICA*)) content, at constant currency (inflation corrected to 2015/16 BRL); inflation factors considered were 9.5% to bring 2014/15 to 2015/16 levels and 8.3% to bring 2016/17 to 2015/16 levels

The Group owns the two sugarcane plants of the Reunion Island, namely the Bois Rouge and Le Gol facilities, with a combined crushing capacity of roughly 2.2 million tonnes. Both facilities benefit from agreements with cogeneration units operated by Albioma.

In Mozambique, the Group's plant has a crushing capacity of around 1.0 million tonnes and has the only sugar refinery in the country. Companhia de Sena benefits from a renewable license granted by the Government of Mozambique in order to use and develop 98,000 hectares of land over a 50-year period, with a renewal option for a further period of 50-years. Companhia de Sena is responsible for its supply of sugarcane, which it farms on approximately 15,000 hectares.

In Tanzania, the Tanganyika Plantation Company processed nearly 1.0 million tonnes of sugarcane during the 2015/16 crop, producing nearly 95,000 tonnes of sugar.

In Kenya, the Transmara Sugar Company Limited, with a cane crushing capacity of 600,000 tonnes, produced 60,000 tonnes of sugar in 2015.

2.2.2 Main products

The main products the Group markets from the Sugar International division are sugar, ethanol and electricity.

Sugar

In Brazil, the Group offers a wide assortment of sugars over sixty different product lines across six types of sugar. It produces VHP, Crystal, Granulated, Amorphous, Liquid and Liquid Inverted types, under various specifications and packaging modes. The Group is one of the industry leaders in the production and sale of high value-added sugars, particularly granulated, refined (such as amorphous sugar and granulated ICUMSA 45 sugar), liquid and inverted liquid sugars. In the retail market, amorphous refined sugar is packaged and sold directly to supermarkets. Industrial customers, meanwhile, are generally large companies in the food and beverage industries. In this segment, the Group also sells raw sugar, like granulated sugar (ICUMSA 150 and 200 to 300), special granulated sugar, icing sugar and coating sugar. 48% of the production was exported in the financial year ended 31 March 2016.

The Group also produces sugar from sugarcane both in the Reunion Island and Mozambique. In the Reunion Island, the Group markets its products under the well-known *Sucrierie de Bourbon* brand.

Ethanol

In Brazil, the Group produces and sells anhydrous and hydrous ethanol. Anhydrous ethanol is sold in special tanks allowing the transportation of inflammable products, and is used as an additive for gasoline that is supplied to gas stations. Hydrous ethanol is sold directly to fuel distributors, and supplied to gas stations for direct use in vehicles. During the financial year ended 31 March 2016, around 73% of the ethanol produced by the Group was hydrous ethanol, while the remaining 27% was anhydrous ethanol. In the financial year 2015/16, approximately 74% of the Group's production of ethanol was sold to BR Distribuidora (Petrobras Distribuidora S.A.), under a long term contract which ended on 31 March 2016. New short term contracts have now been negotiated with domestic clients.

Electricity from cogeneration

At the date of this Prospectus, all of the Group's plants in Brazil are self-sufficient in electricity, their production covering all of their electricity needs. The Group has been selling the excess electricity generated by certain of its plants since 2003. As of today, Tereos represents approximately 3% of the Brazilian biomass-related energy installed capacity and 4% of the biomass-related energy effectively delivered to the grid (*source: Group estimates*).

2.2.3 Main competitors

The Group's main competitors for the production of sugar in Brazil are Raizen (joint venture between Shell and Cosan groups), Biosev (subsidiary of Louis Dreyfus Commodities), Odebrecht Group (ETH), Sao Martinho, Bunge, Santa Terezinha, Noble/COFCO and Moreno.

In Africa and the Indian Ocean, the Group's main competitors for the production of sugar are Illovo (Associated British Foods group), Tongaat Hulett, TSB Sugar (Remgro group), Cosumar, Kenana, Groupe Vilgrain and Dangote Sugar.

2.3 Starch & Sweeteners

The Group's Starch & Sweeteners division includes the activities related to production of starch & sweeteners, alcohol & ethanol, and co-products, such as wheat protein, from the transformation of wheat and corn, but also to a lesser extent, potato and manioc.

In Europe, the Group is the third largest producer of starch-based products, including starch and sweeteners (*source: Group estimates*). The Group is also one of the largest producers of wheat proteins worldwide (*source: Group estimates*). It benefits from a diversified feedstock mix in Europe, with 73% of wheat, 21% of corn and 6% of potatoes.

For the financial year ended 31 March 2016, the Starch & Sweeteners activities accounted for revenues of €1,509 million, *i.e.*, an increase of 1% compared with the financial year ended 31 March 2015; the total volume of cereals/tubers processed by the Group amounted to 4.5 million tonnes including European alcohol joint ventures; the Group sold 2.1 million commercial tonnes of starch-based products.

The total bioethanol sales from cereals amounted to around 250 thousand m³ for the financial year ended 31 March 2016, *i.e.*, slightly decreasing compared to the financial year ended 31 March 2015. The Group's total European alcohol sales from cereals amounted to around 220 thousand m³ for the financial year ended 31 March 2016, *i.e.*, up by 4% compared to the financial year ended 31 March 2015, including volumes produced and sold by the Frandino joint venture for an equivalent of 188 thousand m³.

In Europe focus is put on regaining margin on starch and sweeteners product family, leveraging the potential of wheat protein and implementing and delivering a new performance plan.

The Group decreased its glucose production cost in Belgium by 2% between financial year 2013/14 and financial year 2015/16 and expects to continue to lower such cost by approximately 7% for the financial year 2017/2018.

2.3.1 Operations

The Group has thirteen industrial facilities fully-owned or in partnership, that specialize in starch-based products, based in Europe, Brazil, China and Indonesia. Eight of these facilities consume their energy from their own cogeneration (*i.e.* all except Marckolsheim, Haussimont, Palmital, Cilegon and DVO-Origny). These facilities include: Nesle (one of the largest wheat milling plants in the world), Marckolsheim, Lillebonne, DVO-Origny, Haussimont (France), Aalst (Belgium), Saluzzo (Italy) Zaragoza (Spain), Selby (United Kingdom), Palmital (Brazil), Dongguan and Tieling (China) and Cilegon (Indonesia). Four of these facilities (Aalst, Nesle, Zaragoza and Saluzzo) were acquired from Tate & Lyle in 2007. Two of these facilities are joint ventures with the Frandino Group (Saluzzo and Selby).

The Haussimont starch plant in France, which is specialized in starch-potato processing, was acquired in December 2011. This acquisition has enabled the Group to enhance its portfolio of raw materials (which now comprises corn, wheat, manioc and potatoes) processed into starch-based products at its plants. The Group owns 100% in the Haussimont starch-potato processing plant, since 2014, when Société Coopérative Agricole Féculière d'Haussimont (CFH) joined the Group.

The Palmital site in Brazil, with a processing capacity of 150,000 tonnes of corn and 150,000 tonnes of cassava per year, has been added in September 2011, with the acquisition of Halotek Amidos and Halotek Fadel Industrial, which specialized in the production of starch from cassava. The Group now owns 100% of the share capital of Tereos Starch & Sweeteners Brazil and has developed in the same location an additional corn-based starch production facility in 2013.

Furthermore, in 2011, the Group entered into a partnership with the Wilmar Group, one of the largest agribusiness groups in Asia, in order to commence operations in China to produce starch from wheat and corn through joint ventures in which Wilmar holds 51% and the Group 49%. This development comes at a time when China represents the largest starch market in the world, ahead of the United States. The Wilmar Group has already developed significant edible oils and wheat flour operations in China. Tereos Starch & Sweeteners brought its expertise in industrial cereal processing methods as well as its knowledge of the customer applications to the partnership. As part of this partnership, in 2014, the Dongguan plant, which produces starch from wheat, with a processing capacity of 500,000 tonnes of wheat, was constructed near Guangzhou. The Tieling plant in Northern China with a processing capacity of 700,000 tonnes of corn produces starch and sweeteners (glucose syrup and fructose).

Finally, in 2014, the Group established its presence in Indonesia through the acquisition of a 50% stake in Tereos FKS Indonesia, the country's only corn starch facility, in joint venture with the FKS Group. This entity, which has been renamed as Tereos FKS Indonesia, has a processing capacity of 330,000 tonnes of corn annually and is currently working on a product diversification plan (including maltodextrin) for 2016.

The Group produces alcohol from wheat, as well as ethanol, at six industrial facilities in Europe and one in China: Nesle, Lillebonne, DVO-Origny (France), Saluzzo (Italy), Selby (United Kingdom), Aalst (Belgium) and Dongguan (China). Saluzzo and Selby sites are operated through a partnership with the Italian family-owned Frandino Group (see Section 4.2 below). Dongguan site in China is operated through a partnership with Wilmar.

2.3.2 Main products

The Group offers a full range of starch-based products and ingredients that can be found in a wide range of food and non-food products. These products are intended for clients in the food, beverage, paper, cardboard, pharmaceutical, green chemistry and animal feed industries. The Group markets its sweeteners and other starch-based products produced in Europe under its own brands.

The Group produces native starches, modified starches, sweeteners and vegetable proteins. Through its Tereos BENP, Tereos DVO, Tereos Syral subsidiaries and Frandino joint ventures, the Group also processes cereals into alcohol and ethanol.

Native starches

The native starches produced by the Group are used as binding, texturizing, thickening, stabilizing, or gelling agents. Native starches are used also in food preparations among which sauces, desserts and milk-based drinks, cookies or snacks in technical applications such as paper coating to smoothen irregularities and avoid a "blotting" effect and in the manufacturing of plaster casts and glues.

Modified starches

The properties of native starch are essential for most of the applications described above. In certain cases, however, it is necessary to extract new functionalities, such as cold solubility, viscosity, stability after thawing and fluidity. In these cases, native starches are processed or modified.

The modified starches produced by the Group enable the starch to be adapted to technological constraints for the food industry (e.g., preparation of microwavable meals or dehydrated soups) and the industrial sector. The purpose is generally to prevent starch's natural tendency to deteriorate. Ultimately, products made from modified starches are easier to prepare, have a longer shelf-life and are more stable at varying temperatures.

Sweeteners and other starch derivatives

The Group also produces a wide range of sweeteners.

Glucose syrups are widely used in the confectionery sector, where they improve the stability of candies by inhibiting the crystallization of saccharose or in drinks to provide a sweeter taste. High-fructose syrup "also called isoglucose" is used in the soft drink industry as an alternative to sugar. Quotas on isoglucose in Europe will disappear in 2017.

Maltodextrins and dehydrated glucoses produced from the dehydration of glucose syrups are preferably used for their energy content in sectors such as baby food, sports nutrition and enteral nutrition (i.e., tube feeding).

Polyols are hydrogenated derivatives of glucose syrups, e.g., sorbitol, maltitol, or mannitol. Sorbitol, a dextrose derivative, is used in the food-processing industry, and for producing hygiene products (e.g., dental) and cosmetics, due to its emollient and refreshing properties; it is also used in chemical applications. Maltitol, a maltose derivative, is primarily used in food production where its high sweetening power and low energy value enable the development of low-calorie confectionery, desserts and light ice creams. Mannitol, another polyol specialty produced by Tereos is used mainly in pharmaceutical applications.

Vegetable proteins and co-products

In addition to starch & sweeteners, the Group also produces vegetable proteins, such as wheat and maize gluten, which are used in the food and animal feed industries. Wheat proteins can be further modified in order to acquire various properties that are useful in the food industry. Finally, the fibers extracted are processed into wheat or corn foodstuffs for animal nutrition.

Bioethanol

The Group produces bioethanol from wheat and extraction residues.

Alcohol

Alcohol is also produced from wheat. The starch extracted from cereals undergoes an enzymatic hydrolysis to monomeric glucose which is further fermented to alcohol. The Group produces alcohol for different uses such as chemistry, cosmetics and perfumes and has a significant outlet for the use in spirits, and in particular white alcohols such as gin, vodka, etc.

2.3.3 Main competitors

In Europe, the market for starch and starch derivatives is competitive and consolidated. The Group's main competitors are Cargill, Roquette, ADM, Agrana and Tate & Lyle. Outside Europe, the Group also competes in a limited way with ADM, Ingredion, Cargill and local players.

In Europe, the Group's main competitors in the alcohol and ethanol production industry are the companies detailed in the paragraph "*Main competitors*" of section 2.1.3 above.

2.4 Tereos Commodities

2.4.1 Tereos Commodities Sugar

Created in January 2015, Tereos Commodities Sugar⁷ has been consolidated for the first time on 30 June 2015. The ramp up of this company has led to a final revenues of €101 million in the financial year ended 31 March 2016, including revenues of €72 million related to internal Tereos group production and €29 million external trading.

The launch of Tereos Commodities Sugar was a response to the needs from clients and consumers for a more integrated supply chain, from agricultural production to areas of consumption, ensuring transparency and efficiency. The way in which the Group's production technologies, raw materials and sourcing origins all dovetail also enable it to offer a broad range of solutions for its clients, while meeting their needs for flexibility. In this environment, the Group's goal is to represent 15% of international white sugar trade by 2020 in order to meet its clients' expectations and become one of the leading operators.

2.4.2 Tereos Commodities Ethanol

In April 2016, the Group established Tereos Commodities Ethanol⁸, a subsidiary responsible for the commercialization of ethanol. Its mission is to enhance Tereos ethanol domestic and export capabilities with the intention to optimize revenues derived from ethanol. Tereos Commodities Ethanol target is also to diversify its sourcing to better attend the Group's customer needs and amplify the range of products it can deliver.

⁷ Operated under the legal name Tereos Commodities Suisse.

⁸ Operated under the legal name Tereos Commodities France.

3 Social and environmental responsibility

3.1 Human resources

The talent and commitment of the men and women who make up Tereos, and their professional expertise underpin the Group's performance. Tereos relies on its motivated personnel on a daily basis, and ensure it provides them with a fulfilling work environment.

During the financial year ended 31 March 2016, Tereos' workforce amounted to 23,788 employees, of which 15,351 were permanent employees, *i.e.*, a decrease of 4.1% compared with the financial year ended 31 March 2015. This situation covers a variety of different trends, depending on the facilities' operations and geographical location.

Headcount during the financial year ended 31 March 2016	Permanents	Temporary and seasonal workers
Sugar Europe	2,511	906
<i>of which</i>		
<i>France</i>	1,748	673
<i>Subsidiaries (TSM, ATISA, Tereos UK - Deutschland - Italia)</i>	33	0
<i>Czech Republic</i>	434	168
<i>Romania</i>	170	62
<i>Tereos UK & Ireland</i>	126	3
Sugar International	4,179	1,102
<i>of which</i>		
<i>Indian Ocean</i>	479	297
<i>Brazil</i>	3,048	427
<i>Africa</i>	652	378
Starch & Sweeteners	1,897	137
<i>of which</i>		
<i>Europe</i>	1,354	106
<i>Brazil</i>	241	3
<i>Indonesia</i>	302	28
Agricultural activities	6,565	6,286
Central functions	199	6
Total	15,351	8,437

Given the nature of the Group's activities, approximately 35% of Tereos' workforce consists of seasonal workers. The proportion varies significantly depending on the operations and the geographical location. For example, sugarbeet and sugarcane operations require a significant number of seasonal workers, given the alternating harvest and inter-harvest periods.

A large number of agricultural jobs are offered by the Group in Brazil (5,743 employees) and in Mozambique (7,108 employees). These agricultural jobs account for over 54% of the Group's overall headcount. In fact, the sugarcane production operations of the two subsidiaries in question require a large workforce for field work, from planting to cutting, even though mechanized cutting and planting is becoming more widespread in Brazil.

3.2 Research and development

From the local grower to the customer, Tereos contributes through innovation to the improvement of raw materials, to increased agronomy and industrial performance as well as to the development of the Groups ingredient and additive portfolio and BtC products. The Group implements a large number of projects to further develop sustainable agricultural and industrial practices, to optimize its production processes, to find new applications and markets for its existing product portfolio as well as to develop its product portfolio taking into consideration its customers and consumers needs: regional and age-group specificities, new ways of consumption and ever changing life-styles.

Due to its agricultural roots, and its raw materials processing business, the Group has upstream ties to the agricultural sector in all its businesses. Thus, with its cooperative associates, its partners and sugarbeet, cereals, sugarcane, potato and manioc suppliers, the Group makes constant efforts in order to test and develop new seeds and varieties as well as agricultural practices that ensure both agricultural and industrial performance.

The Group Research & development department is relying on its scientific, technical and nutritional experts and is also operating on an open innovation basis; working and collaborating with the best-in-class academic and research institutes, as well as with industrial partners, start-ups and key customers.

Agricultural productivity

Although a relative slowdown in the increase in cereal yields is observed, the productivity of sugarbeet is increasing, in particular, through close relationships with the *Institut Technique de la Betterave* (French SugarBeet Technical Institute, or ITB), a French inter-professional body.

Nowadays, sugarbeets from some of the most recent crops produce slightly above 15 tonnes of sugar per hectare. Not only is the overall quantity of sugar increasing, but the extraction quality is improving, along with other agronomic parameters, such as resistance or tolerance to disease. The technical centers are drawing up very detailed guidelines for farmers in order to implement these innovations.

Through its eRcane research facility in the Reunion Island, the Group is developing new sugarcane varieties. The wide diversity of climates of the island makes it possible to select varieties suitable for all climates around the world, specifically varieties which can be used by the Group in Brazil and Africa. The newest varieties combine high energy and sugar yield.

In February 2015, the Group signed a partnership agreement with France's INRA (*Institut National de la Recherche Agronomique*) which aims to facilitate the exchange of strategic information and increase research and development collaborations on key agricultural, industrial, environmental and nutritional issues. This five-year agreement covers three priority areas: precision agriculture and sustainable agriculture, animal and human nutrition; biobased chemistry and industrial biotechnology.

Industrial productivity

Foodstuff production, the Group's core business, is characterized by heavy investments. The processing of important raw material volumes enables processing costs to be reduced, but requires the set-up of very strict rules and procedures in order to guarantee sanitary and microbial quality. This is even more sensitive in the sector of special nutrition and pharmaceutical products.

While nutrition is the core business and main strategic R&D axis, a strong effort is made on developing new ways to valorize for by-products and waste-streams, in a "no waste" principle. Hence, all of the Group's plants benefit from Tereos' expertise when choosing the best-in-class processes in terms of product quality, sustainability and production costs, like using bagasses to power sugarcane processing plants. This innovation, which was initially launched via investments in the Group's plants in the Reunion Island, is now a worldwide standard, especially in Brazil. Furthermore, the Group launched in 2014 sugarbeet vinasse methanization units in Artenay and Dobrovice, which is a world first.

Research to serve customers and consumers

The approaches in each of the markets covered by the Group are very varied, but complementary: when preparing nutritional products, emphasis is placed on understanding consumers' behavior, expectations and needs. All or part of the sales and marketing effort serves innovation through understanding consumer expectations and forthcoming trends. Tereos performs this work together with its industrial customers but also through its table top sugar brands, such as its flavored sugar range, or the sugar and stevia extracts blend.

The most competitive area of innovation involves the service provided to B-to-B customers. In fact, the products sold in this sector are generally used both for their functional benefit and their sensory quality. For instance, sweets made from starch-derivative polyols may have anti-cariogenic or refreshing properties and also decrease calorie-intake while providing the full sensory quality to the consumer.

These starch derivatives are processed in close collaboration with the customers. The Group provides not only a product but also a design and support service in implementing its properties. In France, the Group offers sugars to its customers in dry or liquid forms, blends, a patented blend of stevia extracts and sugar, which offers better sensorial properties, low-calorie and easy-to-use sweetener solutions for industrial companies.

Towards new outlets and new products

Tereos focuses on new outlets for agricultural raw materials or industrial by-products in its research and development strategy. Besides developments carried out in-house, Tereos has a strong open innovation strategy, working with both academic research and technology providers or start-ups. Tereos is also a stakeholder in the Futurol Project (second generation bio-fuel), alongside several leading companies in the industrial, Research & Development and finance sectors; the aim of the project is to bring technologies and products (enzymes and yeasts) to the market, in order to promote agricultural and forestry co-products, green residues and any other ligno-cellulose biomass. The Group decided to implement an industrial prototype dedicated to second-generation ethanol on the Bucy-le-Long site (Aisne, France) as part of the Futurol project.

In plant chemistry, the Group continued its partnership with Michelin which aims to produce tires from biomass.

Another example is the launch at Tereos' initiative of a technical institute for valuation of vegetable proteins in Europe called "IMPROVE". The ultimate aim is to develop new protein valuation chains starting from European crops. This initiative has been supported both by the French authorities as well as other agribusiness companies and academic research. The institute has started its activities in 2014, and is now entering its second year. Tereos was the winner of the Worldwide Innovation Challenge in 2015 with the "G-en Vie" project (vegetal protein application).

3.3 Quality and Food safety Management

The Group monitors the quality and food safety of its products closely wherever it operates, in accordance with national regulations and internationally recognized standards such as FSCC 22000 or ISO 9001. Halal and Kosher certifications are also in place. For the products sold into the pharmaceutical sector, current good manufacturing practices (GMP) rules and regulations are followed and, where adequate, are audited by the relevant national authorities.

Based on very strict risk analysis procedures which take into account not only the production process but also the requests of customers or requirement of sensitive populations, young infants, elderly or hospitalized persons, the Group implements an adapted product sanitary and quality monitoring policy in all its subsidiaries in order to prevent the risk of quality slippage and to improve continuously its procedures and services.

Crisis management procedures have been put in place in order to intervene in the event of an incident involving product quality or the safety of food and people. Crisis management and traceability exercises are run regularly by all subsidiaries.

Plant certifications	Group total
Number of industrial sites (excluding JV for which Tereos do not have the management and minority interests)	38
ISO 9001	29
ISO 14001	12
ISO 22000/FSSC 22000	30
Sustainability (Bonsucro, ISCC, 2BSvs, Valore, Smeta, SGP etc.)	21

3.4 Corporate social responsibility

To satisfy global needs for food, while taking on board the new societal and environmental challenges, the Group integrates corporate social responsibility at the heart of its strategy, with two goals: further strengthening its contribution as a responsible group and helping drive the business' performance over the long term.

Drawing on the best practices identified within the Group and heading out to meet its stakeholders requirements, the Group has defined pillars that cover the Group's environmental and societal footprint throughout its value chain, from the production of the raw materials processed to their industrial processing and end consumption. There are five pillars: sustainable agriculture, positive logistics and industry, product guarantees, local development, and nutrition and health.

Commitments have been defined for each of these challenges, guiding the Group in its relationships with upstream agricultural channels, as well as in the management of its industrial activities and its relationships with its employees, its customers and all its stakeholders.

This strategy has been deployed in several phases. The first saw the creation of a network of ambassadors in all the countries where the Group is present, with a coordinator appointed in each business unit. Genuinely engaged in the Group's commitments locally, they ensure that the Group's CSR commitments are effectively put into practice on the ground, while overseeing the deployment of specific roadmaps for each facility and reporting back with clearly defined indicators.

Regarding energy, 50% of the Group consumption is covered by renewable energy sources.

The second deployment phase concerns the launch of transversal Group initiatives, such as the programs already underway aiming to improve energy performance in the facilities or the deployment of a shared code of ethics for all employees.

This code reaffirms the values and standards that must guide how all the Group's employees behave each day. It is based on one simple but essential principle: respect for employees, cooperative growers, partners, customers, suppliers, consumers and of course local communities and the environment.

This code of ethics aims to share responsible behaviors that can be applied in all the Group's activities and countries. It requires respect for the national and international laws and regulations in force, protects confidentiality and combats insider trading, conflicts of interest, corruption and money laundering, while promoting fair competition. Its deployment and employee awareness campaigns were launched in 2015.

In 2016, the code of ethics has been followed by the launch of 2 codes on fair competition and good practices against corruption and money laundering.

4 Applicable legal regime

Tereos is an agricultural cooperative partnership. In France, agricultural cooperatives are a fundamental component of the agricultural system; indeed, almost all French sugarbeet growing operations, and French operations in general, currently still belong to an agricultural cooperative. Tereos is the largest French cooperative partnership in the sugar market.

4.1 The legal structure of cooperative partnerships in France

In France, the cooperative sector is subject to oversight by the Government, through the Ministries of Agriculture and Finance.

Creating a cooperative partnership and access to membership

Cooperative partnerships are set up by the relevant French Ministry at the request of legal entities or private individuals who are seeking to combine their operations within this kind of legal structure. In the agricultural sector, the Ministry of Agriculture checks that the aims proposed by the cooperative partnership are strictly limited to the joint use to which the operators will put all the means intended to simplify or expand their economic activities and to improve their results (namely by providing the products and services required for their members' agricultural operations, and for the pooling, storing, processing, packaging and sale of their members' output).

In accordance with the French *Code rural et de la pêche maritime*, the members of a cooperative partnership must either be cooperative partners (as in the case of Tereos) or non-cooperative partners, if the bylaws allow it. The cooperative partners undertake to use the services provided by the cooperative over a given period of time, while the non-cooperative partners are entitled to take part in the cooperative's operations, but not to hold any of its share capital.

Entities can be admitted as new partners during the period when a cooperative partnership exists. Requests to join the cooperative partnership must be approved by a majority of the current partners, or in accordance with any other method otherwise established by the cooperative's bylaws.

Voting rights

The traditional bylaws for cooperative partnerships generally provide for one vote for each member of the cooperative at general meetings.

Membership cancellation

A cooperative partner may ask to cancel its membership at any time. The Supervisory Board of the cooperative partnership is authorized to approve or reject such request. If the request is rejected, the partner may demand that a partners' general meeting is convened to reconsider its request. If the partner's request to cancel its membership is approved by the Supervisory Board or by the partners' general meeting, that member's operations will be withdrawn from the cooperative partnership immediately, and the amount of its equity capital contribution will be deducted from its share of the equity. The cooperative partnership usually refunds the former member's equity capital contribution in cash, or in another kind of liquid assets. The cooperative partnership retains the fixed assets contributed by the former partner at the outset.

Advantages granted to the cooperative partnership structure

In accordance with French law, the "cooperative union" organizational structure benefits from favorable treatment in some respects, compared with other kinds of companies. More specifically, a cooperative is exempt from corporate tax, except for transactions performed with third parties. In addition, the Guarantor's tax base for payment of the Regional Business Tax (CET) is reduced by 50% for both parts of the tax, namely corporate property tax (CFE) and the contribution on corporate value-added (CVAE).

Payments to partners

Members of agricultural cooperatives are paid on a flat-rate basis for the quantities that they provide at harvest time. Depending on the profit recognized by the cooperative partnership, and depending on other factors, members may subsequently receive an additional payment ("additional increment" or "price complements") for each financial year, in proportion to the quantities provided during the harvest. If the cooperative conducts ancillary businesses outside its main purpose, the gains from these businesses may be distributed to members in the form of dividends, in proportion to the share of the capital they hold. The members pay tax on this income on an individual basis.

4.2 Group legal structure

Agricultural cooperative partnerships

Tereos UCA's cooperative members are grouped in five agricultural cooperative partnerships: Union SDA Collecte (Union des Sucreries et Distilleries Agricoles Collecte), Union BS (Union des Planteurs de Betteraves à Sucre), SDHF (Sucreries Distilleries des Hauts de France), CFH and CFVA. Some 12,000 farmers within these entities have combined their efforts and have joined together in the following 10 cooperatives:

Union SDA Collecte:

- SDA (Sucreries et Distilleries de l'Aisne),
- CBA (Coopérative Betteravière d'Artenay), and
- SBP (Société Betteravière de Picardie).

Union BS:

- Coopérative Betteravière de Connantre,
- Coopérative Betteravière de Boiry-Sainte-Rictrude,
- Coopérative Betteravière de Chevroières, and
- Coopérative Betteravière d'Escaudoeuvres.

SDHF (Sucreries Distilleries des Hauts de France)

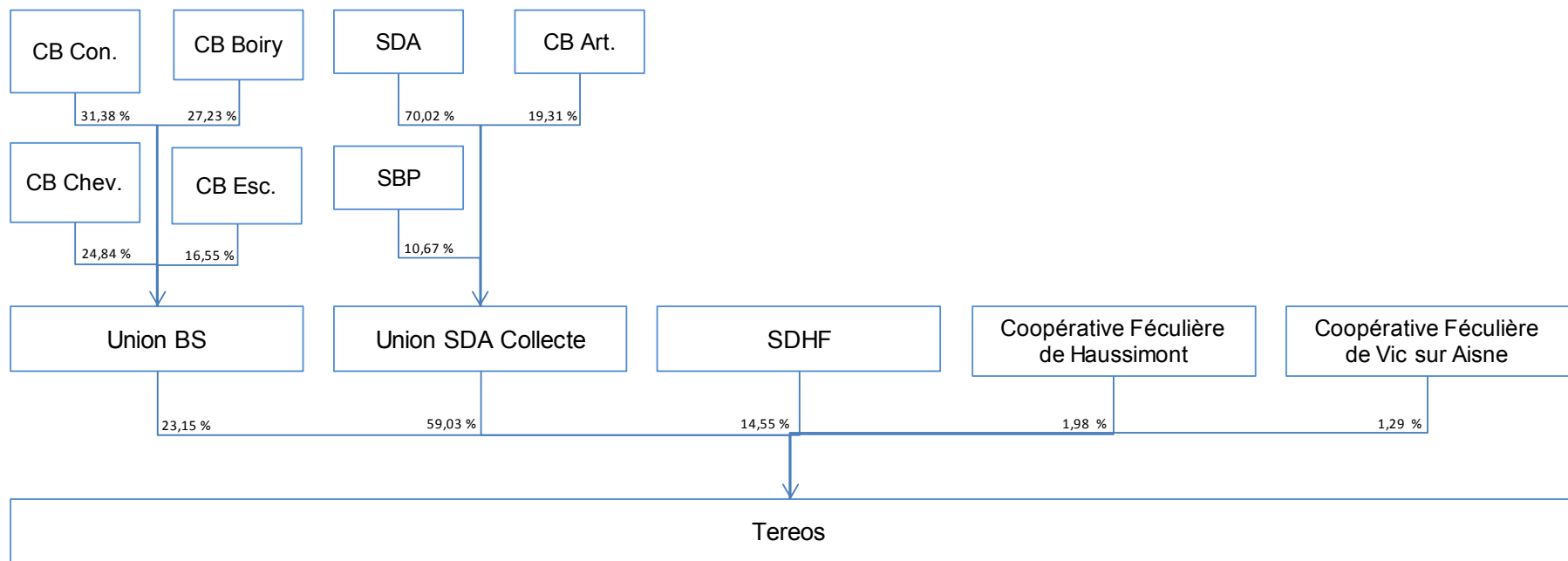
CFH (Coopérative Féculière de Haussimont)

CFVA (Coopérative Féculière de Vic-sur-Aisne)

CFH and CFVA, both being starch potato cooperatives, became members of Tereos UCA in March and December 2014.

Pursuant to article 8-3° of the by-laws of Tereos UCA, the five cooperatives (Union SDA Collecte, Union BS, SDHF, CFH and CFVA) have agreed to a minimum 25 years membership in Tereos UCA; this commitment runs from October 2004 for Union SDA Collecte and Union BS, from October 2005 for SDHF and from March 2014 for CFH and from December 2014 for CFVA.

The following chart details the current shareholding structure of Tereos UCA:



Gaining membership

Partners become members of Union SDA Collecte, Union BS, SDHF, CFH or CFVA (and therefore indirectly of Tereos) for an initial period of 25 years. Once this initial period has expired, partners may renew their membership for five year periods.

Membership cancellation

If a partner wishes to cancel its membership of Union SDA Collecte, Union BS, SDHF, CFH or CFVA, it must inform the cooperative partnership in question of its intention, and Union SDA Collecte, Union BS, SDHF, CFH or CFVA must then inform Tereos. The Tereos Supervisory Board is authorized to approve or reject this request. If Tereos or its members' general meeting approves the membership cancellation request, as previously described, Tereos must within a period of 10 years pay the share of the equity capital represented by the operations performed by the departing partner in the cooperative partnership.

Tereos Internacional

In 2010, the Group has established Tereos Internacional, the holding company which combines the Group's Sugar International (Brazil, Indian Ocean and Africa) and Starch & Sweeteners (Europe, Brazil, and Asia) operations. The Group has a 69.83% interest in the company, which is listed on the Sao Paulo Stock Exchange in Brazil. The free float currently amounts to 29.07% (among which some 10 cereal cooperatives, gathering themselves some 31,000 cereals growers which are suppliers of the Group, own 18.64% of the shares of Tereos Internacional).

On 4 December 2015, the Group has announced its intention to launch a tender offer for the remaining shares of Tereos Internacional. The Group targets a delisting from the Sao Paulo Stock Exchange during the third quarter of 2016. The tender offer is proposed at an offer price of R\$65 per share. As of the date of this Prospectus, the terms of the tender offer are under review by the CVM, the Brazilian stock market authorities.

Main Partnerships

The Group has strategic alliances in several countries, such as in the production of sugar and ethanol in Brazil (partnership with Petrobras), in China for starch production (joint ventures with Wilmar), in Indonesia (joint venture with FKS Group) and elsewhere in Europe (joint venture with the Frandino Group).

Guarani

Guarani is the Group's historical subsidiary in Brazil. It is currently 54.3% owned by Tereos Internacional (see above) and 45.7% by Petrobras Biocombustivel ("PBio"), a subsidiary of the national Brazilian energy company Petrobras. PBio's interest in Guarani resulted from an agreement with Tereos Internacional concluded in April 2010, pursuant to which PBio invested R\$1,823 million (corresponding to R\$1,611 million adjusted by inflation) in Guarani in exchange for such shares. The corresponding capital increase was completed in January 2016.

Partnership with Frandino

The Selby and Saluzzo facilities, which are 50% owned by Tereos respectively through Sedalcol UK and Sedamyl, are operated under a partnership with the Italian family-owned Frandino Group, a historical player in the starch products industry. Frandino Group combines agricultural business and energy production, in particular solar energy.

Partnership with Wilmar

In 2011, Tereos entered into a partnership with the Wilmar Group, one of the largest agribusiness groups in Asia, in order to start up operations in Southern China to produce starch from wheat through a joint venture in which Wilmar has 51% and the Group 49%. Consequently, in 2014 the Group has started the Dongguan plant, near Guangzhou, which produces starch from wheat; the plant has a production capacity of 500,000 tonnes.

In 2013, the Group extended this partnership to corn and potatoes, together with the acquisition of a 49% stake in a corn starch facility, operated in a joint venture with Wilmar, located in Tieling, Northern China (Liaoning Province), with an annual processing capacity of 700,000 tonnes of corn, is jointly controlled (Wilmar holds 51% and the Group 49%). In 2016, Tieling facility launched the production of glucose syrups.

Partnership with FKS Group

In 2014, the Group established its presence in Indonesia through the acquisition of a 50% stake in Redwood Indonesia, the country's only corn starch facility, in joint venture with the FKS Group. Redwood Indonesia, now renamed Tereos FKS Indonesia, processes 330,000 tonnes of corn annually, it produces and sells native starch and glucose syrups intended primarily for the domestic market, as well as gluten flour and gluten-based animal feed products. FKS Group is one of the main agro-industrial groups in Indonesia and more specifically, it is involved in the supply, transportation, storage and processing of agricultural raw materials, such as cereals, soya and corn. Under this partnership, FKS Group will continue to enable Tereos FKS Indonesia to benefit from its expertise in terms of local markets for sugar, cereal and animal feed.

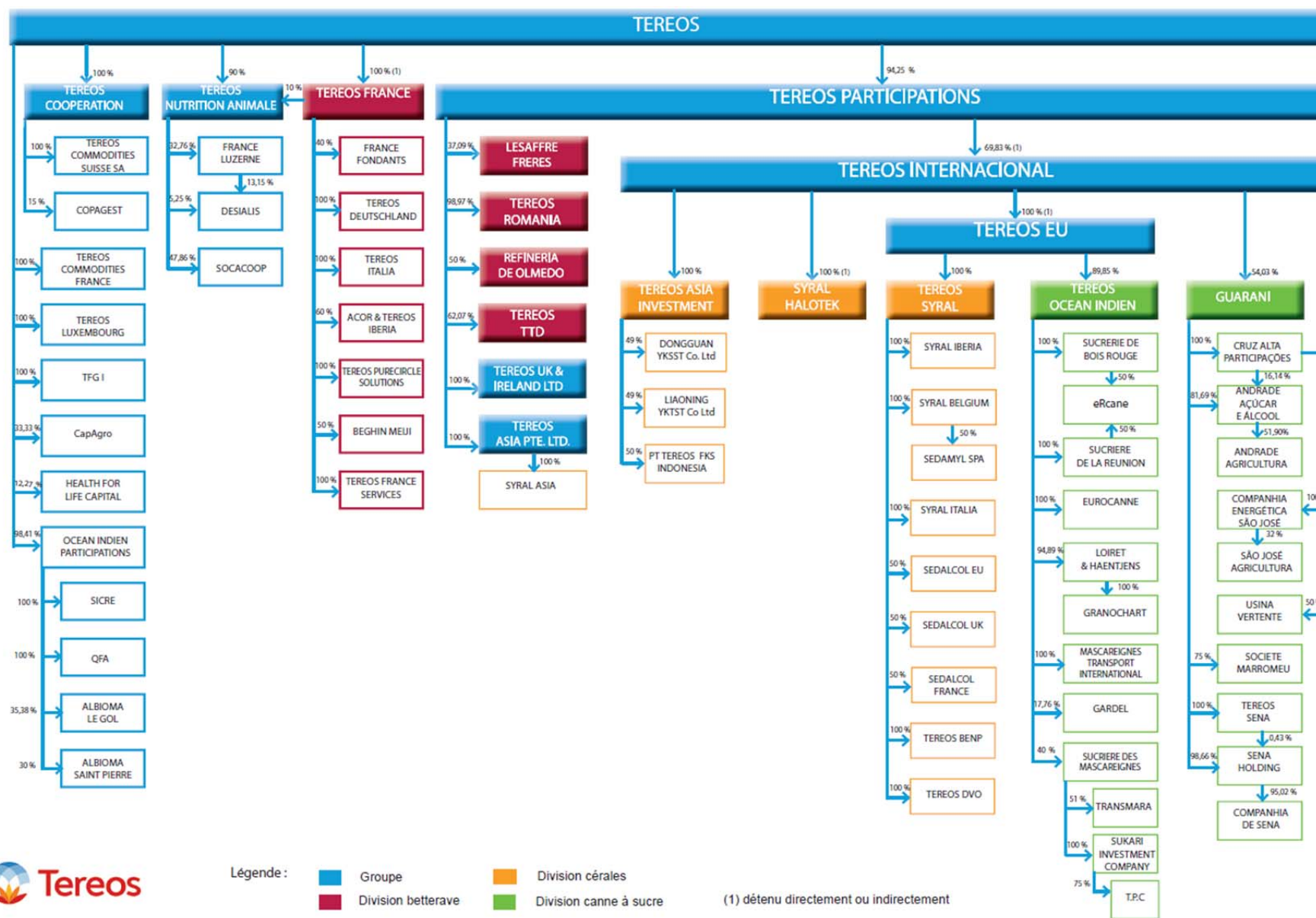
Partnership with Axereal

In 2014, Axereal, France's leading grain collector, and Tereos announced a long-term strategic partnership to develop a wider range of innovative products for their brewery and distillery customers, which source malt from Axereal and glucose syrups from Tereos. Under this partnership, Tereos has bought a minority interest in Axereal's malt subsidiary, Boortmalt. With over one million tonnes of malt sold, Boortmalt is one of the world's largest malt producers and sells its products in Europe, South America, Africa and Asia.

III. STRUCTURE OF THE GUARANTOR

Description of the Group

Tereos UCA is the parent company of the Tereos group, a major player in the sugar, alcohol and ethanol industries. The simplified structure of the Group at the date of this Prospectus is presented below:



Main subsidiaries of the Guarantor

At the date of this Prospectus, the main subsidiaries of Tereos UCA are those identified in the structure chart presented above.

The operations of these subsidiaries are described in the paragraph “*Business overview*” paragraph of the section “*Description of the Guarantor*” above.

IV. ADMINISTRATIVE, MANAGEMENT, SUPERVISORY AND SENIOR MANAGEMENT BODIES OF THE GUARANTOR

General information relating to the managers and members of the board of directors

Tereos is an agricultural cooperative partnership (*Union de Cooperatives Agricoles*) which administration is driven by executive management board (*Directoire*) and a supervisory board (*Conseil de Surveillance*). A description of the operation of these governing bodies is set forth in paragraph “Organization of the management and administration bodies” below. Their composition is presented hereafter.

Management Board (*Directoire*)

The table below describes the composition of the Management Board as at the date of this Prospectus:

Name of the Member of the Management Board	Position	Appointment date	Termination date
Alexis Duval	Chairman of the Management Board	Supervisory Board of 6 July 2015	General Meeting called to approve the financial statements for the financial year ended 31 March 2019
Yves Belegaud	Member of the Management Board	Supervisory Board of 6 July 2015	General Meeting called to approve the financial statements for the financial year ended 31 March 2019
Olivier Casanova	Member of the Management Board	Supervisory Board of 6 July 2015	General Meeting called to approve the financial statements for the financial year ended 31 March 2019

Alexis Duval, 38, is a business administration graduate of Hautes Etudes Commerciales (HEC). He joined the Tereos group in 2002. In 2007, he was appointed International Officer of Tereos, in 2009, Chief Financial Officer and, in 2012, Chairman of the Management Board of Tereos. In addition, he serves as Chairman of the Board of Directors of Tereos Internacional and Chairman of the Board of Directors of Guarani in Brazil.

Yves Belegaud, 55, started his career as an engineer in different branches of Peugeot and Renault. He joined the Restructuring and Human Resources Department of the Union SDA Collecte cooperative in 1994. In 1999, he was appointed chairman of the Agriculture Departement, being especially responsible for the Group’s Sugar Europe division. He was appointed member of the Management Board of Tereos in 2005, was in charge of the French sugarbeet business until January 2015 and is currently head of Tereos in Europe, which encompasses the sugarbeet and cereals processing business lines in Europe and the sugarcane processing business on the Reunion Island.

Olivier Casanova, 49, is a business administration graduate of Hautes Etudes Commerciales (HEC). Between 1991 and 2002, Olivier Casanova worked as an investment banker, in the field of mergers

and acquisitions, for S.G.Warburg and UBS/UBS Warburg, in Paris and London, lastly as a Managing Director. From 2002 to 2009, he held various finance positions at Thomson (now Technicolor), notably as a group's Deputy Chief Financial Officer, and lastly became Group Strategy and Marketing Director. In 2010, he joined PSA Peugeot Citroën as Head of Financing and Treasury. He joined the Group in September 2012 and became a member of the Management Board and Chief Financial Officer of Tereos in October 2012.

All the members of the Management Board are domiciled at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte (France).

None of the members of the Management Board holds any significant mandate outside the Group.

Supervisory Board (*Conseil de Surveillance*)

The Supervisory Board of Tereos includes three *ex officio* members: Union SDA Collecte, Union BS, SDHF, CFH and CFVA, each being represented by several officers who are natural persons. The table below sets forth the composition of the Supervisory Board of the Guarantor as at the date of this Prospectus:

Union	Represented by	Position	Appointment date	Termination date
Union SDA	Thierry Lecomte	Chairman of the Supervisory Board Chairman of the Board of Directors of Union SDA Collecte Chairman of SDA cooperative	28 June 2012	n.a.
Union BS	Denis Lecart	Vice-Chairman of the Supervisory Board Chairman of the Board of Directors of Union BS Chairman of the Connantre cooperative	1 October 2004	n.a.
Union SDHF	Gérard Clay	Vice-Chairman of the Supervisory Board Chairman of the Board of Directors of Union SDHF	28 June 2012	n.a.
Union SDA	Olivier Legrand	Chairman of the CBA cooperative	16 February 2016	n.a.
Union SDA	Bertrand Magnien	Member of the Supervisory Board Chairman of the SBP cooperative	28 June 2012	n.a.

Union	Represented by	Position	Appointment date	Termination date
Union SDA	Laurent Caudron	Member of the Supervisory Board Member of the Board of Directors of SDA cooperative	28 June 2012	n.a.
Union SDA	François Leroux	Member of the Supervisory Board Member of the Board of Directors of SDA cooperative	28 June 2012	n.a.
Union SDA	Jean-Charles Lefebvre	Member of the Supervisory Board Member of the Board of Directors of SDA cooperative	28 June 2012	n.a.
Union SDA	Guillaume Perdereau	Member of the Supervisory Board Member of the Board of Directors of CBA cooperative	28 June 2012	n.a.
Union SDA	Didier Beauvais	Member of the Board of Directors of SDA cooperative	28 June 2012	n.a.
Union BS	Marc Turpin	Member of the Supervisory Board Chairman of the Boiry cooperative	1 October 2004	n.a.
Union BS	Xavier Laude	Member of the Supervisory Board Chairman of the Escaudoeuvres cooperative	1 October 2004	n.a.
Union BS	Gilles Bollé	Member of the Supervisory Board Chairman of the Chevières cooperative	1 October 2004	n.a.
Union BS	Laurent Courtier	Member of the Supervisory Board Member of the Board of Directors of the Chevières cooperative	1 October 2004	n.a.

Union	Represented by	Position	Appointment date	Termination date
Union BS	Rémi Baudel	Member of the Board of Directors of the Boiry cooperative	1 October 2004	n.a.
SDHF	Étienne Clabaut	Member of the Supervisory Board Member of the Board of Directors of the SDHF cooperative	16 February 2016	n.a.
SDHF	François-Xavier Beaury	Member of the Supervisory Board Member of the Board of Directors of the SDHF cooperative	28 June 2012	n.a.
SDHF	Philippe Hennebert	Member of the Supervisory Board Member of the Board of Directors of the SDHF cooperative	28 June 2012	n.a.
SDHF	Christophe Dedours	Member of the Board of Directors of the SDHF cooperative	28 June 2012	n.a.
CFH	Pascal Foy	Member of the Supervisory Board Member of the Board of Directors of the Haussimont cooperative	27 March 2014	n.a.
CFVA	Benoît Philipon	Member of the Supervisory Board Chairman of the Vic-sur-Aisne cooperative	11 December 2014	n.a.

The biographies of the Chairman and two Vice-Chairmen of the Supervisory Board are set out below:

Thierry Lecomte, 60, is Chairman of the Supervisory Board of Tereos. Sugarbeet and cereals producer in Pont-à-Bucy (France), he is also chairman of the supervisory board of Union SDA Collecte, and a member of the board of directors of the Confédération Générale des planteurs de betteraves (CGB) and of the Syndicat Betteravier de l'Aisne.

Denis Lecart, 62, is vice chairman of the Supervisory Board of Tereos. He was previously chairman of the board of directors of Tereos SA (Béghin-Say), from 2003 until the merger with Tereos in October 2004. Sugarbeet producer, he chairs the Coopérative Agricole Betteravière de Connantre and the Union BS. He is also one of the directors and members of the Union de la Betterave Sucrière du Nord-Est bureau and heads a local fund of a Crédit Agricole du Nord-Est branch.

Gérard Clay, 57, is vice chairman of the Supervisory Board of Tereos since June 2012. He is a farmer and chairs the Coopérative Sucrière-Distillerie des Hauts de France (SDHF).

Conflicts of interests with respect to the administrative, management, supervisory and senior management bodies:

To the Guarantor's knowledge, there is no potential conflict of interest between the private interests and/or duties of the members of the Management Board (*Directoire*) and Supervisory Board (*Conseil de Surveillance*) of the Guarantor and the duties they owe to the Guarantor.

Executive Committee (*Comité exécutif*)

As at the date of this Prospectus, the Executive Committee is composed of the three members of the management board and Mrs. Patrizia Antonacci Campos, Mr. Jacyr Costa and Mr. Alexandre Luneau.

Patrizia Antonacci Campos, 42, an Italian national, graduated as a lawyer by the Pontificia Universidade Católica of Sao Paulo, Brazil and has a master in International Law from the London School of Economics, UK. She has worked as a M&A lawyer in Brazil and in England. She has joined Tereos in 2006, first in the Group's sugarcane division and then in the financial department in France. She is currently responsible for the corporate development of Tereos, the partnerships and the strategic investments in Asia and Africa

Jacyr Costa, 59, a Brazilian national, has 25 years of experience in the sugar and alcohol industry, with significant roles in the ethanol market. The companies he has worked at include Guarani from 1984 to 1997, Brasil-Alcool S.A., a Brazilian company that regulates the ethanol inventory, and Bolsa Brasileira de Alcool, a Brazilian ethanol seller, in 1999 and Sociedade Corretora de Alcool (SCA), a Brazilian ethanol seller, from 2000 to 2006. He is currently chief executive officer at Guarani. Jacyr Costa heads up the Group's sugarcane division.

Alexandre Luneau, 50, a French national, an IPAG Business School and London University graduate, also has a corporate MBA from the University of Minnesota. He has spent a large part of his career with the Cargill group and held a number of positions (finance, strategy, M&A, commercial, divisional management) in several entities across seven countries. Before joining Tereos, he was in charge of managing corporate relationships with strategic customers and leading business development in the food industry and specialty ingredients space. He joined the Group in February 2014. He is Group Head of Strategic marketing, Research & development and Market risks. Alexandre Luneau supervises the Tereos Commodities businesses and its global development activities in trading and merchandising sugar and starch & sweeteners.

V. ORGANISATION OF THE MANAGEMENT AND ADMINISTRATION BODIES

Corporate Governance

Tereos is a union of agricultural cooperative partnerships (*Union de Coopératives Agricoles*), the administration of which is assured by a Management Board (*Directoire*) and a Supervisory Board (*Conseil de surveillance*), in accordance with the provisions of the French *Code rural et de la pêche maritime*. The powers of these bodies are determined by the French *Code rural et de la pêche maritime*, the by-laws (*statuts*) of Tereos and the procedural rules of the Management Board and the Supervisory Board. These two boards are independent between themselves and no person may be member of both bodies concurrently.

Pursuant to the French *Code rural et de la pêche maritime* and the by-laws of Tereos, the Management Board is in charge of the everyday management of the Group. The Management Board in this instance is vested with the broadest powers to act in any circumstances on behalf of Tereos. Some of its activities are subject to the Supervisory Board's prior approval (in particular, when such action exceeds an amount of €160,000). The Management Board presents reports, inventories and financial statements for approval by the members of the cooperative partnerships and convenes the general meetings of such members.

The Supervisory Board is in charge of the permanent control of the Management Board, some operations of which it needs to approve in advance. The Supervisory Board appoints and dismisses the members of the Management Board; it is also in charge of management of the accessions, withdrawals, exclusions of members, sales and reimbursements of partnership shares of the members of the union of agricultural cooperatives.

Management Board (Directoire)

The Management Board is comprised of three to five members of the age of less than 70 years old, appointed for a period of four years, chosen outside of the cooperative partnerships. Members of the Management Board may be reelected. They are appointed by the Supervisory Board, but are not allowed to be members of it. A person may only be member of the Management Boards of no more than two associations or agricultural cooperative partnerships having their registered offices in France. Any appointment of a member of the Management Board to the Management Board of another association or agricultural cooperative partnership is subject to a prior consent of the Supervisory Board.

Any member of the Management Board may be dismissed from its functions by a decision of the Supervisory Board. If such dismissal is not properly reasoned, the dismissed member of the Management Board may claim damages.

The Management Board is convened by its Chairman or by any of its members, as often as the interests of the cooperative require so. The decisions of the Management Board are taken in presence (no representation by proxy is authorised) of at least half of its members. They are approved by a simple majority of the members present.

The Management Board is vested with powers necessary to act on behalf of Tereos in compliance with its targets and subject to powers reserved to general meetings of shareholders and those assigned to the Supervisory Board.

The following decisions may only be taken or implemented by the Management Board subject to prior approval of the Supervisory Board:

- any mortgage, guaranty or security of an amount greater than €160,000 and accepted on behalf of Tereos;

- any credit facility for an amount greater than €160,000 and accepted on behalf of Tereos;
- any long term agreement engaging Tereos in commercial, industrial or financial alliances;
- any investment for an amount greater than €160,000;
- any acquisition or sale of participation for an amount greater than €160,000; and
- decision to change the address of the registered office.

At least once every three months, the Management Board produces a report to be given to the Supervisory Board.

During the four months following the end of each financial year, the Management Board shall provide the Supervisory Board with the inventory and annual financial statements for verification and validation.

Supervisory Board (Conseil de surveillance)

The Supervisory Board is comprised of at least 2 members, chosen between the members of the cooperative partnerships by the general meeting of shareholders and appointed for a period of four years. Members of the Supervisory Board may be reelected. The same person may not be member of more than eight supervisory boards of agricultural cooperative partnerships or associations having their registered offices in France. No member of Supervisory Board may be appointed as member of the Management Board in the same period. Each member of the Supervisory Board shall own at least one partnership share of Tereos. The number of members of the Supervisory Board of the age of more than 65 years old may not be greater than one-third of the members. If the number of such members is greater, the oldest member of the Supervisory Board is deemed to have terminated its term.

The Supervisory Board is convened by its Chairman or vice-Chairman as often as necessary in the interest of Tereos, and at least once every three months to hear the report of the Management Board. The Chairman of the Supervisory Board must convene the Management Board in a period of 15 days following a request in that sense justified and presented by one of the members of the Management Board or at least one third of the Supervisory Board. If such request is unsatisfied, the relevant members may convene the Management Board themselves announcing the agenda of the meeting.

Unless the decision deals with the exclusion of a cooperative member, the decisions of the Supervisory Board need to be taken in presence of at least half of its members, by simple majority of the members present or represented by proxy. The Chairman's vote is deciding. The decision to exclude a cooperative member may only be taken in presence of at least two thirds of the members of the Supervisory Board with a two-thirds majority.

In addition to its specific powers, the Supervisory Board is authorised, at any time, to perform all types of verifications and controls it considers necessary and to examine all the documents it considers useful for the accomplishment of its duties.

Once every three months, the Supervisory Board receives a report from the Management Board. At the end of each financial year, it verifies and validates the inventory and the annual financial statements provided by the Management Board. These documents, as well as the Management Board's report and the report of the Supervisory Board, are provided by the Supervisory Board to the auditors at least one month before the general meeting is convened. The Supervisory Board's report analyses the Management Board's report and the financial statements for the relevant financial year.

The Management Board may give to one or several of its members specific authorisations to accomplish one or several specific tasks. The Supervisory Board may decide to create committees and determine their composition and powers. Such committees will operate under the responsibility of the Supervisory Board. However, the Supervisory Board cannot delegate its own powers to a committee, nor limit or reduce the Management Board's powers. There are no committees created by the Supervisory Board as at the date of this Prospectus.

Executive Committee (Comité exécutif)

The Executive Committee is composed of seven members, including the Chairman of the Management Board. The Executive Committee is in charge of proposing to the Supervisory Board and implementing the strategy and long term orientations of the Group.

VI. MAIN SHAREHOLDERS

Share capital and voting rights as at the date of this Prospectus

The table below sets forth information relating to the ownership of Tereos UCA as at the date of this Prospectus:

Shareholder	Number of partnership shares	% of the share capital	Number of voting rights	% of voting rights
Union SDA Collecte	22,845,736	59.04%	6	30%
Union BS	8,957,266	23.15%	6	30%
SDHF	5,629,201	14.55%	6	30%
CFH	765,625	1.98%	1	5%
CFVA	500,000	1.29%	1	5%
Total	38,697,828	100%	20	100%

At the date of this Prospectus, the share capital of Tereos is comprised of 38,697,828 partnership shares, of a nominal value of €16 each, 13,152,532 of which are held by the cooperative members pursuant to their business commitment, 20,564,431 constitute savings partnership shares and 4,980,865 constitute partnership shares with specific advantages. The share capital consists of registered and indivisible partnership shares subscribed or purchased by each of the cooperative members. The share capital amounts to €619,165,248 as at the date of this Prospectus.

The five agricultural cooperative partnerships which are direct shareholders of Tereos, *i.e.*, Union SDA (*Union des Sucreries et Distilleries Agricoles*), Union BS (*Union des Planteurs de Betteraves à Sucre*), SDHF (*Sucreries Distilleries des Hauts de France*), CFH (*Société Coopérative Agricole Féculière de Haussimont*) and CFVA (*Coopérative Féculière de Vic-sur-Aisne*), are themselves held by sugarbeet cooperatives owned by approximately 12,000 farmers. A simplified chart of the controlling interests in Tereos is provided in section 4.2 of section “*Description of the Guarantor*” of this Prospectus.

Arrangement which implementation could result in a change of control

As at the date of this Prospectus, there is no arrangement known to the Guarantor, the operation of which may at a subsequent date result in a change of control of the Guarantor.

VII. JUDICIAL AND ARBITRATION PROCEEDINGS

In the normal course of its business, the Group is involved in several judicial, arbitration and administrative proceedings.

The costs that may result from these proceedings are only provisioned for when it is likely that a liability will be incurred and when the amount of said liability may be quantified or estimated within a reasonable range. The amount of the recorded provisions is based on the individual assessment of the level of risk (which is in any case subject to judicial uncertainty) and the events occurred throughout the course of the legal proceedings may demand a reassessment of such risk.

As at 31 March 2016, provisions totalling €20.9 million were recorded in the Group's financial statements to provision for all the litigation in which the Group is involved.

At the date of this Prospectus, the main proceedings to which the Group is a party are the following:

Tax disputes in Brazil

The Group is involved in various tax disputes in Brazil, mainly concerning ICMS (Brazilian VAT). In particular, certain companies of the Group have been subject to inspection by the tax authorities of the State of Sao Paulo to ascertain whether or not the transfer of goods (merchandise) had been carried out without the proper tax collection (without issuing invoices). The Group is currently subject to eleven related tax claims, amounting to a total amount of R\$1.545 billion (c. €376 million) by the Brazilian authorities. Nine of the claims are still under the administrative phase and two (amounting to R\$192.6 million (c. €47 million) have concluded this administrative phase and are therefore being disputed by the Group before the Brazilian courts. The Group believes it has solid arguments to challenge the tax authorities' position and, further to opinions received from its Brazilian legal and tax advisors, decided not to record any provision in relation with these claims.

Litigation with Roquette

Tereos Syral is involved in a dispute in connection with an alleged infringement of a patent owned by Roquette. The claim has initially been brought by Roquette against Tate & Lyle in respect of the TALFIE assets which were subsequently acquired by Tereos Syral in 2007. Roquette has requested a lump-sum payment of €1 million in damages as well as an injunction on any new infringement (fine equal to €1,000 per kg. per each new infringement on the concerned products). The Group entities against which the claim is brought are Syral Belgium NV and Tereos Syral SAS (Nesle). The dispute has been brought before both Belgian and French courts. As of the date of this Prospectus, the proceedings are ongoing.

Customs investigation relating to excise duty on alcohol losses and shortages

Since 2014, French customs are contesting the application by the Group of the excise duty on alcohol losses and shortages on some of its sites. As of the date of this Prospectus, the investigation is ongoing.

Save for the proceedings described above, the Guarantor certifies that, to the best of its knowledge, during a period covering the last 12 months, there have been no governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened of which the Guarantor is aware) which may have, or have had in the recent past, significant effects on the Guarantor and/or the Group's financial position or profitability.

VIII. SIGNIFICANT CHANGE IN THE FINANCIAL OR TRADING POSITION

There has been no material adverse change in the prospects of the Guarantor and no significant change in the financial or trading position of the Guarantor has occurred since 31 March 2016.

**CONSOLIDATED AUDITED FINANCIAL STATEMENTS OF THE GUARANTOR FOR THE
YEARS ENDED 31 MARCH 2016 AND 31 MARCH 2015**

The consolidated financial statements appearing below are the English translation of the consolidated financial statements of the Guarantor for the financial years ended 31 March 2016 and 31 March 2015 as audited by its statutory auditors and free English translation of their report thereon appears on pages 231 and 298 of this Prospectus.

**I. CONSOLIDATED AUDITED FINANCIAL STATEMENTS OF THE GUARANTOR FOR THE YEAR
ENDED 31 MARCH 2016**

ASSETS <i>(In millions of euros)</i>	31 March 2016	31 March 2015
Goodwill	1,105.0	1,115.4
Intangible assets	105.2	116.6
Biological assets	222.9	216.9
Property, plant and equipment	2,238.4	2,280.2
Investments in associates and joint ventures	284.3	226.2
Available-for-sale financial assets	45.0	47.7
Other non-current financial assets	108.2	100.2
Non-current financial assets with related parties	15.5	16.0
Deferred tax assets	147.0	167.4
Tax assets due	0.5	0.6
Other non-current assets	1.9	3.6
TOTAL NON-CURRENT ASSETS	4,274.0	4,290.8
Inventories	958.6	1,037.3
Trade receivables	385.1	395.5
Other current financial assets	215.8	285.0
Current financial assets with related parties	19.1	20.2
Current income tax receivables	37.4	33.6
Cash and cash equivalents	380.5	389.2
Other current assets	11.8	13.8
TOTAL CURRENT ASSETS	2,008.3	2,174.7
TOTAL ASSETS	6,282.2	6,465.5

LIABILITIES AND EQUITY <i>(In millions of euros)</i>	31 March 2016	31 March 2015
Additional paid-in capital	285.8	285.8
Reserves and retained earnings	1,033.4	1,153.5
EQUITY ATTRIBUTABLE TO OWNERS OF THE PARENT	1,319.2	1,439.2
Non-controlling interests	638.2	719.2
TOTAL EQUITY	1,957.4	2,158.5
Cooperative capital	619.2	619.2
COOPERATIVE CAPITAL AND TOTAL EQUITY	2,576.5	2,777.6
Long-term borrowings	1,545.9	1,507.7
Provisions for pensions and other post employment benefits	52.9	51.0
Long-term provisions	12.1	20.7
Deferred tax liabilities	27.4	25.6
Tax liabilities due	0.0	0.0
Other non-current financial liabilities	199.0	199.3
Non-current financial liabilities with related parties	5.1	10.6
Other non-current liabilities	20.3	15.0
NON-CURRENT LIABILITIES	1,862.7	1,829.9
Short-term borrowings	913.8	906.3
Short-term provisions	8.8	3.2
Other current financial liabilities	314.0	323.6
Current financial liabilities with related parties	45.8	53.4
Trade payables	528.3	527.5
Current income tax payables	4.5	4.8
Other current liabilities	27.8	39.2
CURRENT LIABILITIES	1,843.0	1,858.0
Liabilities associated with non-current assets held for sale (or group of assets) classified as held for sale	0.0	0.0
TOTAL EQUITY AND LIABILITIES	6,282.2	6,465.5

CONSOLIDATED STATEMENT OF OPERATIONS <i>(In millions of euros)</i>	31 March 2016	31 March 2015
Revenue	4,201.0	4,300.2
Cost of sales	(3,425.6)	(3,494.7)
Distribution expenses	(384.8)	(396.6)
General and administrative expenses	(288.5)	(265.6)
Other operating income (loss)	(2.7)	(13.0)
Operating income (expense)	99.5	130.3
Financial expenses	(337.9)	(280.9)
Financial income	234.6	170.2
Net financial income (expense)	(103.3)	(110.7)
Share of profit of associates and joint ventures	5.6	19.3
Net income (loss) before taxes	1.8	38.9
Income taxes	(36.2)	(21.6)
NET INCOME (LOSS)	(34.4)	17.3
<i>Attributable to owners of the parent</i>	<i>(20.0)</i>	<i>43.2</i>
<i>Attributable to non-controlling interests</i>	<i>(14.4)</i>	<i>(25.9)</i>

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME (LOSS) <i>(In millions of euros)</i>	31 March 2016	31 March 2015
NET INCOME (LOSS)	(34.4)	17.3
<i>Attributable to owners of the parent</i>	<i>(20.0)</i>	<i>43.2</i>
<i>Attributable to non-controlling interests</i>	<i>(14.4)</i>	<i>(25.9)</i>
Items that will never be reclassified to profit or loss		
Actuarial gains and losses of defined benefit liability	0.0	(3.8)
<i>of which income tax effect</i>	0.2	0.1
Items that are or may be reclassified to profit or loss		
Cash-flow hedge reserve*	(75.9)	(106.0)
<i>of which income tax effect</i>	10.0	53.9
Available-for-sale financial assets	-	-
<i>of which income tax effect</i>	-	-
Foreign currency translation reserve**	(117.1)	(61.3)
Other comprehensive income (loss), net of taxes	(193.0)	(171.0)
TOTAL COMPREHENSIVE INCOME (LOSS)	(227.4)	(153.8)
<i>Attributable to owners of the parent</i>	<i>(87.0)</i>	<i>(12.2)</i>
<i>Attributable to non-controlling interests</i>	<i>(140.3)</i>	<i>(141.5)</i>

* of which companies accounted for under the equity method

** of which companies accounted for under the equity method

(6.9)

11.1

CONSOLIDATED STATEMENT OF CHANGES IN COOPERATIVE CAPITAL AND EQUITY FOR THE PERIOD ENDED 31 MARCH 2016

(In millions of euros)	Reserves	Cash-flow hedge	Actuarial gains and losses	Foreign Curren- cy Translat- ion	Accumulat- ed other comprehen- sive income	TOTAL EQUITY ATTRIBUTA- BLE TO THE PARENTS	NON- CONTRO- LLING INTERES- TS	TOTAL EQUIT- Y	Coopera- tive capital	TOTAL EQUITY AND COOPERA- TIVE CAPITAL
At 31 March 2015	1,586.3	(60.6)	(7.6)	(78.8)	(147.0)	1,439.2	719.2	2,158.5	619.2	2,777.6
Net income (loss)	(20.0)	-	-	-	-	(20.0)	(14.4)	(34.4)	-	(34.4)
Other comprehensive income (loss)	-	(32.3)	0.1	(34.9)	(67.1)	(67.1)	(125.9)	(193.0)	-	(193.0)
Comprehensive income	(20.0)	(32.3)	0.1	(34.9)	(67.1)	(87.0)	(140.3)	(227.4)	-	(227.4)
Dividends	(11.6)	-	-	-	-	(11.6)	(8.6)	(20.3)	-	(20.3)
Change due to acquisition or divestiture	3.2	-	-	-	-	3.2	79.3	82.5	-	82.5
Commitments to purchase non-controlling interests	(22.4)	-	-	-	-	(22.4)	(8.4)	(30.7)	-	(30.7)
Other	(2.2)	-	-	-	-	(2.2)	(3.1)	(5.2)	-	(5.2)
At 31 March 2016	1,533.3	(92.9)	(7.5)	(113.8)	(214.1)	1,319.2	638.2	1,957.4	619.2	2,576.5

Attributable to non-controlling interests

(In millions of euros)	Reserves	Cash-flow hedge	Actuarial gains and losses	Foreign Currency Translation	Accumulated other comprehensive income	NON- CONTROLLING INTERESTS
At 31 March 2015	988.4	(104.2)	(0.1)	(164.8)	(269.1)	719.2
Net income (loss)	(14.4)	-	-	-	-	(14.4)
Other comprehensive income (loss)	-	(43.6)	(0.1)	(82.2)	(125.9)	(125.9)
Comprehensive income	(14.4)	(43.6)	(0.1)	(82.2)	(125.9)	(140.3)
Dividends	(8.6)	-	-	-	-	(8.6)
Change due to acquisition or divestiture	79.3	-	-	-	-	79.3
Commitments to purchase non-controlling interests	(8.4)	-	-	-	-	(8.4)
Other	(3.1)	-	-	-	-	(3.1)
At 31 March 2016	1,033.3	(147.9)	(0.2)	(247.0)	(395.1)	638.2

CONSOLIDATED STATEMENT OF CHANGES IN COOPERATIVE CAPITAL AND EQUITY FOR THE PERIOD ENDED 31 MARCH 2015

(In millions of euros)	Reserv es	Cash- flow hedge	Actua rial gains and losse s	Foreign Currenc y Translat ion	Accumulat ed other comprehen sive income	TOTAL EQUITY ATTRIBUTA BLE TO THE PARENTS	NON- CONTRO LLING INTERES TS	TOTAL EQUIT Y	Coopera tive capital	TOTAL EQUITY AND COOPERA TIVE CAPITAL
At 1st April 2014	1,560.5	(22.1)	(3.8)	(65.4)	(91.3)	1,469.2	808.1	2,277.3	611.2	2,888.5
Net income (loss)	43.2	-	-	-	-	43.2	(25.9)	17.3	-	17.3
Other comprehensive income (loss)	-	(38.5)	(3.8)	(13.1)	(55.4)	(55.4)	(115.7)	(171.0)	-	(171.0)
Comprehensive income	43.2	(38.5)	(3.8)	(13.1)	(55.4)	(12.2)	(141.5)	(153.7)	-	(153.8)
Dividends	(12.3)	-	-	-	-	(12.3)	(17.7)	(30.0)	-	(30.0)
Capital increase	-	-	-	-	-	-	-	-	8.0	8.0
Change due to acquisition or divestiture	6.0	-	-	-	-	6.0	65.7	71.7	-	71.7
Commitments to purchase non-controlling interests	(10.4)	-	-	-	-	(10.4)	5.3	(5.1)	-	(5.1)
Other	(0.7)	-	-	(0.3)	(0.3)	(1.1)	(0.6)	(1.7)	-	(1.7)
At 31 March 2015	1,586.3	(60.6)	(7.6)	(78.8)	(147.0)	1,439.2	719.2	2,158.5	619.2	2,777.6

Attributable to non-controlling interests

(In millions of euros)	Reserves	Cash-flow hedge	Actuarial gains and losses	Foreign Currency Translation	Accumulated other comprehensive income	NON- CONTROLLING INTERESTS
At 1st April 2014	961.6	(36.7)	(0.1)	(116.6)	(153.5)	808.1
Net income (loss)	(25.9)	-	-	-	-	(25.9)
Other comprehensive income (loss)	-	(67.5)	0.0	(48.2)	(115.7)	(115.7)
Comprehensive income	(25.9)	(67.5)	0.0	(48.2)	(115.7)	(141.5)
Dividends	(17.7)	-	-	-	-	(17.7)
Change due to acquisition or divestiture	65.7	-	-	-	-	65.7
Commitments to purchase non-controlling interests	5.3	-	-	-	-	5.3
Other	(0.6)	-	-	-	-	(0.6)
At 31 March 2015	988.4	(104.2)	(0.1)	(164.8)	(269.1)	719.2

CONSOLIDATED STATEMENT OF CASH FLOWS <i>(In millions of euros)</i>	31 March 2016	31 March 2015
Net income (loss)	(34.3)	17.3
<i>Adjustments to reconcile net income (loss) to cash provided by (used in) operating activities:</i>		
Share of profit of associates and joint ventures	(5.6)	(19.3)
Amortization, depreciation and changes due to harvest	358.2	346.5
Fair value adjustments on biological assets	(21.4)	(7.5)
Fair value adjustments through financial result	(3.6)	(3.1)
Other fair value adjustments through the statement of operations	(18.3)	5.3
Gain (loss) on disposals of assets	(6.4)	0.1
Income tax expense (income)	36.2	21.6
Net financial expenses	105.4	106.4
Impact of the changes in working capital:	90.6	7.3
<i>of which decrease (increase) in trade and other receivables</i>	87.2	105.9
<i>of which (decrease) increase in trade and other payables</i>	(64.4)	(156.2)
<i>of which decrease (increase) in inventory</i>	67.8	57.6
Change in other accounts with no cash impact	(11.4)	(6.0)
Cash provided by (used in) operating activities	489.2	468.5
Income taxes paid	(21.3)	(27.9)
Net cash provided by (used in) operating activities	467.9	440.6
Cash paid for the acquisitions, net of cash acquired	(109.2)	(20.1)
<i>of which Redwood</i>	0.0	(5.5)
<i>of which Haussimont</i>	0.0	(5.0)
<i>of which Halotek</i>	0.0	(4.8)
<i>of which Pôle Développement</i>	0.0	(3.0)
<i>of which Napier Brown sugar</i>	(61.1)	0.0
<i>of which Copagest</i>	(37.5)	0.0
<i>of which Tereos Participations</i>	(11.5)	0.0
Purchases of property, plant and equipment and intangible assets	(267.1)	(333.2)
Purchases of biological assets	(42.1)	(35.5)
Acquisition of financial assets	(45.2)	(11.6)
Change in loans and advances granted	22.1	(2.7)
Grants received related to assets	1.8	2.7
Financing interest received	16.6	12.9
Proceeds from the disposal of property, plant and equipment and intangible assets	10.2	7.2
Proceeds from the disposal of financial assets	11.4	5.3
Dividends received	19.0	25.2
Net cash provided by (used in) investing activities	(382.4)	(349.9)
Capital increase	79.1	88.2

CONSOLIDATED STATEMENT OF CASH FLOWS <i>(In millions of euros)</i>	31 March 2016	31 March 2015
<i>of which Tereos UCA</i>	<i>0.0</i>	<i>11.2</i>
<i>of which PT Tereos FKS Indonesia</i>	<i>11.3</i>	<i>0.0</i>
<i>of which Guarani</i>	<i>67.7</i>	<i>77.0</i>
Borrowings issues	355.6	968.4
Borrowings repayments	(426.0)	(1,041.5)
Financing interest paid	(117.4)	(127.1)
Change in financial assets with related parties	(0.0)	5.1
Change in financial liabilities with related parties	(8.3)	(16.9)
Dividends paid to equity holders of the parent	(12.4)	(12.3)
Dividends paid to non-controlling interests	(8.7)	(17.3)
Net cash provided by (used in) financing activities	(138.1)	(153.4)
Impact of exchange rate on cash and cash equivalents in foreign currency	(48.6)	(29.5)
Net change in cash and cash equivalents, net of bank overdrafts	(101.2)	(92.2)
Cash and cash equivalents, net of bank overdrafts at April 1st,	347.4	439.6
Cash and cash equivalents, net of bank overdrafts at March. 31st,	246.2	347.4
Net change in cash and cash equivalents, net of bank overdrafts	(101.2)	(92.2)

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1. Corporate information, basis of presentation, accounting standards and use of estimates and judgments

1.1. Corporate information

Tereos is a French Agricultural Cooperative Union (Union de Coopératives Agricoles), governed by French law and subject to the French Rural Code (Code rural).

Its registered offices are located at 11 rue Pasteur in Origny-Sainte-Benoite (02390), France.

The annual consolidated financial statements reflect the financial position of Tereos UCA and its subsidiaries ("the Group").

The Group is primarily involved in the manufacturing and trading of sugar, alcohol, starch, and bioenergy.

The consolidated financial statements for the year ended 31 March 2016 were prepared by the Company and were authorized for issue by the Supervisory Board at its meeting on 17 May 2016.

Given the specific nature of cooperative capital, the Group has presented it as a separate item in the statement of financial position, apart from long term and short term borrowings (see note 2.21).

1.2. Basis of presentation

The Group's consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union as of the date of preparation of these financial statements.

International accounting standards include IFRS, International Accounting Standards (IAS), and the interpretations issued by the Standing Interpretations Committee (SIC) and the IFRS Interpretations Committee (IFRS IC).

The consolidated financial statements have been prepared on a historical cost basis, except for biological assets, derivatives and available-for-sale assets which are measured at fair value.

The accounting methods set out below have been applied consistently to all periods presented in the consolidated financial statements, and uniformly across Group entities.

The consolidated financial statements are presented in millions of euros with one decimal and all values are rounded to the nearest tenth except where otherwise indicated. In certain circumstances, this may lead to non-material differences between the sum of the figures and the sub-totals that appear in the tables.

The Group presents assets and liabilities in the statement of financial position based on a current/non-current classification.

An asset is current when it is:

- expected to be realized or intended to be sold or consumed in the normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is:

- expected to be settled in the normal operating cycle;
- held primarily for the purpose of trading;
- due to be settled within twelve months after the reporting period.

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The Group's financial year runs from 1 April to 31 March.

1.3. Standards and interpretations mandatorily applicable at 31 March 2016

The following standards and interpretations and revised standards became effective as of 31 March 2016 and have no material impact on the Group's annual consolidated financial statements.

Standard or Interpretation	Standard / Amendment / Interpretation Name	Effective date*
Annual improvements 2010-2012		01/02/2015
Annual improvements 2011-2013		01/01/2015
Amendments to IAS 19	Employee benefits	01/02/2015

**: effective for the financial year beginning on or after this effective date*

1.4. Standards and interpretations mandatorily applicable after 31 March 2016 with no early application elected by the Group

The following standards and interpretations that are mandatorily applicable after 31 March 2016 could have an impact on the Group's consolidated financial statements.

Standard or Interpretation	Standard / Amendment / Interpretation Name	Effective date*
Annual improvements 2012-2014		01/01/2016
Amendments to IAS 16 and IAS 41	Agriculture: bearer plants	01/01/2016
Amendments to IFRS 11	Joint arrangements: accounting for acquisitions of interests	01/01/2016
Amendments to IAS16 and IAS38	Clarification of acceptable methods of depreciation and amortisation	01/01/2016
Amendments to IAS19	Employee benefits	01/01/2016
IFRS 15	Revenue from contracts with customers	01/01/2018
IFRS 9	Financial Instruments	01/01/2018
IFRS 16	Leases	01/01/2019

**: effective for the financial year beginning on or after this effective date*

The Group cannot adopt these rules until they are adopted by the European Union.

The Group has not completed its assessment of the impact of those pronouncements on the consolidated result, financial position or cash-flow of the Group.

However, the Group currently expects that IAS 41 Revised will have an impact on the presentation and valuation of the biological assets in the Group financial statements. The Group's bearer plants mainly include sugarcane plantations. Upon adoption of the amendments, the Group expects to measure bearer plants at cost less accumulated depreciation and impairment instead of fair value less costs to sell. The Group expects that adoption of the amendments will result in a decrease in the carrying value of the bearer plants (including produce that grows on bearer plants).

1.5. Use of estimates and judgments

In preparing the Group's consolidated financial statements, Management makes estimates, insofar as many elements included in the financial statements cannot be measured with precision. Management revises these estimates if the underlying circumstances evolve or in light of new information or experience. Consequently, the estimates used to prepare the consolidated financial statements for the year ended 31 March 2016 may change in subsequent periods.

1.5.1.Judgments

Group Management uses judgment to define the appropriate accounting policies to apply to certain transactions when the current IFRS standards and interpretations do not specifically deal with the related accounting issues:

- As the IFRS do not provide any specific guidance for business combinations of entities under common control, the Group has applied the “pooling of interests” method when required.
- In the absence of current IFRS or interpretations on accounting for tradable emissions quotas related to schemes encouraging the reduction in greenhouse gas emissions, the Group applies the accounting policy described in paragraph 2.13.

1.5.2.Estimates

Management makes significant estimates in determining the assumptions used for accounting in the following areas:

Note	Estimate	Nature of disclosure
Note 9	Income taxes	Assumptions used for the recognition of deferred tax assets arising from the carryforward of unused tax losses.
Note 12	Biological assets	Key assumptions used to determine the fair value of standing cane (estimated yield, quantity of sugar per tonne of cane, sugar price...) and cane roots (replanting costs per hectare).
Note 15	Property, plant and equipment	Assumptions used to measure property, plant & equipment acquired in business combinations. Assumptions used to determine the useful life of the assets.
Note 17	Goodwill	Assumptions used to determine the fair value of the assets and liabilities acquired, the fair value of the consideration received and therefore the goodwill. Level of grouping of CGUs for goodwill impairment test.
Note 19	Impairment tests	Key assumptions used to determine recoverable amounts: value in use (discount rate, perpetual growth rate, expected cash flows), market value (revenue and EBITDA multiples for comparable companies or transactions, cash flows)
Note 21	Pensions and other post-employment benefits	Discount rate, inflation rate, return rate on plan assets, salary increases.
Note 22	Provisions	Provisions for claims and litigation: assumptions underlying risk assessment and measurement. Provision for restructuring: measurement of significant costs.
Note 25	Financial instruments	Assumptions used to determine the carrying amount of the different categories of financial instruments.

2. Significant accounting principles

2.1. Consolidation

Subsidiaries are fully consolidated from the date of acquisition, being the effective date on which the Group obtains control, and continue to be consolidated until the date that such control ceases.

Entities are fully consolidated if the Group has all of the following:

- power over the investee; and
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

Control is deemed to exist when the Group has power:

- over more than one-half of the voting rights of the other entity by virtue of an agreement;
- to govern the financial and operating policies of the other entity under a statute or agreement;
- to appoint or remove the majority of the Members of the Board of Directors or equivalent governing body of the other entity; or
- to cast the majority of votes at meetings of the Board of Directors or equivalent governing body of the other entity.

The consolidated financial statements are prepared based on the financial statements of the consolidated subsidiaries, which are prepared for the same reporting period as the parent company. Adjustments are made where necessary to bring the accounting policies into line with those of the Group. All material intra-group balances, income and expenses, unrealized gains and losses and dividends resulting from intra-group transactions are eliminated in full.

A change in the ownership interest of a subsidiary without a change of control is accounted for as an equity transaction.

Losses are attributed to the non-controlling interest even if that results in a negative balance.

If the Group ceases to exercise control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary.
- Derecognizes the carrying amount of any non-controlling interest.
- Reclassifies the foreign currency translation reserve, recorded in equity, to the statement of operations.
- Reclassifies the parent's share of components previously recognized in other comprehensive income to statement of operations.
- Recognizes the fair value of the consideration received.
- Recognizes the fair value of any investment retained.
- Recognizes any gain or loss in statement of operations.

2.2. Joint ventures and associates

A joint venture is a type of joint arrangement whereby the parties that have joint control of the entity have rights to its net assets. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the entity but is not control or joint control of those policies. Significant influence is presumed to exist when the percentage of voting rights exercisable by the Group exceeds 20% but does not lead to control or joint control.

The considerations made in determining significant influence or joint control are similar to those necessary to determine control over subsidiaries.

When assessing an investor's power over an investee, potential voting rights are taken into account if they are substantive, *i.e.*, if they confer upon the investor the practical ability to direct the relevant activities of the investee on a timely basis.

The Group's investments in its associates and joint ventures are accounted for using the equity method.

Under the equity method, the investment in the associate is initially carried at its acquisition cost determined at the acquisition date. After acquisition, the carrying amount of the investment in the statement of financial position is adjusted for the changes in Group's share of net assets, including comprehensive income for the period.

Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and is never amortized.

The statement of operations reflects the Group's share of the results of operations of the associate or joint venture. Any change in other comprehensive income of those investees is presented in the consolidated statement of comprehensive income. In addition, when there has been a change recognized directly in the equity of the associate or joint venture, the Group recognizes its share of any changes, where applicable, in the statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the associate or joint venture are eliminated to the extent of the interest in the associate or joint venture. The aggregate of the Group's share of profit or loss of an associate and a joint venture is shown on the face of the statement of operations below operating profit and represents profit or loss after tax of the associate or joint venture.

The financial statements of the associate and joint ventures are prepared for the same reporting period as the parent company. Where necessary, adjustments are made to bring the accounting policies into line with those of the Group.

If the Group's share in the losses of an associate or a joint venture is greater than or equal to its investment in the associate, including any unsecured receivables, the Group does not recognize any additional losses, unless it has an obligation to do so or has made already payments in the name of the associate.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on the Group's investment in its associates. At each reporting date, the Group determines whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying amount and recognizes the amount in the statement of operations.

When an investment ceases to be an associate or a joint venture, the Group measures and recognizes any remaining investment at its fair value. Any difference between the carrying amount of the associate on loss of significant influence and the fair value of the residual investment and proceeds from disposal is recognized in the income statement.

Entities over which the Group does not exercise significant influence are measured at fair value and classified as available-for-sale financial assets.

A list of joint ventures and associates at 31 March 2015 and 31 March 2016 is presented in note 13.

2.3. Translation of the financial statements expressed in foreign currencies

Group entities outside the Eurozone use their domestic currency as their functional currency, with the exception of trading companies. Trading companies prepare all their financial information in USD, according to IAS21, since most of their operational flows are in USD.

All Group entities translate their financial statements to the Group's presentation currency (the euro) based on:

- the average annual exchange rate for income and expenses in the statement of operations;
- the exchange rate at 31 March for assets and liabilities in the statement of financial position.

The resulting translation differences are recognized in "Foreign currency translation" in shareholders' equity, and are also presented in "Other comprehensive income" in the statement of comprehensive income. The share attributable to non-controlling interests is presented in "Non-controlling interests" within shareholders' equity.

These amounts are fully reclassified to income when the related investment is: (i) fully disposed of or liquidated, or (ii) partially disposed of (the Group ceases to exercise control, joint control or significant influence). In case of a partial disposal without any significant economic consequences as described above, a partial reclassification of the "Foreign currency translation reserve" is recognized on a prorata basis.

The average and year-end exchange rates used in translating the financial statements for the presentation currency are the following:

Foreign currency / Euro ratio			Average rate		End of year rate	
			for the twelve-month period			
			ended			
			31 March 2016	31 March 2015	31 March 2016	31 March 2015
Brazil	Real	BRL	3.9601	3.1192	4.1174	3.4958
Czech Republic	Czech Koruny	CZK	27.1388	27.5812	27.0510	27.5330
UK	Pound sterling	GBP	0.7327	0.7855	0.7916	0.7273
USA	Dollar	USD	1.1039	1.2687	1.1385	1.0759
China	Chinese yuan	CNY	7.0202	7.8592	7.3514	6.6710
Hong Kong	Hong Kong dollar	HKD	8.5629	9.8375	8.8282	8.3422
Bosnia	Convertible mark	BAM	1.9558	1.9558	1.9558	1.9558
Romania	Leu	RON	4.4554	4.4322	4.4718	4.4098
Mozambique	Mozambican Metical	MZM	47.5945	40.4716	58.7889	39.0066
Indonesia	Rupiah	IDR	14979.0429	15313.8600	15024.8400	14053.7800

2.4. Transactions in foreign currencies

On initial recognition, transactions denominated in foreign currencies are translated into the subsidiary's functional currency at the exchange rate prevailing at the transaction date.

At year-end, financial assets and liabilities are translated at the year-end exchange rate, or at the hedged rate, if applicable. Foreign exchange differences resulting from these translations are recorded in the statement of operations under the heading "Financial income and expenses".

The Group grants long-term advances to foreign subsidiaries that may be qualified as net investments in a foreign operation in accordance with IAS 21. Any foreign exchange gains and losses arising on the translation of these receivables and payables at the closing exchange rate are recognized in Other Comprehensive Income in accordance with IAS 21.

2.5. Business combinations and goodwill

Business combinations are accounted for using the acquisition method.

Goodwill is initially measured at cost, being the excess of the consideration transferred and the amount of any non-controlling interest in the acquiree and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed, measured at fair value. If, after reassessment, the Group's interest in the fair value of the acquiree's identifiable net assets exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held equity interest in the acquiree (if any), the excess is recognized immediately in income as a gain on bargain purchase.

For each business combination, the Group decides to measure the non-controlling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition costs incurred are expensed.

When the Group acquires a business, it assesses the financial assets acquired and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions at the acquisition date. This includes the separation of embedded derivatives from the host contracts held by the acquiree.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period or additional assets or liabilities are recognized, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognized as of that date.

If the business combination is achieved in stages, the carrying amount of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through income.

Any contingent consideration to be transferred by the acquirer is recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration which is deemed to be a financial asset or liability are recognized in accordance with IAS 39 either in income or in other comprehensive income. If the contingent consideration is classified as equity, it is not remeasured until it is ultimately settled within equity.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Goodwill corresponding to consolidated entities is presented in the separate line "Goodwill" in the consolidated statement of financial position. Goodwill for entities accounted for using the equity method is included within "Investments in associates".

2.6. Non-current assets (or disposal groups) held for sale and related liabilities

Non-current assets (or disposal groups) and liabilities held for sale, and for which a sale is highly probable within twelve months, are classified under "Non-current assets (or disposal groups) classified as held for sale" and "Liabilities directly associated with non-current assets classified as held for sale" in the statement of financial position.

When several assets are intended to be sold during a single transaction, the group of assets (disposal group) is considered as a whole, as are the associated liabilities.

A sale is highly probable when Group Management is committed to a plan for the sale of the non-current asset or disposal group and an active programme to seek a buyer has been launched.

When a loss of control of a subsidiary is highly probable, all assets and related liabilities of the subsidiary are classified as held for sale, regardless of whether the entity will retain some interest in the former subsidiary after the sale.

Non-current assets (or disposal groups) classified as held for sale are measured at the lower of their carrying amount or fair value less costs to sell. Property, plant and equipment and intangible assets once classified as held for sale are no longer depreciated or amortized.

2.7. Intangible assets

Intangible assets include:

- patents acquired;
- recognized brands acquired that are distinguishable from other brands, whose value can be tracked over time;
- computer software;
- emissions quotas (see note 2.13);
- qualifying development expenses.

Acquired patents and computer software are measured at their acquisition cost and are depreciated over their useful life. Software is amortized using the straight-line method over its expected useful life ranging from 1 to 5 years.

Brands with indefinite useful lives and emissions quotas are not amortized and are subject to annual impairment tests.

Amortization and impairment losses are recognized in operating income.

In accordance with IAS 38, research and development expenses are expensed in the year incurred, with the exception of qualifying development expenses that meet the capitalisation criteria outlined in the standard.

2.8. Property, plant and equipment

Property, plant and equipment are measured at cost (purchase price plus incidental costs needed to place the assets in service) or at production cost plus any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in a manner intended by the management except in the context of a business combination.

When certain components of property, plant and equipment acquired have different useful lives, the components approach is applied and these components are depreciated over their respective useful lives.

Expenses corresponding to the replacement or renovation of components of property, plant and equipment are recorded as a new asset, and the carrying amount of the components replaced is eliminated.

The Group performs regular major maintenance activities in its industrial facilities on an annual basis, with the purpose of inspecting and replacing components of property, plant and equipment. The annual major maintenance costs include labour, materials, external services, general and other overhead expenses incurred during the inter-crop period. The Group uses the built-in overhaul method to account for the annual costs of major maintenance activities. The estimated cost of the portion of the total cost of an item of property, plant and equipment which must be replaced on an annual basis is recorded as a separate component of the cost of property, plant and equipment and is depreciated over its separate estimated useful life. It is then replaced in connection with the annual major maintenance activities. Regular periodic maintenance costs are expensed as incurred since the parts replaced do not enhance the performance of the asset.

In accordance with IAS 23, interest on loans used to purchase property, plant and equipment of a material individual amount and with a significant construction life are recognized as an increase in the asset's acquisition cost.

Depreciation is calculated on a straight-line basis over the expected useful life of each asset:

Industrial installations	20-40 years
Technical installations, equipment and industrial tools (France, Czech Republic)	15-40 years
Technical installations, equipment and industrial tools (Brazil, Mozambique)	10-15 years
Fixtures and improvements to buildings	10-20 years
Office equipment	5 years
Vehicles	5 years

2.9. Impairment of assets

In accordance with IAS 36 – Impairment of Assets, goodwill, property plant and equipment and intangible assets are subject to impairment tests whenever events or changes of circumstances indicate that their carrying amount may not be recoverable. Goodwill and intangible assets that have an indefinite useful life are subject to an impairment test, at least once a year or more frequently if there are indications of impairment. The Group performs annual impairment tests at the end of December.

For the purposes of measuring impairment, assets are combined into cash-generating units (CGUs). These CGUs correspond to the smallest groups of assets generating cash flows clearly independent from those generated by other CGUs.

Goodwill is allocated to cash-generating units or groups of cash-generating units that are expected to benefit from the business combinations in which the goodwill was recorded.

An impairment test consists of comparing the carrying amount of an asset, a CGU or a group of CGUs to its recoverable value, which is the higher of its fair value less costs to sell and value in use.

Value in use is obtained by adding the discounted pre-tax values of the cash flows expected from use of the asset (or group of assets) and the terminal value.

Cash flows used as the basis for calculating value in use derive from CGU's medium-term business plans. The assumptions used for growth in total revenue and terminal cash flows are considered reasonable and consistent with market data available for each CGU.

Fair value less costs to sell corresponds to the amount that might be obtained from the sale of an asset (or group of assets) in an arm's length transaction, less costs directly related to the sale.

If the recoverable value is lower than the carrying amount of the asset (or group of assets), an impairment loss is recognized in statement of operations for the difference and allocated first to goodwill. Impairment losses recognized against goodwill may not be reversed in subsequent periods.

2.10. Investment subsidies

Investment subsidies are not recognized unless there is reasonable assurance that the Group will comply with the conditions attached to them and that the grants will be received.

Investment subsidies received by the Group are recognized as deferred income in the statement of financial position under "Other current liabilities" or "Other non-current liabilities" and are transferred to the statement of operations on a systematic and rational basis over the useful lives of the related assets.

When public subsidies are not granted in respect of assets, these subsidies are recognized in the statement of operations on a systematic basis over the relevant periods to match them with the corresponding costs they are intended to offset.

2.11. Finance leases and operating leases

The Group uses leases as a lessee. At the inception of the lease, the Group assesses the substance of the lease to determine its classification. A lease that has the effect of transferring to the Group substantially all the risks and rewards of ownership of the leased asset is considered a finance lease.

At inception of the finance lease, the leased asset is recognized in "Property, plant and equipment" at the lower of the fair value of the leased asset and the present value of minimum future lease payments, and a corresponding debt is posted to liabilities. The discount rate used to calculate the present value of the minimum future lease payments is the interest rate implicit in the lease agreement if this can be measured. Otherwise the Group's marginal borrowing rate is used. The direct costs initially incurred are added to the amount recognized as an asset.

Items of property, plant and equipment recognized in this way are depreciated on a straight-line basis over the asset's estimated useful life, measured according to the same criteria as those used for fixed assets owned by the Group, or over the lease term, if shorter.

Leases that do not qualify as finance leases are classified as operating leases. Operating lease expenses are expensed in the period in which they are incurred.

2.12. Biological assets

IAS 41 – Agriculture, covers the accounting treatment of activities involving biological assets for sale (such as sugarcane plants) or agricultural products (at harvest time). These biological assets and the related agricultural products must be recognized at fair value less estimated expenses at the point of sale. The methodology adopted by the Group to satisfy this measurement rule is the following:

- sugarcane roots, which produce several harvests, are measured at fair value according to the replacement cost method and recognized under non-current assets;
- standing cane during the growing season is measured at fair value according to the discounted future cash flows method and recognized under non-current assets.

These two items are presented as a single asset in the statement of financial position, because agricultural produce may not be recognized separately from the biological asset to which it is related until harvest. As sugarcane roots do not meet the definition of a current asset set out in IAS 1.66, biological assets are classified as non-current assets.

Changes in fair value are recognized in income.

The land on which biological assets are planted is measured in accordance with IAS 16 – Property, Plant and Equipment.

2.13. Emissions quotas

The Group receives emissions quotas free of charge in some European countries under the European greenhouse gas emissions trading scheme. The quotas are received on an annual basis and in return the Group is required to remit quotas equal to its actual emissions.

In the absence of a current IFRS or interpretation on accounting for emissions quotas, the Group applies the following accounting policy:

- emission quotas received free of charge under national allocation plans are recognized in intangible assets at their market value on the date of allocation, and offset by a non-financial liability for the same amount;
- purchases of emission quotas on the market are recognized in intangible assets according to the same criteria as for any acquisition of separate assets, and an impairment loss is recognized if their carrying amount exceeds their market value;
- a provision is recognized if actual emissions exceed quotas held (allocated or purchased);
- the Group's gas emissions within the allocated quotas have no effect on income: the expense corresponding to the consumption of emissions quotas is recorded in other operating expenses, and a subsidy is recognized in other operating income for the same amount;
- at the end of the allocation period, unused emissions quotas are written-off from intangible assets and the current liability is reversed.

2.14. Inventories

Physical inventories in the processing activities are valued at the lower of cost and spot prices prevailing at the end of the reporting period. Cost is determined using the weighted average method or the “first in, first out” method, depending on the product. In addition stock held for trading are measured at fair value less costs to sell.

On initial recognition, raw materials and consumables are recognized at purchase price plus other expenses incurred in bringing the inventories to their present location and condition (transportation, commissions, etc.).

Manufactured products are valued at production cost, including the cost of materials consumed, depreciation of production inputs, and direct or indirect production expenses, excluding finance cost.

The Group has committed purchases and sales contracts for its commodities that are entered into as part of its trading and processing activities. The prices and physical delivery of the sales and purchases are fixed in the contracts. For committed purchases and sales contracts that are entered into for own use, the contracts are not recognized in the financial statements until physical deliveries take place. For committed purchases and sales contracts that are entered into as part of the trading activities, the fair value arising from the contracts are recognized in the financial statements until physical deliveries take place.

The fair value of sale and purchase commitments is booked in cost of goods sold.

An impairment loss is recognized on inventories when:

- the gross value calculated as defined above exceeds the market value or realizable value;
- products have been subject to significant deterioration.

2.15. Financial assets

Financial assets include the following accounting categories: available-for-sale, held to maturity, loans and receivables, assets measured at fair value through income, and derivative financial assets.

At the acquisition date, the Group classifies financial assets into one of the above accounting categories.

On initial recognition, financial assets are measured at fair value, and in the case of financial assets not measured at fair value through income, the initial amount includes transaction costs that are directly attributable to the acquisition of the financial asset.

- Financial assets available-for-sale

This category primarily includes non-consolidated equity instruments and debt securities that do not satisfy the definition of other categories of financial assets.

Financial assets available for sale are recognized at fair value at the reporting date. Securities that do not have a quoted market price in an active market and whose fair value cannot be reliably measured are recognized at cost less any impairment losses, generally calculated in relation to the proportion of equity held.

For securities that have a quoted market price in an active market, fair value corresponds to the trading price at the end of the relevant period.

Unlisted securities, for which fair value generally cannot be measured reliably are recognized at cost less any impairment losses generally calculated in relation to the proportion of equity held.

Unrealized capital gains and losses are recorded as “Gains (losses) on available-for-sale financial assets” within other comprehensive income. When there is objective evidence of impairment of available-for-sale financial assets, such as a significant or prolonged decline in value for equity instruments, cumulative impairment losses included in other comprehensive income are reclassified to the statement of operations.

- Financial assets held to maturity

This category primarily consists of fixed-income or measurable debt securities with fixed or determinable payments and fixed maturities, other than loans and receivables. They are acquired with a view to being held until maturity and the Group has the ability to hold them until that date.

After initial recognition at fair value, they are remeasured at amortized cost using the effective interest rate method (EIR).

Financial assets held to maturity are monitored for indicators of impairment. A financial asset is impaired if its carrying amount exceeds its estimated recoverable value measured during impairment tests. The impairment loss is recognized in income.

Gains and losses on assets held to maturity are respectively recorded to interest income and impairment losses in the statement of operations.

- Loans and receivables

This category includes trade loans and receivables (trade receivables and other debtors).

These instruments are initially measured at fair value and then remeasured at amortized cost using the effective interest rate method. Receivables less than one year old are recognized at face value.

Loans and receivables are subject to impairment tests. An impairment loss is recognized in income if the carrying amount exceeds the recoverable value and there is objective evidence that the asset or group of assets is impaired.

The Group factors some of its receivables. In accordance with IAS 39, the Group derecognizes receivables when the contractual right to receive the related cash flows has been transferred, as well as substantially all the risks and rewards of ownership.

Dilution risk is excluded from the analysis of the transfer of risk to the extent that it is defined and circumscribed, especially where it is correctly distinguished from late-payment risk.

Receivables sold with recourse in the event of non-payment are not derecognized. Costs to sell receivables are expensed in operating items.

- Financial assets at fair value through income

This category includes the financial assets that the Group intends to sell in the near future and assets designated as at fair value upon initial recognition.

These assets are measured at fair value and any changes in fair value are recognized in income.

- Derivative financial assets

Accounting rules and policies for derivative instruments are presented in note 2.20.

2.16. Cash and cash equivalents

Cash and cash equivalents include cash in bank current accounts, term deposits convertible in the very short term (less than three months) for which there is no material risk of loss of value in the event of a change in interest rates, and investment securities that are by nature highly liquid and subject to a negligible risk of change in value.

2.17. Pension and other post-employment benefits

- Defined-contribution plans

The Group expenses payments into defined contribution plans as incurred, when employees have rendered service entitling them to the contribution.

- Defined-benefit plans

Estimates of the Group's obligations under defined-benefit pension plans and other post-employment benefits, such as long-service awards, are calculated annually, in accordance with the revised IAS 19 – Employee Benefits, using the projected unit credit method. This method takes into account the likely duration of the employee's future service, the level of future compensation, life expectancy and personnel turnover, based on actuarial assumptions.

The obligation is discounted using an appropriate discount rate for each country where the commitments are located.

If benefits are funded externally, plan assets held by these outside funds are measured at fair value at the reporting date.

Actuarial gains and losses and changes in the return on plan assets (excluding net interest) are recognized immediately in the statement of financial position with a corresponding debit or credit to equity through other comprehensive income in the period in which they occur.

Current service cost – reflecting the increase in the obligation as a result of one additional year of entitlement – is recognized in recurring operating income.

The interest expense related to defined-benefit plans is recorded in financial expenses.

The effect of plan amendments on the Group's obligations is recognized in income in the year in which the amendment occurs and may no longer be deferred over the residual vesting period.

The projected benefit obligation recognized in the statement of financial position represents the present value of the defined benefit obligation less the fair value of any plan assets. Any assets resulting from this calculation are limited to the present value of available refunds expected from the plan and any expected reduction in future contributions arising from the surplus.

2.18. Provisions

Provisions are recognized when there is an obligation (legal, contractual or constructive) to a third party provided that it may be estimated reliably and is likely to result in an outflow of resources, with no at-least-equivalent consideration expected in return.

If the amount or maturity cannot be estimated reliably or where it is not probable that a present obligation exists, then it is a contingent liability.

Where the effect of the time value of money is material, the provision is discounted to present value. The discount rate used to determine the present value reflects the time value of money and the specific risks related to the liability being measured. The effect of discounting is recognized in financial expenses.

A restructuring provision is recognized when a detailed formal plan has been announced or when implementation of a restructuring plan has already begun.

2.19. Financial liabilities

This category includes:

- financial liabilities at amortized cost;
 - financial liabilities designated at fair value upon initial recognition;
 - financial liabilities classified as held for trading, including derivative liabilities (but excluding hedging derivatives);
 - commitments to purchase non-controlling interests.
- Measurement and recognition of financial liabilities at amortized cost

With the exception of financial liabilities at fair value and derivatives comprising liabilities measured and recognized at fair value, borrowings and other financial liabilities are measured and recognized initially at fair value and then at amortized cost, calculated using the effective interest rate.

- Measurement and recognition of compound financial instruments

Compound instruments are separated into liability and equity components based on the terms of the contract. On issuance of the compound instruments, the fair value of the liability component is determined using a market rate for an equivalent non-compound instrument. This amount is classified as a financial liability at amortized cost (net of transaction costs) until it is extinguished on conversion or redemption.

The remainder of the proceeds is allocated to the conversion option that is recognized and included in shareholders' equity, net of transaction costs. The carrying amount of the conversion option is not remeasured in subsequent years. Transaction costs are apportioned between the liability and equity components of the compound instruments based on the allocation of proceeds to the liability and equity components when the instruments were initially recognized.

- Measurement and recognition of financial liabilities designated at fair value upon initial recognition

When a financial liability is eligible to be recognized at fair value in its entirety – as in the case of a liability with an embedded derivative – the Group recognizes the liability at fair value and changes in fair value are recognized in financial income and expenses.

- Commitments to purchase non-controlling interests

Pursuant to IAS 32, put options granted unconditionally to third parties holding non-controlling interests in fully consolidated subsidiaries must be considered as a financial liability.

The Group recognizes put options granted to third parties holding non-controlling interests under financial liabilities at the fair value of the option, with an offsetting entry to reduce non-controlling interests.

Any difference between the fair value of the liability and the relevant non-controlling interests is recognized in equity attributable to owners of the parent.

The liability is estimated in line with the prices or formulae defined in the relevant agreements. When the formulae are based on an income multiple after deducting debt, the amount of the liability relative to the option is estimated according to the income and net debt forecasts for the option exercise period.

Subsequent changes in the fair value of these liabilities, including the effects of discounting, are recognized in equity.

The related share in reserves and income is also reflected in non-controlling interests in the financial statements.

2.20. Derivatives

Derivative instruments are measured at fair value in the statement of financial position.

The Group hedges its future cash flows with exposure to changes in interest rates, exchange rates, commodity prices and energy prices. The hedging of future cash flows is a hedge against exposure to changes in cash flows attributable to the risk of change in the underlying assets that would affect the statement of operations.

Derivative instruments may be designated as hedging instruments based on three types of hedging relationship: fair value hedge, cash flow hedge, or hedge of a net investment in a foreign operation.

For cash flow hedges, the effective portion of changes in the fair value of the hedging instrument is posted directly to other comprehensive income, while the change in the fair value of the ineffective portion is recognized in income. Amounts recognized as other comprehensive income items are taken to income in the same period in which the hedged item itself affects income.

Derivative instruments that do not meet the definition of hedging instruments are qualified as “held for trading”. Changes in the fair value of held for trading derivatives are recognized in the statement of operations.

Derivatives instruments held for trading are not held for speculative purposes.

The change in fair value of derivatives recognized in the statement of operations is classified:

- in financial income/expenses when the underlying risk is classified in financial income/expenses (interest rates, exchange rates);
- in operating income/expenses when the underlying risk is classified in operating income/expense (commodities, energy).

2.21. Cooperative capital

Tereos UCA is a cooperative union, with capital consisting of partnership shares subscribed in line with the activity of its cooperative members during a commitment period.

The Articles of Association stipulate the rules applicable to the management of these partnership shares: shares are subscribed in accordance with the level of activity of the cooperative members over a 25-year commitment period, automatically renewable for 5-year periods.

This capital may vary based on a procedure that is subject to the approval of the Supervisory Board or the general shareholders' meeting, as applicable. It may not be reduced below a minimum equal to three-quarters of the highest capital balance stipulated at a general shareholders' meeting. Moreover, a share redemption reserve must be established for any downward change, during the appropriation of income, in order to cover any reduction in shareholders' equity.

IAS 32 establishes the principles for classifying financial instruments as financial liabilities or as equity. Specifically, puttable instruments, redeemable at the option of the holder, which entitle the latter to request redemption from the issuer in exchange for a cash amount or other financial instrument, are classified as debt instruments under IAS 32.

IFRIC 2 contains a certain number of guidelines and examples of the accounting treatment of the partnership shares of cooperatives.

Given the specific nature of an agricultural cooperative, the sugar sector and the operation of the Tereos UCA cooperative union, the Group believes the following specific characteristics should be taken into account in classifying partnership shares:

- an extremely capital-intensive activity requiring a significant long-term commitment by cooperative members;
- rules governing the European sugar sector requiring structured management of sugar production and sugarbeet delivery rights, and limiting changes in capital;
- articles of association that contain a procedure governing the redemption of capital;
- management suitable for the specific case of a five-member cooperative union;

- a historically low level of capital redemption.

Given these factors, as well as the very specific nature of the partnership shares, the Group has presented cooperative capital as a separate item in the statement of financial position, apart from long term and short term borrowings.

The “Cooperative capital and total equity” sub-total is presented in the statement of financial position in accordance with IAS 1, to facilitate understanding of the Group’s financial structure. This line item highlights the capital invested by the Group’s cooperative sugarbeet growers.

2.22. Reserves

The nature and purpose of each reserve are the following:

Cash flow hedge reserve and actuarial gains and losses reserve

The cash flow hedge reserve contains the effective portion of the cash flow hedge relationships incurred at the reporting date, net of tax. Further information on the accounting methods applicable to the use of this reserve are disclosed in note 2.20.

The actuarial gains and losses reserve presents the actuarial gains and losses resulting from the change in the provision for pensions. Further information on the accounting methods applicable to the use of this reserve are disclosed in note 2.17.

Foreign currency translation reserve

The foreign currency translation reserve is used to record exchange differences arising from the translation of the financial statements of foreign subsidiaries. Further information on the accounting methods applicable to the use of this reserve are disclosed in note 2.3.

2.23. Income taxes

Income taxes in the consolidated statement of operations include current and deferred taxes.

- **Current taxes**

Current taxes are calculated based on taxable income for the year. Taxable income for the year differs from income reported in the consolidated statement of operations because it excludes income or expenses that are taxable or deductible in other periods, as well as income or expenses that are never taxable or deductible.

Current tax assets or liabilities are recognized in the statement of financial position using tax rates that have been enacted at year-end.

- **Deferred taxes**

Pursuant to IAS 12, deferred taxes result from temporary differences between the carrying amounts of assets and liabilities and their tax base.

Deferred income taxes are calculated based on the tax rate expected to apply during the financial year in which the asset will be realized or the liability settled, and are classified into non-current assets and liabilities. The effects of changes in tax rates from one period to the next are recognized in income in the period when the change occurs, except to the extent that it relates to items previously recognized outside the consolidated statement of operations.

Unused tax losses can be carried forward indefinitely and are not subject to inflation adjustment. The expected recovery of all deferred tax assets is supported by the taxable income projections, which have been approved by the Company’s Management.

Projections of future taxable income include several estimates related to the performance of the Brazilian and international economies, exchange rate fluctuations, sales volumes, sales prices and tax rates which may differ from actual data and amounts.

Deferred tax assets resulting from temporary differences, tax losses and both tax loss or tax credit carryforwards are limited to the estimated recoverable tax amount. This is measured at the reporting date based on the income outlook for the relevant entities.

Pursuant to IAS 12, deferred tax assets and liabilities are not discounted.

Deferred taxes are recognized as expenses or revenue in income unless generated by items charged directly to other comprehensive income, in which case the related deferred taxes are also recognized in other comprehensive income.

2.24. Revenue

Revenue derived from the sale of products and goods purchased for resale is recognized when the risks and rewards inherent to ownership have been transferred to the customer and it is probable that the economic benefits associated with the transaction will flow to the Group. Selling prices are fixed based on purchase orders or contractual arrangements.

Revenue derived from the sale of services is recognized when service has been rendered.

Revenue is recognized net of rebates, commercial benefits granted and sales taxes (VAT, ICMS, PIS and COFINS). Shipping and handling costs are classified as distribution expenses in the statement of operations.

3. Main acquisitions, disposals and changes in scope of consolidation

Control over Usina Vertente

In the three-month period ended in June 2015, Cruz Alta Participações, an affiliate of Guarani, and Cleel Empreendimentos e Participações entered into a new shareholder's agreement in relation to their investment in Usina Vertente, without any change in the percentage of interest of each shareholder in Usina Vertente or any exchange of consideration.

The corporate governance set up by the new shareholder's agreement allows Cruz Alta Participações to control Usina Vertente. Usina Vertente is therefore fully consolidated in the accounts, starting 1 April 2015.

In accordance with IFRS 3 (R), the Group has remeasured its investment in Usina Vertente at its fair value without any impact in the statement of operations and then, the Group determined the fair value of identifiable assets and liabilities assumed and has recognized such fair value of assets and liabilities. The consolidated financial statements include the results of Usina Vertente for the period from the date on which the new shareholder's agreement was signed until March 31st, 2016.

The fair values of identifiable assets acquired and liabilities assumed at the acquisition date were as follows:

(MILLIONS OF EUROS)	Fair value recognized on acquisition
Cash and cash equivalent	3
Trade receivables	1
Inventories	10
Intangible assets	0
Property, plant & Equipment	131
Deferred tax assets	9
Tax assets	1
Other financial assets	13
Total Assets	168
Trade payables	3
Other financial liabilities	3
Borrowings	138
Other creditors	(1)
Deferred tax liabilities	10
Total Liabilities	153
Net assets acquired	15
Non-controlling interest	50%
Total net assets acquired	7
Goodwill arising on acquisition	10
Fair value of Usina Vertente	17
Net cash acquired with the subsidiary	3
Cash paid	0
Net cash outflow	(3)

From the day on which the new shareholder's agreement was signed to March 31st, 2016, Usina Vertente's contribution to the consolidated net sales is €59.5 million and to the consolidated net loss is €(7.5) million.

Acquisition of Napier Brown Sugar, a sugar distributor in Great Britain

In May 2015, Tereos Participations acquired a British sugar distributor, Napier Brown Sugar, located in Normanton (UK).

The Group performed a preliminary assessment of the fair value of the identifiable assets acquired and liabilities assumed and recognized the corresponding amounts in its financial statements. These provisional amounts may be adjusted during the twelve months following the acquisition date in accordance with Revised IFRS 3. Napier Brown Sugar is fully consolidated and the Group's consolidated net income at the end of March 2016 includes results of Napier Brown Sugar as from the acquisition date until 31 March 2016.

The fair value of the identifiable assets acquired and liabilities assumed at the acquisition date were as follows:

(MILLIONS OF EUROS)	Fair value recognized on acquisition
Cash and cash equivalent	0
Trade receivables	21
Inventories	8
Intangible assets	0
Property, plant & Equipment	11
Deferred tax assets	0
Tax assets due	1
Other financial assets	1
Total Assets	42
Trade payables	13
Other financial liabilities	4
Borrowings	0
Other creditors	0
Tax liabilities due	0
Total Liabilities	17
Net assets acquired	25
Non-controlling interest	0
Total net assets acquired	25
Goodwill arising on acquisition	36
Fair value of Napier Brown Sugar	61
Net cash acquired with the subsidiary	0
Cash paid	61
Net cash outflow	61

Napier Brown Sugar has been renamed as Tereos UK and Ireland during the year ended 31 March 2016.

In the year ended 31 March 2016, Tereos UK and Ireland contributed €103.7 million to the consolidated net sales and a €(1.6) million net loss on the Group's net income.

Capital increase in Sucrière des Mascareignes Ltd

In August 2015, Tereos Ocean Indien, through Sucrière des Mascareignes Ltd., which is 40%-owned by Tereos Ocean Indien, acquired 51% of Transmara Sugar Company Limited, a sugar producer located in Kenya with an existing crushing capacity of 600 thousands of tonnes and a production of sugar of 60 thousands of tonnes last year.

On August 10th, 2015, Tereos Ocean Indien subscribed to a Sucrière des Mascareignes Ltd capital increase, receiving new Sucrière des Mascareignes Ltd shares for a total consideration of USD 9 million (€8.0 million) to contribute to the financing of this acquisition.

After this transaction, Tereos Ocean Indien continues to own 40% of Sucrière des Mascareignes Ltd.

Capital increase in Guarani

As part of the agreement signed between Tereos Internacional S.A. and Petróleo Brasileiro S.A. (“Petrobras”) on 30 April 2010, Petrobras Biocombustível, a subsidiary of Petrobras, subscribed to a Guarani capital increase. On 29 October 2015, Guarani issued 31 852 348 new shares for a total amount of R\$ 268 million (€67.7 million).

After this transaction, Petrobras Biocombustível's participation in Guarani has increased from 42,9% to 45,9% resulting in an increase of €11.4 million attributed to the parent and €56.3 million to non-controlling interests.

Public tender offer for the acquisition of Tereos Internacional public shares

On December 4th, 2015 Tereos Participations SAS decided to make a combined public tender offer for the acquisition of the shares of Tereos Internacional to effect either the cancellation of the Company's registration as a publicly-held company (“Cancellation of Registration”), which will result in the exit of the Company from the Novo Mercado trading segment of BM&FBovespa S.A or the exit from the Novo Mercado, with the migration of the Company to the Basic listing segment of BM&FBovespa.

On January 22nd, 2016, the Company received the appraisal report of the Company's shares, prepared by Banco Bradesco BBI S.A., a specialized institution chosen per a resolution of the Company's extraordinary shareholders meeting held on 23 December 2015.

According to the Appraisal Report, the Appraiser calculated the economic value of the Company's shares within a range of fifty six Reais and one cent (R\$ 56.01) and sixty one Reais and sixty cents (R\$ 61.60).

Investment in Copagest

In May 2015, Tereos Cooperation acquired 15% of COPAGEST SA, the malt branch of the AXEREA Group, from ARIANE.

Copagest is consolidated under the equity method.

4. Revenue

Revenue mainly comprises sales of goods.

Revenue is broken down as follows:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Sugar	1,634.9	1,726.8
Starch	1,075.7	820.7
Alcohol and Ethanol	833.3	805.1
Co-products	279.4	612.7
Energy	77.8	101.4
Other	299.8	233.6
Revenue	4,201.0	4,300.2

5. Expenses by nature

The analysis of expenses by nature is as follows:

(MILLIONS OF EUROS)	Note	For the year ended	
		31 March 2016	31 March 2015
Raw materials and consumables used		(2,508.8)	(2,554.2)
Price complement		(2.2)	38.1
External expenses		(763.3)	(785.4)
Employee benefits expenses	5.1	(504.7)	(525.7)
Depreciation, amortization and change due to harvest	5.2	(358.2)	(346.5)
Other operating income (expenses)		35.7	3.8
Total operating expenses		(4,101.5)	(4,170.0)
Cost of sales		(3,425.6)	(3,494.7)
Distribution expenses		(384.8)	(396.6)
General and administrative expenses		(288.5)	(265.6)
Other operating income		(2.7)	(13.0)
Total operating expenses		(4,101.5)	(4,170.0)

External expenses mainly concern transportation costs, maintenance costs and fees.

In 2014/2015, the line price complements included a positive difference of €38.1 million related to the difference between the amount of price complements recognized in the form of a provision at 31 March 2014 for the 2013 campaign, the amount finally paid out in 2014/2015 for the 2013 campaign, and the provision for the 2014 campaign recognized in 2014/2015.

5.1. Employee benefits expenses

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Wages and salaries	(372.1)	(388.1)
Taxes on wages and salaries	(119.3)	(119.2)
Other employee expenses	(13.4)	(18.4)
Employee benefit expenses	(504.7)	(525.7)

At 31 March 2016, the Group's headcount was broken down as follows:

	At	
	31 March 2016	31 March 2015
Africa	4,406	4,917
America	9,465	8,915
Asia	308	392
Europe	4,844	4,777
Number of employees	19,023	19,001

5.2. Depreciation, amortization and change due to harvest expenses

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Depreciation of property, plant and equipment	(298.6)	(278.4)
Change due to harvest	(46.1)	(55.0)
Amortization of intangible assets	(13.4)	(13.1)
Amortization, depreciation and change due to harvest	(358.2)	(346.5)

6. Other operating income and expenses

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Taxes	(67.7)	(62.7)
Change in fair value of derivatives	2.4	0.0
Provisions and depreciations	(3.8)	(2.8)
Subsidies	4.8	4.5
Non recurring income / expense	21.6	(1.9)
Other	78.4	66.7
Other income (expenses)	35.7	3.8

The line "Other" mainly includes in 2016:

- conventional indemnities for €68.6 million (€67.6 million in 2015);
- transfers of operating expenses for €6.0 million (€4.3 million in 2015);
- research tax credits for €3.4 million (€4.3 million in 2015);
- sundry other income for €0.4 million. (€(9.5) million in 2015)

The non-recurring income/expenses mainly corresponds in 2016 to gains on sale of assets (€6,2 million) and to release of provisions (€7.0 million).

7. Research and development expenses

Research and development expenses taken to income for the year ended 31 March 2016 amount to €2 million (€5 million for the year ended 31 March 2015).

8. Net financial expense

8.1. Financial income and expenses

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Interest expenses	(118.7)	(117.8)
Fair value loss on financial assets and liabilities through statement of operations	0.0	(0.4)
Fair value loss on Derivatives	(8.7)	(1.6)
Foreign exchange losses	(200.2)	(154.3)
Other financial expenses	(10.3)	(6.8)
Financial expenses	(337.9)	(280.9)
Interest income	0.5	0.8
Fair value gain on financial assets and liabilities through statement of operations	2.1	0.0
Fair value gain on Derivatives	10.3	4.9
Foreign exchange gains	198.8	147.8
Other financial income	23.0	16.8
Financial income	234.6	170.2
NET FINANCIAL INCOME (EXPENSES)	(103.3)	(110.7)
<i>Of which: net interest income (expenses)</i>	<i>(118.3)</i>	<i>(117.0)</i>
<i>Of which: foreign exchange gains and losses</i>	<i>(1.4)</i>	<i>(6.6)</i>

In accordance with IAS 21 and Group accounting principles described in note 2.4 to the consolidated financial statements, the Group has decided to qualify intra-group loans provided by Guarani to its subsidiary in Mozambique in USD as a net investment in a foreign operation with effect from 1 October 2015. Accordingly, for the six-month period ended 31 March 2016, foreign exchange losses related to these loans were classified in other comprehensive income for a total amount of €54.9 million (net of deferred taxes).

8.2. Gains and losses on financial assets and liabilities

For the year ended 31 March 2016

(MILLIONS OF EUROS)	Net interest income (expense)	Net foreign exchange income (expense)	Net gain (loss) of fair value	Others financial income / (expenses)	Total Financial Income (expenses)	Operating income (expenses)	OCI*
Trade receivables		8.3			8.3		
Cash and cash equivalents		25.8			25.8		
Inventories					0.0	(0.1)	
Other financial assets (excluding derivatives)	0.5				0.5	(2.5)	
Borrowings	(117.3)	0.9	2.1		(114.3)		(39.9)
Trade payables		(0.5)			(0.5)		
Other financial liabilities (excluding derivatives)	(1.5)	(21.6)			(23.1)		
Derivatives		(14.2)	1.5		(12.7)	2.4	(36.2)
Other		0.0		12.7	12.7		0.2
Total	(118.3)	(1.4)	3.6	12.7	(103.3)	(0.2)	(75.9)

* = net of taxes

For the year ended 31 March 2015

(MILLIONS OF EUROS)	Net interest income (expense)	Net foreign exchange income (expense)	Net gain (loss) of fair value	Others financial income / (expenses)	Total Financial Income (expenses)	Operating income (expenses)	OCI*
Trade receivables		(3.0)			(3.0)		
Cash and cash equivalents		46.5			46.5		
Inventories							
Other financial assets (excluding derivatives)	0.8				0.8		
Borrowings	(115.7)	(25.2)	(0.4)		(141.2)		(108.2)
Trade payables		(1.4)			(1.4)		
Other financial liabilities (excluding derivatives)	(2.1)	(22.2)			(24.3)		
Derivatives		(1.3)	3.3		2.0	0.1	2.2
Other		0.0		9.9	9.9		
Total	(117.0)	(6.6)	2.9	9.9	(110.7)	0.1	(106.0)

* = net of taxes

9. Income tax

9.1. Income taxes recognized in statement of operations

The breakdown of income taxes is presented as follows:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Current income taxes	(16.4)	(15.3)
Deferred income taxes	(19.8)	(6.3)
Total	(36.2)	(21.6)

The special tax status of the Group's parent company (*Union de Coopératives Agricoles à capital variable*) limits taxation to transactions with non-member third parties. Thus, the nominal tax rate of the Group's parent company is not representative of the tax expense borne by the parent company.

The reconciliation between the applicable and effective tax rates is presented below:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Net income	(34)	17
Share of profit of associates and joint-ventures	6	19
Income tax income (expense)	(36)	(22)
Income before income tax and share of profit of associates and joint-ventures	(3)	20
<i>Group's statutory income tax rate</i>	<i>34%</i>	<i>34%</i>
Income taxes based on Group's statutory rate	1	(7)
Tax losses without recognition of deferred tax assets tax loss carry forward	(24)	(15)
Utilisation of previously unrecognized tax losses	1	-
Recognition of previously unrecognized tax losses	-	2
Effect of different tax rates in the foreign countries	(15)	(8)
Other non-deductible expenses for tax purposes	-	6
Effective income taxes	(36)	(22)

9.2. Income taxes in the statement of financial position

The positions of current and deferred taxes in the statement of financial position are as follows:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Current income taxes assets	38.0	34.2
Current income taxes liabilities	(4.5)	(4.8)
Total current income taxes	33.4	29.4
Deferred income taxes assets	147.0	167.4
Deferred income taxes liabilities	(27.4)	(25.6)
Total deferred income taxes	119.6	141.8

The net deferred taxes amount to €119.6 million of which €127.1 million comes from the recognition of tax loss carry-forward.

The breakdown of deferred taxes on the statement of financial is presented as follows:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Deferred tax assets	147.0	167.4
Deferred tax assets through the statement of operations	76.0	101.2
Deferred tax assets through other comprehensive income	71.1	66.3
Deferred tax liabilities	(27.4)	(25.6)
Deferred tax liabilities through the statement of operations	(26.0)	(24.6)
Deferred tax assets through other comprehensive income	(1.5)	(0.9)
Total	119.6	141.8

Changes in deferred taxes are presented below:

(MILLIONS OF EUROS)	Net deferred taxes
At 31 March 2014	114.4
Amount charged to the statement of operations	(6.3)
Amount charged to other comprehensive income	52.7
Acquired through business combinations	3.5
Effect of change in accounting policies	0.0
Effect of foreign currency exchange difference	(13.4)
Other	(9.1)
At 31 March 2015	141.8
Amount charged to the statement of operations	(19.8)
Amount charged to other comprehensive income	5.7
Acquired through business combinations	(0.2)
Effect of change in accounting policies	0.0
Effect of foreign currency exchange difference	(16.7)
Other	8.8
At 31 March 2016	119.6

9.3. Deferred tax assets on tax loss carry-forward

Recognized deferred tax assets arising from the carry-forward of unused tax losses are mostly located in Starch & Sweeteners Europe entities and Brazilian Sugar & Energy entities.

The expected recovery of deferred tax assets recognized on tax loss carry-forward based on the taxable income projections approved by Group Management is as follows:

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
N+1	18.1	7.3
N+2	8.4	15.4
N+3	12.1	20.6
N+4	22.7	25.7
N+5	13.1	25.9
N+6 and thereafter	52.8	49.2
Total	127.1	144.0

The projections of future taxable income include estimates related to the performance of the Brazilian, European and international economies, exchange rate fluctuations, sales volumes, sales prices, tax rates and other items, which may differ from actual data and amounts.

As income tax credits or expenses result not only from taxable income but also from the tax and corporate structure of the Group, the existence of non-taxable income, non-deductible expenses, tax exemptions and incentives, and various other variables, the projected utilisation of tax loss carry-forward should not be considered indicative of the Group's future net income.

9.4. Unrecognized tax loss carry-forward

Unrecognized deferred tax assets arising from the carry-forward of unused tax losses amounted to €84.2 million at 31 March 2016 (compared to €67.4 million at 31 March 2015), determined in accordance with the accounting policies described in note 2.23.

10. Other Comprehensive Income

Other comprehensive income items relate to cash flow hedges that the Group uses to hedge its interest rate, foreign exchange, commodity and energy risks, actuarial gains and losses on post-employment benefits, and the impact of changes in foreign exchange translation reserves during the period.

The negative impact on foreign exchange translation reserves directly reflects fluctuations in the Brazilian real during the period.

The positive impact on the fair value of financial instruments is explained in note 8.2.

11. Inventories

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
Raw materials and advances for raw materials suppliers	243.4	254.8
Energy	4.7	7.7
Work in progress	115.7	162.8
Intercrop fixed costs	0.0	0.6
Finished and semi-finished products	540.8	553.0
Goods purchased for resale (*)	54.1	58.4
Inventories	958.6	1037.3

* including trading inventories at fair value for €5,2 million.

Changes in inventories are presented as follows:

(MILLIONS OF EUROS)	
At 31 March 2014	1,114.4
Change in inventories through the cost of sales	(60.0)
Change in write-down of inventory in the statement of operations	(5.2)
Change due to acquisition or divestiture	0.8
Other	0.0
Effect of foreign currency exchange differences	(12.6)
At 31 March 2015	1,037.3
Change in inventories through the cost of sales	(74.0)
Change in write-down of inventory in the statement of operations	1.8
Change due to acquisition or divestiture	18.9
Other	0.3
Effect of foreign currency exchange differences	(25.7)
At 31 March 2016	958.6

12. Biological assets

Changes in the net amount of biological assets are as follows:

(MILLIONS OF EUROS)	
At 31 March 2014	250.8
Plantation costs	35.8
Increase in tilling costs	55.5
Change due to harvest	(55.0)
Change due to harvest in tilling costs	(53.1)
Change in Fair value	7.5
Change due to acquisition or divestiture	(2.4)
Effect of foreign currency exchange differences	(22.3)
At 31 March 2015	216.9
Plantation costs	42.1
Increase in tilling costs	48.6
Change due to harvest	(46.1)
Change due to harvest in tilling costs	(46.3)
Change in Fair value	21.4
Change due to acquisition or divestiture	26.7
Effect of foreign currency exchange differences	(40.3)
At 31 March 2016	222.9

Own sugarcane crushed amounted to 8,291 thousand tonnes for the year ended 31 March 2016 (7,647 thousand tonnes for the year ended 31 March 2015).

Cane roots

The following assumptions have been used in determining the fair value of cane roots:

At 31 March 2016	Brazil	Mozambique
Area to be replanted (hectares)	132,716	15,665
Planting costs (R\$/hectare)	7,483	5,486
At 31 March 2015	Brazil	Mozambique
Area to be replanted (hectares)	113,602	15,665
Planting costs (R\$/hectare)	7,483	3,781

Standing Cane

The following assumptions have been used in the determination of the fair value of standing cane:

At 31 March 2016	Unit	Brazil	Mozambique
Expected area to harvest	hectares	132,716	15,665
Estimated yields	tonnes of cane per hectare	82	47
Quantity of Total Recoverable Sugar	kg per tonne of cane	139	100
Value of one kg of Total Recoverable Sugar	R\$	0,6	1,3
At 31 March 2015	Unit	Brazil	Mozambique
Expected area to harvest	hectares	113,602	15,665
Estimated yields	tonnes of cane per hectare	76	54
Quantity of Total Recoverable Sugar	kg per tonne of cane	139	96
Value of one kg of Total Recoverable Sugar	R\$	0,5	1,7

13. Investments in associates and joint ventures

Main investments in associates and joint ventures at 31 March 2016 were as follows:

		Group voting rights (in %)	Investment in associates and joint ventures	
(MILLIONS OF EUROS)	Activity		31 March 2016	31 March 2015
Sedalcol UK	Alcohol production	50.00%	13.8	11.7
Sedalcol France	Alcohol production	50.00%	8.8	7.4
Sedamyl	Starch production and commercialization	50.00%	37.4	32.8
Sedamyl Services	Holding	50.00%	31.5	31.2
Dongguan Yihai Kerry				
Syral Starch technology Co.	Starch production	49.00%	7.9	24.5
Liaoning Yihai Kerry				
Tereos Starch tecnology Co.	Starch production	49.00%	37.1	17.9
Usina Vertente	Sugarcane, ethanol, energy production and commercialization	50.00%	N/A	1.1
Other Joint ventures			5.9	4.9
Sub-total Joint ventures			142.4	131.4
Lesaffre	Sugarbeet production	37.09%	27.5	26.8
Refineria de Olmedo	Sugar refining	50.00%	(0.7)	1.7
Albioma Le Gol	Energy production	35.38%	37.5	35.5
Sucrière des Mascareignes	Production and marketing of sugarcane	40.00%	28.5	19.9
Copagest	Holding	15.00%	38.7	
Other Associates			10.4	10.8
Sub-total Associates			141.9	94.8
Total			284.3	226.2

(MILLIONS OF EUROS)		Share of profit of associates and joint ventures	
		31 March 2016	31 March 2015
Sedalcol UK		3.4	7.0
Sedalcol France		7.1	5.5
Sedamyl		7.1	5.8
Sedamyl Services		0.2	0.3
Dongguan Yihai Kerry Syral Starch technology Co.		(15.0)	(1.4)
Liaoning Yihai Kerry Tereos Starch technology Co.		(10.5)	(4.7)
Usina Vertente		N/A	(6.9)
Other Joint ventures		0.2	1.2
Sub-total Joint ventures		(7.4)	6.7
Lesaffre		1.1	2.3
Refineria de Olmedo		(1.6)	(1.1)
Albioma Le Gol		5.8	3.8
Sucrière des Mascareignes Ltd		5.9	5.5
Copagest		0.7	
Other Associates		1.2	2.2
Sub-total Associates		13.1	12.7
Total		5.6	19.3

Changes in investments in associates and joint ventures are as follows:

(MILLIONS OF EUROS)	
At 31 March 2015	226.2
Net result	5.6
Dividends paid	(16.9)
Change due to acquisition or divestiture	35.8
Effect of foreign currency exchange differences	(7.3)
Other	40.6
At 31 March 2016	284.3

Key financial data of material investments in associates and joint ventures (at 100%) are presented below:

Statement of financial position

(MILLIONS OF EUROS)	Sedacol UK		Sedacol France		Sedamyl	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Current assets	31.1	26.2	18.2	16.7	82.3	75.5
Non-current assets	61.4	66.4	5.8	6.3	115.3	107.0
Current liabilities	8.5	12.1	5.6	7.4	58.9	53.4
Non-current liabilities	56.4	57.1	0.7	0.9	11.1	10.5
Equity	27.6	23.3	17.7	14.8	127.7	118.5

(MILLIONS OF EUROS)	Dongguan Yihai Kerry Syral Starch technology Co., Ltd		Liaoning Yihai Kerry Tereos Starch technology Co.		Usina Vertente	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Current assets	29.7	16.6	50.2	124.0		24.3
Non-current assets	118.8	123.5	165.2	170.9		125.8
Current liabilities	77.9	90.2	170.6	288.7		54.3
Non-current liabilities	54.4	0.0	4.5	5.2		93.5
Equity	16.2	49.9	40.2	1.0		2.3

(MILLIONS OF EUROS)	Sucrière des Mascareignes Ltd		Lesaffre		Albioma Le Gol	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Current assets	63.6	46.6	79.6	88.8	55.0	63.4
Non-current assets	47.4	57.5	0.0	0.0	143.7	135.7
Current liabilities	12.4	13.8	11.4	22.3	33.2	30.5
Non-current liabilities	27.4	40.4	0.3	0.4	59.6	68.3
Equity	71.2	49.8	68.0	66.1	105.9	100.3

(MILLIONS OF EUROS)	Refineria de Olmedo		Copagest	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Current assets	12.4	19.0	188.6	
Non-current assets	15.4	11.7	223.9	
Current liabilities	23.3	24.1	78.0	
Non-current liabilities	2.0	3.1	76.4	
Equity	2.5	3.5	258.1	

Statement of operations (year ended)

(MILLIONS OF EUROS)	Sedacol UK		Sedacol France		Sedamyl	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Revenue	72.4	69.4	51.0	47.3	188.3	182.2
Cost of sales	(53.1)	(52.7)	(32.1)	(31.0)	(149.4)	(149.8)
Distribution expenses	(3.7)	(3.6)	(4.3)	(4.4)	(19.4)	(17.4)
General and administrative expenses	(2.2)	(1.5)	(0.0)	(0.2)	(3.2)	(3.5)
Other operating income (loss)	0.0	0.0	(0.6)	(0.9)	4.9	6.3
Net financial income (expense)	(5.1)	6.1	0.0	(0.0)	(0.4)	(0.7)
Income taxes	(1.6)	(3.8)	0.2	0.2	(6.6)	(5.7)
Net income (loss)	6.7	14.0	14.3	10.9	14.2	11.5
Cash-flow hedge and employee benefit reserve	0.0	0.0	0.0	0.0	0.0	0.0
Foreign currency translation reserve	(2.4)	2.1	0.0	0.0	0.0	0.0
Total comprehensive income	4.3	16.2	14.3	10.9	14.2	11.5

	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Revenue	47.2	0.0	182.5	229.8		81.0
Cost of sales	0.0	0.0	(175.8)	(217.6)		(74.7)
Distribution expenses	(2.8)	0.0	(20.8)	(15.4)		(2.6)
General and administrative expenses	(68.6)	(3.6)	(4.0)	(3.4)		(3.7)
Other operating income (loss)	(0.1)	0.4	1.9	7.0		0.1
Net financial income (expense)	(6.2)	0.3	(5.3)	(10.2)		(21.2)
Income taxes	0.0	0.0	0.0	0.0		7.4
Net income (loss)	(30.5)	(2.9)	(21.5)	(9.7)		(13.8)
Cash-flow hedge and employee benefit reserve	0.0	0.0	0.0	0.0		(7.8)
Foreign currency translation reserve	(3.2)	9.6	(1.9)	1.0		(0.3)
Total comprehensive income	(33.8)	6.7	(23.4)	(8.6)		(22.0)

(MILLIONS OF EUROS)	Sucrière des Mascareignes Ltd		Lesaffre		Albioma Le Gol	
	31 March	31 March	31 March	31 March	31 March	31 March
	2016	2015	2016	2015	2016	2015
Revenue	67.9	57.0	52.1	78.0	100.6	99.4
Cost of sales	(24.4)	(19.0)	(49.3)	(72.0)	(76.4)	(77.4)
Distribution expenses	0.0	0.0	0.0	0.0	0.0	0.0
General and administrative expenses	(17.1)	(14.8)	0.0	0.0	0.0	0.0
Other operating income (loss)	1.3	0.6	0.0	0.0	3.8	(0.5)
Net financial income (expense)	0.3	0.0	0.0	0.0	(2.9)	(3.3)
Income taxes	(13.2)	(10.0)	0.1	0.1	(8.7)	(7.5)
Net income (loss)	14.8	13.9	2.9	6.1	16.4	10.8
Cash-flow hedge and employee benefit reserve	0.0	0.0	0.0	0.0	0.0	0.0
Foreign currency translation reserve	(5.8)	14.3	0.0	0.0	0.0	0.0
Total comprehensive income	8.9	28.1	2.9	6.1	16.4	10.8

(MILLIONS OF EUROS)	Refineria de Olmedo		Copagest	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Revenue	24.0	53.8	117.6	-
Cost of sales	(28.1)	(55.3)	(111.3)	-
Distribution expenses	0.0	0.0	0.0	-
General and administrative expenses	0.0	0.0	0.0	-
Other operating income (loss)	0.0	(1.7)	0.0	-
Net financial income (expense)	(0.5)	0.0	(0.7)	-
Income taxes	1.3	1.0	(1.1)	-
Net income (loss)	(3.3)	(2.2)	4.5	-
Cash-flow hedge and employee benefit reserve	0.0	0.0	0.0	-
Foreign currency translation reserve	0.0	0.0	0.0	-
Total comprehensive income	(3.3)	(2.2)	4.5	-

14. Material non-controlling interests in subsidiaries

Financial information of subsidiaries that have material non-controlling interests is provided below:

(MILLIONS OF EUROS)	Country	Activity	% Non-Controlling Interests	Accumulated non-controlling interests		Profit / (Loss) allocated to non-controlling interests	
				31 March 2016	31 March 2015	31 March 2016	31 March 2015
Guarani and its subsidiaries	Brazil and Mozambique	Sugarcane, ethanol, energy production and commercialization	45.97%	248.9	278.8	-5.5	-16.2
Tereos Internacional and its subsidiaries	Brazil, Mozambique, China and Europe	Sugarcane, ethanol, energy production and commercialization	30.18%	285.1	319.8	-9.7	-13.5
Tereos TTD	Czech Republic	Sugarbeet, ethanol, alcohol and by-products production and commercialization	35.38%	95.2	96.4	4.7	7.3

- Guarani

In 2010, Tereos Internacional SA and Petrobras-Petróleo Brasileiro SA ("Petrobras") signed an agreement covering the phased investment of R\$ 1.6 billion (adjusted for inflation) by Petrobras Biocombustível, a subsidiary of Petrobras, in Guarani SA that would ultimately increase Petrobras' ownership interest in Guarani to 45.7%.

In line with this Investment Agreement, Petrobras Biocombustível has invested R\$ 1,822 million in Guarani since April 2010.

In addition to this agreement, Guarani and its subsidiaries supply hydrated and dehydrated ethanol under a six-year contract. This agreement has now come to an end.

- Tereos Internacional

Tereos Internacional's non-controlling interests correspond to the company's free float.

- Tereos TTD

The minority shareholder Nordzucker owns 35.38% of the company's share capital.

The summarised financial data of Guarani, Tereos Internacional and Tereos TTD is provided below, presented before intra-group eliminations.

(MILLIONS OF EUROS)	Guarani and its subsidiaries		Tereos Internacional and its subsidiaries		Tereos TTD	
	31 March	31 March	31 March	31 March	31 March	31 March
	2016	2015	2016	2015	2016	2015
Current assets	486.8	563.8	1,058.2	1,156.7	128.3	141.8
Non-current assets	1,224.7	1,272.6	2,455.0	2,521.1	205.9	204.6
Current liabilities	358.9	384.9	1,082.4	1,155.2	87.7	95.2
Non-current liabilities	811.6	799.4	1,203.7	1,158.1	13.7	17.4
Equity	540.7	652.1	1 227.2	1 364.5	232.7	233.8
Attributable to equity holders of parent	292.5	373.3	659.5	740.1	137.5	137.3
Non-controlling interests - Petrobras	248.9	278.8	248.9	278.8	0.0	0.0
Non-controlling interests - TI free float	0.0	0.0	285.1	319.8	0.0	0.0
Non-controlling interests - Nordzucker	0.0	0.0	0.0	0.0	95.2	96.4
Non-controlling interests - Other	(0.5)	0.0	33.8	25.8	0.0	0.0
Total non-controlling interests	248.4	278.8	567.8	624.4	95.2	96.4

(MILLIONS OF EUROS)	Guarani and its subsidiaries		Tereos Internacional and its subsidiaries		Tereos TTD	
	31 March	31 March	31 March	31 March	31 March	31 March
	2016	2015	2016	2015	2016	2015
Revenue	724.6	777.0	2,574.3	2,577.5	202.6	228.8
Cost of sales	-578.8	-671.2	-2,117.9	-2,186.3	-165.4	-178.3
Distribution expenses	-49.2	-57.9	-201.2	-212.9	-14.4	-18.9
General and administrative expenses	-60.7	-59.3	-194.9	-168.7	-9.0	-6.6
Other operating income (loss)	-0.5	0.4	5.5	1.5	0.9	-3.5
Net financial income (expense)	-36.6	-18.8	-72.6	-75.5	-0.8	-0.3
Share of profit of joint venture	1.2	-4.7	-0.4	14.2	0.0	0.0
Income taxes	-16.7	-2.4	-33.1	-12.3	-2.8	-4.0
Net income (loss)	-16.8	-36.9	-40.3	-62.5	11.3	17.1
Cash-flow hedge reserve	-49.2	-103.5	-69.9	-105.6	0.0	0.0
Foreign currency translation reserve	-21.5	-4.3	95.0	103.5	3.9	-0.1
Total comprehensive income (loss)	-87.5	-144.7	-15.2	-64.6	15.2	17.1
Non-controlling interests - Petrobras	-5.5	-16.2	-5.5	-16.2	0.0	0.0
Non-controlling interests - TI free float	0.0	0.0	-9.7	-13.5	0.0	0.0
Non-controlling interests - Nordzucker	0.0	0.0	0.0	0.0	4.7	7.3
Non-controlling interests - Other	0.0	0.0	-2.8	-1.6	0.0	0.0
Total non-controlling interests	-5.5	-16.2	-18.0	-31.3	4.7	7.3
Dividends paid to non-controlling interests	0.0	0.0	1.1	9.7	6.9	7.2

(MILLIONS OF EUROS)	Guarani and its subsidiaries		Tereos Internacional and its subsidiaries		TTD	
	31 March	31 March	31 March	31 March	31 March	31 March
	2016	2015	2016	2015	2016	2015
Net cash provided by (used in) operating activities	195.7	142.0	278.0	296.6	19.9	18.3
Net cash provided by (used in) investing activities	(111.9)	(146.2)	(214.1)	(226.8)	(9.4)	(15.3)
Net cash provided by (used in) financing activities	(50.2)	112.6	(55.6)	117.8	(18.0)	(3.7)
Net increase/(decrease) in cash and cash equivalents	(11.7)	79.8	(40.1)	157.8	(7.6)	0.0

15. Property, plant and equipment

Changes in property, plant and equipment are presented as follows:

(MILLIONS OF EUROS)	Land Buildings		Tools, Furnishings, Equipment and Installations	IT and Transportati on	Other Property, Plant and Equipment	Non- Current Assets in Progress	TOTAL
Gross amount at 31 March 2014	145.4	898.5	3,433.3	127.2	69.7	175.6	4,849.7
Additions	0.4	7.8	159.0	1.8	24.9	139.2	333.0
Reclassifications	3.2	62.6	49.3	8.9	0.3	-225.3	-100.9
Change due to acquisition or divestiture	-9.0	-25.5	27.1	0.0	0.4	-5.0	-12.0
Disposals	0.0	-1.2	-11.6	-3.3	-1.9	-0.0	-17.9
Effect of foreign currency exchange differences	0.6	-21.7	-63.9	-9.8	-1.1	-3.1	-98.9
Other changes	0.0	0.8	-1.5	0.3	-12.2	13.0	0.4
Gross amount at 31 March 2015	140.7	921.4	3,591.7	125.2	80.1	94.4	4,953.5
Additions	0.2	5.6	136.7	0.6	12.6	112.6	268.2
Reclassifications	0.1	27.0	34.9	3.9	-35.9	-116.8	-86.7
Change due to acquisition or divestiture	2.1	19.7	135.4	9.8	0.8	3.9	171.7
Disposals	-2.0	-2.2	-15.4	-5.0	-0.5	-0.2	-25.3
Effect of foreign currency exchange differences	-5.2	-36.4	-129.5	-14.4	-13.6	-4.9	-204.1
Other changes	-0.0	0,0	0.0	0.0	0.7	-0.7	0.0
Gross amount at 31 March 2016	135.8	935.1	3,753.7	120.2	44.2	88.3	5,077.4

(MILLIONS OF EUROS)	Land Buildings	Tools, Furnishings, Equipment and Installations	IT and Transportati on	Other Property, Plant and Equipment	Non- Current Assets in Progress	TOTAL
Depreciation and impairment at 31 March 2014	-28.9	-362.1	-2,024.2	-95.4	-30.8	-0.4 -2,541.8
Amortization and depreciation expense	-1.2	-29.4	-234.0	-11.1	-2.7	0.0 -278.3
Reclassifications	0.2	-1.9	99.2	-1.9	1.0	0.0 96.7
Change due to acquisition or divestiture	0.2	5.0	-6.7	-0.1	0.2	0.0 -1.4
Eliminated on disposals	0.0	0.7	8.4	2.9	1.4	0.0 13.3
Reversal of impairment	0.0	0.3	0.1	0.0	0.0	0.0 0.4
Effect of foreign currency exchange differences	-0.3	4.3	28.5	7.2	-1.7	0.0 37.9
Other changes	-0.0	0.3	1.1	0.1	-1.2	0.0 0.3
Depreciation and impairment at 31 March 2015	-30.1	-383.1	-2,127.7	-98.4	-33.7	-0.4 -2,673.4
Amortization and depreciation expense	-1.2	-31.9	-254.1	-8.9	-2.4	0.0 -298.7
Reclassifications	0.0	0.0	84.8	-0.2	0.3	0.0 84.9
Change due to acquisition or divestiture	0.0	-3.6	-45.0	-6.3	0.0	0.0 -54.8
Eliminated on disposals	0.2	0.9	13.2	4.5	0.3	0.0 19.2
Reversal of impairment	0.2	0.3	0.1	0.0	0.0	0.0 0.6
Effect of foreign currency exchange differences	1.2	7.8	57.2	10.7	6.2	-0.0 83.1
Depreciation and impairment at 31 March 2016	-29.7	-409.6	-2,271.4	-98.6	-29.3	-0.4 -2,839.0
Net amount at 31 March 2014	116.5	536.4	1,409.1	31.8	38.9	175.2 2,307.9
Net amount at 31 March 2015	110.6	538.3	1,464.0	26.8	46.5	94.0 2,280.2
Net amount at 31 March 2016	106.2	525.5	1,482.4	21.6	15.0	87.9 2,238.4

The main additions for the year are as follows:

- €83.7 million in Brazil for the increase of crushing and cogeneration capacity and for maintenance (€122.0 million in 2015);
- €28.6 million in Tereos Sugar France for maintenance costs (€31.5 million in 2015);
- €4.0 million in Tereos TTD for maintenance costs (idem 2015);
- €4.2 million in Tereos Syral for maintenance costs (€3.8 million in 2015);
- €0.9 million in Tereos Romania for maintenance costs (€0.5 million in 2015);
- €17.2 million in Tereos Sugar Indian Ocean for maintenance costs (€15.8 million in 2015).

16. Lease commitments

16.1. Finance leases

Property, plant and equipment acquired through finance leases amounts to a net €15.6 million at 31 March 2016 (€23.2 million at 31 March 2015).

Assets financed under finance leases comprise:

- a building dedicated to research and development at Syral in France;
- equipment and installations in Brazil and the Indian Ocean.

Minimum future payments in connection with these finance leases are presented below:

(MILLIONS OF EUROS)	Minimum future payments	Present value of minimum future payments
	2016	2016
Not later than one year	1.5	1.4
Later than 1 year and not later than 5 years	1.1	0.9
Later than 5 years	0.0	0.0
Total future payments	2.6	2.3
Future financial expenses	(0.3)	
Present value of minimum future payments	2.3	

16.2. Operating leases

Operating leases expenses amounted to €38 million in 2016, compared with €40 million in 2015.

Guarani entered into lease agreements of rural properties used to produce sugarcane. These agreements are effective for the entire current sugarcane production cycle, followed by six more years (2nd cycle) and finally another six years (3rd cycle), with right to renewal by Guarani for one more production cycle, also plus one extra year. Accordingly, these agreements can be effective through December 15th, 2026.

The minimum future payments by year of maturity are as follows:

(MILLIONS OF EUROS)	Minimum future payments
Financial year 2017	2.4
Financial year 2018	2.4
Financial year 2019 to 2026	2.4
Financial year 2020 to 2026	17.5
Total	24.8

17. Goodwill

17.1. Goodwill by CGU

Goodwill has been allocated to the following cash-generating units (CGUs) for the purpose of impairment tests:

(MILLIONS OF EUROS)			
Cash Generating Unit	Operating segment	31 March 2016	31 March 2015
Sugar & Energy Brazil	Sugar & Energy Brazil	255.9	302.7
Sugar Mozambique	Sugar Mozambique	18.0	20.5
Sugar Indian Ocean	Sugar Indian Ocean	2.7	2.7
Starch Europe	Starch & Sweeteners Europe	22.1	22.1
Starch & Sweeteners Brazil	Starch & Sweeteners Brazil	10.4	12.3
Starch & Sweeteners Indonesia	Starch & Sweeteners Indonesia	5.7	3.6
Sugar France	Sugar France	674.8	673.2
Sugar Czech Republic	Sugar Czech Republic	39.9	39.2
Sugar Romania	Sugar Romania	30.1	30.1
Sugar UK & Ireland	Sugar UK & Ireland	36.4	
Corporate holding	Corporate holding	9.0	9.0
Total net goodwill		1,105.0	1,115.4

17.2. Changes in goodwill

Changes in goodwill were as follows:

(MILLIONS OF EUROS)	
Gross amount at 31 March 2014	1,256.1
Additions	3.6
Effect of foreign currency exchange differences	(46.6)
Gross amount at 31 March 2015	1,213.2
Additions	47.6
Effect of foreign currency exchange differences	(60.0)
Other	(8.2)
Gross amount at 31 March 2016	1,192.6
(MILLIONS OF EUROS)	
Impairment at 31 March 2014	(106.1)
Effect of foreign currency exchange differences	8.4
Impairment at 31 March 2015	(97.8)
Effect of foreign currency exchange differences	10.2
Impairment at 31 March 2016	(87.5)
Net amount at 31 March 2014	1,150.0
Net amount at 31 March 2015	1,115.4
Net amount at 31 March 2016	1,105.0

18. Other intangible assets

Changes in other intangible assets over the last two years are as follows:

(MILLIONS OF EUROS)	Emission Quotas	Patents, licenses	Development costs	Business goodwill	Brands	Other	TOTAL
Gross amount at 31 March 2014	31.4	50.2	25,4	85.8	59.2	41.7	293.7
Additions	0.2	2.5	2,9	0.0	0.0	0.1	5.7
Non cash additions	11.6	0.0	0,0	0.0	0.0	0.0	11.6
Acquisition through business combinations	0.0	(0.1)	0,0	0.0	0.0	0.0	(0.0)
Disposals	(17.0)	(0.1)	0,0	(0.3)	0.0	0.0	(17.4)
Effect of foreign currency exchange differences	(0.0)	(0.7)	0,0	(0.0)	0.0	0.1	(0.6)
Reclassifications	(0.3)	17.0	0,1	0.0	0.0	(12.9)	3.9
Other changes	0.0	0.2	0,0	0.2	(4.0)	(0.2)	(3.8)
Gross amount at 31 March 2015	25.8	69.0	28,4	85.7	55.2	28.9	292.9
Additions	0.7	1.5	2,0	0.0	0.0	0.4	4.5
Non cash additions	8.2	0.0	0,0	0.0	0.0	0.0	8.2
Acquisition through business combinations	0.0	1.3	0,4	0.0	0.0	0.0	1.7
Disposals	(12.0)	(0.4)	0,0	0.0	0.0	0.0	(12.4)
Effect of foreign currency exchange differences	0.0	(1.1)	0,0	0.1	0.0	(0.3)	(1.3)
Reclassifications	(0.4)	1.7	0,0	0.0	0.0	(0.2)	1.1
Gross amount at 31 March 2016	22.4	71.9	30,8	85.9	55.2	28.7	294.9

(MILLIONS OF EUROS)	Emission Quotas	Patents, licenses	Development costs	Business goodwill	Brands	Other	TOTAL
Amortizations and impairment at 31 March 2014	0.0	(43.4)	(18.3)	(71.0)	(5.7)	(25.1)	(163.7)
Amortization expense	0.0	(5.6)	(2.8)	(4.6)	0.0	(0.1)	(13.1)
Business Combinations	0.0	0.1	0.0	0.0	0.0	(0.0)	0.0
Disposals	0.0	0.1	0.0	0.0	0.0	0.0	0.1
Effect of foreign currency exchange differences	0.0	0.5	0.0	0.0	0.0	(0.1)	0.4
Reclassifications	0.0	(0.1)	0.0	0.0	0.0	0.1	0.0
Other changes	0.0	(0.1)	0.0	0.0	0.0	(0.1)	(0.2)
Amortizations and impairment at 31 March 2015	0.0	(48.6)	(21.1)	(75.6)	(5.7)	(25.3)	(176.4)
Amortization expense	0.0	(6.1)	(2.9)	(4.3)	0.0	(0.1)	(13.4)
Business Combinations	0.0	(1.0)	(0.2)	0.0	0.0	0.0	(1.2)
Disposals	0.0	0.4	0.0	0.0	0.0	0.0	0.4
Effect of foreign currency exchange differences	0.0	0.7	0.0	(0.1)	0.0	0.3	0.9
Amortizations and impairment at 31 March 2016	0.0	(54.6)	(24.2)	(80.0)	(5.7)	(25.1)	(189.7)
Net amount at 31 March 2014	31.4	6.8	7.1	14.8	53.4	16.6	130.0
Net amount at 31 March 2015	25.8	20.4	7.2	10.1	49.4	3.6	116.6
Net amount at 31 March 2016	22.4	17.4	6.5	5.8	49.4	3.6	105.2

19. Impairment tests

19.1. Key assumptions

Impairment tests are performed annually at 31 December, and each time the Group identifies a triggering event.

The Group calculates the recoverable value of a CGU based on forecast future cash flows, with the exception of the Holding companies CGU, whose recoverable value is measured at fair value less costs to sell.

The key assumptions used to calculate the value of the CGUs are as follows:

At 31 December 2015	Starch Europe	Alcohol Ethanol Europe	Starch & Sweeteners Brazil	Sugar & Energy Brazil	Sugar Mozambique	Sugar Indian Ocean
Basis used for determination of recoverable value	Value in use	Value in use	Value in use	Value in use	Value in use	Value in use
Source	5 years business plan discounted cashflows	5 years business plan discounted cashflows	7 years business plan discounted cashflows	5 years business plan discounted cashflows	10 years business plan discounted cashflows	5 years business plan discounted cashflows
Growth rate used for terminal value	2.0%	2.0%	3.0%	3.0%	4.5%	2.0%
Post-tax discount rate	7.00%	7.00%	9.00%	9.00%	12.00%	7.00%
Pre-tax discount rate	9.20%	9.41%	10.88%	11.59%	12.43%	9.15%

At 31 December 2015	Starch & Sweeteners Indonesia	China	Sugar France	Sugar Czech Republic	Sugar Romania
Basis used for determination of recoverable value	Value in use	Value in use	Value in use	Value in use	Value in use
Source *	5 years business plan discounted cashflows	5 years business plan discounted cashflows	5 years business plan discounted cashflows	5 years business plan discounted cashflows	5 years business plan discounted cashflows
Growth rate used for terminal value	2.0%	3.0%	2.0%	2.0%	2.0%
Post-tax discount rate	10.00%	10.00%	7.00%	7.00%	7.00%
Pre-tax discount rate	12.43%	11.87%	7.00%	8.16%	7.93%

At 31 December 2014	Starch Europe	Alcohol Ethanol Europe	Starch & Sweeteners Brazil	Sugar & Energy Brazil	Sugar Mozambique	Sugar Indian Ocean
Basis used for determination of recoverable value	Value in use	Value in use	Value in use	Value in use	Value in use	Value in use
Source *	5 years business plan discounted cashflows	5 years business plan discounted cashflows	7 years business plan discounted cashflows	5 years business plan discounted cashflows	10 years business plan discounted cashflows	5 years business plan discounted cashflows
Growth rate used for terminal value	2.0%	2.0%	3.0%	3.0%	3.0%	2.0%
Post-tax discount rate	7.00%	7.00%	9.00%	9.00%	9.00%	7.00%
Pre-tax discount rate	9.10%	9.21%	11.20%	11.89%	9.33%	8.35%

At 31 December 2014	Starch & Sweeteners Indonesia	China	Sugar France	Sugar Czech Republic	Sugar Romania
Basis used for determination of recoverable value	Value in use	Value in use	Value in use	Value in use	Value in use
Source *	5 years business plan discounted cashflows	5/6 years business plan discounted cashflows	5 years business plan discounted cashflows	5 years business plan discounted cashflows	5 years business plan discounted cashflows
Growth rate used for terminal value	3.0%	2.0%	2.0%	2.0%	2.0%
Post-tax discount rate	10.00%	10.00%	7.00%	7.00%	7.00%
Pre-tax discount rate	12.20%	12.15%	7.00%	8.12%	7.86%

The recoverable amount is determined by reference to value in use, using the discounted future cash flows model based on Management's budget estimates which take into consideration assumptions related to each business, using available market data as well as past performance.

The main assumptions and estimates involved are: (i) for the sugar and ethanol activities: expected sugar and ethanol sales prices, energy costs and other macroeconomic factors; (ii) for the starch activities: cereal and energy (gas) costs and other macroeconomic factors.

In order to take into account the business characteristics of the Starch & Sweeteners Brazil and Sugar Mozambique operations, and in accordance with IAS 36, Management elected to use cash flow projections over a seven and ten-year period respectively (plus a terminal value after that). The Group considers that periods are appropriate in the context of its Starch & Sweeteners Brazil and Sugar Mozambique activities, given the expected time to ramp-up their agricultural performance and achieve full potential.

19.2. Impairment recognized during the year

No impairment was identified at 31 December 2015.

At 31 March 2016, no triggering event was identified as an indication of potential impairment.

19.3. Sensitivity analysis

In 2015, the sensitivity analysis of the recoverable amount of the main CGUs comprised the following main assumptions:

- In CGU Sugar Mozambique, value in use is close to the carrying amount and therefore material changes in the business and/or external assumptions retained to determine value in use would lead the Group to reconsider the need for impairment.

A one-point increase or decrease in the post-tax discount rate would decrease the recoverable amount by €20 million, or increase it by €27 million, respectively, without triggering the recognition of an impairment loss, all else being equal.

A half-point increase or decrease in the perpetuity growth rate used to determine terminal value would increase the recoverable amount by €7 million, or decrease it by €6 million, respectively, without triggering the recognition of an impairment loss, all else being equal.

A one-point increase or decrease in the EBITDA margin rate would increase the recoverable amount by €3 million, or decrease it by €3 million, respectively, without triggering the recognition of an impairment loss, all else being equal.

- In CGU Starch & Sweeteners Brazil, value in use is close to the carrying amount and therefore material changes in the business and/or external assumptions retained to determine value in use would lead the Group to reconsider the need for impairment.

A one-point increase or decrease in the post-tax discount rate would decrease the recoverable amount by €14 million, or increase it by €20 million, respectively, with the recognition of a €11 million impairment loss in the first case, all else being equal.

A half-point increase or decrease in the perpetuity growth rate used to determine terminal value would increase the recoverable amount by €7 million, or decrease it by €6 million, respectively, with the recognition of a €3 million impairment loss in the second case, all else being equal.

A one-point increase or decrease in the EBITDA margin rate would increase the recoverable amount by €7 million, or decrease it by €7 million, respectively, with the recognition of a €4 million impairment loss in the second case, all else being equal.

- In CGU Sugar Indian Ocean, value in use is close to the carrying amount and therefore material changes in the business and/or external assumptions retained to determine value in use would lead the Group to reconsider the need for impairment.

A one-point increase or decrease in the post-tax discount rate would decrease the recoverable amount by €40 million, or increase it by €61 million, respectively, with the recognition of a €28 million impairment loss in the first case, all else being equal.

A half-point increase or decrease in the perpetuity growth rate used to determine terminal value would increase the recoverable amount by €25 million, or decrease it by €20 million, respectively, with the recognition of a €8 million impairment loss in the second case, all else being equal.

A one-point increase or decrease in the EBITDA margin rate would increase the recoverable amount by €29 million, or decrease it by €29 million, respectively, with the recognition of a €16 million impairment loss in the second case, all else being equal.

For the other CGUs, the Group considered it improbable that there would be a change in valuation inputs that would bring the recoverable amount below its book value.

In 2014, the sensitivity analysis of the recoverable amount of the main CGUs comprised the following main assumptions:

- In CGU Alcohol Ethanol Europe, value in use was close to the carrying value and therefore material changes in the business and/or external assumptions retained to determine the value in use would have led the company to reconsider the need for an impairment.

A change of plus or minus 1% in the post-tax discount rate would have decreased the recoverable amount by €45.2 million or increased it by €67.9 million, respectively, with the recognition of an impairment loss of €4.2 million in the first case, everything else being the same.

A change of plus or minus 0.5% in the growth rate used for terminal value would have increased the recoverable amount by €24.2 million or decrease it by €19.7 million, respectively, with no recognition of an impairment loss, everything else being the same.

A change of plus or minus 1% in the EBITDA/Revenue margin rate would have increased the recoverable amount by €39.4 million or decreased it by €39.4 million, respectively, with no recognition of an impairment loss, everything else being the same.

- In CGU Starch & Sweeteners Brazil, value in use was close to the carrying value and therefore material changes in the business and/or external assumptions retained to determine the value in use would have led the company to reconsider the need for an impairment.

A change of plus or minus 1% in the post-tax discount rate would have decreased the recoverable amount by €22.6 million or increased it by €32.0 million, respectively, with the recognition of an impairment loss of a similar amount, everything else being the same.

A change of plus or minus 0.5% in the growth rate used for terminal value would have increased the recoverable amount by €10.3 million or decreased it by €8.7 million, respectively, with the recognition of an impairment loss of €10.7 million in the second case, everything else being the same.

A change of plus or minus 1% in the EBITDA/Revenue margin rate would have increased the recoverable amount by €15.5 million or decreased it by €15.5 million, respectively, with the recognition of an impairment loss of €17.5 million in the second case, everything else being the same.

- In CGU Sugar Indian Ocean, value in use was close to the carrying value and therefore material changes in the business and/or external assumptions retained to determine the value in use would have led the company to reconsider the need for an impairment.

A change of plus or minus 1% in the post-tax discount rate would have decreased the recoverable amount by €36.8 million or increased it by €55.6 million, respectively, with the recognition of an impairment loss of €33.3 million in the first case, everything else being the same.

A change of plus or minus 0.5% in the growth rate used for terminal value would have increased the recoverable amount by €20.0 million or decreased it by €16.5 million, respectively, with the recognition of an impairment loss of €12.6 million in the second case, everything else being the same.

A change of plus or minus 1% in the EBITDA/Revenue margin rate would have increased the recoverable amount by €49.8 million or decreased it by €49.8 million, respectively, with the recognition of an impairment loss of €46.2 million in the second case, everything else being the same.

20. Other assets

(MILLIONS OF EUROS)	Current		Non-current	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Prepaid expenses	11.8	13.8	1.9	3.6
Total	11.8	13.8	1.9	3.6

21. Provisions for pensions and other post-employment benefits

Post-employment benefits and other long-term benefits granted by the Group vary based on the legal obligations and policy of each subsidiary. They include defined contribution plans and defined benefit plans.

21.1. Defined contribution plans

For defined contribution plans, the Group's obligations are limited to the payment of periodic contributions to outside organisations which are responsible for the administrative and financial management of plans for former employees of the Group. The charges recognized for these plans correspond to the contributions paid during the reference period.

21.2. Defined benefit plans

The Group's defined benefit plans mainly include retirement benefits in France and pension plans in Belgium.

All French companies are required to pay lump sums to employees when they retire from service. The amounts are based on the years of service in the company and on the final salary.

Pension plans in Belgium provide the following benefits:

- a lump sum payable on retirement, and at the earliest at age 60;
- a lump sum payable in the event of death while in active service;
- a monthly disability pension in the event of disability caused by accident or disease (whether occupational or not).

- Major categories of plan assets

In France and Belgium, obligations are pre-funded by employer and employee contributions paid into outside funds which are separate legal entities whose investments are subject to fluctuations in the financial markets.

The table below shows the plan asset allocation:

Plan assets	France		Belgium	
	31 March	31 March	31 March	31 March
	2016	2015	2016	2015
	% of plan assets		% of plan assets	
Equity instruments	7%	7%	25%	25%
Debt instruments	84%	84%	53%	54%
Property	9%	9%	4%	4%
Other (Group insurance branch 21)	0%	0%	18%	17%
Total / Average	100%	100%	100%	100%

- Movements during the year and reconciliation with information presented in the statement of financial position

The following tables show the reconciliation of the opening and closing balances for the net defined benefit liability (asset) and its components:

(MILLIONS OF EUROS)	Post- employments plans	Fair value of plan assets	Long-term plans (Liabilities)/Asse ts	Net
Balance at 31 March 2015	76.9	35.9	8.0	49.0
Included in profit or loss				
Service cost (current and past)	1.7	-	0.1	1.8
Actuarial (losses)/gains			0.3	0.3
Interest cost (income)	1.4	0.6	-	0.8
Impact of the limitation of assets not recognized under paragraph 58b	-	(0.6)	-	0.6
	3.1	-	0.4	3.5
Included in OCI				
Actuarial (losses)/gains	(1.8)	(1.5)	-	(0.3)
Other				
	(1.8)	(1.5)		(0.3)
Other				
Benefits paid by the fund	(4.9)	(4.3)	(0.4)	(1.0)
Contributions paid by the Group		1.0	-	(1.0)
Contributions paid by employees				-
Exchange differences on foreign plans	0.3			0.2
	(4.6)	(3.2)	(0.4)	(1.8)
Balance at 31 March 2016	73.6	31.2	8.0	50.4
<i>of which plans financed in whole or in</i>	<i>56.1</i>			
<i>of which plans not financed</i>	<i>17.4</i>			
Net (Liabilities)/Assets				50.4

(MILLIONS OF EUROS)	Post- employment plans	Fair value of plan assets	Long-term plans	Net (Liabilities)/Assets
Balance at 31 March 2014	67.2	33.3	5.6	39.5
Included in profit or loss				
Service cost (current and past)	2.6		1.3	3.9
Actuarial (losses)/gains			1.1	1.1
Interest cost (income)	2.0	1.0		1.0
Impact of the limitation of assets not recognized under paragraph 58b		0.4		(0.4)
	4.7	1.4	2.4	5.7
Included in OCI				
Actuarial (losses)/gains	7.6	3.2		4.4
Other				
	7.6	3.2		4.4
Other				
Benefits paid by the fund	(2.9)	(3.4)		0.5
Contributions paid by the Group		1.3		(1.3)
Contributions paid by employees	0.1	0.1		0
Reclassification	(0.3)			(0.3)
Exchange differences on foreign plans				
Change due to acquisition or divestiture	0.4			0.4
	(2.7)	(2.0)		(0.7)
Balance at 31 March 2015	76.9	35.9	8.0	49.0
<i>of which plans financed in whole or in</i>	<i>59.8</i>			
<i>of which plans not financed</i>	<i>17.0</i>			
Net (Liabilities)/Assets				49.0

- Net breakdown of the net obligation by country:

The net obligation corresponds to the actuarial liability less the fair value of the plan assets.

The net obligation for post-employment plans and other long-term benefits amount to €50 million at 31 March 2016 (compared with €49 million at 31 March 2015), and can be analysed by country as follows:

	31 March 2016	31 March 2015
Belgium	-2%	-1%
France	100%	99%
Italy	1%	1%
Spain	0%	0%
Other	1%	1%
Total	100%	100%

- Principal actuarial assumptions

The principal actuarial assumptions used for the recognition of pension plans and termination indemnities are the following:

	France		Belgium		Indonesia	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Discount rate (%)	2.1%	1.9%	2.1%	1.9%	9.1%	8.0%
Rate of salary increase (%)	2.5%	2.5%	3.5%	3.5%	10.0%	8.0%
Retirement age - Managerial staff	65	65	60	60	55	55
Retirement age - Non- managerial staff	62	62	60	60	55	55

The rate used to calculate interest generated on plan assets approximates the rate used to discount obligations under defined benefit pension plans.

- Sensitivity to the principal assumptions

A one-point change in the discount rate would have the following effects:

(MILLIONS OF EUROS)	31 March 2016
Increase of 1% in discount rate	
Effect on the aggregate current service cost and interest cost	
Effect on the defined benefit obligation	(5)
Decrease of 1% in discount rate	
Effect on the aggregate current service cost and interest cost	
Effect on the defined benefit obligation	8

22. Provisions

Provisions are set aside for the following contingencies:

(MILLIONS OF EUROS)	Current		Non-current	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Restructuring	0.8	0.8	0.0	0.9
Labor	0.2	0.2	5.2	5.3
Commercial	0.0	0.0	0.8	1.6
Tax	0.0	0.0	0.6	6.8
Environment	0.5	0.9	0.0	0.0
Other	7.2	1.4	5.5	6.0
Total	8.8	3.2	12.1	20.7

The Company received during the period new tax notifications for Pis/Cofins tax credit for a total amount of €30 million. These claims are considered as possible losses by the Company. As a consequence, no additional provision was booked.

Changes in provisions over the year were as follows:

(MILLIONS OF EUROS)	Restructuring	Social	Commercial	Tax	Environment	Other	Total
At 31 March 2014	1.8	6.9	1.4	7.1	1.0	9.6	27.8
Additional provisions recognized during the period	0.5	4.7	0.3	0.0	0.0	2.8	8.4
Amounts used	(0.6)	(1.5)	0.0	0.0	(0.1)	(4.7)	(7.0)
Unused amounts reversed during the period	0.0	(3.9)	0.0	(0.0)	0.0	(0.4)	(4.3)
Effect of foreign currency exchange differences	0.0	(0.7)	0.0	(0.0)	0.0	(0.2)	(0.9)
Other	0.0	0.0	(0.0)	(0.3)	0.0	0.4	0.0
At 31 March 2015	1.7	5.5	1.6	6.8	0.9	7.4	23.9
Additional provisions	0.5	0.7	0.0	0.4	0.1	8.1	9.8
Business combinations	(0.3)	0.1	0.0	0.0	0.0	0.0	(0.2)
Amounts used	(0.5)	0.0	(0.9)	(0.0)	(0.5)	(2.4)	(4.2)
Unused amounts reversed during the period	(0.6)	0.0	0.0	(6.6)	0.0	0.0	(7.3)
Effect of foreign currency exchange differences	(0.0)	(0.9)	0.0	(0.0)	0.0	(0.3)	(1.2)
Other	0.0	0.0	0.0	0.1	0.0	(0.2)	(0.0)
At 31 March 2016	0.9	5.5	0.8	0.6	0.5	12.7	20.9

The table below presents a summary of disputes with probable and possible loss involving the Group:

At 31 March 2016	<u>Probable</u>		<u>Possible</u>	
	Number of claims	Provision *	Number of claims	Claims with possible losses *
Labor	1,179	5.5	1,101	17.0
Tax	3	0.6	175	308.2
Environment	10	0.5	153	11.7
Other	24	14.3	73	14.1
Total	1,216	20.9	1,502	351.0

* In millions of EUROS

At 31 March 2015	<u>Probable</u>		<u>Possible</u>	
	Number of claims	Provision *	Number of claims	Claims with possible losses *
Labor	1,164	5.5	1,353	16.0
Tax	5	6.8	127	333.5
Environment	29	0.9	149	9.4
Other	20	10.7	73	6.9
Total	1,218	23.9	1,702	365.8

* In millions of Euros

The increase in disputes with possible losses relates to new ICMS disputes in relation to 2009 and 2010. To the best of its knowledge as of the date of issue of these consolidated financial statements, Management is not aware of any disputes carrying material risks that could affect the Group's results or financial position that have not been recognized at 31 March 2016.

Labor-related provisions

The Group's Brazilian subsidiaries face a certain number of labor-related claims. The principal demands are related to: (i) commuting time; (ii) overtime during lunch breaks; (iii) health hazard allowances and risk premiums; and (iv) compensation for occupational accidents. The risk of loss in these cases is generally linked to the facts involved in each case.

Provisions are recorded for a total amount of €5,1 million at 31 March 2016.

Environmental provisions

Brazil

The sugarcane industry requires constant intervention in the environment and may occasionally affect and have an influence on protected vegetation, soil water and water bodies or cause air pollution. The Group is currently party to recurrent administrative and judicial proceedings, related to sugarcane burning other than those expressly permitted by local regulations. In such cases the environmental authorities have opted to impose penalties to the Group merely based on the fact that it had purchased or harvested the sugarcane after the burning. According to the best knowledge of the group, no major claim procedure has been identified.

Indian Ocean

The French administration requested that Tereos' two plants in the Reunion Island apply the new asbestos regulation. The costs for asbestos removal was estimated at €1.5 million. The removal has started and the remaining provision at 31 March 2016 amounted to €0.6 million.

Civil or commercial proceedings

Tereos Starch & Sweeteners Europe is involved in a dispute for the alleged infringement of one of its competitors' patents. The claim was originally brought by Roquette against Tate & Lyle in respect of the Talfie assets that were subsequently sold to Syral. Roquette has requested a provisional award of €1.0 million in damages as well as an injunction on any new infringement. The exact amount of the claim will be determined by an external expert if the court rules against us in a final judgment. We do not expect that this dispute will have a material adverse effect on our business.

Tax disputes in Brazil

The Group is party to several tax cases involving mainly: (i) ICMS credits related to diesel fuel consumption linked to planting and harvesting of sugarcane; (ii) PIS/COFINS credits with not enough documentation; (iii) Social Security Tax on export performed through trading companies (indirect export); (iv) PIS/COFINS (non-cumulative) over ethanol; (v) PIS offset with judicial credits; (vi) penalty fee exemption for voluntary reporting in which possibility of prevailing was possible and for which no provisions had therefore been made; and (vii) ICMS due to reported variances between production and sales.

23. Other liabilities

(MILLIONS OF EUROS)	Current		Non-current	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Emission quotas	23.6	27.2	0.0	0.0
Grants	1.5	8.8	20.0	13.7
Deferred income	2.7	3.2	0.3	1.3
Other	0.1	0.0	0.0	0.0
Total	27.8	39.2	20.3	15.0

24. Equity

24.1. Cooperative capital

As the parent company of the Group is a French Union of Agricultural Cooperatives governed by the provisions of the Rural Code and the applicable laws, it has variable capital.

Changes in capital over the period were as follows:

	31 March 2016	31 March 2015
Number of shares comprising share capital at beginning of period	38,697,828	38,197,828
Number of shares issued during the period	0	500,000
Number of shares redeemed during the period	0	0
Number of shares at end of period	38,697,828	38,697,828
Par value of a share (Euros)	16	16
Capital at end of period (millions of euros)	619	619
Number of members at end of period	5	5

A description of cooperative capital is presented in note 2.21.

25. Financial assets and liabilities

25.1. Financial assets

At 31 March 2016							
(MILLIONS OF EUROS)	Notes	Available -for sale	Financial assets held to maturity	Loans and receivables at amortized cost	Financial assets at fair value through statement of operations	Financial instruments qualified as cash flow hedge	Total
Trade receivables	25.1.1			385.1			385.1
Cash and cash equivalent	25.1.2			0.0	380.5		380.5
Current financial assets with related parties	29			19.1			19.1
Other current financial assets	25.1.4			194.2	10.2	11.4	215.8
Total current financial				598.3	390.6	11.4	1,000.4
Available-for-sale financial assets	25.1.3	45.0					45.0
Non-current financial assets with related parties	29			15.5			15.5
Other non-current financial assets	25.1.4			105.5	2,5	0.2	108.2
Total non-current financial assets		45.0		121.0	2.5	0.2	168.7
Total financial assets		45.0		719.4	393.1	11.6	1,169.1

At 31 March 2015							
(MILLIONS OF EUROS)		Available -for sale	Financial assets held to maturity	Loans and receivables at amortized cost	Financial assets at fair value through statement of operations	Financial instruments qualified as cash flow hedge	Total
Trade receivables	25.1.1			395.5			395.5
Cash and cash equivalent	25.1.2			0.0	389.2		389.2
Current financial assets with related parties	29			20.2			20.2
Other current financial assets	25.1.4			247.1	0.3	37.6	285.0
Total current financial				662.8	389.5	37.6	1,090.0
Available-for-sale financial assets	25.1.3	47.7					47.7
Non current financial assets with related parties	29			16.0			16.0
Other non-current financial assets	25.1.4			97.8	2.0	0.4	100.2
Total non-current financial assets		47.7		113.8	2.0	0.4	163.8
Total financial assets		47.7		776.6	391.5	38.0	1,253.8

25.1.1. Trade receivables

At 31 March 2016 and 31 March 2015, trade receivables were as follows:

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
Gross trade receivables	395.8	405.9
Allowance	(10.7)	(10.3)
Trade receivables	385.1	395.5

Changes in trade receivables are presented as follows:

(MILLIONS OF EUROS)	
At 31 March 2015	395.5
Change in the period	(13.0)
Change in write-down of trade receivables in the statement of operations	(0.4)
Effect of foreign currency exchange differences	(15.7)
Change due to acquisition or divestiture	21.6
Other	(3.0)
At 31 March 2016	385.1

Under the Group's factoring programs, €128 million in trade receivables have been sold and derecognized at 31 March 2016.

At 31 March 2016, current receivables include €7 million in receivables sold through factoring transactions that do not meet IAS 39 derecognition requirements. These receivables are recognized as such in the statement of financial position even though they have been sold from a legal standpoint; a corresponding financial liability is recorded in the statement of financial position.

(MILLIONS OF EUROS)	31 March 2016			31 March 2015		
	Total sold to financial institutions	Portion sold and not derecognized	Portion sold and derecognized	Total sold to financial institutions	Portion sold and not derecognized	Portion sold and derecognized
Maximum authorised amount to be financed	145	-	-	125	-	-
Sold to financial institutions	135	7	128	104	8	97

Past due trade receivables were as follows:

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
Trade receivables	395.8	405.9
Not overdue	352.0	358.2
Overdue	43.9	47.6
Overdue from 1 to 30 days	19.3	19.6
Overdue from 31 to 60 days	6.8	12.9
Overdue from 61 to 90 days	2.5	2.4
Overdue from 91 to 180 days	1.4	1.4
Overdue from 181 to 360 days	2.4	0.8
Overdue more than 360 days	11.4	10.6
Allowance	(10.7)	(10.3)
Total	385.1	395.5

25.1.2. Cash and cash equivalents

Changes in cash and cash equivalents are presented in the consolidated statement of cash flows.

The net cash balance presented in the consolidated statement of cash flows is as follows:

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
Cash and cash equivalents	380.5	389.2
Bank overdrafts (included in short term borrowings)	(134.3)	(41.9)
Net cash	246.2	347.4

At 31 March 2016, cash and cash equivalents can be analysed as follows:

(MILLIONS OF EUROS)	31 March 2016
Money Market funds (SICAV)	20.0
Certificates of deposit	160.3
Total Marketable securities	180.3
Cash	200.2
Total Cash and Cash equivalents	380.5

25.1.3. Available-for-sale financial assets

Available-for-sale financial assets mainly comprise the subsidiaries of Océan Indien Participations and investments in research and development companies.

25.1.4. Other financial assets

(MILLIONS OF EUROS)	Current		Non-current	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Tax receivables	125.7	196.0	48.2	11.8
Financial assets pledged as collateral	25.0	8.6		
Derivatives	20.0	37.9	0.2	0.4
Fair value of contracts	1.6	0.0	0.0	0.0
Paid deposit	0.0	0.1	8.3	28.1
Advance payments	16.4	16.4	16.3	21.7
Trade notes and accounts receivable > 1 year			10.6	13.4
Receivables related to disposal of assets	0.5	0.1	7.4	14.0
Accrued Income	6.9	6.0		
Other	19.5	19.8	17.1	10.7
Other Financial assets	215.8	285.0	108.2	100.2

Derivative assets correspond to the positive fair value of derivatives (see note 26.2).

The breakdown of financial assets pledged as collateral is as follows:

At 31 March 2016 (MILLIONS OF EUROS)	Sugar & Energy Brazil	Starch & Sweeteners Europe	Sugar France	Total
Initial margin	6.5	6.4	0.9	13.8
Margin variation	4.1	5.9	1.2	11.2
Total	10.6	12.3	2.0	25.0

At 31 March 2015 (MILLIONS OF EUROS)	Sugar & Energy Brazil	Starch & Sweeteners Europe	Sugar France	Total
Initial margin	0.0	7.8	0.1	7.8
Margin variation	0.0	0.8	0.0	0.8
Total	0.0	8.6	0.1	8.6

25.2. Financial liabilities

The various categories of financial liabilities are presented in the tables below:

At 31 March 2016 (MILLIONS OF EUROS)	Notes	Financial liabilities at amortized cost	Financial liabilities at fair value through statement of operations	Financial instruments qualified as cash flow hedge	Commitments to purchase non- controlling interests	Total
Short-term borrowings	25.2.1	853.5	17.5	42.8		913.8
Trade payables		528.3	-	-		528.3
Current financial liabilities with related parties	29	45.8	-	-		45.8
Other current financial liabilities	25.2.3	246.5	21.9	45.6		314.0
Total current financial liabilities		1,674.1	39.4	88.3	0,0	1,801.8
Long-term borrowings	25.2.1	1 377.6	0.0	168.3		1,545.9
Non current financial liabilities with related parties	29	5.1	-	-		5.1
Other non-current financial liabilities	25.2.3	68.5	0.0	3.0	127.5	199.0
Total non-current financial liabilities		1,451.2	0.0	171.3	127.5	1,750.0
Total financial liabilities		3,125.3	39.4	259.7	127.5	3,551.8

At 31 March 2015 (MILLIONS OF EUROS)	Notes	Financial liabilities at amortized cost	Financial liabilities at fair value through statement of operations	Financial instruments qualified as cash flow hedge	Commitments to purchase non- controlling interests	Total
Short-term borrowings	25.2.1	835.2	0.0	71.1		906.3
Trade payables		527.5	-	-		527.5
Current financial liabilities with related parties	29	53.4	-	-		53.4
Other current financial liabilities	25.2.3	279.6	10.2	33.8		323.6
Total current financial liabilities		1,695.8	10.2	104.8		1,810.8
Long-term borrowings	25.2.1	1,391.8	0.0	115.9		1,507.7
Non current financial liabilities with related parties	29	10.6	-	-		10.6
Other non-current financial liabilities	25.2.3	102.0	0.0	0.6	96.7	199.3
Total non-current financial liabilities		1,504.4	0.0	116.5	96.7	1,717.6
Total financial liabilities		3,200.2	10.2	221.3	96.7	3,528.4

25.2.1. Borrowings

The Group's various credit facilities are presented below.

In million of Euros at 31 March 2016							
INDEX	Currency	Type	Current	Non-current	Total	Average interest rate	Maximum maturity
a / CDI	BRL	Working capital and other ST/LT	55.0	9.5	64.5	17.7%	23/02/2020
b / LIBOR	USD	Export pre-financing, working capital and LT financings	174.4	703.1	877.5	3.4%	31/10/2022
c / TJLP	BRL	Investment financing (BNDES)	9.0	52.0	60.9	9.7%	17/07/2023
d / UMBNDES	USD	Investment financing (BNDES)	3.0	17.9	20.9	7.6%	17/07/2023
e / IGPM	BRL	Securitization (PESA)	0.3	1.2	1.5	16.1%	01/11/2022
f/ EURIBOR	EUR	ST and LT financings	555.2	179.2	734.4	1.4%	23/05/2033
g / PRIBOR	CZK	ST financings	50.6	0.0	50.6	1.0%	31/12/2022
h / LIBOR	USD	Factoring	0.4	0.0	0.4	0.4%	02/10/2016
h / LIBOR	GBP	Factoring	0.3	0.0	0.3	0.4%	02/10/2016
h/ EURIBOR	EUR	Factoring	6.1	0.0	6.1	0.4%	02/10/2016
i/Prime Rate	MZN	ST financings	1.0	0.0	1.0	15.5%	30/09/2016
TOTAL FLOATING			855.3	962.9	1,818.2	3.3%	
j / Fixed rate	BRL	Investment financing PCA and working capital	31.2	22.9	54.1	10.6%	15/07/2030
	BRL	Investment financing (BNDES)	12.1	48.3	60.4	6.6%	15/07/2021
	EUR	LT financings	14.3	518.9	533.2	4.5%	02/10/2017
	CZK	ST financings	4.9	0.0	4.9	0.9%	26/02/2021
TOTAL FIXED			62.5	590.1	652.7	5.2%	
TOTAL GROSS DEBT BEFORE AMORTIZED COSTS			917.9	1,553.0	2,470.8	3.8%	
Amortized cost			-4.1	-7.1	-11.2		
Total GROSS DEBT			913.8	1,545.9	2,459.6		
Cash and cash equivalents					-380.5		
TOTAL NET FINANCIAL DEBT					2,079.2		
Related parties financial assets					-34.6		
Related parties financial liabilities					50.9		
TOTAL NET FINANCIAL DEBT INCLUDING RELATED-PARTIES					2,095.5		

In million of Euros at 31 March 2015			Current	Non-current	Total	Average interest rate	Maximum maturity
INDEX	Currency	Type					
a / CDI	BRL	Working capital	56.0	11.8	67.8	15.0%	04/09/2015
b / LIBOR	USD	Export pre-financing and LT financings	263.8	566.6	830.4	2.8%	31/10/2022
c / TJLP	BRL	Investment financing (BNDES)	8.1	68.0	76.1	9.2%	17/07/2023
d / UMBNDES	USD	Investment financing (BNDES)	3.0	20.7	23.7	7.6%	17/07/2023
e / IGPM	BRL	Securitization (PESA)	0.4	1.6	2.0	7.6%	01/11/2022
JIBAR	ZAR	LT financings	0.5	0.0	0.5	10.9%	31/07/2015
f / EURIBOR	EUR	ST and LT financings of TEU	433.8	237.4	671.2	1.4%	23/05/2033
h / EURIBOR	USD	Factoring	-0.1	0.0	-0.1	0.4%	02/10/2016
h / EURIBOR	GBP	Factoring	0.2	0.0	0.2	0.4%	02/10/2016
h / EURIBOR	EUR	Factoring	4.2	0.0	4.2	0.5%	03/10/2016
i / PRIME RATE	MZN	ST financings	3.6	0.0	3.6	14.0%	31/05/2015
g / PRIBOR	CZK	ST and LT financings	41.3	4.8	46.1	1.1%	21/12/2021
TOTAL FLOATING			814.8	910.9	1,725.7	3.0%	
j / Fixed rate	BRL	Investment financing (FINAME, leasing)	32.3	19.7	52.1	4.7%	18/11/2024
	BRL	Investment financing (BNDES)	11.5	56.9	68.5	6.1%	15/07/2021
	USD	Export pre-payment, ACC, NCE	23.8	0.0	23.8	5.6%	30/09/2015
	EUR	LT financings EU	17.8	528.9	546.7	4.5%	02/10/2017
	CZK	ST financings	9.7	0.0	9.7	0.9%	26/02/2021
TOTAL FIXED			95.1	605.5	700.7	4.7%	
TOTAL GROSS DEBT BEFORE AMORTIZED COSTS			909.9	1,516.4	2,426.3	3.5%	
Amortized			-3.6	-8.8	-12.3		
Total GROSS DEBT			906.3	1,507.7	2,414.0		
Cash and cash equivalents					-389.2		
TOTAL NET FINANCIAL DEBT					2,024.7		
Related parties financial assets					-36.2		
Related parties financial liabilities					64.0		
TOTAL NET FINANCIAL DEBT INCLUDING RELATED-PARTIES					2,052.6		

Financings

As at 31 March 2016, the financings of the Group consist of: public bonds, banks financings in the form of bilateral lines and club deals, export pre-financings, factoring and major BNDES projects financing loans.

The main variations in short-term, mid-term and long-term borrowings compared to 31 March 2015 correspond mainly to the consolidation of Usina Vertente financings for €121 million (change in the consolidated method) and the impact of foreign exchange for €55 million.

All average margins or rates listed below are weighted by outstanding amounts.

a / CDI-based financings of Brazilian subsidiaries (CDI – Brazilian Overnight Interbank Deposit rate)

CDI-based financings, denominated in BRL, are mainly used by the Brazilian subsidiaries to finance working capital requirements. Margins range from 1.7% and 3.9% with an average of 3.1%.

The outstanding amount of CDI-based financings is €64.5 million at 31 March 2016.

b / LIBOR-based USD financings

In order to extend maturities on working capital financings and improve natural hedge of income from exports, the Group structured its Brazilian financing by increasing the portion of medium-term export pre-financing contracts, denominated in USD, at 3-month LIBOR plus a margin. The margin on the USD floating rate loans ranges from 1.5% to 4.8% with an average of 2.8%. Most of these financings are secured by the assignment of future export receivables.

In September 2015, a new facility (*NCE-Nota de Crédito à Exportação*) was closed for an amount of USD 20 million at Vertente level (5-year structure with 2 years of grace period). This financing is based on 3-month LIBOR.

In October and in November 2015, two new facilities (EPP-Export Pre Payment) were closed for respective amounts of USD 30 million at Guarani level and USD 12 million at Vertente level (5-year structures with 2 years of grace period). These financings are based on 3-month LIBOR.

In addition, Guarani refinanced a USD 115 million club deal loan initially due in January 2016 with a maturity of 5 years including a 2-year grace period.

Tereos Internacional has extended the existing revolving credit facility for an amount of USD 110 million (2-year maturity).

A large part of the Mozambican debt is denominated in USD. These loans bear an average interest of 1.5%. The outstanding amount at 31 March 2016 is USD 6 million.

In addition, in April 2015, Tereos FKS Indonesia entered into a multi-tranche bank financing, for a total amount of USD 41 million. This USD envelope bears a cost based on LIBOR plus flat margins and is divided between a 5-year tranche of USD 21 million and a trade finance facility of USD 20 million.

The total outstanding amount of USD LIBOR-based financings is €877.5 million at 31 March 2016.

c / Medium-Term / long-Term financings based on TJLP (Taxa de juros de longo prazo – long-term state interest rate)

Medium-term/long-term financings consist of equipment financing facilities from BNDES (based on TJLP + margin + BNDES base rate between 0.9% and 1.3%). These financings are denominated in BRL for a total amount of €60.9 million at 31 March 2016 and bear interest at the long term Brazilian rate ("TJLP").

The applied margins range from 2.9% to 4.6% with an average of 3.7%.

d / UMBNDES

UMBNDES-based financing refers to a specific line of BNDES financing based on a basket of currencies (average of the loans in international currencies of the BNDES - "Cesta de moedas") + a margin + BNDES base rate (1.3%). The outstanding amount is €20.9 million at 31 March 2016.

The applied margins range from 3.3% to 3.6% with an average of 3.5%.

e / IGP-M (Índice Geral de Preços do Mercado – General Market Price Index of Brazil) based long-term financings

The specific program into which Andrade entered allows the company to have long-term financings being guaranteed by National Treasury Certificates (CTN's). CTN's are government bonds issued at a discounted rate, serving exclusively as collateral for the payment of the principal. This financing in BRL bears interests based on IGP-M (the General Market Price Index of Brazil). Margins range from 3.5% to 4.8% with an average of 4.5%. At maturity the amount of CTN should be close to the amount of the financing obligations.

At 31 March 2016 this debt represents an amount of €1.5 million.

f / EURIBOR based financings

i - Short-term financings

Short-term credit lines in EUR are mainly borrowed at Tereos EU, Tereos France and Tereos Syral levels, for working capital requirements financing mostly.

Some short-term loans are also available in the Indian Ocean entities, mainly for working capital requirements financing.

ii - Medium-term and long-term financings

In March 2013, Tereos entered into two senior syndicated revolving credit facilities: one revolving credit line of €400 million available on Tereos France, collateralized by pledges over receivables and inventories, and one revolving credit line of €150 million available on Tereos UCA. These credit lines bear interests based on EURIBOR plus margin with a maturity date in March 2018.

At the same date, Tereos EU amended and restated its senior syndicated credit facility contracted in 2010. The amount of this EURIBOR-based credit facility was €450 million, collateralized by the pledge over shares owned by Tereos EU in some of its subsidiaries and by a guarantee of Tereos Internacional, divided into (i) an amortizing term loan for an initial amount of €370 million, with an outstanding amount of €166.5 million at 31 March 2016 and (ii) a revolving credit facility of €80 million, drawn down for an amount of €10 million at 31 March 2016. Final maturity of this facility has been postponed to June 2017. In addition, in October 2014, another long-term loan was concluded on the same entity for an amount of €50 million and a maturity of 6 years.

In 2015, Tereos UCA closed 2 bilateral EURIBOR-based revolving facilities with a 3-year maturity and one bilateral EURIBOR-based revolving facility with a 5-year maturity, for a total amount of €65 million, fully drawdown at 31 March 2016.

At 31 March 2016, the total amount of this debt represents an amount of €734.4 million.

g/ Pribor

Tereos TTD uses exclusively short-term bilateral bank lines, denominated in CZK, for a total amount of €50.6 million at 31 March 2016.

h/ Factoring

On March 2016, Syral Belgium signed a third amendment to the factoring agreement covering a further five-year period. As set out in note 25.1.1, receivables sold through the factoring programme include €6.8 million at 31 March 2016 that have not been derecognised. As such, the corresponding short term borrowing has been recorded.

On 30 March 2016, Tereos France and Tereos DVO entered into a factoring program up to a maximum amount of respectively €20 million and €5 million.

On 31 March 2016, these two companies sold receivables through the factoring program for a total amount of €21.6 million. All the receivables sold have been derecognized.

i /Prime Rate Financing

Bank overdraft refers to specific line in MZN through local financial institutions, bearing an interest rate of 15.5% (prime rate +0.5%).

At 31 March 2016, this outstanding debt amounts to €1 million.

j / Fixed-rate financings

Fixed-rate BRL financings consist of BNDES investment financing such as FINEM (*Financiamento a Empreendimentos*), PCA (*Programa de Construção e Ampliação de Armazéns*) and FINAME (*Financiamento de Máquinas e Equipamentos*).

These long-term debts at fixed rate are basically equipment financing (FINAME) for which the interest rates range from 2.5% to 10.0% with an average of 3.8%. These loans are secured by pledge over the equipment financed. The outstanding amount of FINAME and PCA lines is €54.1 million, PCA lines are investment financing for construction and expansion of warehouses through local financial institutions, with an average interest rate of 7.5%.The outstanding of FINEM, focused on investment financing (mostly cogeneration), is €60.4 million at 31 March 2016.

Tereos, through its subsidiary Tereos Finance Group 1, issued in March 2013 a bond. The amount of this 7-year bond is €500 million, redeemable in fine and bears a fixed coupon of 4.25% per annum.

In order to finance the acquisition of Tereos Participations shares held by NECAP, in early January 2010, Tereos UCA issued convertible bonds for an amount of €63.8 million. These bonds are redeemable on 2 October 2017. The debt component of these convertible bonds at 31 March 2016 amounts to €6.1 million.

A bilateral fixed-rate CZK revolving credit facility is available in Tereos TTD, drawdown at 31 March 2016 for an amount of €4.9 million.

At 31 March 2016, the total amount of the fixed rate financings represents an amount of €652.7 million, for an average interest rate of 5.2%.

Foreign currency breakdown

The foreign currency breakdown of the debt as at 31 March 2016 is as follows:

Currency	EUR	USD	GBP	BRL	MZN	CZK	Other	Total
Millions of EUROS at 31 March 2016	1,273.7	898.9	0.3	241.4	1.0	55.6	0.0	2,470.8

25.2.2. Covenants

The following covenants relate to the Group and its subsidiaries.

Type at 31 March 2016	Definition	Triggering level
Net debt	Tereos EU group consolidated net debt / Tereos EU group Teros Group consolidated debt excluding debt of TI, TTD and OIP	max. 2.9 < €1 billion
Gearing	Tereos France group consolidated net debt / Tereos France group Guarani consolidated net debt / Guarani equity	Max. 0.95 max 1.25
Interest cover	Tereos EU group consolidated EBITDA / Tereos EU group net Guarani consolidated adjusted EBITDA / Guarani net interest expense	Min. 4.0 Min. 2.0
Liquidity	Guarani consolidated current assets / Guarani current liabilities	Min. 1.0
Debt servicing	Consolidated available cash flow before Tereos EU group financing / Total Tereos EU group debt servicing	Min. 1.0

If the company breaches a covenant limit, the related debt becomes immediately redeemable.

On 31 March 2016, Guarani obtained from the bank a waiver on its “Gearing” covenant until March 2017.

The Group is in compliance with all its other debt covenants at the date of issue of these financial statements.

25.2.3. Other financial liabilities

(MILLIONS OF EUROS)	Current		Non-current	
	31 March 2016	31 March 2015	31 March 2016	31 March 2015
Refis and Paes payable	2.5	3.8	46.2	55.7
Taxes payables	68.5	100.9	0.1	0.2
Received deposit	26.2	29.6	0.0	0.0
Staff and social security	109.4	112.4		
Derivatives	63.4	44.0	3.0	0.6
Fair value of contracts	4.1	0.0	0.0	0.0
Dividends payable	1.5	1.6		
Accrued payables	13.5	11.1		
Commitment to buy non-	0.0	0.0	127.5	96.7
Other	24.9	20.3	22.2	46.2
Other financial liabilities	314.0	323.6	199.0	199.3

The line “Other” mainly concerns trade payables.

Refis and Paes payable

Since 31 March 2012, Guarani and its subsidiary São José have taken part in the Refis programme (tax debt refinancing program) for a total amount of R\$ 38 million (€9.3 million). The outstanding amounts will be paid in 30 installments, adjusted by interest of 6% per year plus the Selic (Sistema Especial de Liquidação e Custódia).

These companies and Syral Halotek still have some remaining amounts of Refis program from the prior year and Paes (special installment plan).

For Guarani and São José, the Refis debt is being settled at an annual rate of 1.2% of revenue. The debt included in Paes is paid in monthly installments, in the amount equivalent to 1/120th of the debt. As provided for by the rules applicable to the Refis and Paes programs, principal is being adjusted for inflation based on the long-term interest rate set at 5.0% per year. Payments are proportionally amortized from principal and accrued interest so that no interest is calculated on the accrued interest balance.

As provided for by law, the Group pledged properties, facilities, machinery and equipment in the amount of R\$ 157 million (€38 million) as collateral for the Refis.

The Refis interest rate for Syral Halotek is 7.2% per year. Syral Halotek did not pledge properties, plant or equipment for the Refis.

The companies pay their taxes and other current obligations on the due dates, which is a requirement to maintain eligibility to REFIS.

The Refis and Paes payable details are presented below:

(MILLIONS OF EUROS)	31 March 2016		
	Principal	Interest	Total
Federal taxes (IPI\PIIS\COFINS)	23.0	25.5	48.5
ICMS	0.2	0.0	0.2
Total Refis and Paes payable	23.2	25.5	48.7
(MILLIONS OF EUROS)	31 March 2015		
	Principal	Interest	Total
Federal taxes (IPI\PIIS\COFINS)	27.6	31.5	59.1
ICMS	0.3	0.0	0.3
Total Refis and Paes payable	27.9	31.5	59.4

Commitments to purchase non-controlling interests

At 31 March 2016, the Group had granted an unconditional commitment for the purchase of non-controlling interests in Tereos Participations by Tereos UCA.

The recognition of this commitment, on the basis of the projected performance of the relevant companies and, where applicable, their subsidiaries, increased debt by €30.7 million over the period to €127.5 million at 31 March 2016.

The recognition of the same commitment in non-controlling interests generated a decrease of €8.4 million in the Group's non-controlling interests.

26. Fair value

The fair values of financial assets and liabilities are the same as their carrying amounts, except for borrowings for which the fair value at 31 March 2016 is presented in the table below.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The following methods and assumptions were used to estimate fair value:

- Since cash and cash equivalents, trade receivables and payables and other short-term borrowings mature in the near term, their fair value approximates their carrying amount.
- The fair value of fixed- and variable-rate long-term borrowings is based on the estimated present value of the associated future cash flows (principal and interest repayments). A discount rate is calculated for each type of loan, determined by comparison with the interest rate used for similar transactions carried out during the previous period.
- The fair value of available-for-sale securities (financial assets) is based on quoted prices in an active market, where available. Investments in equity instruments for which there are no quoted prices in an active market and whose fair value cannot be reliably measured are carried at cost, less any impairment losses, generally calculated in relation to the proportion of equity held.
- The Group contracts derivative instruments with counterparties and financial institutions with investment grade credit ratings. Derivatives are measured using valuation techniques based on observable market inputs. The instruments concerned are mainly interest rate swaps, forward rate agreements, and commodity options and futures. The most frequently applied valuation techniques include forward pricing and swap models, which use present value calculations.
- The Group measures biological assets at fair value less estimated expenses at the point of sale.

The Group uses the following hierarchy for determining and disclosing the fair value of financial assets and liabilities and biological assets:

- Level 1: unadjusted quoted prices in an active market for identical assets or liabilities.
- Level 2: other techniques for which all inputs with a significant effect on the recorded fair value are observable, either directly or indirectly.
- Level 3: techniques which use inputs with a significant effect on the recorded fair value that are not based on observable market data.

At 31 March 2016 the Group held the following items:

(MILLIONS OF EUROS)	Level 1	Level 2	Level 3	Total
Financial assets at fair value	11.7	10.1	0.0	21.8
Interest rate derivatives (OTC)				
Foreign exchange derivatives (OTC)				
Forwards	0.0	8.5	0.0	8.5
Commodities derivatives				
Futures (listed)	9.5	0.0	0.0	9.5
Firm commitments	0.0	1.6	0.0	1.6
Energy derivatives				
Swaps	2.2	0.0	0.0	2.2
Available for sale financial assets			45.0	45.0
Cash and cash equivalents	380.5			380.5
Inventories at fair value	0.0	5.2	0.0	5.2
Biological assets	0.0	0.0	222.9	222.9
Financial liabilities at fair value	(47.1)	(2,756.5)	0.0	(2,803.6)
Financial debt	0.0	(2,522.0)	0.0	(2,522.0)
Interest rate derivatives (OTC)	0.0	(10.4)	0.0	(10.4)
Foreign exchange derivatives (OTC)				
Forwards	0.0	(8.9)	0.0	(8.9)
USD borrowings qualified as CFH	0.0	(211.1)	0.0	(211.1)
Commodities derivatives				
Futures (listed)	(34.2)	0.0	0.0	(34.2)
Firm commitments	0.0	(4.1)	0.0	(4.1)
Energy derivatives				
Swaps	(12.9)	0.0	0.0	(12.9)
Total financial assets and liabilities at fair value on a recurring basis	345.1	(219.2)	0.0	125.9
Total financial assets and liabilities at fair value on a non-recurring basis		(2,522.0)	267.9	(2,254.1)
Total financial assets and liabilities at fair value	345.1	(2,741.2)	267.9	(2,128.2)

The methodology adopted by the Group to determine the fair value of assets and liabilities that belong to level 2 of the fair value hierarchy is as follows:

- Loans, borrowings and interest rate derivatives are valued using the discounted future cash flows method. This method uses interest rates and interest rate curves directly observable on the market at the valuation date.
- Foreign exchange derivatives (forwards) are valued on the basis of a recalculation, at valuation date, of the forward exchange rate at maturity of the contract. This recalculation uses exchange rates and interest rate curves directly observable on the market at the valuation date.
- Interest rate options, foreign exchange options and commodity options are valued using the Black & Scholes model. This model uses the implied volatility of the underlying asset at the valuation date.
- Counterparty risk is measured using the CDS quoted on the market at the valuation date or, failing that, using the data available on the secondary market (credit spread of listed securities).

The impacts of CVA/DVA on the group commitments amount to €0.4 million at 31 March 2016.

26.1. Change in levels and focus on level 3

The methodology adopted by the Group to determine the fair value of biological assets in level 3 is presented in note 12.

During the year ended 31 March 2016, no assets and liabilities measured at fair value were reclassified from or to level 1 or level 2.

The change in fair value of biological assets can be analysed as follows:

(MILLIONS OF EUROS)	Level 3 Biological assets
Fair value at 31 March 2015	216.9
Transfer to level 3	0.0
Transfer from level 3	0.0
Gain (loss) in the statement of operations (***)	(22.5)*
Gain (loss) in the other comprehensive income	(40.3)
Purchases	42.1**
Sales	0.0
Change due to acquisition or divestiture	26.7
Fair value at 31 March 2016	222.9

* Corresponds to the increase in tilling costs, the change due to harvest and the change in fair value

** Correspond to plantation costs

*** Included in cost of sales

26.2. Derivatives

Breakdown by type of derivative

Millions of euros, at 31 March 2016		Notional Amount	Fair value		
			Assets	Liabilities	Net
Interest rate vanilla swaps	Hedge	225.5	-	(1.8)	(1.8)
Interest rate vanilla swaps	Trading	181.0	-	(8.6)	(8.6)
FX forward contracts	Hedge	256.1	7.5	(5.0)	2.5
FX forward contracts	Trading	67.8	1.0	(3.9)	(3.0)
Commodities futures	Hedge	334.5	1.9	(28.9)	(27.0)
Commodities futures	Trading	174.8	7.6	(5.3)	2.3
Energy derivatives	Hedge	113.3	2.2	(12.9)	(10.7)
Energy derivatives	Trading	-	-	-	-
USD Borrowings qualified as CFH	Hedge	650.5	-	(211.1)	(211.1)
Total		2,003.5	20.1	(277.5)	(257.4)

In millions of euros, at 31 March 2015		Notional Amount	Fair value		
			Assets	Liabilities	Net
Interest rate vanilla swaps	Hedge	420	0.3	(1.8)	(1.5)
Interest rate vanilla swaps	Trading	158	-	(9.7)	(9.7)
FX forward contracts	Hedge	176	5.1	(28.7)	(23.6)
FX forward contracts	Trading	34	0.2	(0.5)	(0.3)
Commodities futures	Hedge	298	32.3	(3.3)	29.0
Commodities futures	Trading	2	-	-	-
Energy derivatives	Hedge	28	0.3	(0.6)	(0.3)
Energy derivatives	Trading	-	-	-	-
USD Borrowings qualified as CFH	Hedge	681	-	(186.9)	(186.9)
Total		1,796	38.2	(231.5)	(193.3)

Derivatives impacts are presented as follows:

Change through Comprehensive Income or through statement of operations	Category	At 31 March 2016		
		Income / (expense)		OCI*
		Fair value	OCI recycling	
Interest rate derivatives	Trading	1.4		
	Hedge	(0.0)	(1.4)	(0.6)
Foreign exchange derivatives	Trading	1.1		
	Hedge	(0.8)	(27.4)	19.8
	USD loan qualified as cash flow hedge		(38.5)	(39.9)
Commodity derivatives	Trading	2.3		
	Hedge	0.0	14.6	(47.1)
Energy derivatives	Trading	0.0		
	Hedge	0.0	0.0	(8.3)
Total:		3.9	(52.7)	(76.1)
<i>Of which OCI recycled into net</i>			(65.9)	65.9
<i>Of which OCI recycled into cost of</i>			14.6	(14.6)
<i>Of which OCI recycled into financial</i>			(1.4)	1.4

* Net of taxes

Break down of derivatives by counterparties is as follows:

(MILLIONS OF EUROS) At 31 March 2016	Counterparty name	Type of derivative	Reference index	Place of negotiation	Notional amount	Fair value
Banks	Citibank	Interest Rate derivatives	LIBOR 3M	OTC	5.0	0.0
		FX derivatives	USD/BRL	OTC	6.0	1.0
		FX derivatives	EUR/CZK	OTC	2.0	0.0
		Refinancing loans qualified as CFH	USD/BRL	OTC	86.0	(27.0)
		Refinancing loans qualified as CFH	USD/BRL	OTC	36.0	(6.0)
	Itau BBA	FX derivatives	USD/BRL	OTC	9.0	1.0
		Interest Rate derivatives	CDI	OTC	19.0	(3.0)
		FX derivatives	USD/BRL	OTC	16.0	(1.0)
	Santander	FX derivatives	USD/BRL	OTC	29.0	(1.0)
	Bank of America	Interest Rate derivatives	LIBOR 3M	OTC	6.0	0.0
		FX derivatives	EUR/USD	OTC	10.0	0.0
	KBC	Interest Rate derivatives	EURIBOR 3M	OTC	100.0	(5.0)
		Interest Rate derivatives	EURIBOR 1M	OTC	70.0	(1.0)
		Interest Rate derivatives	LIBOR 3M	OTC	32.0	(9.0)
		Refinancing loans qualified as CFH	USD/BRL	OTC	65.0	(10.0)
		Sugar derivatives	NY #11	New-York	8.0	1.0
	CACIB	FX derivatives	USD/BRL	OTC	1.0	0.0
		FX derivatives	USD/IDR	OTC	10.0	0.0
		FX derivatives	EUR/USD	OTC	20.0	1.0
		FX derivatives	EUR/GBP	OTC	34.0	(1.0)
		FX derivatives	USD/BRL	OTC	1.0	0.0
		FX derivatives	EUR/PLN	OTC	1.0	0.0
		FX derivatives	EURIBOR 3M	OTC	131.0	(43.0)
		Interest Rate derivatives	USD/BRL	OTC	5.0	0.0
		Refinancing loans qualified as CFH	EUR/USD	OTC	2.0	0.0
		FX derivatives	EUR/USD	OTC	11.0	1.0
	LCL	FX derivatives	USD/BRL	OTC	11.0	(1.0)
		Refinancing loans qualified as CFH	USD/BRL	OTC	30.0	(8.0)
		Interest Rate derivatives	CDI	OTC	14.0	(1.0)
	HSBC	Sugar derivatives	NY #11	New-York	45.0	(4.0)
		Energy derivatives	Gas	OTC	3.0	0.0
		FX derivatives	USD/BRL	OTC	91.0	(32.0)
		Refinancing loans qualified as CFH	USD/BRL	OTC	15.0	0.0
	Macquarie	Interest Rate derivatives	EURIBOR 3M	OTC	21.0	0.0
		Interest Rate derivatives	EURIBOR 3M	OTC	74.0	(1.0)
		FX derivatives	LIBOR 3M	OTC	2.0	0.0
	Natixis	FX derivatives	EUR/GBP	OTC	71.0	1.0
		FX derivatives	EUR/USD	OTC	34.0	(1.0)
		FX derivatives	USD/BRL	OTC	12.0	0.0
		Energy derivatives	Diesel	OTC		
		Energy derivatives	Diesel	OTC		

(MILLIONS OF EUROS) At 31 March 2016	Counterparty name	Type of derivative	Reference index	Place of negotiation	Notional amount	Fair value
		Refinancing loans qualified as CFH	USD/BRL	OTC	111.0	(44.0)
		Refinancing loans qualified as CFH	USD/IDR	OTC	16.0	0.0
		Sugar derivatives	NY #11	OTC	2.0	0.0
	Société Générale	Interest Rate derivatives	EURIBOR 1M	OTC	50.0	0.0
		Energy derivatives	Gas	OTC	54.0	(6.0)
	CIC	Interest Rate derivatives	EURIBOR 3M	OTC	2.0	0.0
		FX derivatives	EUR/USD	OTC	3.0	0.0
	Bradesco	FX derivatives	USD/BRL	OTC	28.5	(3.3)
	JP Morgan	FX derivatives	USD/BRL	OTC	1.0	0.0
		Energy derivatives	Gas	OTC	2.0	0.0
	Maybank	FX derivatives	USD/IDR	OTC	3.0	0.0
	BTG Pactual	FX derivatives	USD/BRL	OTC	5.0	0.0
		Refinancing loans qualified as CFH	USD/BRL	OTC	48.0	(16.0)
	Banco do Brasil	Refinancing loans qualified as CFH	USD/BRL	OTC	69.0	(25.0)
	ING	FX derivatives	EUR/CZK	OTC	7.0	0.0
	Commerzbank	FX derivatives	EUR/CZK	OTC	5.0	0.0
	KB	FX derivatives	EUR/CZK	OTC	4.0	0.0
	Banque Tarneaud	FX derivatives	EUR/USD	OTC	8.0	0.0
	Investec	FX derivatives	EUR/GBP	OTC	18.0	0.0
			Wheat MATIF / LIFFE	MATIF / LIFFE	151.0	(5.0)
	Newedge	Cereal derivatives	Corn MATIF	MATIF	21.0	(1.0)
		Cereal derivatives		New- York	257.0	(8.0)
		Sugar derivatives	NY #11			
	Interactive Brokers	FX derivatives	EUR/USD	OTC	8.0	0.0
Total					2003.5	(257.4)

Break down by rating:

In million of Euros At 31 March 2016	Notional Amount	Fair Value
A+	344.0	(45.0)
A	764.0	(113.0)
A-	6.0	-
BBB+	50.0	-
BBB-	63.0	(5.0)
BB	256.0	(54.0)
Not rated	520.5	(40.4)
Total	2,003.5	(257.4)

27. Risk management

In the context of its operating and financing activities, the Group is exposed to the following financial risks:

- market risks: interest rate risk, foreign exchange risk, commodities risk and energy risk;
- liquidity risks.

27.1. Market risk management

The Group manages its financial risks at the level of each subsidiary or centrally, based on the type of transaction. Market risks are managed through the use of derivative instruments in accordance with Group procedures.

27.1.1. Interest rate risk management

The Group's exposure to interest rate risk is generated primarily by its borrowings at floating rates which impact future financial results.

The Group's objective is to minimise the exposure of its subsidiaries to the risk of an increase in interest rates. As such, the Group uses derivative instruments in the form of vanilla swaps, options and, to a lesser extent, structured products. The interest rate hedging policy is defined at Group level. Transactions are negotiated and approved centrally for Europe and locally for Brazil according to Group procedures.

The notional amounts and fair values of interest rate derivatives by maturity breakdown are as follows:

(MILLIONS OF EUROS) At 31 March 2016	Notional			TOTAL	Fair value
	less than 1	1 to 5 years	more than 5		
Vanilla swaps	238.0	160.5	8.0	406.5	(10.4)
in cash-flow hedge	57.0	160.5	8.0	225.5	(1.8)
at fair value through profit or loss	181.0	0.0	0.0	181.0	(8.6)
Total interest rate	238.0	160.5	8.0	406.5	(10.4)
- of which Euribor 1M based derivatives	150.0	0.0	0.0	150.0	(5.4)
- of which Euribor 3M based derivatives	48.0	0.0	0.0	48.0	0.0
- of which CDI based derivatives	30.0	0.0	0.0	30.0	(3.0)
- of which Libor 3M based derivatives	10.0	160.5	8.0	178.5	(2.0)

At 31 March 2016, 26% of the Group's borrowings was at fixed rates and 74% at floating rates.

At 31 mars 2015, 37% of the Group's debt was short-term and 63% was medium and long-term.

Sensitivity of the statement of operations and other comprehensive income

The sensitivity analysis applies movements in interest rates and determines for various scenarios the impact of changes in interest rates on the statement of operations and other comprehensive income. The table below summarises financial exposures to changes in interest rates.

At 31 March 2016 (MILLIONS OF EUROS)	Notional	Impacts in a probable scénario		Impacts in a possible scénario		Impacts in a stress scénario	
		+10%	-10%	+25%	-25%	+50%	-50%
Borrowings at floating rate not hedged	1,507.0	(3.0)	3.0	(7.0)	7.0	(14.0)	14.0
Interest rate derivatives							
Trading (Statement of operations impact)	150.0	-	-	-	-	-	-
Cash-flow hedge (Other comprehensive income impact)	221.0	-	-	1.0	(1.0)	1.0	(1.0)
Total		(3.0)	3.0	(6.0)	6.0	(13.0)	13.0
<i>of which impact on Statement of operations</i>		<i>(3.0)</i>	<i>3.0</i>	<i>(7.0)</i>	<i>7.0</i>	<i>(14.0)</i>	<i>14.0</i>
<i>of which impact on other comprehensive income</i>		<i>-</i>	<i>-</i>	<i>1.0</i>	<i>(1.0)</i>	<i>1.0</i>	<i>(1.0)</i>

All floating interest rates were shocked using a change of +/- 10%, considered as reasonable based on observed market conditions. All other variables of the underlying amounts were held constant.

Underlying amounts contain unhedged borrowings taken at floating rates and the fair value of interest rate derivatives.

These changes would impact the statement of operations, except for the fair value of interest rate derivatives qualified as cash flow hedges, whose changes would impact other comprehensive income.

27.1.2. Foreign exchange risk management

To hedge exposures to foreign exchange risk, the Group uses derivative instruments, primarily outright forward contracts maturing in less than 12 months and USD borrowings to cover foreign exchange changes on sugar sales. These instruments are qualified as cash flow hedges.

The notional amounts and fair values of foreign exchange derivatives by maturity breakdown as follows:

(MILLIONS OF EUROS)	Notional				
At 31 March 2016	less than 1 year	1 to 5 years	more than 5 years	TOTAL	Fair value
Forwards / NDF	321.1	2.8	0.0	323.9	(0.4)
in cash-flow hedge	256.1	0.0	0.0	256.1	2.5
at fair value through profit or loss	65.0	2.8	0.0	67.8	(3.0)
Structured	0.0	0.0	0.0	0.0	0.0
USD Borrowings qualified as CFH	126.0	524.5	0.0	650.5	(211.1)
Total FX	447.1	527.3	0.0	974.4	(211.5)
- of which USD / BRL derivatives	282.0	524.5	0.0	806.5	(213.2)
- of which EUR / USD derivatives	108.1	0.0	0.0	108.1	1.2
- of which EUR / GBP derivatives	41.0	0.0	0.0	41.0	0.5
- of which USD / IDR derivatives	4.0	0.0	0.0	4.0	(0.1)
- of which EUR / CZK derivatives	11.0	2.8	0.0	13.8	0.2
- of which EUR / PLN derivatives	1.0	0.0	0.0	1.0	(0.0)

Sensitivity of the statement of operations and other comprehensive income

The sensitivity analysis considers for various scenarios the impacts of a change in underlying foreign exchange rates on the statement of operations and other comprehensive income.

At 31 March 2016	Impacts in a			Impacts in a		Impacts in a stress	
(MILLIONS OF EUROS)	Notional	probable scénario	possible scénario	possible scénario	possible scénario	scénario	scénario
		+10%	-10%	+25%	-25%	+50%	-50%
Assets and Liabilities	(157.8)	(14.7)	14.5	(36.7)	35.8	(73.8)	69.7
Net of financial assets and liabilities (P&L impact)	(262.5)	(21.9)	21.4	(55.3)	52.2	(112.1)	96.8
Receivables in Foreign Currency (Assets)	109.2	6.8	(6.4)	17.7	(14.9)	36.8	(22.6)
Payables in Foreign Currency (Liabilities)	(4.5)	0.4	(0.5)	0.9	(1.5)	1.5	(4.5)
FX Derivatives (including USD borrowings qualified in CFH)	974.4	(77.4)	77.0	(194.2)	191.2	(390.1)	375.0
Trading (Statement of operations impact)	67.8	(1.9)	2.3	(4.2)	7.0	(7.1)	21.2
Cash-flow hedge (Other comprehensive income impact)	906.6	(75.5)	74.7	(190.0)	184.2	(383.0)	353.8
Commodities Derivatives	204.4	(1.6)	1.6	(4.0)	3.9	(8.0)	7.3
Trading (Statement of operations impact)	10.9	0.1	(0.1)	0.2	(0.3)	0.3	(1.0)
Cash-flow hedge (Other comprehensive income impact)	193.5	(1.7)	1.7	(4.2)	4.2	(8.3)	8.3
Interest Rate Derivatives	177.9	(0.2)	0.2	(0.4)	0.4	(0.9)	0.9
Trading (Statement of operations impact)	-	-	-	-	-	-	-
Cash-flow hedge (Other comprehensive income impact)	177.9	(0.2)	0.2	(0.4)	0.4	(0.9)	0.9
Total		(93.9)	93.3	(235.3)	231.3	(472.8)	452.9
<i>of which impact on Statement of operations</i>		<i>(16.5)</i>	<i>16.7</i>	<i>(40.7)</i>	<i>42.5</i>	<i>(80.6)</i>	<i>89.9</i>
<i>of which impact on other comprehensive income</i>		<i>(77.4)</i>	<i>76.6</i>	<i>(194.6)</i>	<i>188.8</i>	<i>(392.2)</i>	<i>363.0</i>

All foreign currency denominated items were included in the analysis, as well as the impact on the fair value of commodities derivatives which are denominated in USD (typically sugar).

The above table shows the sensitivity of the Group's statement of operations and other comprehensive income to changes in the underlying currency pairs (EUR/USD, EUR/GBP, USD/BRL).

The sensitivity analysis was prepared considering a +/- 10% change to be reasonable, based on general market observations. All other variables were held constant.

The different scenarios would impact the statement of operations, except for derivatives accounted for as cash flow hedges whose impacts would be recorded in other comprehensive income.

27.1.3. Commodities risk management

To hedge its commodities price risk, several Group entities, depending on their activities, may buy and sell commodities future/forward contracts. The commodities negotiated are: raw and white sugar for Guarani, Tereos France and Tereos Commodities Suisse and ethanol for Tereos Syral, representing their finished products, and wheat and corn for Tereos Syral, representing the raw material base for the production of its finished products.

Most derivatives are qualified as cash flow hedges.

Commodities transactions are executed at the subsidiary level and reviewed by the Commodity Risk Committees at Guarani and Tereos Syral.

The notional amounts of commodities derivatives by maturity are as follows:

(MILLIONS OF EUROS)		Notional			TOTAL	Fair value
At 31 March 2016	less than 1 year	1 to 5 years	more than 5 years			
Futures	505.3	4.0	0.0	509.3		(24.7)
in cash-flow hedge	332.5	2.0	0.0	334.5		(27.0)
at fair value through profit or loss	172.8	2.0	0.0	174.8		2.3
Total commodities	505.3	4.0	0.0	509.3		(24.7)
- of which cereal derivatives	168.0	4.0	0.0	172.0		(6.0)
- of which sugar derivatives	337.3	0.0	0.0	337.3		(18.7)
- of which ethanol derivatives	0.0	0.0	0.0	0.0		0.0

Sensitivity of the statement of operations and other comprehensive income

31 March 2016	Impacts in a			Impacts in a			
(MILLIONS OF EUROS)	Notional	probable scénario	possible scénario	possible scénario	Impacts in a stress scénario		
		+10%	-10%	+25%	-25%	+50%	-50%
Sugar derivatives							
Trading (Statement of operations impact)	143.8	(3.7)	3.7	(9.2)	9.2	(18.4)	18.4
Cash-flow hedge (Other comprehensive income impact)	193.5	(21.0)	21.0	(52.5)	52.5	(105.1)	105.1
TOTAL IMPACT SUGAR PRICE	337.3	(24.7)	24.7	(61.7)	61.7	(123.5)	123.5
Cereal derivatives							
Trading (Statement of operations impact)	31.0	(2.8)	2.8	(6.9)	6.9	(13.8)	13.8
Cash-flow hedge (Other comprehensive income impact)	141.0	13.1	(13.1)	32.8	(32.8)	65.6	(65.6)
TOTAL IMPACT CEREAL PRICE	172.0	10.3	(10.3)	25.9	(25.9)	51.8	(51.8)
Ethanol derivatives							
Trading (Statement of operations impact)	-	-	-	-	-	-	-
Cash-flow hedge (Other comprehensive income impact)	-	-	-	-	-	-	-
Total	509.3	(14.4)	14.4	(35.8)	35.8	(71.7)	71.7
of which impact on Statement of operations		(6.5)	6.5	(16.1)	16.1	(32.2)	32.2
of which impact on other comprehensive income		(7.9)	7.9	(19.7)	19.7	(39.5)	39.5

Items included in the analysis correspond exclusively to the fair value of commodities derivatives. The Group did not include any off-balance sheet commitments in this analysis.

The above table shows the sensitivity of the Group's statement of operations and other comprehensive income to possible commodities price changes.

The analysis was based on corn and wheat futures, raw and white sugar futures, and ethanol swaps.

The sensitivity analysis was prepared considering a +/- 10% change to be reasonable, based on general market observations. All other variables were held constant.

The different scenarios would impact the statement of operations, except for commodities derivatives accounted for as cash flow hedges, whose impacts would be recorded in other comprehensive income.

27.1.4. Energy risk management

In order to hedge its exposure to energy risk, several Group entities, depending on their activities, may contract energy derivatives.

(MILLIONS OF EUROS)	Notional			TOTAL	Fair value
31 March 2016	less than 1 year	1 to 5 years	more than 5 years		
Energy	82	31	0	113	(10.7)
in cash-flow hedge	82	31	0	113	(10.7)
at fair value through profit or loss	0	0	0	0	0.0
Total Energy	82	31	0	113	(10.7)

At 31 March 2016, the Group only has gas derivatives and diesel derivatives in its portfolio.

31 March 2016		Impacts in a		Impacts in a		Impacts in a stress	
(MILLIONS OF EUROS)		Notional	probable scénario	possible scénario		scénario	
			+10% -10%	+25% -25%		+50% -50%	
Gas derivatives							
Trading (Statement of operations impact)	-	-	-	-	-	-	-
Cash-flow hedge (Other comprehensive income impact)	101.3	9.2	(8.9)	22.8	(22.5)	45.4	(45.1)
Diesel derivatives							
Trading (Statement of operations impact)	-	-	-	-	-	-	-
Cash-flow hedge (Other comprehensive income impact)	12.0	1.2	(1.2)	3.0	(3.0)	6.0	(6.0)
Total		10.4	(10.1)	25.8	(25.5)	51.4	(51.1)
of which impact on Statement of operations		-	-	-	-	-	-
of which impact on other comprehensive income		10.4	(10.1)	25.8	(25.5)	51.4	(51.1)

27.2. Liquidity risk management

Operational management of liquidity and short-term financing is performed by both the entities and the Group Treasury Department. The Group's policy is to ensure the repayment of its future obligations, without additional financing, out of available cash and existing credit lines, for at least the next 12 months.

The Group finances itself via short-, medium- and long-term bank loans, as well as bonds, export pre-financing and factoring as described above.

Most of the Group entities have contracted short- and medium-term bank loans. The Group's debt amortization profile is mainly tied to the maturities of the syndicated loans on the European and Brazilian entities and to the bond of €500 million, which final maturities are mentioned in paragraph 25.2.1 *Borrowings* above.

Credit lines not used and available as at 31 March 2016 amount to €453.5 million, of which €113.5 million have a short-term maturity.

The Group is subject to fluctuations in its level of borrowings due to the seasonal nature of its businesses (this mainly applies to Brazil and the businesses of Tereos France and Tereos TTD), which may generate surplus cash for short periods. The Group's policy is to invest available cash only in bank deposits or in liquid money market funds.

The undiscounted contractual cash outflows (interest, principal amortizations and final maturities) on outstanding financial liabilities and derivatives by maturity were as follows:

(MILLIONS OF EUROS)	less than 1 year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	more than 5 years	TOTAL
31 March 2016							
Principal	917.9	479.7	251.1	656.3	121.3	44.7	2,470.9
Fixed interest payment commitments	59.5	48.6	35.4	28.7	3.4	4.7	180.2
Floating interest payment commitments	23.0	16.1	7.3	5.2	3.7	1.6	56.9
Total non-derivative liabilities	1,000.3	544.4	293.7	690.1	128.5	51.0	2,708.0
Derivatives	0.0	0.0	0.0	0.0	0.0	0.0	
Net flows on swap	4.2	2.9	0.5	0.1	0.0	0.0	7.7
Total derivatives	4.2	2.9	0.5	0.1	0.0	0.0	7.7
Total interest payment commitments including derivatives	86.7	67.6	43.2	33.9	7.2	6.3	244.8

(MILLIONS OF EUROS)	less than 1 year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	more than 5 years	TOTAL
31 March 2015							
Principal	909.4	269.4	338.8	184.8	105.0	618.7	2,426.1
Fixed interest payment commitments	55.9	47.5	41.5	30.8	26.3	7.7	209.8
Floating interest payment commitments	18.1	11.1	6.3	4.7	3.7	4.3	48.3
Total non-derivative liabilities	983.4	328.0	386.6	220.4	135.1	630.8	2,684.2
Derivatives	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net flows on swap	6.2	3.8	18.1	-0.1	-0.1	-0.2	27.7
Total derivatives	6.2	3.8	18.1	-0.1	-0.1	-0.2	27.7
Total interest payment commitments including derivatives	80.1	62.4	65.9	35.5	30.0	11.9	285.8

28. Unrecognized contractual commitments

Commitments given (MILLIONS OF EUROS)	31 March 2016	31 March 2015
Guarantees given to third parties	44	75
Assets covered by commitments	38	45
Operating leases	25	32

Commitments received (MILLIONS OF EUROS)	31 March 2016	31 March 2015
Guarantees given to third parties	5	1
Emission quotas	-	-

Guarantees

The guarantees given to third parties include:

- guarantees pledged to the French Authorities for agricultural purposes;
- guarantees pledged to the Italian customs authorities.

Assets covered by commitments

The Group pledged properties, facilities, machinery and equipment in the amount of R\$ 157 million (€38.1 million) as collateral for the Refis programme (see note 25.2.3 Other financial liabilities).

Operating leases

Guarani entered into lease agreements of rural properties used to produce sugarcane. These agreements is effective for the entire current sugarcane production cycle, followed by six more years (2nd cycle) and finally another six-year (3rd cycle), with right to renewal by Company for one more production cycle, also plus one extra year. Accordingly, this agreement can be effective through December 15th, 2026.

Commitments to purchase non-controlling interests in associates and joint ventures

Obligations to purchase non-controlling interests in associates and joint ventures: the Group has given commitments to purchase non-controlling interests in certain joint ventures. It cannot calculate this commitment at present as it does not control these entities.

29. Related parties

29.1. Operating transactions with related parties

Transactions have been carried out with the following entities:

<i>(MILLIONS OF EUROS)</i>		For the year ended 31 March 2016	
		Sales	Purchases
Entities controlling the Group			
a/ Coopératives	31 March 2016	92.6	410.8
	31 March 2015	89.2	372.0
Joint Ventures			
b/ Sedalcol UK	31 March 2016	0.5	21.3
	31 March 2015	0.2	14.2
b/ Sedalcol France	31 March 2016	29.7	0.0
	31 March 2015	29.5	0.0
b/ Sedamyl	31 March 2016	3.2	130.2
	31 March 2015	4.1	121.6
b/ Dongguan Yihai Kerry Syral Starch technology Co.	31 March 2016	0.3	0.7
	31 March 2015	0.8	0.0
b/ Liaoning Yihai Kerry Tereos Starch technology Co.	31 March 2016	0.0	0.0
	31 March 2015	0.2	0.0
b/ Vertente	31 March 2016	0.0	0.0
	31 March 2015	4.4	21.0
b/ Sedalcol EU	31 March 2016	1.0	1.6
	31 March 2015	1.0	1.4
b/ Uniglad	31 March 2016	11.3	0.0
	31 March 2015	10.7	0.0
b/ Uniglad UK	31 March 2016	7.3	0.0
	31 March 2015	0.0	0.0
b/ Beghin Meiji	31 March 2016	11.9	0.0
	31 March 2015	11.5	0.0
b/ TPCS	31 March 2016	0.0	0.0
	31 March 2015	0.6	0.1
b/ Comasucar	31 March 2016	0.0	0.8
	31 March 2015	0.0	0.0
Associates			
c/ Refineria de Olmeido	31 March 2016	23.9	32.7
	31 March 2015	10.6	48.1
c/ France Fondants	31 March 2016	2.4	0.4
	31 March 2015	2.9	0.1

(MILLIONS OF EUROS)		Receivables	Payables
Entities controlling the Group			
a/ Coopératives	31 March 2016	2.2	30.2
	31 March 2015	2.7	37.5
Joint ventures			
b/ Sedalcol UK	31 March 2016	0.1	4.2
	31 March 2015	0.1	3.7
b/ Sedalcol France	31 March 2016	3.1	0.0
	31 March 2015	5.2	0.9
b/ Sedamyl	31 March 2016	0.6	23.4
	31 March 2015	0.3	21.4
b/ Dongguan Yihai Kerry Syral Starch technology Co.	31 March 2016	1.3	0.0
	31 March 2015	1.0	0.0
b/ Vertente	31 March 2016	0.0	0.0
	31 March 2015	0.5	0.9
b/ Uniglad	31 March 2016	1.9	0.0
	31 March 2015	2.6	0.1
b/ Uniglad UK	31 March 2016	1.7	0.0
	31 March 2015	0.0	0.0
b/ Beghin Meiji	31 March 2016	1.8	0.0
	31 March 2015	1.8	0.0
Associates			
c/ Refineria de Olmeido	31 March 2016	0.9	0.0
	31 March 2015	0.4	1.2
c/ France Fondants	31 March 2016	0.5	0.0
	31 March 2015	0.2	0.1

The main related-party transactions concern:

a / Purchases of sugarbeet from the cooperatives which control the Group

b / Certain operating activities (sales and purchases) of the Syral group are centralised with distribution or logistics companies. Some of these transactions are conducted with joint ventures such as Sedamyl, Sedalcol France, Sedalcol EU, Sedalcol UK and Uniglad at arm's length conditions. In particular, Sedamyl sells starch-based products to Syral Belgium, a distribution company that sells these products on to end customers.

In accordance with IAS 24, the portion of the transaction carried out with associates and joint ventures is disclosed in the schedule.

29.2. Financing transactions with related parties

The main financing transactions were carried out with the following entities:

(MILLIONS OF EUROS)		Financial assets	Financial liabilities
Entities controlling the Group			
a/ Coopératives	31 March 2016	0.0	22.3
	31 March 2015	0.0	21.7
Joint ventures			
b/ Sedalcol UK	31 March 2016	9.4	0.0
	31 March 2015	9.8	0.0
b/ Sedalcol France	31 March 2016	0.0	8.9
	31 March 2015	0.0	7.4
b/ Sedamyl	31 March 2016	5.2	0.0
	31 March 2015	5.2	0.0
b/ Sedamyl services	31 March 2016	0.0	5.5
	31 March 2015	0.0	5.5
b/ Beghin Meiji	31 March 2016	0.0	3.4
	31 March 2015	0.0	2.8
b/ TPCS	31 March 2016	0.0	0.0
	31 March 2015	1.5	0.0
Associates			
c/ Albioma le Gol	31 March 2016	1.5	0.0
	31 March 2015	0.3	0.0

The amounts disclosed at 31 March 2016 concern joint ventures and correspond to current accounts used to settle operating cash flows. In accordance with IAS 24, the current account with joint ventures is disclosed in the schedule.

No material amounts of interest were received or paid to related parties for the years ended 31 March 2016 and 2015.

The financial assets and liabilities of related parties are classified in the statement of financial position as follows:

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
Current financial assets with related parties	19.1	20.2
Current financial liabilities with related parties	(45.8)	(53.4)
Non-current financial assets with related parties	15.5	16.0
Non-current financial liabilities with related parties	(5.1)	(10.6)
Total net related party financial assets (liabilities)	(16.3)	(27.8)

29.3. Key management compensation and benefits

The following table discloses the compensation and benefits of the key management of Tereos Internacional S.A. and its subsidiaries for the years ended 31 March 2016 and 2015.

(MILLIONS OF EUROS)	31 March 2016	31 March 2015
Short term employee benefits	7.8	7.3
Termination benefit	1.1	1.1
Total benefits to key management personnel	8.9	8.4

30. Segment information

30.1. Information by operating segment

The Group's reportable segments are as follows:

- **Sugar Europe:** sugarbeet-based production of sugar & alcohol/ethanol in Europe, that regroups the operating segments Sugar France, Sugar Czech Republic, Sugar Romania and Sugar UK & Ireland.
- **Sugar International:** sugarcane-based production of sugar and ethanol, that regroups the operating segments Sugar & Energy Brazil, Sugar Indian Ocean and Sugar Mozambique.
- **Starch and sweeteners:** cereal-based production of starch and sweetener and alcohol/ethanol, that regroups the operating segments Starch & Sweeteners Europe, Starch & Sweeteners Brazil, Starch & Sweeteners Indonesia, and China.
- **Other:** holding companies, trading activities and inter-segment eliminations.

These operating segments are determined on the basis of a combination of factors, including the finished products distributed, the manufacturing processes and the regulatory environment. This segmentation is reflected in the Group's internal reporting as the primary key for analysis by the chief operating decision maker, allowing the presentation of discrete financial information. They have been aggregated into the above reportable segments as they share similar economic characteristics.

Each of the segments defined by the Group has its own resources, although they may also share certain resources in the areas of networks and information systems, research and development, and other shared competencies. The use of shared resources is taken into account in segment results based either on the terms of contractual agreements between legal entities, external benchmarks, or by allocating costs among all the segments. The supply of shared resources is included in other revenues of the service provider, and use of the resources is included in the expenses taken into account for the calculation of the service user's operating income. The cost of shared resources may be affected by changes in contractual relationships or organisational changes and may therefore impact the segment results disclosed from one year to another.

Adjusted EBITDA before price complement is one of the measures of operating profitability used by the Group internally to i) manage and assess the results of its operating segments, ii) implement its investments and resource-allocation strategy, and iii) assess the performance of the Group Executive Management. The Group's management believes that adjusted EBITDA before price complement is relevant for investors because it provides an analysis of its operating results and segment profitability using the same measure used by management. As a consequence and in accordance with IFRS 8 provisions, Adjusted EBITDA before price complement is presented in the analysis by operating segment, in addition to operating income.

Adjusted EBITDA before price complement is not a financial measure defined by IFRS as a measurement of financial performance and may not be comparable to other similarly-titled indicators used by other companies. Adjusted EBITDA before price complement is provided as additional information only and should not be considered as a substitute for operating income or net cash provided by operating activities

Capital expenditure comprises the acquisition of property, plant and equipment, biological assets defined as plantation costs and intangible assets.

Unallocated assets and liabilities include:

- investments in associates and financial assets held-for-sale;
- cash and cash equivalents;
- short- and long-term borrowings;
- current and deferred tax assets and liabilities.

All other assets and liabilities are considered as operating assets and liabilities.

Segment information is summarised in the following tables:

At 31 March 2016 (MILLIONS OF EUROS)	Sugar Europe	Sugar Internati onal	Starch and Sweeten ers	Other	Total reportable segments	Adjustm ents	Consolidate d financial statements
Revenue	1,759.9	1,065.7	1,508.7	(133.3)	4,201.0		4,201.0
Internal Revenue	(91.9)	(130.3)	(21.8)	244.0	0.0		
External Revenue	1,668.0	935.4	1,486.9	110.7	4,201.0		4,201.0
Adjusted EBITDA before price complement	145.8	206.6	91.6	(4.7)	439.3	(1.2)	438.2
Seasonnality adjustment	(1.2)				(1.2)	1.2	0.0
Change in fair value of biological assets		21.1	0.2		21.4		21.4
Change in fair value of financial intruments, of inventories and of sales & purchase commitments	(0.5)	(0.6)	3.2	(2.3)	(0.2)		(0.2)
Price complements	(2.2)				(2.2)		(2.2)
Impairment of assets / Gain on bargain purchase				0.5	0.5		0.5
Depreciation, amortization and change due to harvest	(100.5)	(172.1)	(81.0)	(4.5)	(358.2)		(358.2)
Operating income	41.5	55.0	14.0	(11.0)	99.5		99.5
Net financial result							(103.3)
Income taxes							(36.2)
Share of profit of associates							5.6
Consolidated net result							(34.4)
At 31 March 2016 (MILLIONS OF EUROS)	Sugar Europ e	Sugar Internati onal	Starch and Sweeten ers	Other	Total reportable segments	Adjustm ents	Consolidate d financial statements
Operating cashflows	219.2	224.8	57.9	(34.1)	467.9		467.9
Investing cashflows	(82.2)	(132.8)	(77.3)	(90.1)	(382.4)		(382.4)
Financing cashflows	(148.7)	(59.5)	4.5	65.7	(138.1)		(138.1)
Capital expenditure	91.3	160.8	61.7	1.0	314.8		314.8

At 31 March 2016 (MILLIONS OF EUROS)	Sugar Europe	Sugar International	Starch and Sweeteners	Other	Total reportable segments	Adjustments	Consolidated financial statements
Operating assets	1,584.5	1,684.7	749.3	2,263.7	6,282.2		6,282.2
Operating liabilities	1,142.9	1,313.0	813.0	436.7	3,705.7		3,705.7
Investment in associates	2.0	38.6	140.1	103.6	284.3		284.3

At 31 March 2015 (MILLIONS OF EUROS)	Sugar Europe	Sugar International	Starch and Sweeteners	Other	Total reportable segments	Adjustments	Consolidated financial statements
Revenue	1,875.6	1,088.8	1,488.8	(152.9)	4,300.2		4,300.2
Internal Revenue	(79.5)	(61.1)	(31.6)	172.2	0.0		
External Revenue	1,796.1	1,027.7	1,457.2	19.3	4,300.2		4,300.2
Adjusted EBITDA before price complement	205.1	172.6	78.4	(3.0)	453.1	(22.1)	431.0
Seasonality adjustment	(22.1)				(22.1)	22.1	0.0
Change in fair value of biological assets		7.5			7.5		7.5
Change in fair value of financial instruments, of inventories and of sales & purchase commitments	0.0	0.0	0.1	0.0	0.1		0.1
Price complements	38.1			(0.0)	38.1		38.1
Impairment of assets / Gain on bargain purchase					0.0		0.0
Depreciation, amortization and change due to harvest	(98.9)	(164.7)	(79.2)	(3.7)	(346.5)		(346.5)
Operating income	122.2	15.5	(0.8)	(6.7)	130.3		130.3
Net financial result							(110.7)
Income taxes							(21.6)
Share of profit of associates							19.3
Consolidated net result							17.3

At 31 March 2015 (MILLIONS OF EUROS)	Sugar Europe	Sugar International	Starch and Sweeteners	Other	Total reportable segments	Adjustments	Consolidated financial statements
Operating cashflows	109.8	235.5	95.4	(0.2)	440.6		440.6
Investing cashflows	(119.8)	(162.6)	(64.3)	(3.2)	(349.9)		(349.9)
Financing cashflows	(252.0)	72.8	3.4	22.4	(153.4)		(153.4)
Capital expenditure	127.9	188.8	55.1	2.5	374.2		374.2

At 31 March 2015 (MILLIONS OF EUROS)	Sugar Europe	Sugar International	Starch and Sweeteners	Other	Total reportable segments	Adjustments	Consolidated financial statements
Operating assets	1,717	1,751	803	2,195	6,465		6,465
Operating liabilities	1,252	1,342	846	248	3,688		3,688
Investment in associates	1	31	130	64	226		226

30.2. Information by geographical area

Revenue and non-current assets based on the location of the entity that performs the sale are summarised in the following tables:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
France	1,335.7	1,169.1
Czech Republic	179.5	138.9
Indian Ocean	112.8	58.4
Other European countries	1,818.2	1,871.7
Brazil	674.7	581.0
Rest of the world	80.1	481.1
Total revenue from external customers	4,201.0	4,300.2

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
France	1,964.0	1,993.3
Czech Republic	200.8	202.3
Indian Ocean	105.6	104.1
Other European countries	254.2	214.0
Brazil	1,046.6	1,088.8
Rest of the world	100.4	126.5
Total non current assets*	3,671.6	3,729.0

* Non-current assets include property, plant and equipment, intangible assets, biological assets, deferred tax assets and goodwill

Revenue based on the location of the external customer is summarised in the following table:

(MILLIONS OF EUROS)	For the year ended	
	31 March 2016	31 March 2015
Africa	219.0	82.0
America	510.0	624.0
Europe	3,195.0	3,275.0
Rest of the world	277.0	319.0
Total sales	4,201.0	4,300.0

30.3. Information about major customers

No customer taken individually represents more than 10% of consolidated revenue.

31. Scope of consolidation

Company name		31 March 2016		31 March 2015	
		Consolidation Method		% of interest	Consolidation Method
Tereos		Parent company			
Agricola Rodeio	Brazil	35.02	Controlled entity	36.71	Controlled entity
Andrade	Brazil	35.02	Controlled entity	36.71	Controlled entity
Andrade Agricultura	Brazil	18.17	Controlled entity	19.05	Controlled entity
Benp	France	-	Merged	64.35	Controlled entity
Comasucar	Spain	-	Merged	99.92	Controlled entity
Compania de Sena	Mozambique	32.97	Controlled entity	34.56	Controlled entity
Cruz Alta Participacoes	Brazil	35.02	Controlled entity	36.71	Controlled entity
Ercane	France	58.24	Controlled entity	57.81	Controlled entity
Eurocanne	France	58.24	Controlled entity	57.81	Controlled entity
Gie Utilites	France	42.13	Controlled entity	41.83	Controlled entity
Granochart	France	55.26	Controlled entity	54.86	Controlled entity
Guarani	Brazil	35.02	Controlled entity	36.71	Controlled entity
Les Vavanges	France	58.35	Controlled entity	57.89	Controlled entity
Loiret Espagne	Spain	55.26	Controlled entity	54.86	Controlled entity
Loiret France	France	55.26	Controlled entity	54.86	Controlled entity
Mascareignes Transport International	France	58.24	Controlled entity	57.81	Controlled entity
Océan Indien Participation	France	98.39	Controlled entity	98.39	Controlled entity
Sao Jose	Brazil	35.02	Controlled entity	36.71	Controlled entity
Sena Holding Limited	Mauritius	34.70	Controlled entity	36.38	Controlled entity
Sena Lines	Mozambique	32.99	Controlled entity	34.58	Controlled entity
Société Agricole du Nord-Est	France	58.24	Controlled entity	57.81	Controlled entity
Societe Marromeu Limited	Mauritius	26.26	Controlled entity	27.53	Controlled entity
Sofipa	France	55.26	Controlled entity	54.86	Controlled entity
Sucrerie de Bois Rouge	France	58.24	Controlled entity	57.81	Controlled entity
Sucrière de la Réunion	France	58.24	Controlled entity	57.81	Controlled entity
Syral Agricola	Brazil	64.81	Controlled entity		
Syral Asia	Hong Kong	64.82	Controlled entity	64.35	Controlled entity
Syral Belgium	Belgium	64.82	Controlled entity	64.35	Controlled entity
Syral do Brazil Comercio	Brazil	-	Merged	64.34	Controlled entity
Syral Halotek	Brazil	64.81	Controlled entity	64.34	Controlled entity
Syral Haussimont	France	-	Merged	64.35	Controlled entity
Syral Iberia	Spain	64.82	Controlled entity	64.35	Controlled entity
Syral Italie	Italy	64.82	Controlled entity	64.35	Controlled entity
Syral UK Services	United Kingdom	64.82	Controlled entity	64.35	Controlled entity
Tereos Agro Industrie	France	92.65	Controlled entity	91.97	Controlled entity
Tereos Alcools	France	-	Merged	79.94	Controlled entity
Tereos Asia	Singapore	93.57	Controlled entity		
Tereos Asia Investment	Belgium	64.81	Controlled entity	64.34	Controlled entity
Tereos Benp	France	64.82	Controlled entity	64.35	Controlled entity
Tereos Commodities France	France	100.00	Controlled entity	100.00	Controlled entity
Tereos Commodities Suisse	Switzerland	100.00	Controlled entity		
Tereos Cooperation	France	100.00	Controlled entity	100.00	Controlled entity

Company name		31 March 2016		31 March 2015	
		Consolidation Method		% of interest	Consolidation Method
Tereos Coproduits	France	-	Merged	99.92	Controlled entity
Tereos Deutschland	Germany	99.92	Controlled entity	99.92	Controlled entity
Tereos do Brasil	Brazil	92.65	Controlled entity	91.97	Controlled entity
Tereos DVO	France	64.82	Controlled entity	64.35	Controlled entity
Tereos EU	Belgium	64.82	Controlled entity	64.35	Controlled entity
Tereos Finance	France	-	Merged	99.89	Controlled entity
Tereos Finance Groupe 1	France	99.98	Controlled entity	99.97	Controlled entity
Tereos FKS Indonesia	Indonesia	32.41	Controlled entity	32.17	Controlled entity
Tereos France	France	99.92	Controlled entity	99.92	Controlled entity
Tereos France Services	France	99.92	Controlled entity	99.92	Controlled entity
Tereos Iberia	Spain	59.95	Controlled entity	59.95	Controlled entity
Tereos Internacional	Brazil	64.81	Controlled entity	64.34	Controlled entity
Tereos Italia	Italy	99.92	Controlled entity	99.92	Controlled entity
Tereos Luxembourg	Luxembourg	100.00	Controlled entity	100.00	Controlled entity
Tereos Ocean Indien	France	58.24	Controlled entity	57.81	Controlled entity
Tereos Participations	France	93.57	Controlled entity	92.89	Controlled entity
Tereos PureCircle Solutions	France	99.92	Controlled entity	49.96	Joint-Venture/Equity method
Tereos Romania	Romania	92.61	Controlled entity	91.93	Controlled entity
Tereos Sena Limited	Mauritius	35.02	Controlled entity	36.71	Controlled entity
Tereos Sucres	France	-	Merged	99.92	Controlled entity
Tereos Syral	France	64.82	Controlled entity	64.35	Controlled entity
Tereos TTD	Czech Republic	58.08	Controlled entity	57.66	Controlled entity
Tereos Uk	United Kingdom	99.92	Controlled entity	99.92	Controlled entity
Tereos UK & Ireland LTD	United Kingdom	93.57	Controlled entity		
Tsm	France	99.92	Controlled entity	99.92	Controlled entity
Vertente	Brazil	17.51	Controlled entity	18.36	Joint-Venture/Equity method
Beghin Meiji	France	49.96	Joint-Venture/Equity method	49.96	Joint-Venture/Equity method
Dongguan Yihai Kerry Syral Starch technology Co., Ltd	China	31.76	Joint-Venture/Equity method	31.53	Joint-Venture/Equity method
Liaoning Yihai Kerry Tereos Starch technology Co., Ltd	China	31.76	Joint-Venture/Equity method	31.53	Joint-Venture/Equity method
Magnolia	Bosnia	32.41	Joint-Venture/Equity method	32.17	Joint-Venture/Equity method
Sedalcol France	France	32.41	Joint-Venture/Equity method	32.17	Joint-Venture/Equity method
Sedalcol EU	Belgium	32.41	Joint-Venture/Equity method	32.17	Joint-Venture/Equity method
Sedalcol UK	United Kingdom	32.41	Joint-Venture/Equity method	32.17	Joint-Venture/Equity method
Sedamyl	Italy	32.41	Joint-Venture/Equity method	32.17	Joint-Venture/Equity method
Sedamyl Services	Irlande	32.41	Joint-Venture/Equity method	32.17	Joint-Venture/Equity method
Uniglad	Italy	32.73	Joint-Venture/Equity method	32.50	Joint-Venture/Equity method

Company name		31 March 2016		31 March 2015	
		Consolidation Method		% of interest	Consolidation Method
Uniglad UK	United Kingdom	32.41	Joint-Venture/Equity method		
Albioma Le Gol	France	34.81	Associates / Equity method	34.81	Associates / Equity method
Bce	France	-	Liquidated	39.78	Associates / Equity method
Centro de Tecnologia Canavieira	Brazil	1.62	Associates / Equity method	1.79	Associates / Equity method
Copagest	Luxembourg	15.00	Associates / Equity method		
France Fondants	France	39.97	Associates / Equity method	39.97	Associates / Equity method
Lesaffre	France	34.71	Associates / Equity method	34.46	Associates / Equity method
Refineria de Olmeido	Spain	46.79	Associates / Equity method	46.45	Associates / Equity method
Sao Jose Agricultura	Brazil	11.21	Associates / Equity method	11.75	Associates / Equity method
Sucrière des Mascareignes Ltd	Mauritius	23.29	Associates / Equity method	23.13	Associates / Equity method
Teapar	Brazil	12.26	Associates / Equity method	12.85	Associates / Equity method

STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2016

This is a free translation into English of the statutory auditors' report on the consolidated financial statements issued in French and it is provided solely for the convenience of English speaking users.

The statutory auditors' report includes information specifically required by French law in such reports, whether modified or not. This information is presented below the audit opinion on the consolidated financial statements and includes an explanatory paragraph discussing the auditors' assessments of certain significant accounting and auditing matters. These assessments were considered for the purpose of issuing an audit opinion on the consolidated financial statements taken as a whole and not to provide separate assurance on individual account balances, transactions, or disclosures.

This report also includes information relating to the specific verification of information given in the Group's management report.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

“TEREOS

French Agricultural Cooperative Union (Union de Coopératives Agricoles) with variable share capital
11, rue Pasteur
02390 Origny-Sainte-Benoîte

To the Shareholders,

In compliance with the assignment entrusted to us by your General Meetings, we hereby report to you, for the year ended 31 March 2016, on:

- *the audit of the accompanying consolidated financial statements of Tereos;*
- *the justification of our assessments;*
- *the specific verification required by law.*

These consolidated financial statements have been approved by the Supervisory Board. Our role is to express an opinion on these consolidated financial statements based on our audit.

I - Opinion on the consolidated financial statements

We conducted our audit in accordance with professional standards applicable in France; those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. An audit involves performing procedures, using sampling techniques or other methods of selection, to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Group as at 31 March 2016 and of the results of its operations for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union.

II - Justification of our assessments

In accordance with the requirements of article L.823-9 of the French Commercial Code (code de commerce) relating to the justification of our assessments, we bring to your attention the following matter:

The Cooperative tests goodwill and indefinite-lived assets for impairment and assesses evidence of impairment in long-term assets, in accordance with the methods described in Note 2.9 "Impairment of assets", 17 "Goodwill", and 19 "Impairment tests" to the consolidated financial statements.

We reviewed the methods used by the Group, as described in the notes to the consolidated financial statements, based on the latest available information, and carried out tests using sampling techniques to verify the application of these methods.

These assessments were made as part of our audit of the consolidated financial statements taken as a whole, and therefore contributed to the opinion we formed which is expressed in the first part of this report.

III - Specific verification

As required by law, we have also verified in accordance with professional standards applicable in France the information presented in the Group's management report.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

Neuilly-sur-Seine and Paris-La Défense, on 27 May 2016

*The Statutory auditors
French original signed by*

PricewaterhouseCoopers Audit

ERNST & YOUNG Audit

Philippe Aerts

Serge Pottiez"

II. CONSOLIDATED AUDITED FINANCIAL STATEMENTS OF THE GUARANTOR FOR THE YEAR ENDED 31 MARCH 2015

ASSETS <i>(In millions of euros)</i>	31 March 2015	31 March 2014
Goodwill	1,115.4	1,150.0
Intangible assets	116.6	130.0
Biological assets	216.9	250.8
Property, plant and equipment	2,280.2	2,307.9
Investments in associates	226.2	208.9
Available-for-sale securities	47.7	22.7
Other non-current financial assets	116.2	131.5
Deferred tax assets	167.4	137.6
Tax assets due	0.6	0.0
Other non-current assets	3.6	5.8
TOTAL NON-CURRENT ASSETS	4,290.8	4,345.3
Inventories	1 037.3	1,114.4
Trade receivables	395.5	449.0
Other current financial assets	305.2	284.3
Tax assets due	33.6	18.1
Cash and cash equivalents	389.2	515.6
Other current assets	13.8	12.9
TOTAL CURRENT ASSETS	2,174.7	2,394.2
Non-current assets held for sale		
TOTAL ASSETS	6,465.5	6,739.5

EQUITY AND LIABILITIES <i>(In millions of euros)</i>	31 March 2015	31 March 2014
Additional paid-in capital	285.8	285.8
Reserves and retained earnings	1,153.5	1,183.5
EQUITY ATTRIBUTABLE TO OWNERS OF THE PARENT	1,439.2	1,469.2
Non-controlling interests	719.2	808.1
TOTAL EQUITY	2,158.5	2,277.4
Cooperative capital	619.2	611.2
COOPERATIVE CAPITAL AND TOTAL EQUITY	2,777.6	2,888.5
Long-term borrowings	1,507.7	1,422.9
Provisions for pensions and other post-employment benefits	51.0	39.5
Other long-term provisions	20.7	23.5
Deferred tax liabilities	25.6	23.1
Tax liabilities due	0.0	0.0
Other non-current financial liabilities	209.9	202.1
Other non-current liabilities	15.0	24.1
NON-CURRENT LIABILITIES	1,829.9	1,735.2
Short-term borrowings	906.3	1,053.0
Short-term provisions	3.2	4.4
Other current financial liabilities	377.0	330.5
Trade payables	527.5	669.0
Tax liabilities due	4.8	4.7
Other current liabilities	39.1	54.1
CURRENT LIABILITIES	1,858.0	2,115.8
Liabilities associated with assets held for sale	0.0	0.0
TOTAL EQUITY AND LIABILITIES	6,465.5	6,739.5

CONSOLIDATED INCOME STATEMENT <i>(In millions of euros)</i>	2015	2014
Continuing operations		
Revenue	4,300.2	4,696.9
Change in inventories of finished products	70.1	120.0
Purchases consumed	(2,624.3)	(2,842.3)
External charges	(785.4)	(781.0)
Payroll expenses	(525.7)	(518.6)
Duties and taxes	(62.7)	(69.7)
Depreciation, amortisation and impairment	(350.9)	(350.5)
Provisions	2.1	0.8
Other recurring operating income	107.9	125.7
Other recurring operating expenses	(37.3)	(30.9)
Recurring operating income before price complements	94.1	350.4
Price complements	38.1	(29.2)
Recurring operating income	132.2	321.1
Other non-recurring operating income	15.5	16.3
Other non-recurring operating expenses	(17.4)	(25.8)
Net income from operating activities	130.3	311.6
Financial expenses	(280.9)	(264.0)
Financial income	170.2	129.3
Net financial expense	(110.7)	(134.7)
Income tax expense	(21.6)	(26.1)
Share in net income of associates	19.3	25.0
Net income from continuing operations	17.3	175.8
Discontinued operations and assets held for sale		
Net income from discontinued operations and assets held for sale	-	-
NET INCOME	17.3	175.8
<i>Of which, attributable to owners of the parent</i>	43.2	169.2
<i>Of which, non-controlling interests</i>	(25.9)	6.5

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME <i>(In millions of euros)</i>	2015	2014
NET INCOME	17.3	175.8
<i>Other comprehensive income</i>		
Items that may be reclassified subsequently to net income	(167.3)	(184.5)
Change in fair value of available-for-sale financial assets	0.0	0.2
Change in fair value of hedging instruments	(159.9)	1.1
Change in unrealised foreign exchange gains and losses	(61.3)	(185.8)
Tax impact of items that may be reclassified subsequently to net income	53.9	0.0
Items that may not be reclassified to net income	(3.8)	3.3
Actuarial gains and losses on post-employment benefit obligations	(3.9)	4.6
Tax impact of items that may not be reclassified subsequently to net income	0.1	(1.2)
Other comprehensive income (expense), net of tax	(171.0)	(181.2)
TOTAL COMPREHENSIVE INCOME (EXPENSE)	(153.8)	(5.4)
<i>Of which, attributable to owners of the parent</i>	<i>(12.2)</i>	<i>96.9</i>
<i>Of which, non-controlling interests</i>	<i>(141.5)</i>	<i>(102.3)</i>

CONSOLIDATED STATEMENT OF CHANGES IN COOPERATIVE CAPITAL AND TOTAL EQUITY

<i>(In millions of euros)</i>	ADDITIO NAL PAID-IN CAPITAL	NET INCO ME	OTHER COMPREHE NSIVE INCOME (EXPENSE)	RESER VES	EQUITY ATTR. TO OWNERS OF THE PARENT	NON- CONTROL LING INTEREST S	TOTAL EQUITY	COOPERA TIVE CAPITAL	SHARE CAPITAL AND TOTAL EQUITY
AT 31 MARCH 2013	285.8	101.1	(19.4)	996.0	1,363.5	851.7	2,215.2	591.3	2,806.5
Net income for the period		169.2			169.2	6.5	175.8		175.8
Gains and losses recognised directly in equity			(72.0)		(72.0)	(108.9)	(180.9)		(180.9)
Comprehensive income (expense)		169.2	(72.0)		97.2	(102.3)	(5.1)		(5.1)
Dividends paid		(0.1)			(0.1)	(13.3)	(13.4)		(13.4)
Net income appropriation		(101.0)		101.0	0.0		0.0		0.0
Commitments to purchase non-controlling interests				3.0	3.0	3.6	6.6		6.6
Capital increase					0.0		0.0	19.9	19.9
Capital decrease					0.0		0.0		0.0
Share-based payments					0.0		0.0		0.0
Change in scope of consolidation				6.4	6.4	69.0	75.4		75.4
Other transactions				(0.8)	(0.8)	(0.5)	(1.3)		(1.3)
AT 31 MARCH 2014	285.8	169.2	(91.3)	1,105.6	1,469.2	808.1	2,277.4	611.2	2,888.5

(In millions of euros)	ADDITIO NAL PAID-IN CAPITAL	NET INCO ME	OTHER COMPREHE NSIVE INCOME (EXPENSE)	RESER VES	EQUITY ATTR. TO OWNERS OF THE PARENT	NON- CONTROL LING INTEREST S	TOTAL EQUITY	COOPERA TIVE CAPITAL	SHARE CAPITAL AND TOTAL EQUITY
AT 31 MARCH 2014	285.8	169.2	(91.3)	1,105.6	1,469.2	808.1	2,277.4	611.2	2,888.5
Net income for the period		43.2			43.2	(25.9)	17.3		17.3
Gains and losses recognised directly in equity			(55.4)		(55.4)	(115.7)	(171.0)		(171.0)
Comprehensive income (expense)		43.2	(55.4)		(12.2)	(141.5)	(153.8)	0.0	(153.8)
Dividends paid		(12.3)			(12.3)	(17.7)	(30.0)		(30.0)
Net income appropriation		(156.9)		156.9	0.0		0.0		0.0
Commitments to purchase non-controlling interests				(10.4)	(10.4)	5.3	(5.1)		(5.1)
Capital increase					0.0		0.0	8.0	8.0
Capital decrease					0.0		0.0		0.0
Share-based payments					0.0		0.0		0.0
Change in scope of consolidation				6.0	6.0	65.7	71.7		71.7
Other transactions			(0.3)	(0.7)	(1.1)	(0.6)	(1.7)		(1.7)
AT 31 MARCH 2015	285.8	43.2	(147.0)	1,257.4	1,439.2	719.2	2,158.5	619.2	2,777.6

CONSOLIDATED STATEMENT OF CASH FLOWS <i>(In millions of euros)</i>	2015	2014
Net income	17.3	175.8
Adjustments:		
Elimination of fair value adjustments on assets/liabilities held for sale		
Elimination of investments in associates	(19.3)	(25.0)
Elimination of depreciation, amortisation and impairment	343.9	346.2
Elimination of fair value adjustments	(5.3)	(10.5)
Elimination of income from disposals	0.1	2.3
Elimination of dividend income	(0.4)	(0.4)
Other eliminations	(3.0)	(3.0)
Cash flow from operating activities after tax and cost of net debt	333.2	485.4
Elimination of tax expense (benefit)	21.6	26.1
Elimination of cost of net debt	106.4	136.0
Cash flow from operating activities before tax and cost of net debt	461.3	647.5
Impact of change in working capital requirements	7.3	119.3
Taxes paid	(27.9)	(34.7)
Net cash from operating activities	440.6	732.1
Impact of changes in scope of consolidation	(20.1)	(26.0)
Acquisition of property, plant and equipment and intangible assets	(368.7)	(456.8)
Acquisition of financial assets	(11.6)	(11.5)
Change in loans and advances granted	(2.7)	5.1
Investment subsidies received	2.7	5.5
Proceeds from the disposal of property, plant and equipment and intangible assets	7.2	5.6
Proceeds from the disposal of financial assets	5.3	0.1
Dividends received	25.2	25.2
Financing interest received	12.9	16.2
Other cash flows relating to investing activities		
Net cash used in investing activities	(349.9)	(436.7)
Capital increase	88.2	91.6
Bond issues	968.4	595.4
Bond redemptions	(1,041.5)	(640.0)
Change in amounts payable to related parties	(11.8)	(62.1)
Financing interest paid	(127.1)	(144.2)
Dividends paid to owners of the parent	(12.3)	(0.1)
Dividends paid to non-controlling interests	(17.3)	(14.2)
Net cash used in financing activities	(153.4)	(173.7)
Impact of exchange rate variations	(29.5)	(42.8)
Impact of changes in accounting principles	0.0	

CONSOLIDATED STATEMENT OF CASH FLOWS <i>(In millions of euros)</i>	2015	2014
Net change in cash and cash equivalents	(92.2)	78.9
Cash and cash equivalents at beginning of period	439.6	360.7
Cash and cash equivalents at end of period	347.4	439.6
Net change in cash and cash equivalents	(92.2)	78.9
Check	0.0	0.0
Flow not balanced		
Gross changes not analysed		
Total variances to be analysed		

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1 Accounting policies and methods

1.1 Presentation of the annual consolidated financial statements

Tereos is a French Agricultural Cooperative Union (*Union de Coopératives Agricoles*) with capital of €619,165,248, governed by French law and subject to the French Rural Code (*Code rural*).

It has registered offices at 11 rue Pasteur in Origny-Sainte-Benoite (02390), France.

The annual consolidated financial statements reflect the financial position of Tereos UCA and its subsidiaries ("the Group"). They are presented in euros rounded to the nearest million, unless otherwise indicated. The Group's financial year runs from 1 April to 31 March. Any reference to "2015" therefore covers the year ended 31 March 2015.

The Group's 2014/2015 consolidated financial statements have been prepared and are presented in accordance with International Financial Reporting Standards (IFRS), as adopted by the European Union as of the date of preparation of these financial statements.

International accounting standards include IFRS, International Accounting Standards (IAS), and the interpretations issued by the Standing Interpretations Committee (SIC) and the International Financial Reporting Interpretations Committee (IFRIC).

Given the specific nature of cooperative capital, the Group has presented this as a separate item in the statement of financial position (see note 1.5.16).

The accounting methods set out below have been applied consistently to all periods presented in the consolidated financial statements, and uniformly across Group entities.

The following standards, interpretations and amendments came into force during the period:

IFRS or IFRIC	Title	Effective date*
Mandatory standards, interpretations and amendments		
IFRS 10	Consolidated Financial Statements	01/01/2014
IFRS 11	Joint Arrangements	01/01/2014
IFRS 12	Disclosure of Interests in Other Entities	01/01/2014
IAS 27 (Revised)	Separate Financial Statements	01/01/2014
IAS 28 (Revised)	Investments in Associates and Joint Ventures	01/01/2014
Transition Guidance (Amendments to IFRS 10, IFRS 11 and IFRS 12)		01/01/2014
Investment Entities (Amendments to IFRS 10, IFRS 12 and IAS 27)		01/01/2014
Amendments to IAS 32	Offsetting Financial Assets and Financial Liabilities	01/01/2014
Amendments to IAS 39	Novation of Derivatives and Continuation of Hedge Accounting	01/01/2014
Amendments to IAS 36	Recoverable Amount Disclosures for Non-Financial Assets	01/01/2014
Interpretation early adopted		
IFRIC 21	Levies	17/06/2014
Standards, interpretations and amendments not early adopted		
IFRS annual improvements – 2010-2012 cycle		01/02/2015
IFRS annual improvements – 2011-2013 cycle		01/01/2015
Amendments to IAS 19	Defined Benefit Plans: Employee Contributions	01/02/2015
Amendments to IAS 1	Disclosure Initiative	01/01/2016
Standards, interpretations and amendments issued by the IASB but not early-adoptable		
IFRS 9	Financial Instruments	
Amendments to IFRS 9, IFRS 7 and IAS 39 (hedge accounting)		
IFRS 14	Regulatory Deferral Accounts	
IFRS 15	Revenue from Contracts with Customers	
IFRS annual improvements – 2012-2014 cycle		
Amendments to IFRS 11	Accounting for Acquisitions of Interests in Joint Operations	
Amendments to IAS 16 and IAS 38	Clarification of Acceptable Methods of Depreciation and Amortisation	
Amendments to IAS 16 and IAS 41	Agriculture: Bearer Plants	
Amendments to IAS 27	Equity Method in Separate Financial Statements	
Amendments to IFRS 10 and IAS 28	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	
Amendments to IFRS 10, IFRS 12 and IAS 28	Investment Entities: Applying the Consolidation Exception	

* Application mandatory for annual periods beginning on or after the date stated.

The Group early adopted IFRS 10, IFRS 11, IFRS 12 and the revised versions of IAS 27 and IAS 28 during the year ended 31 March 2014.

Application of the amendments to IAS 32, IAS 39 and IAS 36 and the early adoption of IFRIC 21 did not have a material impact on the Group's financial statements at 31 March 2015.

1.2 Measurement basis used for preparing the consolidated financial statements

The consolidated financial statements have been prepared in accordance with the historic cost convention under IFRS, with the exception of certain categories of assets and liabilities. The categories in question are mentioned in the notes below.

1.3 Use of estimates

When preparing the consolidated financial statements, Group management or the consolidated entities may use estimates and apply underlying assumptions that affect the value of assets and liabilities, expenses and income, as well as the disclosures contained in the notes to the consolidated financial statements.

These estimates and underlying assumptions are calculated based on available information and situations at the date the financial statements are prepared and may differ significantly from the actual situation.

In particular, these assumptions concern asset impairment tests, the measurement of biological assets, commitments to employees, deferred taxes, commitments to purchase non-controlling interests, and provisions.

1.4 Consolidation methods

Subsidiaries over which the Group directly or indirectly exercises exclusive control are consolidated according to the full consolidation method.

Under IFRS 10, an investor controls an investee if and only if the investor has all of the following elements:

- power over the investee;
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

When assessing an investor's power over an investee, potential voting rights are taken into account if they are substantive, *i.e.*, if they confer upon the investor the practical ability to direct the relevant activities of the investee on a timely basis.

Companies over which the Group exercises joint control (known as joint ventures) are consolidated using the equity method.

The Group is presumed to exercise significant influence when its percentage interest in an entity is equal to at least 20% of the capital. These entities (known as associates) are consolidated according to the equity method. The net income or loss of these companies for the financial year is posted to the consolidated income statement under continuing operations on a specific line ("Share in net income of associates").

The Group's interest in associates and joint ventures includes goodwill (net of accumulated impairment losses) identified at the time of the acquisition. The Group's post-acquisition share in the net income of associates and joint ventures is recognised in consolidated income and its post-acquisition share in changes in equity (without any impact on income) is recognised directly in equity.

The carrying amount of the interest is adjusted by the total amount of changes after the acquisition. If the Group's share in the losses of an associate or joint venture is greater than or equal to its interest in the associate or joint venture, including any unsecured receivables, the Group does not recognise additional losses, unless it has incurred an obligation or made payments in the name of the associate or joint venture.

Entities in which the Group does not exercise a significant influence are measured at fair value and classified as available-for-sale financial assets.

Newly-acquired entities are consolidated as at the effective date control is transferred to the Group, according to the acquisition (purchase) method described in IFRS 3 (Revised).

Income and expenses of subsidiaries acquired or sold during the year are posted to the consolidated income statement through to their acquisition date or date of sale.

In accordance with the Group's accounting policies, Group companies that do not have a 31 March year-end are consolidated based on a reporting package drawn up as at that date.

The Group's consolidated financial statements are prepared based on the financial statements of the consolidated entities. The entities' accounts are prepared according to accounting rules in force in their respective countries and restated to bring them into compliance with IFRS.

All material intragroup transactions and balances with consolidated companies are eliminated.

Note 9 presents a list of consolidated companies at 31 March 2015.

1.5 Other significant accounting rules and policies

1.5.1 Translation of the financial statements of entities denominated in a foreign currency

Group entities outside the Euro zone use their domestic currency as their functional currency, and translate their financial statements to the Group's presentation currency (the euro) based on:

- the exchange rate at the transaction date for income and expenses in the income statement;
- the exchange rate prevailing at 31 March for assets and liabilities in the statement of financial position.

The resulting translation differences are recognised in other comprehensive income. The Group's share is recognised in the translation reserve until the investments to which it corresponds are sold or liquidated. Any foreign exchange gains and losses are then recognised in income. The share attributable to third parties is recognised in "Non-controlling interests."

The average and closing exchange rates used in preparing the financial statements are the following:

Foreign currency/euro			Average rate		Closing rate	
			2015	2014	31 March 2015	31 March 2014
Brazil	Real	BRL	3.1192	3.0175	3.4958	3.1169
Czech Republic	Czech koruna	CZK	27.5812	26.4471	27.5330	27.4420
UK	Pound sterling	GBP	0.7855	0.8434	0.7273	0.8282
USA	US dollar	USD	1.2687	1.3404	1.0759	1.3788
Hong Kong	Hong Kong dollar	HKD	9.8375	10.3980	8.3422	10.6973
People's Republic of China	Yuan	CNY	7.8592	8.1998	6.6710	8.5754
Bosnia	Convertible mark	BAM	1.9558	1.9558	1.9558	1.9558
Romania	Romanian leu	RON	4.4322	4.4353	4.4098	4.4592
Mozambique	Mozambican metical	MZN	40.4716	40.6676	39.0066	43.2361
Indonesia	Indonesian rupiah	IDR	15,313.86		14,053.7800	

1.5.2 Transactions in foreign currencies

On initial recognition, transactions denominated in foreign currencies are translated into the subsidiary's functional currency at the exchange rate on the transaction date.

At the reporting date, monetary items denominated in foreign currency (receivables, cash and debt) are measured at the closing exchange rate, or at the hedging rate, as applicable; foreign exchange differences resulting from this translation are posted to income under:

- recurring operating income and expenses for commercial transactions;
- financial income and expenses for cash transactions.

The Group grants long-term advances to foreign subsidiaries that may be qualified as net investments in a foreign operation in accordance with IAS 21. Any foreign exchange gains and losses arising on the translation of these receivables and debt at the closing exchange rate are recognised in other comprehensive income in accordance with IAS 21.

1.5.3 Assets held for sale and associated liabilities

Assets and liabilities immediately available for sale and for which a sale is highly likely are classified under assets and liabilities held for sale. When several assets are intended to be sold during a single transaction, the group of assets is considered as a whole, as are the associated liabilities.

A sale is deemed highly likely when a plan for the sale of the asset or group of assets held for sale has been committed to by an appropriate level of management and steps have been taken to find a buyer.

Assets and liabilities held for sale are classified, respectively, on two lines of the consolidated statement of financial position, “Non-current assets held for sale” and “Liabilities associated with assets held for sale”. They are measured at the lower of their carrying amount and fair value less costs to sell and impaired if necessary.

1.5.4 Goodwill

Goodwill represents the excess of the cost of a business combination over the Group’s interest in the net fair value of the entity’s identifiable assets, liabilities and contingent liabilities on the acquisition date, after taking into consideration any deferred taxes. Any negative variance between the acquisition cost and the fair value of the identifiable assets, liabilities, and contingent liabilities acquired is recognised in income during the year of the acquisition.

Pursuant to IFRS 3 (Revised) and IAS 36, goodwill is not amortised but is subject to annual impairment tests, as well as one-off tests in the event of an unfavourable change in certain indicators (see note 1.5.7, Impairment of assets).

Goodwill for entities controlled by the Group is recognised in the consolidated statement of financial position under “Goodwill”. Goodwill for entities consolidated according to the equity method is presented under “Investments in associates”.

1.5.5 Intangible assets

Intangible assets include:

- patents acquired;
- recognised brands acquired that are distinguishable from other brands, whose value can be tracked over time;
- computer software;
- quotas received, acquired and transferable on an active market;
- development expenses meeting certain criteria.

Acquired patents and computer software carried at acquisition cost are amortised over their useful life. Software is amortised over a period of 1 to 5 years.

Brands with indefinite useful lives are not amortised and are subject to annual impairment tests (see note 1.5.7, Impairment of assets).

Within the context of the Group’s activities, pursuant to IAS 38 (Intangible Assets), research and development expenses are expensed in the year incurred, with the exception of certain development expenses that meet the capitalisation criteria set out in the standard.

1.5.6 Property, plant and equipment

Property, plant and equipment are measured at cost (purchase price plus incidental costs needed to place the assets in service) or at production cost, with the exception of fixed assets resulting from the allocation of goodwill as part of a business combination.

When certain components of property, plant or equipment have different useful lives, the component approach is applied and these components are recognised and depreciated separately in the financial statements.

Expenses corresponding to the replacement or renovation of a fixed-asset component are recognised as a separate asset, and the asset replaced is eliminated.

Pursuant to IAS 23 (Borrowing Costs), interest on loans used to purchase property, plant and equipment of a material individual amount and with a significant construction life are recognised as an increase in the asset's acquisition cost.

Depreciation is calculated on a straight-line basis over the useful life of each asset, which is based on the various production processes (sugar, alcohol, starch products):

Industrial installations	20-40 years
Technical installations, equipment and industrial tools (France, Czech Republic)	15-40 years
Technical installations, equipment and industrial tools (Brazil, Mozambique)	10-15 years
Fixtures and improvements to buildings	10-20 years
Office equipment	5 years
Vehicles	5 years

1.5.7 Impairment of assets

Depreciable assets are subject to an impairment test whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

Goodwill and intangible assets that have an indefinite useful life are subject to an impairment test, in accordance with the provisions of IAS 36 (Impairment of Assets) at least once a year, or more frequently if there are indications that they may be impaired. Impairment tests are carried out during the fourth quarter.

For impairment testing purposes, goodwill is allocated to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combinations in which the goodwill was acquired.

To measure impairment, assets are combined into CGUs. These CGUs correspond to uniform groups of assets generating cash flows that are clearly independent of those generated by other CGUs.

An impairment test consists of comparing the carrying amount of an asset to its recoverable value, which is the higher of fair value less costs to sell and value in use.

Value in use is obtained by adding the discounted after-tax values of the cash flows expected from use of the asset (or group of assets) and the terminal value.

Cash flows used as the basis for calculating value in use are taken from the medium-term forecasts for the CGU. The assumptions used for growth in total revenue and terminal cash flows are considered reasonable and consistent with the market data available for each CGU.

Fair value less costs to sell corresponds to the amount that might be obtained from the sale of an asset (or group of assets) in an arm's length transaction, less costs directly related to the sale.

If recoverable value is less than the carrying amount of the asset (or group of assets), an impairment loss is recognised in income for the difference and allocated first to goodwill.

Impairment losses recognised against goodwill are irreversible.

1.5.8 Investment subsidies and other public subsidies

Investment subsidies received by the Group are recognised under “Other current liabilities” or “Other non-current liabilities” and taken to income at the same rate as the depreciation of the fixed assets in respect of which they were granted.

When public subsidies are not granted in respect of assets, these subsidies are taken to income on a systematic basis over the relevant periods to match them with the corresponding costs they are intended to offset.

1.5.9 Finance-lease agreements and operating leases

Leasing agreements that have the effect of transferring to the Group virtually all of the risks and rewards of ownership of these assets are considered finance leases.

At the start of the leasing period, the asset is recognised at the lower of the fair value of the leased asset and the present value of minimum future lease payments, and a corresponding debt is posted to liabilities. The discount rate used to calculate the present value of the minimum future lease payments is the interest rate implicit in the lease agreement if this can be measured. Otherwise the Group’s marginal borrowing rate is used. The direct costs initially incurred are added to the amount recognised as an asset.

Items of property, plant and equipment recognised in this way are depreciated on a straight line basis over the asset’s estimated useful life, measured according to the same criteria as those used for fixed assets owned by the Group, or over the lease term, if shorter.

Leases that do not qualify as finance leases are classified as operating leases. Operating lease expenses are expensed in the period in which they are incurred.

1.5.10 Biological assets

IAS 41 (Agriculture) covers the accounting treatment of activities involving biological assets for sale (such as sugarcane plants) or agricultural products (at harvest time). These biological assets and the related agricultural products must be recognised at fair value less estimated expenses at the point of sale. The methodology adopted by the Group to satisfy this measurement rule is the following:

- o sugarcane roots, which produce several harvests, are measured at fair value according to the replacement cost method and recognised under non-current assets;
- o standing cane during the growing season is measured at fair value according to the discounted future cash flow method and recognised under non-current assets.

Changes in fair value are recognised in income.

The land on which biological assets are planted is measured in accordance with IAS 16 (Property, Plant and Equipment).

1.5.11 Recognition of emission quotas

As part of the deployment of phase III of the European greenhouse gas emissions trading scheme (2013-2020), which will see a gradual reduction in the quotas assigned and a significant increase in quota auctioning levels, and in the absence of any accounting guidance from the European regulator regarding these quotas, the Group’s CO₂ emission quota accounting remains unchanged from prior periods. Accordingly:

- o emission quotas received free of charge under national allocation plans are recognised in intangible assets at their market value on the date of allocation, and offset by a non financial liability for the same amount;

- o purchases of emission quotas on the market are recognised in intangible assets according to the same criteria as for any acquisition of separate assets, and an impairment loss is recognised if their carrying amount becomes higher than their market value;
- o a provision is recognised if actual emissions exceed quotas held (allocated or purchased).

1.5.12 Inventories and work-in-progress

Inventories are valued at the lower of cost or net realisable value. Cost price is calculated according to the “weighted average cost” method or the “first in, first out” method, depending on the product.

The gross value of supplies corresponds to purchase price plus additional expenses (transportation, commissions, transit, etc.).

Manufactured products are valued at production cost, including the cost of materials consumed, depreciation of production inputs, and direct or indirect production expenses, excluding financial expenses.

An impairment loss is recognised on inventories when:

- o the gross amount calculated as defined above exceeds the market value or realisable value;
- o products have been subject to significant deterioration.

1.5.13 Financial assets

Financial assets include the following accounting categories: available for sale, held to maturity, loans and receivables, assets measured at fair value through income, and derivative financial assets.

At the acquisition date, the Group classifies financial assets into one of the above accounting categories.

Upon initial recognition, financial assets are measured at fair value, net of transaction costs. For assets measured at fair value through income, transaction costs are recognised directly in income.

■ Financial assets available for sale

This category primarily includes non-consolidated equity instruments and marketable securities that do not meet the other definitions of financial assets.

Financial assets available for sale are recognised at fair value at the reporting date if measurable, and otherwise at cost.

For listed securities, fair value corresponds to the trading price at the end of the relevant period.

For non-listed securities, for which fair value generally cannot be measured reliably, securities are recognised at cost less any impairment losses, generally calculated in relation to the proportion of equity held.

Unrealised capital gains and losses on available-for-sale financial assets measured at fair value are recognised in other comprehensive income until the assets are sold, with the exception of impairment losses, which are posted to income directly.

■ Financial assets held to maturity

These mostly consist of financial assets with fixed or determinable payments and fixed maturities, other than loans and receivables. They are acquired with a view to being held until maturity and the Group has the ability to hold them until that date.

After initial recognition at fair value, they are remeasured at amortised cost according to the effective interest rate method.

Financial assets held to maturity are monitored for indicators of impairment. A financial asset is impaired if its carrying amount exceeds its estimated recoverable value measured during impairment tests. The impairment loss is recognised in income.

Gains and losses on assets held to maturity correspond to interest income and impairment losses.

■ **Loans and receivables**

This category includes trade loans and receivables (customers and other debtors) and bank current accounts.

These instruments are initially measured at fair value and then remeasured at amortised cost using the effective interest rate method. Receivables less than one year old are recognised at face value.

An impairment loss is booked in income if their carrying amount exceeds their recoverable value and there is objective evidence of impairment.

The Group factors some of its receivables. In accordance with IAS 39, the Group derecognises receivables when the contractual right to receive the related cash flows has been transferred, as well as substantially all the risks and rewards of ownership.

Dilution risk is excluded from the analysis of the transfer of risk to the extent that it is defined and circumscribed, especially where it is correctly distinguished from late-payment risk.

Receivables sold with recourse in the event of non-payment are not derecognised. Costs to sell receivables are expensed in operating items.

■ **Financial assets at fair value through income**

This category includes:

- assets held for trading that the Group intends to sell in the near future;
- assets designated at fair value upon initial recognition.

These assets are measured at fair value and any changes in fair value are recognised in income.

■ **Derivative financial assets**

Accounting rules and policies for derivative instruments are presented in note 1.5.19, Financial liabilities.

1.5.14 Cash and cash equivalents

Although they constitute financial assets within the meaning of IAS 39, cash and cash equivalents are presented separately on the statement of financial position.

Cash and cash equivalents include cash in bank current accounts, term deposits convertible in the very short term (less than three months) for which there is no material risk of loss of value in the event of a change in interest rates, and investment securities that are by nature highly liquid and subject to a negligible risk of change in value.

1.5.15 Other assets

The Group's other assets are non-financial assets.

1.5.16 Capital

Tereos UCA is a cooperative union, with capital consisting of partnership shares subscribed in line with the activity of its cooperative members during a commitment period.

The Articles of Association stipulate the rules applicable to the management of these partnership shares: shares are subscribed in accordance with the level of activity of the cooperative members over a 25-year commitment period, automatically renewable for 5-year periods.

This capital may vary based on a procedure that is subject to the approval of the Board of Directors or the general shareholders' meeting, as applicable. It may not be reduced below a minimum equal to three-quarters of the highest capital balance stipulated at a general shareholders' meeting. Moreover, a share redemption reserve must be established for any downward change, during the appropriation of income, in order to cover any reduction in shareholders' equity.

IAS 32 establishes the principles for classifying financial instruments as financial liabilities or as equity. Specifically, puttable instruments, redeemable at the option of the holder, which entitle the latter to request redemption from the issuer in exchange for a cash amount or other financial instrument, are classified as debt instruments under IAS 32.

IFRIC 2 contains a certain number of guidelines and examples of the accounting treatment of the partnership shares of cooperatives.

Given the specific nature of an agricultural cooperative, the sugar sector and the operation of the Tereos UCA cooperative union, the Group believes the following specific characteristics should be taken into account in classifying partnership shares:

- an extremely capital-intensive activity requiring a significant long-term commitment by cooperative members;
- rules governing the European sugar sector requiring structured management of sugar production and sugarbeet delivery rights, and limiting changes in capital;
- articles of association that contain a procedure governing the redemption of capital;
- management suitable for the specific case of a five-member cooperative union;
- a historically low level of capital redemption.

Given these factors, as well as the very specific nature of the partnership shares, the Group has presented cooperative capital as a separate item in the statement of financial position.

The "Cooperative capital and total equity" sub-total is presented in the statement of financial position in accordance with IAS 1, to facilitate understanding of the Group's financial structure. This line item highlights the capital invested by the Group's cooperative shareholders.

1.5.17 Provisions for pensions and other post-employment benefits

1) Defined contribution plans

The Group expenses payments into defined contribution plans as incurred (in payroll expenses).

2) Defined benefit plans

Estimates of the Group's obligations under defined benefit pension plans and other long-term benefits, such as long-service awards, are calculated annually in accordance with Revised IAS 19 (Employee Benefits), using the projected unit credit method. This method takes into account the likely duration of the employee's future service, the level of future compensation, life expectancy and personnel turnover, based on actuarial assumptions.

The obligation is discounted to present value by using an appropriate discount rate for each country where the commitments are located.

If benefits are funded externally, plan assets held by these outside funds are measured at fair value at the reporting date. Interest generated on plan assets is now calculated using the same rate as that used to discount obligations under defined benefit pension plans.

Actuarial variances result from changes in actuarial assumptions applied from year to year in measuring commitments and plan assets, as well as from differences in actual market conditions with regard to these assumptions.

Actuarial gains and losses arising on post-employment benefits and on other long-term benefits (essentially long-service awards) are recognised immediately in equity, in other comprehensive income, and in recurring operating income, respectively.

Current service cost – reflecting the increase in the obligation as a result of one additional year of entitlement – is recognised in recurring operating income.

The interest expense on the obligation resulting from the unwinding of the discount, as well as the expected long-term return on plan assets, which is offset against these expenses, is posted to financial income and expense.

The effect of plan amendments on the Group's obligations is recognised in income in the year in which the amendment occurs and may no longer be deferred over the residual vesting period.

In the event of a surplus of plan assets over plan liabilities, the Group applies rules to restrict the gain that may be recognised as defined in paragraph 58b of Revised IAS 19.

1.5.18 Other provisions

A provision is recognised when there is an obligation (legal or constructive) to a third party, provided that it may be estimated reliably and is likely to result in an outflow of resources with no at-least-equivalent consideration expected in return.

If the amount or timing cannot be estimated with sufficient reliability, then it is a contingent liability that constitutes an off-balance sheet commitment.

If the related obligation is expected to arise in the long term, the provision is discounted to take account of the market's current assessment of the time value of money and the specific risks related to measuring the liability.

The effect of this discounting is posted to financial expenses.

In the case of a restructuring, an obligation exists when a detailed formal plan has been announced or when implementation of a restructuring plan has already begun.

1.5.19 Financial liabilities

This category includes:

- financial liabilities at amortised cost;
- financial liabilities designated at fair value upon initial recognition;
- derivative financial liabilities;
- commitments to purchase non-controlling interests.

■ Measurement and recognition of financial liabilities at amortised cost

With the exception of financial liabilities at fair value and derivatives comprising liabilities measured and recognised at fair value, borrowings and other financial liabilities are measured and recognised initially at fair value and then at amortised cost, calculated according to the effective interest rate method.

■ **Measurement and recognition of financial liabilities designated at fair value upon initial recognition**

When a financial liability is eligible to be recognised at fair value in its entirety – as in the case of a liability with an embedded derivative – the Group recognises the liability at fair value and changes in fair value are recognised in financial income and expenses.

■ **Measurement and recognition of derivative instruments**

Derivative instruments are measured at fair value in the statement of financial position. Changes in fair value are recognised with a matching entry in income or other comprehensive income.

The Group uses derivative financial instruments to hedge its exposure (resulting from its operating and financial activities) to changes in interest rates, exchange rates, selling prices of certain finished products and purchase prices of energy and commodities. Certain instruments are recognised as instruments held for trading.

Derivative instruments may be designated as hedging instruments based on three types of hedging relationship: fair value hedge, cash flow hedge, or hedge of a net investment in a foreign operation.

The Group has set up cash flow hedges to protect itself against changes in interest rates and exchange rates, selling prices of certain finished products and purchase prices of energy and commodities. A cash flow hedge is a hedge against exposure to changes in cash flows that are attributable to the risk of changes in the underlying assets and which would affect income.

For cash flow hedges, the effective portion of changes in the fair value of the hedging instrument is posted directly to other comprehensive income (OCI), while the change in the fair value of the ineffective portion is recognised in income. Amounts recognised as other comprehensive income items are taken to income in the same period in which the hedged item itself affects income.

■ **Embedded derivatives**

Embedded derivatives are recognised at fair value through income.

■ **Commitments to purchase non-controlling interests**

According to IAS 32, put options granted unconditionally to third parties holding non controlling interests in fully consolidated subsidiaries must be considered as a financial liability.

The Group recognises put options granted to third parties holding non-controlling interests under financial liabilities at the fair value of the option, with an offsetting entry to reduce non controlling interests.

Any variance between the fair value of the liability and the relevant non-controlling interests is recognised in equity attributable to owners of the parent.

The liability is estimated in line with the prices or formulas defined in the relevant agreements. When the formulas are based on an income multiple after deducting debt, the amount of the liability relative to the option is estimated according to the income and net debt forecasts for the option exercise period.

Subsequent changes in the fair value of these liabilities, including the effects of discounting, are recognised in equity.

The related share in reserves and income is also reflected in the Group/Non-controlling interests split in the financial statements.

1.5.20 Taxes

The net tax expense shown in the consolidated income statement consists of net taxes due and net deferred taxes.

■ Taxes due

Taxes due are calculated based on taxable income for the year. Taxable income for the year differs from income reported in the consolidated income statement because it excludes income or expenses that are taxable or deductible in other periods, as well as income or expenses that are never taxable or deductible.

Taxes due and not yet paid appear under tax liabilities due. Amounts paid in excess of taxes due are posted to tax assets due. Tax liabilities due are calculated by applying existing or known tax rates at the reporting date.

■ Deferred taxes

Pursuant to IAS 12, deferred taxes result from temporary differences between the carrying amounts of assets and liabilities and their tax base.

In accordance with the balance sheet liability method, they are calculated based on the expected tax rate during the financial year when the asset will be realised or the liability settled, and classified in non-current assets and liabilities. The effects of changes in tax rates from one period to the next are recognised in income in the period in which the change occurred.

Deferred tax assets resulting from temporary differences, tax losses and both tax loss or tax credit carryforwards are limited to the estimated recoverable tax amount. This is measured at the reporting date based on the income outlook for the relevant entities.

Pursuant to IAS 12, deferred tax assets and liabilities are not discounted.

Deferred taxes are recognised as expenses or revenue in income unless generated by items charged directly to equity, in which case the related deferred taxes are also recognised in equity.

1.5.21 Revenue

Revenue generated from the sale of products, goods purchased for resale and other products and services relating to the normal business of the Group's entities, is recognised, net of rebates and commercial benefits granted and sales taxes, when the risks and rewards inherent to ownership have been transferred to the customer, or when the service has been rendered.

1.5.22 Other operating income and expenses

Other operating income and expenses mainly include:

- for the recurring portion, investment subsidies transferred to income for the period, and operating subsidies received;
- for the non-recurring portion, provisions and reversals of provisions for non-current litigation, and impairment losses recognised following asset impairment testing.

2 Significant events during the period and changes in the scope of consolidation

2.1 Acquisition of a corn starch facility in Indonesia in partnership with the FKS Group

On 23 May 2014, the Group took over control of Redwood Indonesia by acquiring 50% of its capital pursuant to a shareholders' agreement entered into with the company's other shareholder, the FKS Group. The acquisition price was €9.1 million (USD 12 million).

The name of Redwood Indonesia was changed during the year and became Tereos FKS Indonesia.

Tereos FKS Indonesia owns a corn starch facility in the province of Cilegon in the north of Indonesia, which can process up to 330,000 tonnes of corn annually and produces native starch, glucose syrups, gluten flour and gluten-based animal feed.

The Group performed a preliminary assessment of the fair value of the identifiable assets acquired and liabilities assumed based on estimates and recognised the corresponding amounts in its financial statements. These provisional amounts may be adjusted during the twelve months following the acquisition date in accordance with Revised IFRS 3. The Group's consolidated net income for 2014/2015 includes Tereos FKS Indonesia's results as from the acquisition date until 31 March 2015.

The fair value of the identifiable assets acquired and liabilities assumed at the acquisition date breaks down as follows:

(In millions of euros)	Fair value of assets acquired and liabilities assumed
Cash and cash equivalents	4
Trade receivables	6
Inventories	9
Non-current financial assets	-
Property, plant and equipment	26
Intangible assets	0
Deferred tax assets	0
Other receivables	5
Total assets	51
Trade payables	27
Tax and social security liabilities	0
Borrowings	11
Other financial liabilities	1
Deferred tax liabilities	0
Provisions	0
Other liabilities	0
Total liabilities	40
Net assets acquired	11
Non-controlling interests	50%
Net assets acquired	5
Goodwill	4
Impact of the acquisition	9
Net cash acquired	4
Cash disbursed for the transaction	9
Net cash used in the transaction	6

In the year ended 31 March 2015, Tereos FKS Indonesia contributed €40 million to consolidated revenue but had a €9 million negative impact on the Group's net income.

2.2 Increase in the Group's stake in Syral Haussimont

On 1 April 2014, Tereos Syral acquired 1,050,901 Syral Haussimont shares from Société Coopérative Féculière de Haussimont for a total amount of €5 million. As a result of this transaction Tereos Syral now owns the entire capital of Syral Haussimont.

2.3 Increase in the capital of Guarani

As part of the partnership agreement signed on 30 April 2010 between Tereos Internacional S.A. and Petróleo Brasileiro S.A. ("Petrobras"), on 20 October 2014, Petrobras Biocombustível took up €77 million worth of shares (R\$240 million) issued as part of a capital increase carried out by Guarani.

As a result of this transaction, Tereos Internacional's direct interest in Guarani was reduced to 57.05% from 60.44%, and €27 million was reclassified from equity attributable to owners of the parent to non-controlling interests.

2.4 Tereos shares acquired by Féculerie Coopérative Agricole de Vic-sur-Aisne

On 11 December 2014, Féculerie Coopérative Agricole de Vic-sur-Aisne took up 500,000 shares (for €8 million) issued as part of a capital increase carried out by Tereos UCA.

2.5 Increase in the Group's stake in Syral Halotek

On 3 February 2015, Syral do Brasil Comercio de Amidos acquired, for €6 million (R\$18 million), 491,144 shares in Syral Halotek, representing 32% of the company's capital. As a result of this transaction the Group now owns the entire capital of Syral Halotek.

2.6 Deconsolidation of the "Développement et Aménagement" division

In view of the fact that certain companies included in the consolidated financial statements were non-material, the Group decided to deconsolidate all of the entities making up its "Développement et Aménagement" division in Réunion as from 1 April 2014.

This did not affect consolidated net income for the period.

The shares corresponding to the entities concerned are now recognised in the consolidated financial statements at a value corresponding to the Group's underlying interest in consolidated equity as at 31 March 2014.

3 Notes to the consolidated income statement

3.1 Revenue

Revenue can be broken down as follows:

(In millions of euros)	2015	2014
Sale of goods	4,230.3	4,562.3
Rendering of services	69.9	134.7
Revenue	4,300.2	4,696.9

3.2 Depreciation, amortisation and impairment

Depreciation, amortisation and impairment expense can be broken down as follows:

(In millions of euros)	2015	2014
Amortisation and impairment of intangible assets	(13.1)	(16.2)
Depreciation and impairment of property, plant and equipment	(273.7)	(282.7)
Depreciation of assets on finance leases	(4.2)	(5.3)
Changes related to the harvest	(55.0)	(46.5)
Impairment of inventories	(5.2)	(0.8)
Impairment of receivables	0.4	1.0
Depreciation, amortisation and impairment, and changes related to the harvest	(350.9)	(350.5)

3.3 Payroll expenses

(In millions of euros)	2015	2014
Gross compensation	(388.1)	(382.0)
Current service cost of employee benefits	(4.3)	(4.0)
Compensation-related expenses	(119.2)	(113.5)
Other payroll expenses	(14.1)	(19.1)
SUB-TOTAL	(525.7)	(518.6)
Interest expense on employee benefits	(1.1)	(0.9)
TOTAL	(526.8)	(519.5)

Interest expense on employee benefits is presented under financial expenses in the consolidated income statement.

The headcount of controlled companies at 31 March 2015 and 2014 was as follows:

	2015	2014
Africa	4,917	5,828
Americas	8,915	9,764
Asia	392	397
Europe	4,777	4,780
TOTAL HEADCOUNT	19,001	20,769
<i>Of which, operations sold and assets held for sale</i>	<i>0</i>	<i>0</i>

3.4 Other recurring and non-recurring operating income and expenses – Price complements

(In millions of euros)	2015	2014
Recurring items		
Investment subsidies transferred to income for the period	3.1	3.2
Operating subsidies	1.4	1.8
Gain in fair value of derivatives	0.1	0.0
Loss in fair value of derivatives	0.0	0.0
Income from sale of CO ₂ quotas	14.9	19.4
Carrying amount of CO ₂ quotas used/surrendered	(16.0)	(19.6)
Other recurring income	87.6	101.2
Other recurring expenses	(20.7)	(11.3)
OTHER RECURRING OPERATING INCOME AND EXPENSES	70.6	94.8
Non-recurring items		
Litigation		
Impairment tests		(2.6)
Restructuring costs	0.1	(1.8)
Sale of assets	(0.3)	(1.9)
Transfer to income of negative goodwill		0.0
Other non-recurring income	1.8	0.7
Other non-recurring expenses	(3.5)	(4.0)
OTHER NON-RECURRING OPERATING INCOME AND EXPENSES	(1.9)	(9.6)

Other recurring income for the 2015 financial year mainly includes:

- conventional indemnities (€67.6 million versus €68.0 million in the previous financial year);
- transfers of operating expenses (€4.3 million versus €14.0 million in the previous financial year);
- research tax credits (€4.3 million versus €2.6 million in the previous financial year);
- sundry other revenue (€12.1 million).

Other recurring expenses include:

- administrative costs and sundry other expenses (€18.0 million versus €9.0 million in the previous financial year);
- production taxes (€2.7 million versus €2.3 million in the previous financial year).

The impairment expense recorded in the 2014 financial year relates to a one-off write-down taken on an intangible asset.

Price complements

In view of the specific way in which an agricultural cooperative operates, the Group presents price complements paid to its members in relation to commodities separately in its income statement. In 2014/2015, there was a positive difference of €38.1 million related to the difference between the amount of price complements recognised in the form of a provision at 31 March 2014 for the 2013 campaign, the amount finally paid out in 2014/2015 for the 2013 campaign, and the provision for the 2014 campaign recognised in 2014/2015.

3.5 Net financial expense

(In millions of euros)	2015	2014
Interest expense	(108.9)	(131.5)
Negative fair value adjustment to financial assets and liabilities	(7.5)	(9.5)
Loss in fair value of derivative instruments	(1.6)	(0.2)
Expenses on derivatives classified as cash flow hedges	(1.7)	(1.8)
Foreign exchange losses	(154.3)	(111.0)
Interest expense on employee benefits	(1.1)	(0.9)
Other financial expenses	(5.8)	(9.1)
FINANCIAL EXPENSES	(280.9)	(264.0)
Interest income	0.8	3.2
Dividends received	0.4	0.4
Positive fair value adjustment on financial assets and liabilities	3.4	3.1
Gain in fair value of derivative instruments	4.9	11.9
Foreign exchange gains	147.8	94.7
Other financial income	12.9	16.0
FINANCIAL INCOME	170.2	129.3
NET FINANCIAL EXPENSE	(110.7)	(134.7)
<i>OF WHICH: NET INTEREST INCOME (EXPENSE)</i>	<i>(108.1)</i>	<i>(128.3)</i>
<i>OF WHICH: FOREIGN EXCHANGE GAINS AND LOSSES</i>	<i>(6.6)</i>	<i>(16.3)</i>

3.6 Gains and losses on financial instruments

(In millions of euros)	Gains/losses	
	2015	2014
Financial assets	0.0	0.0
<i>Financial assets held for trading</i>	0.0	0.0
<i>Financial assets at fair value</i>	0.0	0.0
Financial liabilities	(7.5)	(9.5)
<i>Adj. to interest expense related to financial liabilities</i>	(7.2)	(9.4)
<i>Financial liabilities at fair value</i>	(0.4)	(0.1)
Derivative instruments ineligible for hedge accounting	1.1	10.6
<i>Operating</i>	0.1	0.0
<i>Financial</i>	0.9	10.7
Ineffective portion of cash flow hedges	2.4	1.0
<i>Operating</i>	0.1	0.0
<i>Financial</i>	2.3	1.0
Total	(4.0)	2.1

3.7 Taxes

The breakdown of tax expense by both source and nature is as follows:

- By source:

(In millions of euros)	2015	2014
Carry-back	0.0	2.5
Current taxes	(15.3)	(30.2)
French companies	(9.9)	(15.0)
Foreign companies	(5.4)	(15.1)
Deferred taxes	(6.3)	1.5
French companies	(3.0)	(1.1)
Foreign companies	(3.3)	2.6
Total tax expense	(21.6)	(26.1)

- By nature:

(In millions of euros)	2015	2014
Carry-back	0.0	2.5
Current taxes	(15.3)	(30.2)
Current tax for the period	(15.3)	(30.2)
Other		
Deferred taxes	(6.3)	1.5
Deferred taxes included in the separate company accounts	1.5	4.6
Deferred taxes on tax reassessments and harmonisation	(5.9)	(0.2)
Deferred taxes on temporary differences	0.4	(0.7)
Recognition of tax loss carryforwards	(1.4)	0.0
Other	(0.9)	(2.0)
Total tax expense	(21.6)	(26.1)

The special tax status of the Group's parent company (*Union de Coopératives Agricoles à capital variable*) limits taxation to transactions with non-member third parties. Thus, the nominal tax rate of the Group's parent company is not representative of the tax expense borne by the parent company.

The status of deferred tax items carried in the statement of financial position is as follows:

2015 (in millions of euros)	Opening balance	Income for the period	Change in fair value through income and reserves	Currency translation adjustments	Change in scope of consolidation	Other	Closing balance
DT included in the separate company accounts	78.6	2.5	63.5	(13.4)	0.3	(18.4)	113.1
DT on temporary differences	13.6	(0.2)		0.0		(0.6)	12.8
DT on tax reassessments and harmonisation	(35.0)	(2.2)	(0.2)	0.0	1.2	(0.2)	(36.4)
DT on elimination of internal income	6.4	(0.3)			(0.7)	(0.2)	5.3
DT on 100% valuation variance	(0.5)	0.1			0.0	0.0	(0.5)
Recognition of tax loss carryforwards	71.9	(1.8)		0.0	0.0	0.0	70.1
DT on other IFRS adjustments	2.5	(0.7)	1.1	0.0		0.0	2.9
DEFERRED TAX ASSETS	137.6	(2.6)	64.5	(13.4)	0.8	(19.4)	167.4
DT included in the separate company accounts	9.2	1.0		0.0		0.0	10.1
DT on temporary differences	(0.7)	(0.5)		0.0	0.1	(0.6)	(1.7)
DT on tax reassessments and harmonisation	9.4	3.7	(0.3)	0.0	(0.3)	(0.2)	12.2
DT on elimination of internal income	(0.2)	0.0		0.0	0.0	(0.2)	(0.4)
DT on 100% valuation variance	6.5	(0.1)			(2.4)	0.0	4.1
Recognition of tax loss carryforwards	0.3	(0.5)	0.3			0.2	0.3
DT on other IFRS adjustments	0.9	0.1	(0.4)	0.0	(0.1)	0.5	0.9
Other adjustments	(2.2)			0.0		2.2	0.0
DEFERRED TAX LIABILITIES	23.1	3.7	(0.5)	0.0	(2.6)	1.9	25.6
NET DEFERRED TAX ASSET (LIABILITY)	114.5	(6.3)	64.9	(13.4)	3.5	(21.3)	141.8

2014 (in millions of euros)	Opening balance	Income for the period	Change in fair value through income and reserves	Currency translation adjustments	Change in scope of consolidation	Other	Closing balance
DT included in the separate company accounts	124.6	4.4	19.5	(20.4)		(49.5)	78.6
DT on temporary differences	14.1	(0.9)		0.0		0.3	13.6
DT on tax reassessments and harmonisation	(33.7)	0.4		0.0	0.1	(1.8)	(35.0)
DT on elimination of internal income	6.2	(0.3)		0.0	0.0	0.5	6.4
DT on 100% valuation variance	0.1	0.0				(0.5)	(0.5)
Recognition of tax loss carryforwards	71.7	0.7				(0.4)	71.9
DT on other IFRS adjustments	8.4	(1.0)	(0.8)	0.0		(4.1)	2.5
DEFERRED TAX ASSETS	191.4	3.3	18.6	(20.4)	0.1	(55.5)	137.6
DT included in the separate company accounts	51.8	(0.1)		(6.5)		(35.9)	9.2
DT on temporary differences	(0.9)	(0.2)		0.0		0.3	(0.7)
DT on tax reassessments and harmonisation	9.7	0.6	1.2	(0.3)	0.0	(1.8)	9.4
DT on elimination of internal income	(0.7)	0.0		0.0	0.0	0.5	(0.2)
DT on 100% valuation variance	7.1	(0.1)				(0.5)	6.5
Recognition of tax loss carryforwards	0.1	0.7				(0.5)	0.3
DT on other IFRS adjustments	(0.6)	0.0	2.5	0.0		(1.0)	0.9
Other adjustments	(2.3)	0.8		0.0		(0.8)	(2.2)
DEFERRED TAX LIABILITIES	64.2	1.8	3.7	(6.8)	0.0	(39.7)	23.1
NET DEFERRED TAX ASSET (LIABILITY)	127.3	1.5	15.0	(13.6)	0.1	(15.7)	114.5

Temporary differences for non-recognition of deferred taxation mainly relate to unrecognised tax loss carryforwards in an amount of €259.8 million.

3.8 Discontinued operations and assets held for sale

No income or loss from discontinued operations or assets held for sale was recorded in the period.

3.9 Other comprehensive income

Other comprehensive income items relate to cash flow hedges that the Group uses to hedge its interest rate, foreign exchange, commodity and energy risks, actuarial gains and losses on post-employment benefits, and the impact of changes in foreign exchange translation reserves during the period.

The negative impact on foreign exchange translation reserves directly reflects fluctuations in the Brazilian Real during the period.

The negative impact on the fair value of financial instruments is explained in note 4.16.2.

4 Notes to the consolidated statement of financial position

4.1 Goodwill

Goodwill has been allocated to CGUs. The CGUs are integrated into the Group's business segments. Movements in goodwill during the years ended 31 March 2015 and 2014 were as follows:

(In millions of euros)	2015	2014
GOODWILL AT BEGINNING OF PERIOD	1,150.0	1,200.6
Acquisitions	3.6	30.1
Disposals		
Reallocation of provisional goodwill		
Impairment		(2.6)
Non-current assets held for sale and discontinued operations		
Currency translation adjustments	(38.3)	(78.0)
Other		
GOODWILL AT END OF PERIOD	1,115.4	1,150.0

Acquisitions for the period

Acquisitions of goodwill concern the first-time consolidation of Tereos FKS Indonesia.

Goodwill by CGU

The table below shows the allocation of items of goodwill to different CGUs:

(In millions of euros)	2015	2014
Cereals Europe - Alcohol and Ethanol	0.1	0.1
Brazil	302.7	339.0
Mozambique	20.5	20.8
Cereals Europe - Starch products	22.0	22.0
Cereals Brazil - Starch products	12.3	13.8
Cereals Indonesia - Starch products	3.6	
Indian Ocean	2.7	2.7
Tereos France	673.2	673.2
Czech Republic	39.2	39.3
Romania	30.1	30.1
Holding companies	9.0	9.0
TOTAL GOODWILL BY BU	1,115.4	1,150.0

Impairment losses

The method used to test for impairment of goodwill (which is irreversible) is based on the recoverable values of the CGUs. If there are no comparable transactions, the Group calculates the recoverable value of a CGU based on forecast future cash flows, with the exception of the Holding companies CGU whose recoverable value is measured at fair value less costs to sell.

Impairment tests are performed annually at 30 September.

At 30 September 2014, the tests used to calculate the value in use of CGUs were performed using the following assumptions:

- specific forecast period of five years, with the exception of Mozambique and Syral Halotek, for which respective periods of ten and seven years were used to reflect the ramping up of agricultural and industrial performance to full capacity;
- weighted average cost of capital of between 7.0% and 12.2% before tax, which factors in the notions of risk and time based on the profile of the CGU and on country-specific risks;

- annual rate of growth used to calculate the residual values of the CGUs beyond the explicit forecast period of between 2% and 3%, depending on the geographic region.

Impairment losses are recognised within net income from operating activities.

No impairment losses were recognised on the Group's CGUs for the year ended 31 March 2015.

For CGUs whose recoverable amount is based on value in use, the Group tested the sensitivity of the amounts obtained when calculating said value in use using the two main parameters of the measurement approach:

- the long-term growth rate;
- discount rates applied to cash flows.

The impact on the value of the CGUs of either an increase or decrease in these two parameters in relation to the central value was measured.

A one-point increase or decrease in the discount rate would increase the value in use of all of the CGUs by €1,796 million, or decrease it by €1,230 million, respectively, triggering the recognition of an impairment loss of €62 million in the second case, all else being equal.

A half-point increase or decrease in the growth rate to infinity would increase the value in use of all of the CGUs by €636 million, or decrease it by €528 million, respectively, triggering the recognition of an impairment loss of €23 million in the second case, all else being equal.

4.2 Intangible assets

Movements in intangible assets over the last two financial years can be broken down as follows:

(In millions of euros)	Brands	CO ₂ quotas	Patents, licences	Research and development costs	Business goodwill	Other intangible assets	TOTAL
GROSS AMOUNT AT 31 MARCH 2014	59.2	31.4	50.2	25.4	85.8	41.7	293.7
Acquisitions		11.8	2.5	2.9		0.1	17.3
Business combinations			0.0			0.0	0.0
Disposals		(17.0)	(0.1)			(0.3)	(17.4)
Deconsolidations	(4.0)						(4.0)
Other changes		(0.3)	17.0	0.1	0.0	(12.9)	3.9
Currency translation adjustments		0.0	(0.7)		0.0	0.1	(0.6)
Reclassification to assets held for sale							
GROSS AMOUNT AT 31 MARCH 2015	55.2	25.8	69.0	28.4	85.8	28.8	292.9
AMORTISATION AND IMPAIRMENT							
AT 31 MARCH 2014	(5.7)		(43.4)	(18.3)	(71.0)	(25.1)	(163.7)
Amortisation			(5.6)	(2.8)	(4.6)	(0.1)	(13.1)
Impairment							
Reversal of impairment							
Reversal of impairment and amortisation expense on disposals			0.1				0.1
Business combinations			0.0			0.0	0.0
Deconsolidations							
Other changes			(0.1)		0.0	0.1	0.0
Currency translation adjustments			0.5		0.0	(0.1)	0.4
Reclassification to assets held for sale							
AMORTISATION AND IMPAIRMENT AT 31 MARCH 2015	(5.7)		(48.5)	(21.1)	(75.6)	(25.3)	(176.4)
NET AMOUNTS AT 31 MARCH 2014	53.4	31.4	6.8	7.1	14.7	16.6	130.0
NET AMOUNTS AT 31 MARCH 2015	49.4	25.8	20.4	7.2	10.1	3.5	116.6

(In millions of euros)	Brands	CO ₂ quotas	Patents, licences	Research and development costs	Business goodwill	Other intangible assets	TOTAL
GROSS AMOUNT AT 31 MARCH 2013 (restated)	59.2	37.9	49.5	22.3	86.2	35.3	290.4
Acquisitions		19.7	0.5	3.0		6.8	30.0
Business combinations		0.7	0.0			0.1	0.8
Disposals		(26.8)	0.0				(26.9)
Deconsolidations							
Other changes		0.0	1.2	0.2	0.0	(0.4)	1.0
Currency translation adjustments		(0.1)	(1.0)		(0.4)	(0.1)	(1.6)
Reclassification to assets held for sale							
GROSS AMOUNT AT 31 MARCH 2014	59.2	31.4	50.2	25.4	85.8	41.7	293.7
AMORTISATION AND IMPAIRMENT AT 31 MARCH 2013 (restated)	(5.7)	(0.3)	(40.1)	(15.7)	(61.6)	(25.1)	(148.6)
Amortisation			(4.0)	(2.6)	(9.8)	(0.1)	(16.5)
Impairment							
Reversal of impairment		0.3					0.3
Reversal of impairment and amortisation expense on disposals			0.0				0.0
Business combinations			0.0			(0.1)	(0.1)
Deconsolidations							
Other changes			(0.1)		0.0	0.1	0.0
Currency translation adjustments			0.7		0.3	0.1	1.1
Reclassification to assets held for sale							
AMORTISATION AND IMPAIRMENT AT 31 MARCH 2014	(5.7)		(43.4)	(18.3)	(71.0)	(25.1)	(163.7)
NET AMOUNTS AT 31 MARCH 2013 (restated)	53.4	37.6	9.4	6.5	24.6	10.2	141.8
NET AMOUNTS AT 31 MARCH 2014	53.4	31.4	6.8	7.1	14.7	16.6	130.0

Brands, which have indefinite useful lives, and greenhouse gas emissions quotas, are by their nature not amortised.

The impairment of intangible assets was calculated based on impairment tests conducted on the Group's CGUs as all intangible assets have been allocated to CGUs. This method is described in detail in note 4.1, Goodwill.

Amortisation is recognised in recurring operating income and impairment losses are recognised in net income from operating activities.

4.3 Biological assets

The change in the net amount of biological assets reflects the following items:

(In millions of euros)	2015	2014
NET AMOUNT AT BEGINNING OF PERIOD	250.8	260.7
Change in fair value	7.5	3.6
Increase related to purchases	91.3	111.6
Decrease related to sales	(55.5)	(34.7)
Decrease related to crops	(55.0)	(46.5)
Business combinations	0.0	0.0
Currency translation adjustments	(22.3)	(43.8)
Reclassification	0.0	0.0
Other changes		
NET AMOUNT AT END OF PERIOD	216.9	250.8

of which, non-current assets (plantations and plantation products) 216.9 250.8

of which, current assets (plantation products)

Sugarcane plants to be harvested are as follows:

(HECTARES)	2015	2014
Brazil	113,602	114,001
Mozambique	15,665	15,896
Total	129,267	129,897

4.4 Property, plant and equipment

Movements in property, plant and equipment over the last two financial years can be broken down as follows:

(In millions of euros)	Land	Buildings	Tools, equipment and installations	Furniture, IT equipment and vehicles	Other property, plant and equipment	Non-current assets in progress	TOTAL
GROSS AMOUNT AT 31 MARCH 2014	145.4	898.5	3,433.3	127.2	69.7	175.6	4,849.7
Acquisitions	0.4	7.8	159.0	1.8	24.9	139.2	333.0
Business combinations	0.0	7.5	28.1	0.4	0.0	0.0	36.0
Disposals	(0.3)	(1.2)	(11.6)	(3.3)	(1.9)	0.0	(18.2)
Disposals of assets held for sale							0.0
Deconsolidations	(8.7)	(32.2)	(1.6)	(0.1)	(0.2)	(4.5)	(47.3)
Other changes	3.2	62.6	49.3	8.9	(11.6)	(213.5)	(100.9)
Currency translation adjustments	0.6	(21.7)	(63.9)	(9.8)	(1.2)	(3.0)	(99.0)
Reclassification to assets held for sale							
GROSS AMOUNT AT 31 MARCH 2015	140.7	921.4	3,592.7	125.2	79.8	93.8	4,953.5
DEPRECIATION AND IMPAIRMENT AT 31 MARCH 2014	(28.9)	(362.1)	(2,024.2)	(95.4)	(30.8)	(0.4)	(2,541.8)
Depreciation	(1.2)	(29.4)	(234.0)	(11.1)	(2.7)	0.0	(278.3)
Impairment	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Reversal of impairment	0.0	0.3	0.2	0.1	0.0	0.0	0.5
Reversal of impairment and depreciation expense on disposals	0.0	0.7	8.3	2.9	1.4	0.0	13.3
Reversal on disposals of assets held for sale							0.0
Business combinations	0.0	(1.5)	(8.2)	(0.2)	0.0	0.0	(9.9)
Deconsolidations	0.2	6.5	1.5	0.1	0.2	0.0	8.5
Other changes	0.2	(1.9)	99.2	(1.9)	1.0	0.0	96.7
Currency translation adjustments	(0.3)	4.3	28.5	7.2	(1.7)	0.0	37.9
Reclassification to assets held for sale							0.0
DEPRECIATION AND IMPAIRMENT AT 31 MARCH 2015	(30.1)	(383.1)	(2,128.6)	(98.4)	(32.6)	(0.4)	(2,673.4)
NET AMOUNTS AT 31 MARCH 2014	116.5	536.5	1,409.1	31.8	38.9	175.1	2,307.9
NET AMOUNTS AT 31 MARCH 2015	110.6	538.3	1,464.0	26.8	47.1	93.3	2,280.2

(In millions of euros)	Land	Buildings	Tools, equipment and installations	Furniture, IT equipment and vehicles	Other property, plant and equipment	Non-current assets in progress	TOTAL
GROSS AMOUNT AT 31 MARCH 2013 (restated)	134.8	886.6	3,299.0	137.5	62.8	244.9	4,765.6
Acquisitions	4.9	5.0	163.1	0.6	35.0	175.3	384.0
Business combinations	3.1	3.3	11.5	0.1	(0.1)	0.2	18.0
Disposals	(0.4)	(3.7)	(8.5)	(1.5)	(1.0)	(3.5)	(18.5)
Disposals of assets held for sale							0.0
Deconsolidations	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other changes	5.8	47.6	90.3	7.9	(21.5)	(220.1)	(90.1)
Currency translation adjustments	(2.8)	(40.2)	(122.2)	(17.4)	(5.5)	(21.2)	(209.3)
Reclassification to assets held for sale							
GROSS AMOUNT AT 31 MARCH 2014	145.4	898.5	3,433.3	127.2	69.7	175.6	4,849.7
DEPRECIATION AND IMPAIRMENT AT 31 MARCH 2013 (restated)	(27.5)	(345.5)	(1,927.3)	(96.8)	(33.6)	0.0	(2,430.6)
Depreciation	(1.7)	(28.2)	(248.3)	(11.0)	(2.2)	(0.8)	(292.2)
Impairment	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Reversal of impairment	0.0	1.0	3.1	0.0	0.0	0.3	4.4
Reversal of impairment and depreciation expense on disposals	0.0	2.0	6.3	1.3	1.0	0.0	10.7
Reversal on disposals of assets held for sale							0.0
Business combinations	0.0	(1.2)	(5.3)	0.0	0.1	0.0	(6.5)
Deconsolidations	0.0	0.0	0.0	0.0	0.1	0.0	0.1
Other changes	0.0	1.1	89.7	(0.2)	2.0	0.0	92.6
Currency translation adjustments	0.3	8.7	57.7	11.2	1.7	0.0	79.7
Reclassification to assets held for sale							0.0
DEPRECIATION AND IMPAIRMENT AT 31 MARCH 2014	(28.9)	(362.1)	(2,024.2)	(95.4)	(30.8)	(0.4)	(2,541.8)
NET AMOUNTS AT 31 MARCH 2013 (restated)	107.4	541.2	1,371.7	40.7	29.2	244.9	2,335.0
NET AMOUNTS AT 31 MARCH 2014	116.5	536.5	1,409.1	31.8	38.9	175.1	2,307.9

The main investments in property, plant and equipment during the year ended 31 March 2015 concern (i) capital expenditure to increase production and cogeneration capacity in Brazil, and (ii) maintenance costs at Tereos France (€31.5 million), Tereos TTD (€4.0 million), Syral (€3.8 million) and Tereos Romania (€0.5 million) as well as in Réunion (€15.8 million) and Brazil (€55.4 million).

The impairment losses taken against property, plant and equipment were calculated based on impairment tests conducted on the Group's CGUs as all such assets have been allocated to CGUs.

This method is described in detail in note 4.1, Goodwill.

4.5 Finance leases

The net value of non-current assets held under finance leases amounted to €23.2 million, compared with €31.4 million at the end of the previous financial year. Finance leases mainly concern industrial equipment, tools and machinery.

Finance leases

(In millions of euros)	Minimum future payments		Present value of minimum future payments	
	2015	2014	2015	2014
Less than one year	2.0	3.9	1.9	3.9
More than 1 year and less than 5 years	2.5	4.5	2.2	3.9
More than 5 years	0.0	0.0	0.0	0.0
Total	4.5	8.4	4.1	7.8
Impact of discounting	(0.4)	(0.6)		
Present value of minimum future payments	4.1	7.8		

4.6 Investments in associates and joint ventures

The main associates and joint ventures consolidated at 31 March 2015 were as follows:

(In millions of euros)	Country	Business	% Control	% Interest	Investments in associates and joint ventures	
					2015	2014
Lesaffre	France	Sugar beet production	37.09%	34.46%	26.8	25.0
Refineria de Olmeido	Spain	Sugar refining	50.00%	46.45%	1.7	2.9
Albioma Le Gol	France	Energy production	35.38%	34.81%	35.5	36.5
Sedacol UK	UK	Production of alcohol	50.00%	32.17%	11.7	3.6
Sedacol France	France	Production of alcohol	50.00%	32.17%	7.4	6.9
Sedamyl	Italy	Production and marketing of starch products	50.00%	32.17%	32.8	29.5
Sedamyl Services	Italy	Rendering of services	50.00%	32.17%	31.2	31.0
Dongguan Yihai Kerry Syral Starch technology Co.	China	Production of starch products	49.00%	31.53%	24.5	11.0
Liaoning Yihai Kerry Tereos Starch technology Co.	China	Production of starch products	49.00%	31.53%	17.9	22.1
Vertente	Brazil	Production and marketing of sugar cane, ethanol and energy	50.00%	18.36%	1.1	12.3
Teapar	Brazil	Port logistics	35.00%	12.85%	5.2	6.2
Sucrière des Mascareignes	Mauritius	Production and marketing of sugar cane	40.00%	23.13%	19.9	16.6
Other					10.6	5.5
Total					226.2	208.9

All the entities listed are joint ventures except Lesaffre, Refineria de Olmeido, Albioma Le Gol, Teapar and Sucrière des Mascareignes which are investments in associates.

	Share in net income (expense) of associates and joint ventures	
(In millions of euros)	2015	2014
Lesaffre	2.3	3.9
Refineria de Olmeido	(1.1)	1.9
Albioma Le Gol	3.8	4.9
Sedalcol UK	7.0	3.7
Sedalcol France	5.5	5.0
Sedamyl	5.8	3.6
Dongguan Yihai Kerry Syral Starch technology Co.	(1.4)	(0.5)
Liaoning Yihai Kerry Tereos Starch technology Co.	(4.7)	(3.2)
Vertente	(6.9)	(1.8)
Sucrière des Mascareignes	5.5	5.8
Other	3.6	1.8
Total	19.3	25.0

The list of investments in associates and the corresponding interest and control percentages are provided in note 9, Scope of consolidation.

The principal aggregate financial data for associates is as follows, based on 100% of the equity of the entities in question:

Data relating to the statement of financial position:

	Sedalcol UK		Sedamyl		Vertente		Lesaffre	
(In millions of euros)	2015	2014	2015	2014	2015	2014	2015	2014
Current assets	26,2	26,1	75,5	54,7	24,3	28,4	88,8	94,2
Non-current assets	66,4	56,1	107,0	110,9	125,8	142,4	0,0	0,0
Current liabilities	12,1	9,1	53,4	30,7	54,3	45,5	22,3	32,5
Non-current liabilities	57,1	65,9	10,5	23,0	93,5	100,8	0,4	0,5
Equity	23,3	7,2	118,5	112,0	2,3	24,5	66,1	61,1

	Sucrière des Mascareignes		Sedalcol France		Albioma Le Gol		Refineria de Olmeido	
(In millions of euros)	2015	2014	2015	2014	2015	2014	2015	2014
Current assets	46,6	40,6	16,7	13,7	63,4	70,0	19,0	44,5
Non-current assets	57,5	42,2	6,3	6,8	135,7	132,6	11,7	11,3
Current liabilities	13,8	8,0	7,4	5,6	30,5	32,5	24,1	45,9
Non-current liabilities	40,4	33,2	0,9	1,1	68,3	66,8	3,1	4,2
Equity	49,8	41,6	14,8	13,8	100,3	103,3	3,5	5,7

	Dongguan Yihai Kerry Syral Starch technology Co.		Liaoning Yihai Kerry Tereos Starch technology Co.	
(In millions of euros)	2015	2014	2015	2014
Current assets	16,6	3,3	124,0	96,8
Non-current assets	123,5	51,4	170,9	123,5
Current liabilities	90,2	32,3	288,7	206,6
Non-current liabilities	0,0	0,0	5,2	4,2
Equity	49,9	22,4	1,0	9,6

Data relating to the income statement:

	Sedalcol UK		Sedamyl		Vertente		Lesaffre	
(In millions of euros)	2015	2014	2015	2014	2015	2014	2015	2014
Revenue	69.4	66.4	182.2	203.2	81.0	59.2	78.0	88.8
Net income from operating activities	11.7	9.8	17.9	12.1	0.0	3.7	6.0	10.2
Net financial income (expense)	6.1	0.1	(0.7)	(0.9)	(21.2)	(9.1)	0.0	0.0
Income tax benefit (expense)	(3.8)	(2.5)	(5.7)	(4.0)	7.2	1.8	0.1	0.2
Net income (expense)	14.0	7.4	11.5	7.2	(13.8)	(3.6)	6.1	10.5
Other comprehensive income (expense)	0.0	0.0	0.0	0.0	(7.9)	(1.3)	0.0	0.0
Translation reserve	2.1	0.1	0.0	0.0	(0.3)	(5.9)	0.0	0.0
Total comprehensive income (expense)	16.2	7.6	11.5	7.2	(22.0)	(10.7)	6.1	10.5

	Sucrière des Mascareignes		Sedacol France		Albioma Le Gol		Refineria de Olmeido	
(In millions of euros)	2015	2014	2015	2014	2015	2014	2015	2014
Revenue	57.0	52.4	47.3	57.5	99.4	99.5	53.8	68.3
Net income (expense) from operating activities	28.3	24.6	10.7	10.0	21.5	25.1	(1.7)	8.1
Net financial expense	0.0	(0.1)	(0.0)	(0.0)	(3.3)	(3.0)	(1.6)	(1.6)
Income tax benefit (expense)	(9.8)	(10.0)	0.2	0.0	(7.5)	(8.2)	1.0	(2.8)
Net income (expense)	13.9	14.5	10.9	9.9	10.8	13.9	(2.2)	3.7
Other comprehensive income (expense)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Translation reserve	14.3	(3.6)	0.0	0.0	0.0	0.0	0.0	0.0
Total comprehensive income (expense)	28.1	10.8	10.9	9.9	10.8	13.9	(2.2)	3.7

	Dongguan Yihai Kerry Syrat Starch technology Co.		Liaoning Yihai Kerry Tereos Starch technology Co.	
(In millions of euros)	2015	2014	2015	2014
Revenue	0.0	0.0	229.8	77.6
Net income (expense) from operating activities	(3.1)	(1.1)	0.5	(2.8)
Net financial income (expense)	0.3	0.0	(10.2)	(3.7)
Income tax expense	0.0	0.0	0.0	0.0
Net income (expense)	(2.9)	(1.1)	(9.7)	(6.5)
Other comprehensive income (expense)	0.0	0.0	0.0	0.0
Translation reserve	9.6	(1.5)	1.0	(0.9)
Total comprehensive income (expense)	6.7	(2.6)	(8.6)	(7.5)

4.7 Material non-controlling interests in subsidiaries

Non-controlling interests in subsidiaries are presented in the following tables:

(In millions of euros)	Country	Business	% held by non-controlling interests	Non-controlling interests in equity		Non-controlling interests in net income	
				2015	2014	2015	2014
1/ Guarani and subsidiaries	Brazil and Mozambique	Production and marketing of sugar cane, ethanol and energy	42.95%	278.8	316.3	(16.2)	(7.6)
2/ Tereos international and subsidiaries	Brazil, Mozambique, China and Europe	Production and marketing of sugar cane, alcohol, ethanol, starch products and energy	30.17%	319.8	362.7	(13.5)	3.3
3/ TTD	Czech Republic	Production and marketing of sugar beet, alcohol, ethanol and by-products	35.38%	96.4	96.4	7.3	14.3

1/ Guarani:

In 2010, Tereos Internacional SA and Petrobras-Petróleo Brasileiro SA ("Petrobras") signed an agreement covering the phased investment of R\$1,600 million (adjusted for inflation) by Petrobras Biocombustível in Guarani SA that would ultimately increase Petrobras' ownership interest in Guarani to 45.7%.

In accordance with the terms of this agreement, Petrobras has already invested R\$1,554 million in Guarani since April 2010. The remaining R\$240 million (adjusted for inflation) will be invested in October 2015.

In addition to this agreement, Guarani and its subsidiaries supply hydrated and dehydrated ethanol under a six-year contract.

2/ Tereos Internacional:

Tereos Internacional's non-controlling interests correspond to the company's free float.

3/ Tereos TTD: the minority shareholder Nordzucker owns 35.38% of the company's share capital.

Financial data for the entities concerned are presented before the elimination of intercompany transactions.

(In millions of euros)	Guarani and subsidiaries		Tereos International and subsidiaries		TTD	
	2015	2014	2015	2014	2015	2014
Current assets	563.8	412.0	1,156.7	963.0	141.8	142.8
Non-current assets	1,272.6	1,369.9	2,521.1	2,600.1	204.6	203.7
Current liabilities	384.9	326.3	1,155.2	956.4	95.2	90.1
Non-current liabilities	799.4	656.2	1,158.1	1,070.4	17.4	22.7
Equity	652.1	799.3	1,364.5	1,536.2	233.8	233.7
Equity attributable to owners of the parent	373.3	483.0	740.1	831.6	137.3	137.3
Non-controlling interests - Petrobras	278.8	316.3	278.8	316.3		
Non-controlling interests - TI free float			319.8	362.7		
Non-controlling interests - Nordzucker					96.4	96.4
Non-controlling interests - Other			25.8	25.6		
Total non-controlling interests	278.8	316.3	624.4	704.7	96.4	96.4

(In millions of euros)	Guarani and subsidiaries		Tereos International and subsidiaries		TTD	
	2015	2014	2015	2014	2015	2014
Revenue	777.0	763.1	2,577.5	2,763.7	228.8	258.9
Net income (expense) from operating activities	(10.9)	31.3	11.1	72.9	21.5	42.3
Net financial expense	(18.8)	(50.1)	(75.5)	(71.0)	(0.3)	(0.5)
Income tax benefit (expense)	(2.4)	1.3	(12.3)	(15.6)	(4.0)	(8.1)
Net income (expense)	(36.9)	(18.8)	(62.5)	0.8	17.1	33.7
OCI reserve	(103.5)	(12.2)	(105.6)	10.1	0.0	0.0
Translation reserves	(4.3)	1.6	103.5	(178.5)	(0.1)	(13.9)
Total comprehensive income (expense)	(144.7)	(29.4)	(64.6)	(167.6)	17.1	19.8
Non-controlling interests - Petrobras	(16.2)	(7.6)	(16.2)	(7.6)		
Non-controlling interests - TI free float			(13.5)	3.3		
Non-controlling interests - Nordzucker					7.3	14.3
Non-controlling interests - Other			(1.6)	(2.5)		
Total non-controlling interests	(16.2)	(7.6)	(31.3)	(6.8)	7.3	14.3
Dividends paid to non-controlling interests			9.7	4.4	7.2	6.9

(In millions of euros)	Guarani and subsidiaries		Tereos International and subsidiaries		TTD	
	2015	2014	2015	2014	2015	2014
Net cash from operating activities	142.0	196.1	296.6	375.0	18.3	49.2
Net cash used in investing activities	(146.2)	(192.9)	(226.8)	(290.3)	(15.3)	(31.1)
Net cash from (used in) financing activities	112.6	20.8	117.8	(79.4)	(3.7)	(8.0)
Net change in cash and cash equivalents	79.8	(3.8)	157.8	(36.2)	0.0	10.6

4.8 Inventories

The net inventories balance comprises the following items:

(In millions of euros)	2015	2014
Commodities	126.2	206.7
Supplies	128.6	33.3
Energy stocks	7.7	10.3
Work in progress	162.8	11.7
Inter-campaign fixed costs	0.6	0.6
Finished and semi-finished products	553.0	806.1
Goods purchased for resale	58.4	45.7
Total net inventories	1,037.3	1,114.4

4.9 Current and non-current financial assets

(In millions of euros)	At 31 March 2015				
	Available-for-sale securities	Financial assets held to maturity	Loans and receivables at amortised cost	Financial assets at fair value	Amount in statement of financial position
Available-for-sale securities	47.7				47.7
Non-current derivatives (assets)				0.4	0.4
Other non-current financial assets			113.7	2.1	115.8
Total other non-current assets	0.0	0.0	113.7	2.5	116.2
Trade receivables			395.5		395.5
Current derivatives (assets)				37.9	37.9
Other current financial assets	0.0	0.0	267.3		267.3
Total other current assets	0.0	0.0	267.3	37.9	305.2
Cash and cash equivalents	0.0	0.0		389.2	389.2
Total	47.7	0.0	776.5	429.6	1,253.8

(In millions of euros)	At 31 March 2014				
	Available-for-sale securities	Financial assets held to maturity	Loans and receivables at amortised cost	Financial assets at fair value	Amount in statement of financial position
Available-for-sale securities	22.7				22.7
Non-current derivatives (assets)				0.7	0.7
Other non-current financial assets			130.6	0.1	130.8
Total other non-current assets	0.0	0.0	130.6	0.9	131.5
Trade receivables			449.0		449.0
Current derivatives (assets)				6.1	6.1
Other current financial assets	0.0	0.0	278.2		278.2
Total other current assets	0.0	0.0	278.2	6.1	284.3
Cash and cash equivalents	0.0	233.1		282.5	515.6
Total	22.7	233.1	857.8	289.5	1,403.0

4.9.1 Available-for-sale securities

Available-for-sale securities primarily consist of investments that are not consolidated either because the Group does not exercise significant influence over the companies concerned or because they are not material.

The gross amount totalled €65.6 million at 31 March 2015 and the net amount was €47.7 million.

At 31 March 2014, the gross amount totalled €40.8 million and the net amount was €22.7 million.

The year-on-year change in available-for-sale securities primarily relates to the deconsolidation of the “Développement et Aménagement” division in Réunion.

The provision for impairment mainly concerns:

- securities of Crystalsev held by Guarani (€1.9 million);
- securities of PAI held by Océan Indien Participation (€15.7 million).

4.9.2 Financial assets held to maturity

At 31 March 2014 this item primarily corresponded to Euro money market funds (SICAV) measured at amortised cost.

4.9.3 Loans and receivables at amortised cost

Trade receivables broke down as follows at 31 March 2015 and 2014:

(In millions of euros)	2015	2014
Trade receivables	405.9	460.3
Impairment	(10.3)	(11.3)
Net trade receivables	395.5	449.0

Year-on-year changes in impairment provisions recognised on trade receivables reflect the following events:

(In millions of euros)	2015	2014
AMOUNT AT BEGINNING OF PERIOD	(11.3)	(11.3)
Increases for the period	(0.7)	(1.1)
Reversals for the period	1.4	1.6
Change in scope of consolidation	0.2	(1.0)
Other changes	(0.1)	0.0
Currency translation adjustments	0.2	0.5
AMOUNT AT END OF PERIOD	(10.3)	(11.3)

Under the Group's factoring programme, €96.5 million in trade receivables had been sold and derecognised at 31 March 2015 (€93 million at 31 March 2014).

A total of €7.9 million in receivables had been sold but not derecognised. Where receivables are factored, a financial liability is recognised as a matching entry to the cash consideration received.

(In millions of euros)	31 March 2015			31 March 2014		
	Total sold to financial institutions	Portion sold and not derecognised	Portion sold and derecognised	Total sold to financial institutions	Portion sold and not derecognised	Portion sold and derecognised
Maximum authorised amount to be financed	125			125		
Sold to financial institutions	104.4	7.9	96.5	105.8	12.8	93

4.9.4 Financial assets at fair value

The Group's financial assets measured at fair value include marketable securities, the positive fair values of derivatives and the surplus of employee benefit plan assets (subject to the applicable asset ceiling).

4.9.5 Cash and cash equivalents

The change in the cash balance is explained in the consolidated statement of cash flows which is part of the financial statements.

The reconciliation of cash and cash equivalents in the statement of financial position to the consolidated statement of cash flows is as follows:

(In millions of euros)	2015	2014
Cash/cash equivalents and marketable securities	389.2	515.6
Bank overdraft facilities	(41.9)	(76.0)
Assets held for sale	0.0	0.0
Net cash analysed	347.4	439.6

Marketable securities can be analysed as follows:

(In millions of euros)	2015	2014
Bonds	-	-
Money market funds (SICAV)	159.3	177.9
Certificates of deposit	15.8	15.3
Term accounts or deposits, interest-earning accounts	-	90.8
Total	175.1	284.0

4.10 Other current and non-current assets

This caption comprises the following items:

(In millions of euros)	Current		Non-current	
	2015	2014	2015	2014
Prepaid expenses	13.6	12.9	3.6	5.8
Other	0.2	0.0		
OTHER ASSETS	13.8	12.9	3.6	5.8

4.11 Equity attributable to owners of the parent and cooperative capital

(In millions of euros)	2015	2014
Additional paid-in capital	285.8	285.8
Legal reserve	74.6	61.6
Group consolidation reserve	532.7	499.9
Other reserves and retained earnings (including OCI)*	502.9	452.7
Net income for the period	43.2	169.2
Equity attributable to owners of the parent	1,439.2	1,469.2
Cooperative capital	619.2	611.2
Equity attributable to owners of the parent and cooperative capital	2,058.4	2,080.4

(*): OCI (Other Comprehensive Income) items are presented in the consolidated statement of comprehensive income, pursuant to IAS 1 (Revised).

An analysis of changes in equity attributable to owners of the parent is presented in the consolidated statement of changes in cooperative capital and total equity.

4.12 Equity – Non-controlling interests

■ Breakdown of equity – Non-controlling interests

(In millions of euros)	2015	2014
Consolidation reserves (including OCI)*	745.1	801.6
Net income (loss) for the period	(25.9)	6.5
Total	719.2	808.1

(*): OCI (Other Comprehensive Income) items are presented in the consolidated statement of comprehensive income, pursuant to IAS 1 (Revised).

■ Additional information

The Group has granted a number of put options to non-controlling interests. Further details are provided in note 4.16.6, Commitments to purchase non-controlling interests.

4.13 Cooperative capital

As the parent company of the Group is a French Union of Agricultural Cooperatives governed by the provisions of the Rural Code and the applicable laws, it has variable capital.

Changes in capital during the years ended 31 March 2015 and 2014 were as follows:

(In euros or in units)	2015	2014
Number of shares comprising share capital at beginning of period	38,197,828	36,954,924
Number of shares issued during the period	500,000	1,242,904
Number of shares redeemed during the period		
Number of shares at end of period	38,697,828	38,197,828
Par value of a share	16.00	16.00
Capital at end of period	619,165,248	611,165,248
Number of members at end of period	5	4

A description of cooperative capital is presented in note 1.5.16, Capital.

4.14 Employee benefits

Post-employment benefits and other long-term benefits granted by the Group vary based on the related legal obligations and policy of each subsidiary. They include defined contribution plans and defined benefit plans.

■ Defined contribution plans

For defined contribution plans, the Group's obligations are limited to the payment of periodic contributions to outside organisations which are responsible for the administrative and financial management of the plans. The charges recognised for these plans correspond to the contributions paid during the reference period.

■ Defined benefit plans

Only defined benefit plans create future obligations for the Group. In all, 84% of these obligations result from pension plans and termination indemnities; the rest comprises obligations for other long-term benefits, primarily long-service awards. These obligations are periodically measured on the basis of assumptions that may vary over time.

■ Pre-funding of defined benefit plans

In some cases these obligations are pre-funded by employer and employee contributions paid into outside funds which are separate legal entities whose investments are subject to fluctuations in the financial markets.

The Group uses this type of pre-funding arrangement in two countries: France and Belgium.

The table below shows how assets are allocated in the main pre-funded plans in France and Belgium:

(Percentage)	France		Belgium	
	2015	2014	2015	2014
Stocks	7%	7%	25%	24%
Bonds	84%	84%	54%	52%
Real estate assets	9%	10%	4%	4%
Other	0%	0%	17%	20%
Total	100 %	100 %	100 %	100 %

■ Movements during the period and reconciliation with information presented in the statement of financial position

In the table below, the accounting impacts of defined benefit plans and termination indemnities are reported in “Post-employment plans” and the accounting impacts of the other long-term commitments are detailed in “Long-term plans”.

At 31 March 2015 (In millions of euros)	Post- employment benefits	Plan assets	Other long- term benefits	Net (liability) asset
Net amount at 1 April 2014	67.2	33.3	5.6	39.5
Income statement impact				
Service cost (current and past)	2.6		1.3	3.9
Actuarial losses (gains)			1.1	1.1
Interest expense (income)	2.0	1.0	0.0	1.1
Impact of the asset ceiling		0.4		(0.4)
	4.7	1.4	2.4	5.7
OCI impact				
Actuarial losses (gains)	7.6	3.2		4.4
Other				-
	7.6	3.2	-	4.4
Other				
Contributions paid	(2.9)	(3.4)		0.6
Contributions paid by the Group	-	1.3		(1.3)
Contributions paid by employees	0.1	0.1		-
Settlements				-
Reclassifications	(0.3)			(0.3)
Currency effect on plans denominated in foreign currencies	0.0	-	-	0.0
Change in scope of consolidation	0.4	-	(0.0)	0.4
	(2.7)	(2.0)	(0.0)	(0.7)
Net amount at 31 March 2015	76.9	35.9	8.0	49.0
<i>of which fully or partially funded plans</i>	59.8			
<i>of which unfunded plans</i>	17.0			
Net (liability) asset				49.0

At 31 March 2014 (In millions of euros)	Post- employment benefits	Plan assets	Other long- term benefits	Net (liability) asset
Net amount at 1 April 2013	67.8	34.3	5.5	39.0
Income statement impact				
Service cost (current and past)	0.5	(3.2)	(0.3)	3.4
Actuarial losses (gains)			0.3	0.3
Interest expense (income)	1.9	1.0		0.9
Impact of the asset ceiling		(0.2)		0.2
	2.4	(2.4)	0.0	4.8
OCI impact				
Actuarial losses (gains)	(3.2)	1.3		(4.6)
Other				-
	(3.2)	1.3	-	(4.6)
Other				
Contributions paid				-
Contributions paid by the Group				-
Contributions paid by employees				-
Settlements				-
Reclassifications				-
Currency effect on plans denominated in foreign currencies				-
Change in scope of consolidation	0.2	0.1		0.2
	0.2	0.1	-	0.2
Net amount at 31 March 2014	67.2	33.3	5.6	39.5
<i>of which fully or partially funded plans</i>	<i>54.1</i>			
<i>of which unfunded plans</i>	<i>13.1</i>			
Net (liability) asset				39.5

The Group's net obligation for post-employment plans amounted to €43.0 million at 31 March 2015 versus €33.9 million at 31 March 2014 and can be analysed by country as follows:

(Percentage)	2015	2014
France	97%	94%
Belgium	0%	4%
Italy	1%	1%
Spain	0%	0%
Other	1%	1%
Total	100%	100%

The principal actuarial assumptions used when accounting for the pension plans and termination indemnities are the following:

	France		Belgium		Indonesia	
	2015	2014	2015	2014	2015	2014
Discount rate (%)	1.9%	3.2%	1.9%	3.2%	8.0%	
Rate of return on plan assets (%)	1.9%	3.2%	1.9%	3.2%	8.0%	
Rate of salary increase (%)	2.5%	2.5%	3.5%	3.5%	8.0%	
Retirement age - Managerial staff	65	65	60	60	55	
Retirement age - Non-managerial staff	62	62	60	60	55	

The Group's total obligation for other long-term benefits amounted to €8.0 million at 31 March 2015 (€5.5 million at 31 March 2014) and solely relates to long-service awards in France and Belgium. The same actuarial assumptions as for post-employment benefits were used.

4.15 Other provisions

Provisions have been set aside for the following contingencies:

(In millions of euros)	Current		Non-current	
	2015	2014	2015	2014
Restructuring	0.8	1.1	0.9	0.7
Labour-related risks	0.2	0.4	5.3	6.5
Business-related risks			1.6	1.4
Tax risks		0.3	6.8	6.8
Other	2.3	2.6	6.0	8.1
Total	3.2	4.4	20.7	23.5

Movements in provisions during the years ended 31 March 2015 and 2014 were as follows:

(In millions of euros)	RESTRUCTURING	LABOUR-RELATED RISKS	BUSINESS-RELATED RISKS	TAX RISKS	OTHER	TOTAL
At 31 MARCH 2013 (restated)	2.0	6.6	2.3	6.7	14.9	32.5
Increases for the period	0.3	2.6	0.0	0.1	3.8	6.9
Business combinations	0.0	0.0	0.0	0.3	0.8	1.1
Reversals	(0.5)	(1.2)	(0.9)	0.0	(8.2)	(10.8)
Other movements						0.0
Impact of unwinding discounts						0.0
Currency translation adjustments	0.0	(1.1)	0.0	0.0	(0.7)	(1.8)
Reclassification as liabilities related to discontinued operations or assets held for sale						0.0
AT 31 MARCH 2014	1.8	6.9	1.4	7.1	10.7	27.9
Increases for the period	0.5	4.7	0.2	0.0	2.8	8.3
Business combinations	0.0	0.0	0.0	0.0	0.0	0.0
Reversals	(0.6)	(5.4)	0.0	0.0	(5.3)	(11.3)
Other movements			0.0	(0.3)	0.3	0.0
Impact of unwinding discounts						0.0
Currency translation adjustments	0.0	(0.7)	0.0	0.0	(0.2)	(0.8)
Reclassification as liabilities related to discontinued operations or assets held for sale						0.0
AT 31 MARCH 2015	1.7	5.5	1.6	6.8	8.3	23.9

4.16 Financial liabilities

The various categories of financial liabilities were as follows at 31 March 2015 and 2014:

<i>(In millions of euros)</i>	At 31 March 2015			
	Financial liabilities at amortised cost	Financial liabilities at fair value	Commitments to purchase non-controlling interests	Amount in statement of financial position
Non-current bonds	520.7			520.7
Non-current bank borrowings	860.0	115.9		975.8
Other non-current borrowings	11.2			11.2
Total non-current financial debt	1,391.8	115.9	0.0	1,507.7
Other non-current financial liabilities	112.6		96.7	209.3
Non-current derivatives (liabilities)		0.6		0.6
Total other non-current financial liabilities	112.6	0.6	96.7	209.9
Current bonds	8.3			8.3
Current bank borrowings	770.8	71.1		841.9
Other current borrowings	2.6			2.6
Bank loans and accrued interest	53.5			53.5
Total current financial debt	835.2	71.1	0.0	906.3
Trade payables	527.5			527.5
Other current financial liabilities	333.0			333.0
Current derivatives (liabilities)		44.0		44.0
Total other current financial liabilities	333.0	44.0	0.0	377.0
Total	3,200.2	231.5	96.7	3,528.4

<i>(In millions of euros)</i>	At 31 March 2014			
	Financial liabilities at amortised cost	Financial liabilities at fair value	Commitments to purchase non-controlling interests	Amount in statement of financial position
Non-current bonds	522.7			522.7
Non-current bank borrowings	854.7	33.4		888.1
Other non-current borrowings	12.1			12.1
Total non-current financial debt	1,389.5	33.4	0.0	1,422.9
Other non-current financial liabilities	106.6		91.6	198.2
Non-current derivatives (liabilities)		3.9		3.9
Total other non-current financial liabilities	106.6	3.9	91.6	202.1
Current bonds	506.8			506.8
Current bank borrowings	410.2	32.6		442.8
Other current borrowings	4.2			4.2
Bank loans and accrued interest	99.2			99.2
Total current financial debt	1,020.3	32.6	0.0	1,053.0
Trade payables	669.0			669.0
Other current financial liabilities	313.9			313.9
Current derivatives (liabilities)		16.7		16.7
Total other current financial liabilities	313.9	16.7	0.0	330.5
Total	3,499.3	86.6	91.6	3,677.6

All of the Group's financial liabilities are measured at amortised cost at the reporting date. Amortised cost is determined using the effective interest rate method, with the exception of derivative instruments, some bonds, and commitments to purchase non-controlling interests.

Details of derivative instruments are provided in note 4.16.5.1, Market risk management.

4.16.1 Borrowings

(In millions of euros)	At 31 March 2015				Total
	< 1 year	1 to 5 years	> 5 years	Adjustment*	
Bonds	9.4	25.3	500.0	(5.7)	529.0
Bank borrowings	773.3	792.5	71.6	180.3	1,817.7
Other borrowings	2.6	9.7	1.4		13.8
Accrued interest, short-term bank loans and overdrafts	53.5				53.5
Total	838.8	827.6	573.0	174.6	2,414.0

(In millions of euros)	At 31 March 2014				Total
	< 1 year	1 to 5 years	> 5 years	Adjustment*	
Bonds	507.9	28.4	500.0	(6.8)	1,029.5
Bank borrowings	413.5	757.1	101.8	58.6	1,331.0
Other borrowings	4.2	11.4	0.7		16.2
Accrued interest, short-term bank loans and overdrafts	99.2				99.2
Total	1,024.8	796.9	602.4	51.8	2,475.9

(*): Adjustments represent the restatement of amortised cost (inclusion of service charges for setting up new loans) and fair value adjustments in compliance with IAS 32/39. These are not shown in the above tables because they do not affect cash flows.

The Group uses diversified financing sources, including:

- bonds for Tereos UCA and Tereos Finance Groupe 1;
- pre-export financing for the Brazil Business Unit;
- factoring for Syral Belgium; and
- bank borrowings for Tereos EU, Tereos Internacional, Tereos UCA, and the different Business Units.

4.16.1.1 Bonds

In March 2013, Tereos Finance Groupe 1 issued €500 million worth of bonds redeemable in full at the end of seven years. These bonds bear interest at a fixed rate of 4.25% per annum, payable yearly.

In order to finance the acquisition of Tereos Participations shares held by NECAP, in early January 2010 Tereos issued convertible bonds for an amount of €63.8 million, representing 6,379 bonds, each worth €10,000. These bonds are redeemable on 2 October 2017.

The €500 million worth of high yield bonds issued by Tereos in April 2007 through its subsidiary Tereos Europe, were redeemed on 15 April 2014 in accordance with the terms and conditions set out in the bonds' indenture.

The Tereos Group also has a bond issue programme reserved for employees as part of its employee profit-sharing scheme. The aggregate amount of outstanding bonds under the programme was €24.9 million at 31 March 2015, compared with €23.1 million at 31 March 2014.

At 31 March 2015, bond debt at amortised cost (including convertible bonds before adjustments to amortised cost) totalled €534.7 million, representing 24% of the Group's gross debt.

4.16.1.2 Bank borrowings

The Group's bank borrowings include syndicated loans (Tereos France, Tereos UCA and Tereos EU), pre-export financing (Guarani), bilateral lines of credit (including Tereos Syral, Tereos TTD, Guarani and Tereos Internacional) and financing by bank consortia (including Guarani and CDSS in Mozambique).

a) Entities in the Euro zone

- ***Tereos UCA and Tereos France bank borrowings***

In March 2013, Tereos arranged a €550 million syndicated credit facility, comprising two revolving facilities: a €400 million line which may be drawn down by Tereos France and its marketing subsidiaries and a €150 million line which may be drawn down by Tereos UCA only. The lines of credit are indexed to Euribor and they expire in March 2018.

At 31 March 2015, Tereos France and its marketing subsidiaries had drawn down €285 million under their revolving facility and Tereos UCA's facility was undrawn.

In line with accepted practice, deferred service charges on the revolving lines of credit (€5.1 million) are disclosed in prepaid expenses and not as an adjustment to borrowings.

- ***Tereos EU bank borrowings***

In March 2013, Tereos EU extended and amended its 2010 syndicated credit facility. This transaction was treated as a renegotiation within the meaning of IAS 39. The syndicated facility comprises a term loan of €370 million and a revolving line of credit of €80 million. Both are indexed to Euribor and expire in June 2017.

In October 2014, Tereos EU set up a new €50 million bullet loan with a six-year maturity.

At 31 March 2015, Tereos EU had drawn down the term loan for its full amount (€240.5 million taking into account the repayment instalments already made). The revolving line of credit had not been drawn down. These facilities are intended to cover Tereos EU's own needs and to partially finance its subsidiaries. At 31 March 2015, Tereos BENP and Tereos Syral had drawn down €271 million and €39 million, respectively.

- ***Syral group bank borrowings***

Syral group's net debt at 31 March 2015 was €53.7 million, financed by a number of short- and medium-term credit facilities secured by pledges given on equipment.

On 26 March 2014 Syral Belgium signed an addendum to its factoring agreement allowing it to derecognise a portion of factored receivables. Receivables assigned to the factor but still carried in the books are included in short-term debt.

(see note 4.9.3.).

b) Czech Republic

Tereos TTD solely uses bilateral bank credit lines denominated in Czech koruna, representing the equivalent of €55.8 million at 31 March 2015.

c) Brazil and Mozambique

• **Brazil**

Tereos Internacional has negotiated an €80 million revolving line of credit to cover its short term needs. This line is denominated in euros but may also be drawn down in US dollars. A total of USD 75.2 million (€80.9 million) had been drawn down at 31 March 2015.

The debt of the Brazilian operating entities (Guarani and its subsidiaries) was refinanced in December 2014 for the purpose of extending the maturity of existing debt and, in particular, taking advantage of the natural hedge provided by exports.

These entities refinanced their credit lines in the form of export pre-financing, for a total amount of USD 330 million. This financing is denominated in US dollars and secured by the assignment of export contracts.

The total dollar-denominated financing of these entities represented the equivalent of €797 million at 31 March 2015.

The Group has classified these borrowings as foreign exchange hedges of export contracts. The fair value of the hedges concerned was €187 million at 31 March 2015 and is shown in borrowings under financial liabilities at fair value, with a matching entry to other comprehensive income.

Guarani's total gross debt at 31 March 2015, including refinancing operations carried out during financial year then ended, amounted to €951 million.

• **Mozambique**

A restructured bilateral line of credit for an amount of USD 6 million was set up in February 2014 with Rabobank.

The net debt of the Group's operations in Mozambique was €11.1 million, financed by a banking consortium and drawable in several currencies (Mozambican metical, US dollars and South African rand). These lines of credit expire in July 2015.

4.16.1.3 Other financial liabilities

Other financial liabilities, which include amounts accrued for employee profit-sharing and finance leases, totalled €13.8 million at 31 March 2015.

4.16.1.4 Net debt

<i>(In millions of euros)</i>	2015	2014
Borrowings	2,414.0	2,475.9
Cash/cash equivalents and marketable securities	(389.2)	(515.6)
Total net debt	2,024.7	1,960.4

At 31 March 2015, marketable securities represented €175.1 million and break down as follows:

- €142.7 million invested by the Brazil Business Unit;
- €17.3 million invested by Tereos UCA;
- €5.0 million invested by Tereos Luxembourg;
- €3.2 million invested by the Indian Ocean Business Unit;
- €1.8 million invested by Syral Halotek; and

- the balance split among the other entities.

Cash and cash equivalents totalled €214.1 million at 31 March 2015 and were held as follows:

- €92.6 million by the Brazil Business Unit;
- €62.0 million by the Indian Ocean Business Unit;
- €5.0 million by the Mozambique Business Unit;
- €4.3 million by the Cereals Europe Business Unit;
- €6.4 million by the Tereos France Business Unit;
- €7.5 million by Tereos Asia Investment;
- €13.3 million by Tereos TTD;
- €10.5 million by Tereos Internacional;
- €5.4 million by Tereos UCA; and
- the balance split among the other entities.

4.16.2 Derivative financial instruments

(In millions of euros)	At 31 March 2015				Notional
	Fair value				
	Assets		Liabilities		
	Non-current	Current	Non-current	Current	
Interest rate derivatives	0.3	0.0	0.4	11.1	577.9
Foreign exchange derivatives	0.0	5.4	0.0	29.2	210.5
Commodity derivatives	0.1	32.2	0.2	3.1	299.8
Energy derivatives	0.0	0.3	0.0	0.6	27.6
Total	0.4	37.9	0.6	44.0	1,115.8

(In millions of euros)	At 31 March 2014				Notional
	Fair value				
	Assets		Liabilities		
	Non-current	Current	Non-current	Current	
Interest rate derivatives	0.7	0.1	3.9	13.2	651.4
Foreign exchange derivatives	0.0	2.5	0.0	0.4	129.0
Commodity derivatives	0.0	3.5	0.0	3.0	163.8
Energy derivatives					
Total	0.7	6.1	3.9	16.7	944.3

The tables above summarise all of the Group's financial instruments. Year-on-year changes mainly relate to the energy derivatives set up during 2014/2015.

Derivatives are analysed in note 4.16.5.1, Market risk management.

4.16.3 Fair value

The fair value of financial assets and liabilities is the amount for which they could be exchanged between knowledgeable willing parties other than in a forced sale or liquidation. The following methods and assumptions were used to estimate fair value:

Since cash and cash equivalents, trade receivables and payables and other short-term borrowings mature in the near term, their fair value approximates their carrying amount.

The fair value of fixed- and variable-rate long-term borrowings is based on the estimated present value of the associated future cash flows (principal and interest repayments). A discount rate was calculated for each type of loan based on the benchmark interest rate curve at the reporting date and on the credit spread for the Group as observed in connection with similar transactions carried out in the previous period.

Applying this approach to the Group's debt gives an estimated fair value of €2,459 million at 31 March 2015 for a notional amount excluding amortised cost of €2,414 million.

The fair value of available-for-sale securities (financial assets) is based on quoted prices in an active market, where available. Investments in equity instruments for which there are no quoted prices in an active market and whose fair value cannot be reliably measured are carried at cost, less any impairment losses, generally calculated in relation to the proportion of equity held.

The Group contracts derivative instruments with counterparties and financial institutions with high credit ratings. Derivatives are measured using valuation techniques based on observable market inputs. The instruments concerned are mainly interest rate swaps, forward rate agreements, and commodity options and futures. The present value of the instruments is obtained using techniques for calculating the future exchange rate and interest rate. Actuarial calculations are used for forwards and futures, while pricing models such as Black & Scholes are used to value options.

The Group uses the following fair value hierarchy for financial instruments:

Level 1: non-adjusted quoted prices in an active market for identical assets or liabilities.

Level 2: valuation techniques based on directly or indirectly observable market inputs.

Level 3: valuation techniques based on unobservable market inputs.

(In millions of euros at 31 March 2015)	Notional	Fair value		
		Level 1	Level 2	Level 3
Derivatives classified as cash flow hedges (CFH)	921.8	29.0	(25.4)	-
Plain vanilla interest rate swaps	420.0	-	(1.6)	-
Exchange futures	176.4	-	(23.5)	-
Exchange collars	-	-	-	-
Commodity futures	297.9	29.0	-	-
Energy derivatives	27.6	-	(0.3)	-
Derivatives held for trading	193.9	0.0	(10.0)	-
Plain vanilla interest rate swaps	157.9	-	(9.7)	-
Structured interest rate swaps	-	-	-	-
Exchange futures	34.2	-	(0.3)	-
Exchange collars	-	-	-	-
Commodity futures	1.8	0.0	-	-
Commodity options	-	-	-	-
TOTAL	1,115.8	29.0	(35.3)	-

4.16.4 Other financial liabilities (excluding commitments to purchase non-controlling interests and derivatives)

(In millions of euros)	Current		Non-current	
	2015	2014	2015	2014
Personnel - Compensation owed	112.4	118.1		
Tax liabilities	104.7	93.6	55.8	72.4
Current accounts	53.5	22.4	10.6	10.3
Accrued expenses	11.1	34.4		
Amounts payable on fixed assets	7.9	6.9	17.9	9.9
Other	43.6	38.4	28.3	14.0
OTHER LIABILITIES	333.0	313.9	112.6	106.6

Non-current tax liabilities include a special long-term Brazilian tax settlement deferral programme known as REFIS.

4.16.5 Financial instrument risk management

In the context of its operational and financial activities, the Group is exposed to the following financial risks:

- market risks: interest rate risk, foreign exchange risk, commodity risk and energy risk;
- liquidity risk;
- counterparty risk.

4.16.5.1 Market risk management

- The Group manages its financial risks at the level of each subsidiary or centrally, in accordance with Group policy. Market risks are managed through the use of derivative instruments in accordance with Group procedures.

• Interest rate risk management

The Group's exposure to interest rate risk is primarily on loans contracted at variable rates which impact future financial results.

The fair values of the interest rate derivatives carried in the consolidated statement of financial position are as follows:

(In millions of euros at 31 March 2015)	Fair value of derivatives				Notional amount of contracts by maturity date			
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	Total
	Trading	CFH	Trading	CFH				
Options	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Swaps	0.0	0.3	9.7	1.8	443.5	121.3	13.1	577.9
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total	0.0	0.3	9.7	1.8	443.5	121.3	13.1	577.9

(In millions of euros at 31 March 2014)	Fair value of derivatives				Notional amount of contracts by maturity date			
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	Total
	Trading	CFH	Trading	CFH				
Options	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Swaps	0.0	0.7	12.1	5.1	339.6	309.3	0.0	648.9
Other	0.1	0.0	0.0	0.0	2.5	0.0	0.0	2.5
Total	0.1	0.7	12.1	5.1	342.1	309.3	0.0	651.4

The Group's objective is to minimise the exposure of its subsidiaries to the risk of an increase in interest rates.

In all, 29% of the Group's borrowings are fixed-rate debt and 71% are variable rate. The fixed-rate borrowings primarily consist of bond debt and short-term debt.

37% of the Group's borrowings are short-term and 63% are medium to long term.

At 31 March 2015 the average maturity of the Group's borrowings was three years and six months.

The interest rate derivatives used are mostly plain vanilla swaps.

Sensitivity of income and equity

The following table presents changes in the fair value of interest rate derivatives following an increase or decrease in the yield curve.

Changes in the fair value of instruments classified in the trading book impact income.

The effective portion of changes in the fair value of instruments classified as cash flow hedges impacts equity.

<i>(In millions of euros at 31 March 2015)</i>		IMPACTS			
	<i>Notional</i>	<i>+25bp</i>	<i>-25bp</i>	<i>+100bp</i>	<i>-100bp</i>
Interest rate derivatives					
Trading	157.9	0.2	(0.2)	0.8	(0.7)
CFH	420.0	1.4	(1.4)	5.6	(4.7)
Total	577.9	1.6	(1.6)	6.4	(5.4)

• Foreign exchange risk management

The Group's international operations, particularly in Brazil and the Czech Republic, generate cash flows in several currencies. To hedge exposure to the related foreign exchange risk, the Group uses derivative instruments (primarily forward contracts maturing in less than one year).

The Brazilian entities have also set up loans totalling USD 632.6 million. These USD loans qualify as hedges of the foreign exchange risk on sugar sales denominated in US dollars.

They are classified as hedges, and are shown in borrowings. The fair value of these instruments was €186.9 million at 31 March 2015, included in borrowings under financial liabilities at fair value.

The fair values of the foreign exchange derivatives carried in the consolidated statement of financial position (excluding hedges on borrowings) are as follows:

<i>(In millions of euros at 31 March 2015)</i>	Fair value of derivatives				Notional amount of contracts by maturity date			Total
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	
	Trading	CFH	Trading	CFH				
EUR/USD	0.0	0.0	0.5	2.5	42.9			42.9
USD/EUR	0.2		0.0		7.1			7.1
EUR/GBP		0.0		2.7	36.5			36.5
BRL/USD		5.1		23.4	120.5			120.5
EUR/CZK	0.1				3.5	0.0		3.5
Total	0.2	5.1	0.5	28.7	210.5	0.0	0.0	210.5

(In millions of euros at 31 March 2014)	Fair value of derivatives				Notional amount of contracts by maturity date			
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	Total
	Trading	CFH	Trading	CFH				
EUR/USD	0.1	0.0	0.0		32.6			32.6
USD/EUR			0.0		2.0			2.0
EUR/GBP		0.0		0.1	11.4			11.4
GBP/EUR			0.0		0.7			0.7
BRL/USD		2.4		0.1	75.3			75.3
EUR/CZK			0.2		7.0			7.0
Total	0.1	2.5	0.2	0.2	129.1	0.0	0.0	129.1

The volume of the Group's foreign exchange transactions increased compared with the previous financial year, from €129.1 million to €210.5 million.

EUR/USD and EUR/GBP hedges are mainly taken out by Syral Belgium and Loiret France.

Foreign exchange derivatives mainly consist of swaps, forward currency contracts and plain vanilla options.

Sensitivity of income and equity

This sensitivity analysis looks at the impact of a 10% and 25% increase and decrease in the exchange rates to which the Group is exposed. The table below shows the sensitivity of the fair value of foreign exchange derivatives to these changes.

Changes in the fair value of instruments classified in the trading book impact income.

The effective portion of changes in the fair value of instruments classified as cash flow hedges impacts equity.

(In millions of euros at 31 March 2015)	IMPACTS				
	Notional	+10%	-10%	+25%	-25%
Foreign exchange derivatives					
Trading	34.2	0.7	(1.0)	1.5	(3.1)
CFH	176.4	(5.8)	4.6	(16.2)	8.1
Total	210.5	(5.1)	3.6	(14.7)	5.0

- Commodity and finished goods risk management**

To manage their supplies and optimise costs and revenue, several Group entities, depending on their activities, may enter into forward contracts to buy and sell commodities and finished goods. The commodities and finished goods in question are brown and white sugar, primarily for Guarani; wheat and corn for Tereos Syral; and wheat for Tereos BENP and Tereos DVO.

Transactions in commodities and finished goods are set up at subsidiary level by experts in accordance with procedures established by the Group.

The fair values of the commodity and finished goods derivatives carried in the consolidated statement of financial position are as follows:

(In millions of euros at 31 March 2015)	Fair value of derivatives				Notional amount of contracts by maturity date			
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	Total
	Trading	CFH	Trading	CFH				
Sugar	0.0	29.2	0.0	1.0	110.0	3.4		113.4
Grain		3.0		1.8	170.7	6.0		176.8
Ethanol		0.1		0.5	9.6			9.6
Total	0.0	32.3	0.0	3.2	290.3	9.4	0.0	299.8

(In millions of euros at 31 March 2014)	Fair value of derivatives				Notional amount of contracts by maturity date			
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	Total
	Trading	CFH	Trading	CFH				
Sugar		0.7		3.0	78.9			78.9
Grain		2.8		0.0	84.9			84.9
Ethanol								0.0
Total	0.0	3.5	0.0	3.0	163.8	0.0	0.0	163.8

The risk exposure on the Group's commodity and finished goods derivatives relates to transactions in sugar carried out by Guarani and transactions in grain carried out by Tereos Syral:

- In order to hedge sales prices, Guarani sells forward on the New York futures market (brown sugar) and on the London market (white sugar).
- To hedge purchase prices, Tereos Syral buys forward on the MATIF and LIFFE markets (grain).

Guarani and Tereos Syral consider futures transactions as cash flow hedges and recognise the change in fair value in other comprehensive income.

Sensitivity of income and equity

This sensitivity analysis looks at the impact of a 10% and 25% increase and decrease on sugar and grain prices and shows the sensitivity of the fair value of commodity derivatives to these changes.

Changes in the fair value of instruments classified in the trading book impact income.

The effective portion of changes in the fair value of instruments classified as cash flow hedges impacts equity.

(In millions of euros at 31 March 2015)	IMPACTS				
	Notional	+10%	-10%	+25%	-25%
Commodity derivatives					
Trading	1.8	(0.2)	0.2	(0.4)	0.4
CFH	297.9	3.9	(3.9)	9.7	(9.7)
Total	299.8	3.7	(3.7)	9.2	(9.2)

• Energy risk management

In order to manage supplies and optimise their costs, several Group entities, depending on their activities, may contract energy derivatives.

The fair values of energy derivatives carried in the consolidated statement of financial position are as follows:

(In millions of euros at 31 March 2015)	Fair value of derivatives				Notional amount of contracts by maturity date			
	Assets		Liabilities		< 1 year	1 to 5 years	> 5 years	Total
	Trading	CFH	Trading	CFH				
Gas	0.0	0.3	0.0	0.6	27.6	0.0	0.0	27.6
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total	0.0	0.3	0.0	0.6	27.6	0.0	0.0	27.6

Sensitivity of income and equity

This sensitivity analysis looks at the impact of a 10% and 25% increase and decrease on energy prices and shows the sensitivity of the fair value of energy derivatives to these changes.

The effective portion of changes in the fair value of instruments classified as cash flow hedges impacts equity.

<i>(In millions of euros at 31 March 2015)</i>					
	Notional	+10%	-10%	IMPACTS +25%	-25%
Energy derivatives					
Trading	0.0	0.0	0.0	0.0	0.0
CFH	27.6	2.7	(2.7)	6.8	(6.8)
Total	27.6	2.7	(2.7)	6.8	(6.8)

4.16.5.2 Liquidity risk management

Operational management of liquidity and short-term financing is performed by the entities and the Cash and Financing Department. The Group's policy is to be able to meet its future repayments, without additional financing, out of available cash and existing lines of credit, for at least the next 12 months.

The Group raises finance on the bond market, through bank loans and via a factoring programme. Maturities are mainly tied to the amortisable lines of the syndicated loans with a final maturity in March 2018 for Tereos, and in June 2017 for Tereos EU. All Group entities have contracted short- and medium-term bank loans.

Tereos' ordinary and convertible bonds mature in 2014, 2020 and 2017. Syral Belgium's factoring programme expires in 2016.

The Group is subject to fluctuations in its level of borrowings due to the seasonal nature of its business (this mainly applies to Brazil and the businesses of Tereos France and TTD), which may generate surplus cash for short periods. The Group's policy is to invest these sums only in bank deposits or in liquid money market funds.

At 31 March 2015, the contractual flows (amortisations and final maturities) of undiscounted principal on outstanding financial liabilities (excluding derivatives) by maturity were as follows:

At 31 March 2015 <i>(In millions of euros)</i>	< 1 year	1 to 2 years	2 to 3 years	3 to 4 years	> 4 years	Total
Undiscounted contractual flows on borrowings	909	269	339	185	724	2,426

At the same date, the fair values of the outstanding amount of interest rate derivatives recorded as liabilities by maturity were as follows:

At 31 March 2015 <i>(In millions of euros)</i>	< 1 year	1 to 2 years	2 to 3 years	3 to 4 years	> 4 years	Total
Undiscounted contractual flows	4	3	2	0	0	10

4.16.5.3 Counterparty risk management

The Group is exposed to credit risk on its business activities and on financial instruments to a lesser extent.

Past-due receivables not impaired were as follows:

At 31 March 2015 <i>(In millions of euros)</i>	Past-due receivables at end of period			Impaired receivables	Receivables neither impaired nor past due	Total
	Less than 6 months	More than 6 months	Total			
Loans and receivables at amortised cost	0.8	7.6	8.4	(1.4)	202.5	210.9
Trade receivables	15.2	3.0	18.2	(10.3)	377.3	395.5
TOTAL	16.0	10.6	26.6	(11.7)	579.8	606.4

Counterparty risk on hedging transactions can be analysed as follows:

(In millions of euros at 31 March 2015)	Counterparty	Type	Index	Market	Notional	Fair value	
Bank	Citibank	Interest rate derivatives	Libor 3m	OTC	35.2	(0.1)	
		Foreign exchange derivatives	USD/BRL	OTC	3.6	(0.9)	
	KB	Foreign exchange derivatives	EUR/CZK	OTC	3.5	0.1	
		Foreign exchange derivatives	USD/BRL	OTC	2.3	(0.6)	
	Itau BBA	Interest rate derivatives	Libor 3m	OTC	35.2	(0.1)	
		Foreign exchange derivatives	USD/BRL	OTC	23.8	(5.8)	
	Santander	Foreign exchange derivatives	USD/BRL	OTC	9.9	(2.3)	
		Interest rate derivatives	Libor 3m	OTC	35.2	(0.1)	
	Bank of America	Interest rate derivatives	Libor 3m	OTC	35.0	(0.4)	
		Foreign exchange derivatives	EUR/GBP	OTC	0.0	0.0	
	KBC	Foreign exchange derivatives	EUR/USD	OTC	3.2	(0.6)	
		Interest rate derivatives	Euribor 1m	OTC	100.0	(7.7)	
	BNP Paribas	Interest rate derivatives	Euribor 3m	OTC	37.8	(0.1)	
		Sugar derivatives	NYC No. 11	New York	56.2	13.8	
	CACIB	Interest rate derivatives	Euribor 3m	OTC	50.0	(0.3)	
		Interest rate derivatives	Euribor 6m	OTC	1.2	(0.0)	
		Foreign exchange derivatives	USD/EUR	OTC	2.5	0.0	
		Foreign exchange derivatives	EUR/GBP	OTC	20.1	(1.5)	
		Foreign exchange derivatives	EUR/USD	OTC	30.1	(1.7)	
		Foreign exchange derivatives	USD/BRL	OTC	45.4	(0.5)	
	LCL	Interest rate derivatives	Euribor 6m	OTC	1.2	(0.0)	
		Foreign exchange derivatives	USD/EUR	OTC	0.9	(0.0)	
	HSBC	Foreign exchange derivatives	EUR/GBP	OTC	9.4	(0.7)	
		Foreign exchange derivatives	EUR/USD	OTC	7.6	(0.8)	
		Foreign exchange derivatives	USD/BRL	OTC	8.8	(1.9)	
		Sugar derivatives	NYC No. 11	New York	10.4	0.8	
	Macquarie	Interest rate derivatives	Euribor 3m	OTC	59.1	(0.1)	
	Natixis	Interest rate derivatives	Euribor 6m	OTC	2.3	(0.1)	
	Rabobank	Interest rate derivatives	Euribor 3m	OTC	79.6	(0.2)	
		Interest rate derivatives	Euribor 6m	OTC	2.3	(0.1)	
		Foreign exchange derivatives	EUR/GBP	OTC	7.0	(0.6)	
		Interest rate derivatives	Euribor 1m	OTC	50.0	(1.7)	
	Société Générale	Interest rate derivatives	Euribor 3m	OTC	9.8	(0.0)	
		Foreign exchange derivatives	EUR/USD	OTC	1.8	0.0	
		Energy derivatives	TTF	OTC	19.4	(0.1)	
		Interest rate derivatives	Euribor 3m	OTC	9.1	(0.0)	
	CIC	Foreign exchange derivatives	USD/EUR	OTC	1.5	0.0	
		Foreign exchange derivatives	EUR/USD	OTC	0.2	0.0	
	Bradesco	Foreign exchange derivatives	USD/BRL	OTC	18.3	(4.5)	
		Interest rate derivatives	Libor 3m	OTC	35.2	(0.1)	
	JP Morgan	Foreign exchange derivatives	USD/BRL	OTC	8.4	(1.8)	
		Energy derivatives	TTF	OTC	8.2	(0.2)	
	BTG Pactual	Foreign exchange derivatives	USD/BRL	OTC	0.0	0.0	
	Banque Tameaud	Foreign exchange derivatives	USD/EUR	OTC	2.2	0.1	
		Foreign exchange derivatives	EUR/USD	OTC	0.0	0.0	
	Brokers	Jefferies	Sugar derivatives	NYC No. 11	New York	44.9	13.6
		Newedge	Grain derivatives	Wheat	LIFFE	12.1	(0.2)
			Grain derivatives	Wheat/com	MATIF	164.7	1.3
			Ethanol derivatives	T2 Rotterdam	Rotterdam	9.6	(0.4)
			Sugar derivatives	London No. 5	London	1.8	0.0
						1,115.8	(6.3)

Interest rate, foreign exchange, commodity and energy hedges are contracted with leading counterparties. At 31 March 2015, the derivatives portfolio broke down as follows by credit rating:

<i>(In millions of euros at 31 March 2015)</i>	<i>Notional amount of interest rate derivatives</i>	<i>Notional amount of foreign exchange derivatives</i>	<i>Notional amount of commodity derivatives</i>	<i>Notional amount of energy derivatives</i>	<i>Fair value</i>
AA-	0.0	0.0	0.0	0.0	0.0
A+	219.7	7.0	56.2	0.0	5.1
A	217.7	154.6	0.0	19.4	(14.3)
A-	35.0	11.6	0.0	8.2	(3.1)
BBB	0.0	0.0	0.0	0.0	0.0
BBB-	105.6	37.3	55.4	0.0	5.2
Unrated	0.0	0.0	188.2	0.0	0.8
Total	577.9	210.5	299.8	27.6	(6.3)

4.16.6 Commitments to purchase non-controlling interests

At 31 March 2015, the Group had granted an unconditional commitment for the purchase of non-controlling interests in Tereos Participations by Tereos UCA.

The recognition of these elements, on the basis of the projected performance of the relevant companies and their subsidiaries, had the effect of increasing the related financial liability by €5.1 million to €96.7 million at 31 March 2015.

The recognition of these same elements across the Group/Non-controlling interests split resulted in a €10.4 million decrease in the Group's non-controlling interests.

4.17 Other current and non-current liabilities

This item comprises the following:

(In millions of euros)	Current		Non-current	
	2015	2014	2015	2014
CO ₂ quotas	27.2	31.7		
Subsidies received	8.8	0.0	13.7	9.6
Prepaid income	3.2	22.4	1.3	14.5
Other	0.0	0.0		
OTHER LIABILITIES	39.1	54.1	15.0	24.1

The CO₂ quotas include quotas allocated free of charge and quotas to be returned because they have been used up.

4.18 Covenants

At the date of the most recent review, the Group respected all of its covenants.

Type as at 31 March 2015	Definition	Triggering level
Net debt	Tereos EU group consolidated net debt/Tereos EU group consolidated EBITDA Tereos Group consolidated debt excluding debt of TI, TTD and OIP and 2007 bonds	Max 3 < €1 billion
Gearing	Tereos France group consolidated net debt/Tereos France group consolidated equity Guarani consolidated net debt/Guarani equity	Max 1.025 Max 1.25
Interest cover	Tereos EU group consolidated EBITDA/Tereos EU group net interest expense Guarani consolidated adjusted EBITDA/Guarani net interest expense	Min. 4.0 Min. 2.0
Liquidity	Guarani consolidated current assets/Guarani current liabilities	Min. 1.0
Debt servicing	Consolidated available cash flow before Tereos EU group financing/Total Tereos EU group debt servicing	Min. 1.0

5 Contingent assets and liabilities

5.1 Commitments given

The commitments given by the Group are as follows:

(In millions of euros)	2015	2014
Counter-guarantees given to third parties	74.9	66.9
Endorsements and guarantees given to related companies	0.0	0.0
TOTAL	74.9	66.9

Counter-guarantees given to third parties

This amount primarily represents sureties given to FranceAgriMer (French national inter-trade office for field crops) and customs bonds necessary for day-to-day management, along with guarantees given in the normal course of business:

- sureties given to FranceAgriMer as compensation for renouncing sugar quotas (€10.7 million);
- customs bonds (€22.4 million);
- sureties relating to VAT in Italy (€21.7 million);
- other guarantees (€20.1 million).

Endorsements and guarantees given to related companies

No commitments had been given to related companies at 31 March 2015.

5.2 Commitments received

<i>(In millions of euros)</i>	2015	2014
Endorsements and guarantees received from third	0.6	1.5
TOTAL	0.6	1.5

Endorsements and guarantees received from third parties

At 31 March 2015, the Group had received commitments from some of its customers totalling €0.6 million.

Commitment to purchase non-controlling interests in associates and joint ventures

The Group has given commitments to purchase non-controlling interests in certain joint ventures. It cannot calculate this commitment at present as it does not control these entities.

5.3 Litigation

The Group is involved in administrative and legal proceedings arising in the ordinary course of its operations. A provision is set aside to cover the potential cost of these proceedings only when there is likely to be an outflow of resources that can be reliably measured. The total amount of the provision is calculated based on a case-by-case analysis, taking into account the risk involved as well as any events occurring in the period that warrant an adjustment to the provision.

Tax disputes in Brazil

The Group is involved in various tax disputes in Brazil, mainly concerning ICMS (VAT). The Brazilian tax authorities are claiming an amount of €332 million including fines and penalties. Since the Group considers that no outflow of resources is likely as a result of these disputes, no provision has been recorded in this respect.

6 Related parties

The main related-party transactions concern purchases of sugarbeet from the cooperatives which control the Group.

<i>(In millions of euros)</i>	2015	2014
Purchases of sugar beet and grain	(371.0)	(511.9)
Purchases of services	(1.0)	(1.5)
Sales of pulp and distillation residue	86.5	95.1
Sales of services	2.7	4.7
Sales of supplies	0.0	
Trade receivables balance	2.7	5.8
Trade payables balance	(37.5)	(179.1)
Creditor accounts with debit balance:	(21.7)	(14.6)

Key senior management personnel are considered to be members of the Management Board, the Supervisory Board and other key managers.

Benefits paid to key senior management personnel are as follows:

<i>(In millions of euros)</i>	2015	2014
Short-term benefits	7.3	6.1
Post-employment benefits	1.1	0.5
Other long-term benefits		
Share-based payments		
TOTAL	8.4	6.6

7 Events after the reporting date

7.1 Acquisition of a stake in Boortmalt

In November 2014, the Tereos and Axereal groups announced that they had entered into a long-term strategic partnership to develop a range of solutions for their brewery and distillery customers.

As part of this partnership, on 2 April 2015, Tereos Coopération acquired a minority stake in Copagest – the parent company of Boortmalt – for €37.5 million.

7.2 Acquisition of Napier Brown Sugar Limited

On 29 April 2015, the Board of Directors of Real Good Food Plc accepted Tereos' offer to purchase its subsidiary, Napier Brown Sugar Limited. The transaction was approved by the shareholders of Real Good Food and was completed on 19 May 2015.

Napier Brown Sugar Limited is Europe's largest independent sugar distributors and distributes around 300,000 tonnes of sugar per year.

8 Segment information

8.1 Information by business segment

Information by business segment is summarised in the following tables:

	Revenue	
<i>(In millions of euros)</i>	2015	2014
SUGAR EUROPE	1,153.0	1,429.9
ALCOHOL & ETHANOL	540.9	578.2
BRAZIL	749.8	734.6
MOZAMBIQUE	18.8	28.5
STARCH PRODUCTS	820.7	891.5
INDIAN OCEAN	259.1	267.7
OTHER SALES	757.9	766.6
TOTAL	4,300.2	4,696.9

	Non-current assets		Assets held for sale		Other segment assets		Total assets	
<i>(In millions of euros)</i>	2015	2014	2015	2014	2015	2014	2015	2014
SUGAR EUROPE	1,604.7	1,594.2			1,721.1	2,107.4	3,325.8	3,701.6
ALCOHOL & ETHANOL	268.6	267.9			295.0	306.9	563.5	574.8
BRAZIL	1,009.3	1,097.1			426.3	277.5	1,435.6	1,374.6
MOZAMBIQUE	94.1	91.1			(21.9)	(33.1)	72.1	57.9
STARCH PRODUCTS	594.8	586.3			123.1	129.4	717.9	715.7
REUNION	96.1	96.4			189.5	141.7	285.6	238.1
NOT ALLOCATED	61.4	105.8			3.3	(29.0)	64.7	76.8
TOTAL	3,729.1	3,838.8	0.0	0.0	2,736.3	2,900.7	6,465.3	6,739.5

8.2 Information by geographical segment

Information by geographical segment is summarised in the following tables:

	Revenue	
<i>(In millions of euros)</i>	2015	2014
FRANCE	1,169.1	1,283.3
BELGIUM	153.7	156.8
CZECH REPUBLIC	138.9	179.9
REUNION	58.4	64.6
OTHER EU COUNTRIES	1,718.0	1,981.4
BRAZIL	581.0	561.8
REST OF THE WORLD	481.1	469.2
TOTAL	4,300.2	4,696.9

	Non-current assets	Assets held for sale	Other assets	TOTAL ASSETS	Liabilities	Liabilities related to assets held for sale	TOTAL LIABILITIES
<i>(In millions of euros)</i>							
2015							
FRANCE	1,993.3	0.0	1,973.4	3,966.7	1,739.2	0.0	1,739.2
BELGIUM	103.6		180.1	283.7	38.4		38.4
CZECH REPUBLIC	202.3		106.9	309.2	111.3		111.3
REUNION	104.1		(20.6)	83.5	158.6		158.6
OTHER EU COUNTRIES	110.4		92.7	203.1	140.6		140.6
BRAZIL	1,088.8		401.0	1,489.7	1,293.8		1,293.8
REST OF THE WORLD	126.5		2.9	129.4	205.9		205.9
TOTAL	3,729.1	0.0	2,736.4	6,465.5	3,687.8	0.0	3,687.8

	Non-current assets	Assets held for sale	Other assets	TOTAL ASSETS	Liabilities	Liabilities related to assets held for sale	TOTAL LIABILITIES
<i>(In millions of euros)</i>							
2014							
FRANCE	2,002.0	0.0	2,353.8	4,355.8	2,213.8	0.0	2,213.8
BELGIUM	100.3		164.6	264.9	102.2		102.2
CZECH REPUBLIC	201.4		107.8	309.2	111.3		111.3
REUNION	146.8		(78.7)	68.2	103.2		103.2
OTHER EU COUNTRIES	111.5		84.1	195.6	141.8		141.8
BRAZIL	1,185.8		294.4	1,480.2	1,069.5		1,069.5
REST OF THE WORLD	91.1		(25.4)	65.7	109.2		109.2
TOTAL	3,838.8	0.0	2,900.7	6,739.5	3,850.9	0.0	3,850.9

9 Scope of consolidation

Company name	Country	Legal form	Head office	Identification	31 March 2015			31 March 2014		
					% interest	% control	Consolidation method	% interest	% control	Consolidation method
Agricola Rodeio	BRAZIL	Joint Stock Company	Sao Paulo	35213587547	36.71	100.00	Full consolidation	38.77	100.00	Full consolidation
Albion Le Gol	FRANCE	Joint Stock Company	St Louis	383599214	34.81	35.38	Equity method	34.80	35.38	Equity method
Andrade	BRAZIL	Joint Stock Company	Pitangueiras	35300107004	36.71	97.83	Full consolidation	38.77	97.83	Full consolidation
Andradeagr - Andrade Agricult	BRAZIL	Joint Stock Company	Pitangueiras	35220013330	19.05	51.90	Full consolidation	20.12	51.90	Full consolidation
Bce	FRANCE	Joint Stock Company	Provins	344395033	39.78	39.81	Equity method	39.78	39.81	Equity method
Beaulieu 2	FRANCE	Non-trading real estate invest. co.	St Denis	508137262	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Beghin Meiji	FRANCE	Joint Stock Company	Thumeries	349707646	49.96	50.00	Equity method	49.96	50.00	Equity method
Benp	FRANCE	Joint Stock Company	Origny Ste Benoîte	389430331	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Bourbon Plastiques	FRANCE	Simplified Joint Stock Company	Bras Panon	320815764	59.01	89.67	Non-consolidated	58.99	89.67	Full consolidation
Centro de Tecnologia Canavieira	BRAZIL	Joint Stock Company	Sao Paulo	35300391144	1.79	5.04	Equity method			
Cie Bourbon plastiques	FRANCE	Joint Stock Company	Ste Suzanne	310837455	65.80	66.88	Non-consolidated	65.78	66.88	Full consolidation
Clos du Verger SCI	FRANCE	Non-trading real estate invest. co.	St Denis		98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Clos Saint Jean	FRANCE	Non-trading real estate invest. co.	St Denis	517457768	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Comasucar	SPAIN	Joint Stock Company	Orense	A 32032468	99.92	100.00	Full consolidation	51.96	52.00	Full consolidation
Compania de Sena	MOZAMBIQUE	Joint Stock Company	Beira	7.286, p47, B.C-10	34.56	95.02	Full consolidation	36.51	95.02	Full consolidation
Cour de Beaulieu	FRANCE	Non-trading real estate invest. co.	St Denis	500830055	68.87	100.00	Non-consolidated	68.85	100.00	Full consolidation
Cruz Alta Participacoes	BRAZIL	Joint Stock Company	Olimpia	35300379870	36.71	100.00	Full consolidation	38.77	100.00	Full consolidation
Deux Rives SCI	FRANCE	Non-trading real estate invest. co.	St Denis		98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Developpement Patrimoine de l'Est	FRANCE	Simplified Joint Stock Company	Ste Suzanne	499472660	68.87	70.00	Non-consolidated	68.85	70.00	Full consolidation
Developpement Patrimoine investissement conseil	FRANCE	Simplified Joint Stock Company	Ste Suzanne	480034198	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Dongguan Yihai Kerry Syral Starch technology Co., Ltd	PEOPLE'S REPUBLIC OF CHINA	Limited liability company	Dongguan	441900400180548	31.53	49.00	Equity method	31.44	49.00	Equity method
Ercafe	FRANCE	Economic Interest Grouping	Ste Clothilde	320180409	57.81	100.00	Full consolidation	57.64	100.00	Full consolidation
Eurocanne	FRANCE	Simplified Joint Stock Company	St André	349651513	57.81	100.00	Full consolidation	57.64	100.00	Full consolidation
France Fondants	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	383630969	39.97	40.00	Equity method	39.97	40.00	Equity method
Gie Utilites	FRANCE	Economic Interest Grouping	Marckolsheim	444859599	41.83	65.00	Full consolidation	41.70	65.00	Full consolidation
Granochart	FRANCE	Joint Stock Company	Le Vesinet	332618883	54.86	100.00	Full consolidation	54.70	100.00	Full consolidation
Guarani	BRAZIL	Joint Stock Company	Olimpia	35300145135	36.71	57.05	Full consolidation	38.77	60.44	Full consolidation
Investissement Foncier Reunion	FRANCE	Simplified Joint Stock Company	Ste Clothilde	495014029	24.60	25.00	Non-consolidated	24.59	25.00	Equity method
Les arums 1	FRANCE	Non-trading real estate invest. co.	Ste Suzanne	518743070	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Les arums 2	FRANCE	Non-trading real estate invest. co.	Ste Suzanne	518074646	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Les arums 3	FRANCE	Non-trading real estate invest. co.	Ste Suzanne	518074935	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Les Banians	FRANCE	Non-trading real estate invest. co.	St Denis	411891567	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Les Vavangues	FRANCE	Non-trading real estate invest. co.	Ste Suzanne	394058382	57.89	100.00	Full consolidation	57.73	100.00	Full consolidation
Lesaffre	FRANCE	Joint Stock Company	Nangis	407508604	34.46	37.09	Equity method	34.46	37.09	Equity method
Liaoning Yihai Kerry Tereos Starch technology Co., Ltd	PEOPLE'S REPUBLIC OF CHINA	Limited liability company	Liaoning		31.53	49.00	Equity method	31.44	49.00	Equity method
Loiret Espagne	SPAIN	Joint Stock Company	El Prat De Llobregat	A 43039718	54.86	100.00	Full consolidation	54.70	100.00	Full consolidation
Loiret France	FRANCE	Joint Stock Company	Nantes	854 800 315	54.86	94.89	Full consolidation	54.70	94.89	Full consolidation
Magnolia	BOSNIA HERZEGOVINA	Limited Liability Company	Banja Luka	1 13314 00	32.17	50.00	Equity method	32.08	50.00	Equity method

Company name	Country	Legal form	Head office	Identification	31 March 2015			31 March 2014		
					% interest	% control	Consolidation method	% interest	% control	Consolidation method
Maison de Beaulieu	FRANCE	Non-trading real estate invest. co.	St Denis	500858592	68.87	100.00	Non-consolidated	68.85	100.00	Full consolidation
Maison de Beaulieu 2	FRANCE	Non-trading real estate invest. co.	St Denis	508135613	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Mascareignes Transport International	FRANCE	Simplified Joint Stock Company	Le Port	401194386	57.81	100.00	Full consolidation	57.64	100.00	Full consolidation
Océan Indien Participation	FRANCE	Joint Stock Company	Ste Suzanne	310850870	98.39	98.39	Full consolidation	98.36	98.36	Full consolidation
QF Amenagement	FRANCE	Simplified Joint Stock Company	Ste Suzanne	490724614	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Refineria de Olmeido	SPAIN	Joint Stock Company	Valladolid	-	46.45	50.00	Equity method	46.45	50.00	Equity method
Sao Jose	BRAZIL	Joint Stock Company	Colina	35300195388	36.71	100.00	Full consolidation	38.77	100.00	Full consolidation
Sao Jose Agricultura	BRAZIL	Joint Stock Company	Colina	35220013356	11.75	32.00	Equity method	12.41	32.00	Equity method
Sedalcol France	FRANCE	Partnership	Mesnil Saint Nicaise	413433665	32.17	50.00	Equity method	32.08	50.00	Equity method
Sedalcol EU	BELGIUM	Joint Stock Company	Aalst	831817560	32.17	50.00	Equity method	32.08	50.00	Equity method
Sedalcol UK	UK	Limited Liability Company	Selby – North Yorkshire	7023586	32.17	50.00	Equity method	32.08	50.00	Equity method
Sedamyl	ITALY	Joint Stock Company	Saluzzo	150312	32.17	50.00	Equity method	32.08	50.00	Equity method
Sedamyl Services	IRELAND	Limited Liability Company	Dublin	216522	32.17	50.00	Equity method	32.08	50.00	Equity method
Sena Holding Limited	MAURITIUS	Private Company	Port Louis	20418/4236	36.38	99.09	Full consolidation	38.42	99.09	Full consolidation
Sena Lines	MOZAMBIQUE	Limited Liability Company	-	7.463, p138, B.C-10	34.58	100.00	Full consolidation	36.52	100.00	Full consolidation
Sicre	FRANCE	Simplified Joint Stock Company	Le Port	383468196	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Société Agricole du Nord-Est	FRANCE	Simplified Joint Stock Company	Ste Suzanne	315160143	57.81	100.00	Full consolidation	57.64	100.00	Full consolidation
Société Foncière de l'Est	FRANCE	Simplified Joint Stock Company	Ste Suzanne	499486215	29.52	30.00	Non-consolidated	29.51	30.00	Equity method
Société Marroumeu Limited	MAURITIUS	Private Company	Port Louis	20420/4238	27.53	75.00	Full consolidation	29.08	75.00	Full consolidation
Sofipa	FRANCE	Simplified Joint Stock Company	Nantes	317613842	54.86	100.00	Full consolidation	54.70	100.00	Full consolidation
Sucrerie de Bois Rouge	FRANCE	Simplified Joint Stock Company	St André	315 253 922	57.81	100.00	Full consolidation	57.64	100.00	Full consolidation
Sucrière de la Réunion	FRANCE	Simplified Joint Stock Company	Ste Suzanne	480034172	57.81	100.00	Full consolidation	57.64	100.00	Full consolidation
Sucrière des Mascareignes Ltd	MAURITIUS	Limited Liability Company	Ebene	21807/4919	23.13	40.00	Equity method	23.06	40.00	Equity method
Syral Asia	HONG KONG	Limited Liability Company	Hong Kong	1267457	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Syral Belgium	BELGIUM	Joint Stock Company	Aalst	0 405 716 158	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Syral do Brazil Comercio	BRAZIL	Joint Stock Company	Sao Paulo	35225433507	64.34	100.00	Full consolidation	64.43	100.00	Full consolidation
Syral Halotek	BRAZIL	Joint Stock Company	Palmital	35210098952	64.34	100.00	Full consolidation	43.63	68.00	Full consolidation
Syral Haussimont	FRANCE	Simplified Joint Stock Company	Haussimont	955200324	64.35	100.00	Full consolidation	48.12	75.00	Full consolidation
Syral Iberia	SPAIN	Joint Stock Company	Zaragoza	034 829	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Syral Italia	ITALY	Limited Liability Company	Milan	1184391	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Syral UK Services	UK	Limited Liability Company	Suffolk	2236484	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Teapar	BRAZIL	Joint Stock Company	Paranagua	41300084441	12.85	35.00	Equity method	13.57	35.00	Equity method
Tereos	FRANCE	Cooperative union	Origny Ste Benoîte	407 948 926	100.00	100.00	Full consolidation	100.00	100.00	Full consolidation
Tereos Agro Industrie	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	520790825	91.97	99.01	Full consolidation	91.97	99.01	Full consolidation
Tereos Alcools	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	449 929 249	79.94	80.00	Full consolidation	79.94	80.00	Full consolidation

Company name	Country	Legal form	Head office	Identification	31 March 2015			31 March 2014		
					% interest	% control	Consolidation method	% interest	% control	Consolidation method
Tereos Cooperation (formerly Tereos Appro)	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	533055042	100.00	100.00	Full consolidation	100.00	100.00	Full consolidation
Tereos Asia Investment	BELGIUM	Joint Stock Company	Aalst	0 894 420 271	64.34	100.00	Full consolidation	64.16	100.00	Full consolidation
Tereos Benp	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	480 891 407	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Tereos Bioethanol Europe	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	792870743	100.00	100.00	Full consolidation	100.00	100.00	Full consolidation
Tereos Coproduits	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	424 388 643	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Tereos Deutschland	GERMANY	Limited Liability Company	Freiburg	HRB 7372	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Tereos do Brasil	BRAZIL	Joint Stock Company	Sao Paulo	35216569264	91.97	100.00	Full consolidation	91.97	100.00	Full consolidation
Tereos DVO	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	490700895	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Tereos EU	BELGIUM	Joint Stock Company	Aalst	0824 036 279	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Tereos Europe	FRANCE	Joint Stock Company	Origny Ste Benoîte	495 061 095	99.85	99.87	Non-consolidated	99.85	99.87	Full consolidation
Tereos Finance	FRANCE	Joint Stock Company	Origny Ste Benoîte	423 607 886	99.89	99.97	Full consolidation	99.89	99.97	Full consolidation
Tereos FKS Indonesia	INDONESIA	Private Company	Jakarta	21 040 284 8 073 000	32.17	50.00	Full consolidation			
Tereos Finance Groupe 1	FRANCE	Joint Stock Company	Origny Ste Benoîte	418603700	99.97	99.97	Full consolidation	99.97	99.97	Full consolidation
Tereos France	FRANCE	Cooperative union	Origny Ste Benoîte	533247979	99.92	99.92	Full consolidation	99.92	99.92	Full consolidation
Tereos Iberia	SPAIN	Joint Stock Company	Barcelona	290350	59.95	60.00	Full consolidation	59.95	60.00	Full consolidation
Tereos Internacional	BRAZIL	Joint Stock Company	Bairro de Pinheiros	35300380592	64.34	69.83	Full consolidation	64.16	69.62	Full consolidation
Tereos Italia	ITALY	Limited Liability Company	Milan	1819820	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Tereos Luxembourg	LUXEMBOURG	Joint Stock Company	Strassen	-	100.00	100.00	Full consolidation	100.00	100.00	Full consolidation
Tereos Ocean Indien	FRANCE	Simplified Joint Stock Company	Ste Suzanne	310864269	57.81	89.85	Full consolidation	57.64	89.85	Full consolidation
Tereos Participations	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	444 413 058	92.89	92.89	Full consolidation	92.89	92.89	Full consolidation
Tereos PureCircle Solutions	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	527914352	49.96	50.00	Equity method	49.96	50.00	Equity method
Tereos Romania	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	422350652	92.89	100.00	Non-consolidated	92.89	100.00	Full consolidation
Tereos Sena Limited	MAURITIUS	Joint Stock Company	Port Louis	C60607	36.71	100.00	Full consolidation	38.77	100.00	Full consolidation
Tereos Stockage	FRANCE	Simplified Joint Stock Company	Calais	410 379 150	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Tereos Sucres	FRANCE	Simplified Joint Stock Company	Origny Ste Benoîte	388 255 853	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Tereos Syral	FRANCE	Simplified Joint Stock Company	Marckolsheim	403 138 225	64.35	100.00	Full consolidation	64.16	100.00	Full consolidation
Tereos TTD	CZECH REPUBLIC	Joint Stock Company	Dobrovice	161 93 741	57.66	62.07	Full consolidation	57.66	62.07	Full consolidation
Tereos UK	UK	Company Act 1985 Ltd	Suffolk	5633480	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Tereos Zaharul Ludus	ROMANIA	Joint Stock Company	Ludus	126/237/18.04.1991	91.93	98.97	Full consolidation	91.93	98.97	Full consolidation
Tereos ZaharCom	ROMANIA	Limited Liability Company	Ludus	126/596/1999	91.93	100.00	Non-consolidated	92.89	100.00	Full consolidation
Tregor	FRANCE	Non-trading property development company	Ste Suzanne	501015598	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Tregor Patrimoine SCI	FRANCE	Non-trading real estate invest. co.	St Denis	525368080	98.39	100.00	Non-consolidated	98.36	100.00	Full consolidation
Tsm	FRANCE	Joint Stock Company	Calais	330 376 310	99.92	100.00	Full consolidation	99.92	100.00	Full consolidation
Uniglad	ITALY	Limited Liability Company	Grinzane Cavour	157639	32.50	50.00	Equity method	32.40	50.00	Equity method
Vertente	BRAZIL	Limited Liability Company	Guaraci	35217783049	18.36	50.00	Equity method	19.39	50.00	Equity method
Zac Mapou	FRANCE	Partnership	Ste Suzanne	321327280	53.74	54.62	Non-consolidated	53.72	54.62	Full consolidation

STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2015

This is a free translation into English of the statutory auditors' report on the consolidated financial statements issued in French and it is provided solely for the convenience of English speaking users.

The statutory auditors' report includes information specifically required by French law in such reports, whether modified or not. This information is presented below the audit opinion on the consolidated financial statements and includes an explanatory paragraph discussing the auditors' assessments of certain significant accounting and auditing matters. These assessments were considered for the purpose of issuing an audit opinion on the consolidated financial statements taken as a whole and not to provide separate assurance on individual account balances, transactions, or disclosures.

This report also includes information relating to the specific verification of information given in the Group's management report.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

"Tereos

*French Agricultural Cooperative Union (Union de Coopératives Agricoles) with variable share capital
11, rue Pasteur
02390 Origny-Sainte-Benoîte*

To the Shareholders,

In compliance with the assignment entrusted to us by your General Meetings, we hereby report to you, for the year ended 31 March 2015, on:

- *the audit of the accompanying consolidated financial statements of Tereos;*
- *the justification of our assessments;*
- *the specific verification required by law.*

These consolidated financial statements have been approved by the Supervisory Board. Our role is to express an opinion on these consolidated financial statements based on our audit.

I - Opinion on the consolidated financial statements

We conducted our audit in accordance with professional standards applicable in France. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement. An audit involves performing procedures, using sampling techniques or other methods of selection, to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made, as well as the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Group as at 31 March 2015 and of the results of its operations for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union.

II - Justification of our assessments

In accordance with the requirements of article L.823-9 of the French Commercial Code (code de commerce) relating to the justification of our assessments, we bring to your attention the following matter:

The Cooperative tests goodwill and indefinite-lived assets for impairment and assesses evidence of impairment in long-term assets, in accordance with the methods described in Note 1.5.7 ("Impairment of assets") and Note 4.1 ("Goodwill") to the consolidated financial statements.

We reviewed the methods used by the Group, as described in the notes to the consolidated financial statements, based on the latest available information, and carried out tests using sampling techniques to verify the application of these methods.

These assessments were made as part of our audit of the consolidated financial statements taken as a whole, and therefore contributed to the opinion we formed which is expressed in the first part of this report.

III - Specific verification

As required by law, we have also verified in accordance with professional standards applicable in France the information presented in the Group's management report.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

Neuilly-sur-Seine and Paris, June 1st, 2015

The Statutory auditors

PricewaterhouseCoopers Audit

Sylvain Elkaïm

Ernst & Young Audit

Philippe Aerts

Serge Pottiez

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion of the Group's financial condition and results of operations should be read in conjunction with the Group's consolidated financial statements, the related notes and other financial information included elsewhere in this Prospectus. The Group's financial statements included in section "Consolidated Audited Financial Statements of the Guarantor for the years ended 31 March 2016 and 2015" of this Prospectus have been prepared and are presented in accordance with International Financial Reporting Standards (IFRS), as adopted by the European Union as of the date of preparation of such financial statements.

Please note that percentages presented below may be calculated from non-rounded figures and therefore may differ slightly compared to percentages calculated from rounded figures.

When we refer to changes in our financial data "at constant exchange rates", this means that we exclude the effect of changes in exchange rates. We eliminate the effect of exchange rates by recalculating figures for the latest period at the exchange rates used for the previous period.

Introduction

As the world's third largest sugar producer, Tereos specializes in the processing of sugarbeet, sugarcane, cereals, manioc and potatoes. The Group has also leading positions in the alcohol & ethanol market (first in Europe, by volume) and the starch-based products market (including starch and sweeteners - third in Europe). Tereos operates 49⁹ industrial units and has some 24,000 employees on four continents.

Significant events during the period

The Group continued the implementation of its strategy to strengthen the operational performance of its facilities, the development of its distribution network and its international expansion.

The Group's significant events during the financial year ended 31 March 2016 included the following.

- **Operational performance**

Performance plans deployed in the major activities: Sugar France, Starch & Sweeteners Europe, Sugar & Energy Brazil. The expected benefit of performance improvement plans amount to €100 million over 3 years; €30 million of this amount has already been delivered over the past financial year.

Merger with APM Déshy: On 2 June 2016, APM Déshy, a French cooperative specialized in alfalfa and beet pulp dehydration, merged into Coopérative de Connantre, hence becoming part of the Group. This merger will allow the implementation of regional operational synergies on the dehydration of sugarbeet pulp and alfalfa.

- **Distribution network**

Development of Tereos Commodities: Tereos Commodities Sugar, the creation of which was announced in November 2014, began its sugar trading, distribution and merchandising activities in August 2015. Within eight months, it had traded some 300,000 tonnes of sugar in more than 30 destinations around the world: in the Middle East, Asia and Africa, as well as in Europe. Since its creation, Tereos Commodities Sugar has established operations in strategic locations close to its main markets, including France, Switzerland, India, Brazil and Kenya. Tereos is able to support its

⁹ Including four production plants from APM Déshy

customers' international development through Tereos Commodities Sugar by offering them quality products with the guarantee of a more integrated supply chain. And because the supply chain ranges from agricultural production to consumption areas, Tereos guarantees greater transparency and efficiency. In April 2016, Tereos marked a new milestone in the development of its trading, merchandising and distribution activities by expanding the scope of Tereos Commodities' activities to the trading and distribution of ethanol.

Acquisition of Napier Brown Sugar, a sugar distributor in the United Kingdom: in May 2015, Tereos acquired Napier Brown Sugar in the United Kingdom, one of Europe's largest independent sugar distributors, thereby significantly strengthening the Group's distribution capabilities in a sugar deficit market that is strategic for its continental European sugar business.

- **International development**

Joint acquisition of a controlling interest in Transmara, a Kenyan sugar plant. In August 2015, Sucrière des Mascareignes Ltd., which is 40%-owned by Tereos Ocean Indien, acquired 51% of Transmara Sugar Company Limited, a sugar producer located in Kenya with an existing crushing capacity of 600,000 tonnes and a production of sugar of 60,000 tonnes last year.

Starch & Sweeteners China: Start-up of the Dongguan wheat starch plant with an annual milling capacity of more than 500,000 tonnes of wheat to produce starch, sweeteners, and potable alcohol. Development and launch of new production lines in the Tieling plant with a corn processing capacity of 700,000 tonnes.

Starch & Sweeteners Indonesia: First full year of activity since Tereos' investment in the Cilegon factory, with 330,000 tonnes capacity of corn processing. Investment in maltodextrin facility is on-going.

- **Legal structure simplification and financial structure improvements**

Delisting tender offer of Tereos Internacional announced on 4 December 2015. The price proposed for the offer is R\$65 per share. The process is expected to be finalized in the third quarter of 2016.

Refinancing of some €550 million successfully carried out since 1 April 2015.

Payment of Petrobras' final capital injection into Tereos Sugar & Energy Brazil, for an amount of €67 million, occurred on 5 January 2016 as planned.

- **Innovation**

Vegetable proteins: As part of the *GenVie* project, Tereos began to build an industrial pilot plant in 2016 at its Marckolsheim site in Alsace to manufacture vegetable protein-based products. *GenVie*, which won the World Innovation Competition in April 2015, will enter a new development phase by beginning to distribute its products in 2017 on an initial test market of mass catering companies in France and Germany.

- **Results of Operations**

Comparison of the financial years ended 31 March 2016 and 31 March 2015.

1. Consolidated Revenues and Adjusted EBITDA

The Group's consolidated revenues stood at €4,201 million in 2015/16 compared to €4,300 million in 2014/15 (down €99 million, but up €56 million, or 1.3%, at constant exchange rates). Despite the growth of sugar volumes sold, the recovery of world sugar and Brazilian ethanol prices in the second half of the financial year and the integration of Vertente, the substantially lower average 2015/16 prices of both European sugar and starch & sweeteners negatively impacted revenues compared to last year.

Adjusted EBITDA¹⁰ (before price complements) for the Group stood at €439 million in 2015/16, compared to €453 million in 2014/15 (down €14 million, but up €26 million, or 5.7%, at constant exchange rates), affected by the historically low levels of world and European sugar prices, and continued pressure on margins on raw materials for starch and sweeteners in Europe. Overall the Group's EBITDA margin was resilient, at 10.5%, in line with previous years.

EBITDA contribution from Sugar International and Starch & Sweeteners increased compared to the prior year, and helped to partly offset the further drop in EBITDA from Sugar Europe. Furthermore, Tereos achieved a significant improvement in profit generation in the second half of the 2015/16 year. EBITDA in H2 last year was 67% higher than in H1 and 27% higher than in the same period of the previous financial year. This was due to the initial benefits of the Group's €100 million 3-year performance improvement plan and the improvement of market conditions in the second half of the year, with a recovery of world sugar prices as well as Brazilian and European ethanol prices, and lower cereal and energy prices. Overall, Adjusted EBITDA in H2 2015/16 stood at €275 million compared to €164 million in H1 2015/16 and €217 million in H2 2014/15.

The Group's adjusted EBITDA forecast for the financial year ending 31 March 2017 is presented in Section 10 below.

¹⁰ Adjusted EBITDA are references to Adjusted EBITDA before price complements which corresponds to the net income (loss) before income taxes, share of profit of associates and joint ventures, net financial income (expense), depreciation, amortization and change due to harvest, impairment of assets and gain on bargain purchase, and price complements. It is also restated from the change in fair value of financial instruments, of inventories and of sales and purchase commitments, from the change in fair value of biological assets, and from non-recurring items (mainly disposals of subsidiaries) and seasonality effect. The seasonality effect corresponds to a timing difference in the recognition of depreciation and price complement between the Company's Consolidated Financial Statements under IFRS and Company's management accounts. Adjusted EBITDA before price complement is not a financial measure defined by IFRS as a measurement of financial performance and may not be comparable to other similarly-titled indicators used by other companies. Adjusted EBITDA before price complement is provided as additional information only and should not be considered as a substitute for operating income or net cash provided by operating activities.

The table below sets forth selected Group consolidated income statement data for the financial years ended 31 March 2016 and 31 March 2015 (in million Euros):

(MILLIONS OF EUROS)	2014/15	2015/16
Revenue	4,300.2	4,201.0
Adjusted EBITDA before price complement - total reportable segment	453.1	439.3
Seasonality adjustment	(22.1)	(1.2)
Adjusted EBITDA before price complement - Consolidated financial Statements	431.1	438.2
Change in fair value of biological assets	7.5	21.4
Change in fair value of financial instruments, of inventories and of sales & purchase commitments	0.1	(0.2)
Price complements	38.1	(2.2)
Impairment of assets / Gain on bargain purchase	0.0	0.5
Depreciation, amortization and change due to harvest	(346.5)	(358.2)
Operating income	130.3	99.5
Net financial result	(110.7)	(103.3)
Income taxes	(21.6)	(36.2)
Share of profit of associates	19.3	5.6
Consolidated net result	17.3	(34.4)

Revenues and Adjusted EBITDA by division

The following discussion presents the revenues and Adjusted EBITDA of the Group split among its three divisions: (i) Sugar Europe (which covers sugarbeet processing and distribution in Europe), (ii) Sugar International (which covers sugarcane processing and energy activities in Brazil, Africa and the Indian Ocean) and (iii) Starch & Sweeteners (which covers cereals and tubers processing in Europe, Brazil and Indonesia).

The summary table below sets forth the revenues and Adjusted EBITDA of the Group split among its three divisions:

Revenues (millions of euros)	2014/15	2015/16	2015/16 vs 2014/15 (%)
Sugar Europe	1,876	1,760	-6%
Starch & Sweeteners	1,489	1,509	1%
Sugar International	1,089	1,066	-2%
Others	-153	-133	-
Total	4,300	4,201	-2%

Adjusted EBITDA (millions of euros)	2014/15	2015/16	2015/16 vs 2014/15 (%)
Sugar Europe	205	146	-29%
Starch & Sweeteners	78	92	17%
Sugar International	173	207	20%
Others	-3	-5	-
Total	453	439	-3%

1.1. Sugar Europe

Total volume of sugarbeet processed by the Group in the 2015 crop was down approximately 12% to 17.4 million tonnes in Europe (compared to 19.8 million tonnes in the previous crop), due to a combination of lower acreage (-9% year-on-year), in part as a result of significant existing inventory weighing on EU quota sugar prices, and a lower average yield due to slightly less favourable weather conditions (-4%, at 84.9 tonnes per hectare on average in 2015 compared to 88.7 tonnes per hectare in the previous crop).

As a result, volumes of polarized sugar produced in Europe by the Group stood at 2.8 million tonnes in 2015/16 crop, compared to 3.2 million in the previous crop (-13%). Volumes of sugar and alcohol/ethanol sold in the 2015/16 financial year stood respectively at 2.4 million tonnes (including 0.2 million tonnes for Napier Brown Sugar) and 641 thousand m³ (+6% and -5% respectively compared to the previous financial year).

Revenues for Sugar Europe decreased by 6%, from €1,876 million in 2014/15 to €1,760 million in 2015/16, primarily due to the impact of lower average industry quota and non-quota sugar prices (*i.e.*, -17% and -8% respectively compared to last year, for Tereos Sugar France).

Revenues for Sugar Europe were also impacted by lower ethanol volumes in the Czech Republic (linked to an accidental production interruption in Dobrovice).

Overall operational performance was satisfactory, notably with high daily volumes of beet processed in the French plants (132,500 tonnes per day on average)

The Adjusted EBITDA of Sugar Europe, before price complements, decreased by 29%, from €205 million to €146 million, due to the decrease of average sugar prices which was partially offset by higher average ethanol prices in the financial year, the reduction in unitary industrial and logistics costs (*e.g.*, reduction of sugarbeet transportation cost to the plant, operational performance plan results, reduction in energy consumption) and the decrease in energy prices.

1.2. Sugar International

Total volume of sugarcane processed in the 2015/16 crop was down approximately 2.5% to 22.0 million tonnes in Sugar International (compared to 22.6 million tonnes in the previous crop), due principally to unfavorable weather conditions in Brazil (El Niño generated heavier rains in the back end of the campaign and lower own sugarcane yield by 4% at 78.7 tonnes per hectare) and Mozambique (drought with yields down by 13% at 47 tonnes per hectare). On the contrary, volumes were slightly up in the Reunion Island, at 1.9 million tonnes (compared to 1.8 million tonnes last year) thanks to favourable weather conditions. As a result, volumes of sugar produced in the Sugar International division stood at 1.7 million tonnes in the 2015/16 crop, compared to 1.8 million tonnes in the previous crop. Volumes of sugar and ethanol sold in the 2015/16 financial year stood respectively at 1.9 million tonnes and 700 thousand m³ (-0.4% and -8.8% respectively compared to the previous financial year).

Revenues for the Sugar International division decreased by 2% from €1,089 million in 2014/15 to €1,066 million in 2015/16. Revenues were impacted by slightly lower volumes overall and lower average European prices (impacting mainly sales from the Reunion Island), but benefited from higher average world sugar and Brazilian ethanol prices in the second half (impacting favourably, principally, the Group's Brazilian operations). Overall revenue grew by 16% at constant currency but the depreciation of the Brazilian Real in particular compared to the Euro led to a marginal drop of revenue expressed in Euro.

The average NY11 world sugar price decreased by 16% in the 2015/16 financial year (compared to 2014/15); however, adjusting for the depreciation of the Brazilian Real compared to the US Dollar, average realized sugar prices expressed in Brazilian Reals increased by 22% in 2015/16 compared to the previous year. In addition ethanol prices in Brazil increased materially in the year, up 26% on average in 2015/16 compared to the prior year, attributable to favourable government measures. The Brazilian division reached sales of electricity of approximately 750GWh from own production, down some 14% on the prior financial year, reflecting lower biomass this year.

Significant performance improvements were achieved in the Group's Brazilian operations, both on the agricultural and industrial front. Harvesting efficiency for example was up some 11% (measured in tonnes of sugarcane harvested per machine per day), and overall industrial equipment efficiency was up some 7.1 ppts year-on-year, thanks to substantial improvements in maintenance processes.

In the Indian Ocean, the operational performance was satisfactory, whilst performance in the Group's Mozambican operations was impacted by low crop volumes as a result of very unfavourable weather conditions this year.

The Adjusted EBITDA of the Sugar International division increased by 20% from €173 million in 2014/15 to €207 million in 2015/16 (up 45% at constant exchange rates). This was mainly due to increased realized sugar and ethanol prices for the Group's Brazilian business, as a result of the recovery in world sugar prices and Brazilian ethanol prices started in August 2015, as well as substantial efficiency increase and cost control measures in Brazil, both on the agricultural and industrial fronts. These improvements more than compensated the negative impact of the decline in prices of sugar exported to Europe on the Group's Indian Ocean business, and low crop volumes at the Group's Mozambican operations.

1.3. Starch & Sweeteners

Revenues for the Starch & Sweeteners division increased by 1% from €1,489 million in 2014/15 to €1,509 million in 2015/16.

In Europe, total volumes of cereals processed amounted to 3.9 million tonnes (including joint ventures) in 2015/16, up 2% on the comparable prior period, reflecting good sales progress, mostly on starch and sweeteners. Despite this increased volume of production and sales, and the positive impact of higher average ethanol market price in the financial year, the revenues of the Starch & Sweeteners division remained stable in Europe due to the strong pressure on prices in certain segments of starch products as well as on sweeteners, influenced by the lower sugar prices.

Revenues from the Starch & Sweeteners division in Brazil increased substantially in local currency (+26% at constant exchange rate) thanks to significant volume growth, but the depreciation of the Brazilian Real compared to the Euro led to stable revenues expressed in Euro. Furthermore, the division's revenues benefited from the consolidation on a full year basis in 2015/16 of the acquired Indonesian activities.

Adjusted EBITDA increased 17% from €78 million in 2014/15 to €92 million in 2015/16. Despite the strong pressure on starch and sweeteners' margins on raw materials in Europe in the first half, the results were positively impacted by volume increase, lower energy and cereal input costs, progress in productivity plans, improved margins on ethanol and margin recovery in Starch & Sweeteners during the second semester. Profit contribution clearly improved in the second half, with an EBITDA 61% higher than in the first half of 2015/16, and 114% higher than in the second half of the prior year.

1.4. Tereos Commodities

Created in January 2015, Tereos Commodities Sugar has been consolidated for the first time on 30 June 2015. The ramp up of this company has led to revenues of €101 million in the financial year ended 31 March 2016, including revenues of €72 million related to internal Tereos group production and €29 million of external trading.

2. Net Financial Expenses

The Group's net financial expenses decreased from €111 million in 2014/15 to €103 million in 2015/16, integration of Vertente being more than offset by a lower forex impact than last year.

3. Corporate Income Tax

The Group's corporate income tax expense increased from €22 million in 2014/15 to €36 million in 2015/16, primarily as a result of a positive non-recurring tax repayment in the Group's cereal activity in Brazil in 2014/15, and improvement in results in the Group's cane activity in Brazil.

4. Net Income

Net income decreased from €17 million in 2014/15 to -€34 million in 2015/16, primarily due to the lower operational results described above, but also lower result contribution in the Group's joint-ventures in China mainly resulting from the production start this year in Dongguan. Net income showed a significant recovery during H2 2015/16 (+€63 million) compared to H1 2015/16 (-€97 million) and H2 2014/15 (-€32 million).

5. Paid Capital Expenditures

In 2015/16, the Group's agricultural and industrial capital expenditures (excluding financial investments in other companies) amounted to €309 million, compared with €369 million in 2014/15. Financial investments totaled €157 million, compared to €39 million in the prior year, as the Group realized important strategic investments, mainly in Napier Brown Sugar (in the United Kingdom), Boortmalt (in the Netherlands), China (capital increases in the Starch & Sweeteners joint-ventures) and Transmara (Kenya).

6. Working Capital

Operational working capital decreased by €39 million (-4% compared to last year) driven by positive forex impact while integration of Vertente was offset by better management of working capital.

7. Price Complements and Dividends to Shareholders

In 2015/16, price complements were limited to €2 million.

In 2014/15, the Group registered a positive difference of €17 million of price complements related to the difference between the amount of price complements recognized in the form of a provision as at 31 March 2014 with regards to the 2013 campaign, the amount finally paid out in 2014/15 for the 2013 campaign, and the provision for the 2014 campaign recognized in 2014/15.

Price complements are additional payments paid to cooperative members (beyond the price for crops paid at the time of harvest), dependent on the profit recognized by the cooperative union and other factors, in proportion to the amount of sugarbeet crops provided at harvest in France. Earnings from Group activities outside of the primary activity of the cooperative may be distributed to cooperative members in the form of dividends, in proportion to the amount of share capital held.

The dividends and price complements paid by the Group to its cooperatives amounted to €16.7 million in 2014/15 and €14.5 million in 2015/16.

8. Borrowings and Financial Debt

The Group's net financial debt (excluding debt owed to related parties) was €2,079 million as at 31 March 2016, compared to €2,025 million as at 31 March 2015, with Vertente's net debt integration partly offset by a positive exchange rate effect (appreciation of the Euro relative to the Real and USD). At constant exchange rates and excluding Vertente impact, the Group's net debt decreased by €9 million compared to the previous financial year.

Non-current financial debt was €1,546 million as at 31 March 2016, compared to €1,508 million as at 31 March 2015. This increase was mainly due to increased borrowing of long-term bank loans.

As at 31 March 2016, the Group had cash and cash equivalents of €380.5 million and committed but undrawn credit lines of €453.5 million, giving a total of financial capacity of €834 million.

A full description of the Group's current debt structure is set out in note 4.16.1 of its consolidated audited financial statements in 2015/16 included in this Prospectus.

As at 31 March 2016, the Group's net debt / Adjusted EBITDA ratio, restated for seasonal operational working capital, amounted to 4.6x (4.7x before restatement), compared to 4.1x (4.5x before restatement) as at 31 March 2015 and 5.9x (5.9x before restatement) as at 30 September 2015. In the medium term the Group targets to achieve a net debt / Adjusted EBITDA ratio of 2.5x to 3.0x.

The table below sets out the maturity profile of the Group's outstanding financial debt as of 31 March 2016 on a historical basis (in million euros), in line with 2015/16 audited financial statements in which revolving credit lines are classified with a one-year maturity in accordance with IFRS rules:

	Total	2017	2018	2019	2020	2021	2022 and later
Extendible short-term credit facilities..	702	599	100	3	—	—	—
Medium- and long-term credit facilities	1,261	314	376	248	156	121	45
Bonds due 2020	496	—	—	—	496	—	—
Total financial debt	2,460	914	476	251	653	121	45
<i>Amortized cost</i>	<i>-11</i>	<i>-4</i>	<i>-4</i>	<i>—</i>	<i>-3</i>	<i>—</i>	<i>—</i>
Total financial debt (excluding amortized cost)	2,471	918	480	251	656	121	45

The table below sets out the maturity profile of the Group's outstanding financial debt as of 31 March 2016 on a historical basis (in million euros) considering the reallocation of part of the revolving credit lines in accordance with their final maturity dates:

	Total	2017	2018	2019	2020	2021	2022 and later
Extendible short-term credit facilities..	702	237	445	3	—	17	—
Medium- and long-term credit facilities	1,261	314	376	248	156	121	45
Bonds due 2020	496	—	—	—	496	—	—
Total financial debt	2,460	552	821	251	653	138	45

Refinancing

The Group has decided to refinance in advance existing credit facilities of Tereos UCA, for an amount of €205 million, maturing in March 2018. In this view, it has entered into a commitment letter and a term sheet with a pool of relationship banks on 6 June 2016 providing for the replacement of these existing credit facilities of Tereos UCA by a new €225 million revolving credit facility. This facility with a 5-year maturity will bear interest at a rate determined on the basis of Euribor plus a margin. The proceeds of the revolving credit facility will be used for general corporate purposes of Tereos UCA and of the Group.

The signing of the corresponding agreement is scheduled for July 2016 at the latest and remains subject to the satisfaction of customary conditions precedent.

The table below sets out the maturity profile of the Group's outstanding financial debt as of 31 March 2016 on a *pro forma* basis after giving effect to the Bonds issue and the other refinancing secured and after repayment of the €170 million term loan of Tereos EU (in million euros).

	Total	2017	2018	2019	2020	2021	2022 and later
Extendible short-term credit facilities..	702	237	390	3	—	17	55
Medium- and long-term credit facilities	1,095	240	284	248	156	121	45
Bonds due 2020	496	—	—	—	496	—	—
Bonds due 2023	400	—	—	—	—	—	400
Total financial debt	2,693	478	674	251	653	138	500

9. Rating

As of the date of this Prospectus, the Guarantor is rated BB/Stable outlook by Standard & Poor's Ratings Services and BB/Stable outlook by Fitch Ratings.

10. Adjusted EBITDA forecasts for the financial year ending 31 March 2017

The Group's adjusted EBITDA¹¹ forecasts for the financial year ending 31 March 2017 are based on information, assumptions and estimates that the Group considers to be reasonable as of the date of this Prospectus. These are subject to uncertainties related in particular to the economic, financial, competitive, tax or regulatory environment or as a result of other factors that are not under the Group's control or are unforeseeable as of the date of this Prospectus. The occurrence of one or more of the risks described in the section "Risk Factors" of this Prospectus could also affect the business, results of operations, financial condition and prospects of the Group and thus affect its ability to achieve these forecasts. No assurance or guarantee can be given that the Group's actual results for the year ending 31 March 2017 will be in line with the forecasts described in this section.

¹¹ Adjusted EBITDA are references to Adjusted EBITDA before price complements which corresponds to the net income (loss) before income taxes, share of profit of associates and joint ventures, net financial income (expense), depreciation, amortization and change due to harvest, impairment of assets and gain on bargain purchase, and price complements. It is also restated from the change in fair value of financial instruments, of inventories and of sales and purchase commitments, from the change in fair value of biological assets, and from non-recurring items (mainly disposals of subsidiaries) and seasonality effect. The seasonality effect corresponds to a timing difference in the recognition of depreciation and price complement between the Company's Consolidated Financial Statements under IFRS and Company's management accounts. Adjusted EBITDA before price complement is not a financial measure defined by IFRS as a measurement of financial performance and may not be comparable to other similarly-titled indicators used by other companies. Adjusted EBITDA before price complement is provided as additional information only and should not be considered as a substitute for operating income or net cash provided by operating activities. Price complements are defined in Section 7 of the *Management's Discussion and Analysis of financial condition and results of operations*.

The Group has established its forecasts on the basis of the accounting principles applied by Tereos UCA for the preparation of its consolidated financial statements for the financial year ended 31 March 2016.

These forecasts are principally based on the following assumptions for the financial year ending 31 March 2017:

- the absence of material changes in the accounting principles or scope of consolidation as compared to Tereos UCA's consolidated financial statements for the year ended 31 March 2016;
- the absence of significant changes to regulatory and tax conditions compared to those in effect on 31 March 2016;
- a moderate increase in the average world price for raw sugar (NY11) for the financial year ending 31 March 2017, compared to the average of the prior financial year and of the price of sugar in the European market in the second half of the financial year ending 31 March 2017;
- slightly higher volumes of sugar produced and sold by the Group, notably from Europe and Brazil, in the financial year ending 31 March 2017, compared to the prior financial year;
- lower average energy and cereal prices in Europe, and additional benefits from the Group's performance improvement plans, compared to the prior financial year; and
- an average exchange rate of 1 US\$ for 4.23 BRL and an average exchange rate of 1 Euro for 4.46 BRL.

On the basis of the assumptions described above, the Group's Adjusted EBITDA forecast for the financial year ending 31 March 2017 is a range of €525 to €550 million.

RECENT DEVELOPMENTS

Press release dated 7 June 2016

2015/2016 ANNUAL RESULTS AND OUTLOOK

In a context of strong and simultaneous decline of the price of sugar at European and world levels, Tereos delivered good operational performance in fiscal 2014/15. The Group's adjusted EBITDA amounted to €439 million, with a margin on sales of 10.5%, in line with the previous year. Net debt decreased by €81 million at constant perimeter.

Tereos continued to implement its long-term strategy to strengthen its agricultural, industrial and commercial competitiveness and consolidate strong market positions internationally.

The first phase of the 2015/18 plan to reduce costs and improve productivity delivered fully satisfactory results. With respect to the announced aim of €100 million in terms of annual impact at the end of the plan, €30 million were delivered this year versus 2014/15.

Moreover, during the 2015/16 financial year, the Group succeeded in bolstering its positions by significantly expanding its distribution network in the UK and by strengthening its presence in emerging markets (Indonesia, China and Kenya).

The APM Déschy cooperative (1100 cooperative growers, 4 industrial sites in department of Marne) joined Tereos in June 2016.

Tereos CEO Alexis Duval stated: *"Market environment in fiscal 2015/16 was very poor, probably one of the toughest the Group has ever faced. In this difficult context the continued progress on our performance plan, the increased contribution of our international activities and our diversification strategy are enabling us to post a strong operational performance, in line with fiscal 2014/15. Thanks to the major initiatives we have taken, we can expect a significant increase in our 2016/17 operational result and a growing contribution of our international activities."*

Thierry Lecomte, Chairman of Tereos Supervisory Board, emphasized: *"Thanks to the internationalization and diversification strategy that we have been deploying over many years, we are facing future evolutions of the sugar market with confidence. The long-term strategy we have launched over 20 years ago is proving more than ever before all its resilience in the context of the fundamental market evolutions we are experiencing. Over the long term, our Group is the one that has paid the best prices for sugarbeet in France since the reform of 2008. For French sugarbeet, we projected a volume increase of 15 to 18 million tonnes, and ultimately we will have exceeded 18 million tonnes."*

- ✓ Operating performance plans generated some €30 million, in line with our forecasts.
- ✓ An adjusted EBITDA of €439 million, i.e. a margin on sales of 10.5%, in line with 2014/15.
- ✓ Strong growth in the contribution of international and diversification activities to the adjusted EBITDA: €294 million, i.e. 67%.
- ✓ A net income of -€34 million. The evolution vs the prior year results from lower than previous year due higher taxes and non-recurring items variation.
- ✓ Net debt €81 million lower than last year at constant perimeter.
- ✓ Tereos forecasts in 2016/17 a significant increase in the adjusted EBITDA, up between 20% and 25%.
- ✓ Strengthening of our distribution network in Europe: sales volume potential of 300,000 tonnes in the UK through the acquisition of Napier Brown.
- ✓ Development of our international trading activities: nearly 300,000 tonnes of sugar distributed by Tereos Commodities during its first months of activity. Opening of 6 sales offices in Europe, India, Singapore, Africa and Brazil. Scope expansion to ethanol trading in April 2016.

- ✓ Start-up of the starch factory in Dongguan (China) and production development at the Tieling (China) and Cilegon (Indonesia) starch factories.
- ✓ Strengthening of our foothold in East Africa via the acquisition of the Transmara sugar plant in Kenya.
- ✓ Sugar Europe: our commitments to develop production from 2017 were met beyond our objective of 18 million tonnes of beet in France. Volumes will increase from 15 to 16 million tonnes of beet already during the 2016 campaign.

1. HIGHLIGHTS IN 2015/16

Despite historic lows in worldwide and European prices in August 2015, the Group continued to implement its long-term strategy by boosting its agricultural, industrial and commercial performances.

MARKETS

- ✓ International sugar: a 4th consecutive year of surplus production worldwide which continues a long cycle of collapsing world sugar prices.
- ✓ European sugar: a European market penalized by high inventory levels and the decrease in the world price which reached a low point in the summer of 2015.
- ✓ Brazilian ethanol: favorable tax measures led to a strong increase in demand for hydrous ethanol. This, combined with increased gasoline prices on the domestic market, led to a strong increase in ethanol prices.
- ✓ European ethanol: despite a net recovery in average prices (T2 Rotterdam) over the fiscal year, prices remained lower than during the 2010-2013 period.
- ✓ Starch products: market growth remains strong worldwide but it is now fully supported by emerging countries. China is currently the largest starch consumer market in the world, ahead of the US.

PROCESSED RAW MATERIALS

- ✓ Sugar beet: 17.4 million tonnes
- ✓ Sugar cane: 22.0 million tonnes
- ✓ Cereal crops, potatoes and manioc: 4.5 million tonnes

PRODUCTION

- ✓ Sugar: 3.7 million tonnes (or 3.9 million tonnes in raw sugar value)
- ✓ Starch products: 2.1 million tonnes
- ✓ Alcohol and ethanol: 1.7 million m3

Operational performance

- ✓ **Roll-out of our performance plans:** As part of our aim to continually improve performance, all of our Business Units implemented performance improvement plans to which all of the facilities and support functions are committed. These plans include structural optimization and improvement measures in the fields of agricultural performance, industrial productivity and logistical efficiency. They allowed us to post €30 million gains in fiscal 2015/16 and aim to deliver €100 million in recurring operational gains by 2018.
- ✓ **Completion of our energy savings plan:** €100 million have been invested since 2012 in a large-scale energy savings plan in the Group's French sugar plants. Replacing fuel with natural gas and modifying the thermal schemes have enabled us to lower our energy consumption by 15% and to reduce CO₂ emissions by 20%.

- ✓ **Merger with APM Déshy:** The APM Déshy cooperative, which joined the Tereos Group in June 2016, includes 4 industrial facilities for dehydrating pulp and alfalfa in the Marne region near the Connantre sugar plant and Haussimont starch factory. This merger reflects the intention of the two cooperatives to prepare for the 2020 CAP reform and to leverage their complementarities at regional level.

Distribution network

- ✓ **Development of Tereos Commodities:** Following the announcement of its launch in November 2014 and the start-up of its sugar trading, distribution and merchandising activities in March 2015, Tereos Commodities distributed some nearly 300,000 tonnes of sugar to over 30 destinations worldwide, mainly in the Middle East, Asia and Africa. In April 2016, Tereos, which produces almost 2 million m³ of ethanol per year, took another step forward by expanding Tereos Commodities' scope of activities to include ethanol. Since its creation, Tereos Commodities set up branch offices at strategic locations close to its main markets, in particular in France, Switzerland, Singapore, India, Brazil, and Kenya. In so-doing, Tereos supports the international development of its customers with quality products while offering a well-managed and more integrated supply chain from agricultural production to consumption zones.
- ✓ **Acquisition of Napier Brown:** In May 2015, Tereos acquired Napier Brown, the third largest supplier of sugar on the British market. As a result of this acquisition, Tereos now enjoys more than 300,000 tonnes of additional demand for exported sugar, equivalent to 2 million tonnes of sugarbeet. This acquisition will allow Tereos to offer its customers an expanded product offering as well as first rate logistical services in the United Kingdom.

International development

- ✓ **Starch and sweeteners in China:** Start-up of the Dongguan wheat starch plant with an annual milling capacity of more than 500,000 tonnes of wheat to produce starch, sweeteners, and potable alcohol. Development and launch of new production lines in the Tieling plant with a corn processing capacity of 700,000 tonnes.
- ✓ **Starch and sweeteners in Indonesia:** doubling of Cilegon's plant activity level doubled for its full year since acquisition.
- ✓ **Joint acquisition of a majority stake in Transmara Sugar Company Limited. (TSCL) in Kenya:** Tereos and the Mauritian sugar Group Alteo acquired a majority stake in Transmara in Kenya. The deal was concluded through their joint subsidiary Sucrière des Mascareignes. After the successful venture in Tanzania with its partner Alteo, Tereos is strengthening its positions in this region of East Africa, where sugar consumption is increasing rapidly and where sugar production is largely insufficient.

Innovation

- ✓ **Vegetable proteins:** As part of the *GenVie* project, Tereos began to build an industrial pilot plant in 2016 at its Marckolsheim site in Alsace to manufacture vegetable protein-based products. *GenVie*, which won the World Innovation Competition in April 2015, will enter a new development phase by beginning to distribute its products in 2017 on an initial test market of mass catering companies in France and Germany.
- ✓ **Green chemistry:** Continuation of the partnership with Michelin on the *Biobutterfly* Project, to produce tyres made from biomass. At the end of 2015, biomass produced by Tereos and originating from sugarbeet was successfully selected against other competing sources.
- ✓ **Second generation biofuels:** Construction of an industrial prototype plant to produce second generation ethanol at the Bucy le Long (Aisne) site as part of the Futurol project which brings together 11 R&D, manufacturing and trading partners.
- ✓ **ED95:** During the Cop 21 in Paris, Tereos and Scania unveiled a "climate bus". Fitted with a Scania engine, it runs on ED95, a renewable fuel of local origin with a 95% ethanol content. It is produced by Tereos from residue left after processing sugarbeet grown in the Greater Seine Basin. This bus was used by several officials as a mode of transport during the Cop 21 conference. ED95 biofuel was certified and approved for use in April 2016.

Finance

- ✓ **Last €67 million capital injection** performed by Petrobras Biocombustivel in Tereos Sugar & Energy Brazil.
- ✓ **Announcement in December 2015 of a proposed offer to delist Tereos Internacional.** The offer is expected to be completed in Q2 2016/17.
- ✓ **Advanced refinancing at Tereos UCA level** of existing €205 million bank lines maturing in March 2018, with a new 5-year €225 million revolving credit facility secured with a group of relationship banks.
- ✓ **Tereos also announces today the launch of a 7-year bond offering of €400 million.** The net proceeds from the issuance of the bonds will be used for general corporate purposes and for debt refinancing, including the refinancing of €170 million of bank debt at Tereos EU level due September 2017. Tereos expects the bond to be rated by Standard & Poor's and Fitch. Ratings announcements are expected to be released shortly by the respective rating agencies

2. 2016/17 OUTLOOK

A significant recovery in world sugar prices since the summer of 2015 following the announced return of world production below 2016 and 2017 expected consumption levels after 5 years of consecutive surpluses. Overcapacities that had been created by the 2000/10 commodities boom have now been absorbed by the effect of demographic growth.

In Europe, high inventory levels which impacted prices for 2 years have returned to a low level, which should enable a better valorization of productions in 2016/17.

The next campaign in France will see an increase in volumes of sugarbeet processed to 16 million tonnes for the last campaign under quota regime

The group's international activities should continue their increased contribution to operating results, especially driven by the group's Brazilian operations.

Against this background, Tereos expects to see a major increase in its adjusted EBITDA in 2016/17, up between 20% and 25%.

3. FINANCIAL RESULTS

In € million	2014/15	2015/16	var
Revenue	4 300	4 201	- 2.3%
Adjusted EBITDA¹	453	439	- 3%
Adjusted EBITDA margin¹	10.5%	10.5%	
Net result²	17	- 34	
Net debt / adjusted EBITDA¹	4,5x	4,7x	

1 See definition page 9.

2 Net result after price complements.

The Group's consolidated revenues stood at €4,201 million in 2015/16, down €99 million (€4,300 million in 2014/15). Revenues were up €56 million, or 1.3%, at constant exchange rates, thanks to the growth of volumes sold, the recovery of world sugar and Brazilian ethanol prices in the second half of the financial year, the integration of Vertente, and despite the substantially lower average 2015/16 prices of both European quota sugar and starch & sweeteners .

Adjusted EBITDA (before price complements) for the Group stood at €439 million in 2015/16, down €14 million (€453 million in 2014/15), but up €26 million, or 5.7%, at constant exchange rates. It was affected by the historically low levels of world and European sugar prices. Overall the Group's adjusted EBITDA margin was resilient, at 10.5%, in line with the previous year.

Adjusted EBITDA contributions from Sugar International and Starch & Sweeteners increased compared to the prior year, and helped to partly offset the further drop in adjusted EBITDA from Sugar Europe.

Tereos achieved a significant improvement in adjusted EBITDA in the second half of the 2015/16 year. It was 67% higher than in H1 and 27% higher than in the same period of the previous financial year. This was due to the initial benefits of the Group's €100 million 3-year performance improvement plan and the improvement of market conditions in the second half of the year, with a recovery of world sugar prices as well as Brazilian and European ethanol prices, and lower cereal and energy prices. Overall, adjusted EBITDA in H2 2015/16 stood at €275 million compared to €164 million in H1 2015/16 and €217 million in H2 2014/15.

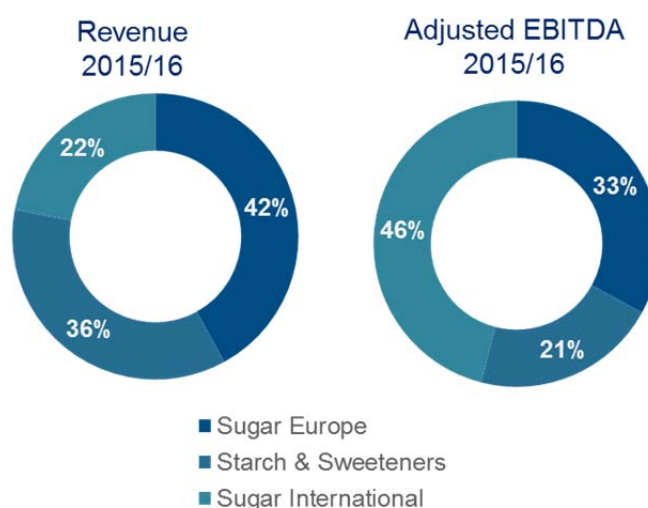
Net financial expenses stood at €103 million.

Net profit stood at -€34 million.

Net debt stood at €2,079 million decreasing by €81 million at constant perimeter (€2,160 million at 31st March 2015 including Vertente).

Net debt to adjusted EBITDA ratio, restated for seasonal operational working capital, stood at 4.6x at 31st March 2016, vs 4,1x at 31st March 2015 and 5,9x at 30th September 2015.

4. RESULTS BY ACTIVITY AND GEOGRAPHICAL AREA



SUGAR EUROPE

The turnover of Sugar Europe is down by 6%, from €1,876 million in 2014/15 to €1,760 million in 2015/16, mainly due to average prices declining for the industry quota and non-quota sugar (i.e., -17% and -8% respectively compared to last year for Tereos Sugar France). The turnover of Sugar Europe has also been impacted by a drop in ethanol volumes in the Czech Republic (related to the accidental production interruption in Dobrovice). Overall, the operational performance was satisfactory, in particular with high volumes of beet processed on a daily basis (132,500 tonnes per day on average in France).

Adjusted EBITDA, before price complements, declined by 29%, from €205 million to €146 million, as a result of the decline in the price of sugar which was partially offset by higher average prices of ethanol, the reduction of industrial and logistics unit costs (reduced transport costs of beet, results of operational performance plans, reduction of energy consumption) and the drop in the price of energy.

SUGAR INTERNATIONAL

The turnover for Sugar International decreased by 2%, from €1,089 million in 2014/15 to €1,066 million in 2015/16. The turnover was impacted by slightly lower overall volumes and lower average prices in Europe (mainly concerning sales from Réunion Island), but has also benefited from higher world sugar prices and ethanol prices in Brazil in the second half of the year (mainly impacting positively the Group's activities in Brazil). Overall, the turnover increased by 16% at constant exchange rates, but the depreciation of the Brazilian Real in particular against the Euro led to a marginal decline of turnover expressed in Euros.

The adjusted EBITDA of Sugar International increased by 20%, from €173 million in 2014/15 to €207 million in 2015/16 (an increase of 45% at constant exchange rate). This is mainly due to the increase in sugar and ethanol sales prices for our business in Brazil, resulting from the recovery of world sugar prices and ethanol prices in Brazil from August 2015, but also from the substantial improvement in operational efficiency and cost control measures in Brazil, both at agricultural and industrial levels. These improvements more than offset the negative impact of the decline in the price of sugar exported to Europe from the Indian Ocean, and the low volumes harvested in Mozambique.

STARCH AND SWEETENERS

The turnover of Starch and Sweeteners increased by 1%, from €1,489 million in 2014/15 to €1,509 million in 2015/16.

In Europe, despite rising production and sales volumes, and the positive impact of the average market price of ethanol over the year, turnover remained stable due to strong pressure on prices in some segments of starch products and in sweeteners, influenced by lower sugar prices. In local currency terms, in 2015/16, turnover increased significantly in Brazil (+ 26% at constant exchange rate) thanks to a strong growth in volumes, but the depreciation of the Brazilian Real against the Euro resulted in a stable turnover expressed in Euros. Furthermore, the turnover of Starch and Sweeteners benefited from the consolidation over a full year in 2015/16 of the business acquired in Indonesia. Adjusted EBITDA increased by 17%, from €78 million in 2014/15 to €92 million in 2015/16. Despite the strong pressure on margins on raw material cost for starches and sweeteners during the first half of the year, results were positively impacted by volume growth, dropping energy and grain prices, progressing productivity plans, improving ethanol margins and a recovery of margins for starch products in the second half of the year. The contribution clearly improved in the second half of the year with an EBITDA 61% higher than in the first half of 2015/16, and 114% higher than in the second half of last year.

Press release dated 17 May 2016

Tereos continues to strengthen its international distribution activities by expanding the scope of Tereos Commodities to ethanol.

In 2014, with the strategic intent to develop a customer-centric, sustainable value chain, Tereos announced it was creating a subsidiary called Tereos Commodities to trade, merchandise and distribute its products. Following the successful launch of Tereos Commodities' sugar trading, distribution and merchandising activities, Tereos is now expanding the subsidiary's activities into ethanol.

"The development of our international distribution activities forms part of our strategy to globalise agricultural and more unstable markets. With the development of Tereos Commodities and the expansion of its ethanol trade, we provide our customers with a high-quality offer, originating from a controlled and sustainable supply chain, in order to support them in the markets in which they are developing", stated Alexis Duval, Chief Executive Officer of Tereos.

Broadening the scope of its business activities to ethanol

Today, Tereos, which produces almost 2 million m³ of ethanol per year, is celebrating a new milestone in the development of its trading, merchandising and distribution activities by expanding the scope of Tereos Commodities' activities to ethanol.

This trading activity will be directed by Laurent Ibars, who has more than 15 years' experience in the sugar and ethanol markets in Europe and South America.

Positive initial results for its sugar platform

Tereos Commodities, whose creation was announced in November 2014, began its sugar trading, distribution and merchandising activities in March 2015. The subsidiary had traded 300,000 metric tons of sugar in more than 30 destinations around the world: in the Middle East, Asia and Africa, as well as in Europe.

Since its creation, Tereos Commodities has established operations in strategic locations close to its main markets, namely in France, Switzerland, Singapore, India, Brazil and Kenya. Tereos is therefore able to support the international development of its clients, by offering them quality products with the guarantee of an effectively managed, more integrated supply chain, from agricultural production to consumption regions.

Tereos Commodities aims to become one of the key players in white sugar distribution. With a strong industrial foot-hold in Europe and Brazil – two of the world's most competitive regions for white sugar production – and presence in East Africa, it seeks to carve a 15% market share in global white sugar distribution by 2020.

DESCRIPTION OF THE GUARANTEE

TEREOS UCA GUARANTEE

Tereos UCA, a French *union de coopératives agricoles*, whose registered office is at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte, France, and registered with the *Registre du commerce et des sociétés* of Saint-Quentin under number 407 948 926 (the “**Guarantor**”).

1. Introduction

Tereos Finance Groupe I (the “**Company**”), a French *société anonyme* with a share capital of €152,500, whose registered office is at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte, France, and registered with the *Registre du commerce et des sociétés* of Saint-Quentin under number 418 603 700, has, pursuant to a decision taken by Mr. Alexis Duval, member of the Company’s board of directors (*conseil d’administration*), dated 9 June 2016 which was taken pursuant to a decision of the Company’s board of directors (*conseil d’administration*) dated 17 May 2016, decided the issue on 16 June 2016 of its 4.125 per cent. bonds due 16 June 2023 of a maximum principal amount of €400,000,000 (the “**Bonds**”).

2. Guarantee

The Guarantor, pursuant to this agreement, confirms that it has received the final version of the prospectus submitted to the French *Autorité des marchés financiers* on 14 June 2016 and that it has full and complete knowledge of the terms and conditions of the Bonds.

In accordance with Article 2321 of the French Code civil, the Guarantor hereby irrevocably and unconditionally guarantees (*garantie à première demande*), up to a maximum aggregate principal amount of €400,000,000 plus any amount of interest due under the Bonds, to the holders of Bonds (the “**Bondholders**”) the payment of interest and principal of the Bonds, when and as the same becomes due and payable by the Company, whether at maturity or otherwise.

The Guarantor acknowledges that the above reference to the Bonds is only given for information purposes and cannot challenge the autonomous nature of this unconditional first demand guarantee.

The Guarantor shall be liable under this Guarantee as if it was the sole principal issuer under the terms and conditions of the Bonds issued by the Company. The Guarantor hereby waives any requirement that the Bondholders, in the event of any default in payment by the Company, first make demand upon or seek to enforce remedies against the Company before seeking to enforce this Guarantee. The Guarantor will not be discharged under this Guarantee by the merger, dissolution or transfer of the assets of the Company.

3. Terms

- 3.1. Recourse and subrogation: For so long as any amount remains payable in respect of the Bonds, the Guarantor will not exercise any right of subrogation against the Company pursuant to this Guarantee or take any other action that would result in asserting claims of the Guarantor at the same time as claims of the Bondholders.
- 3.2. Rank of the Guarantee: The guarantee of payment of all sums which may become due by the Company in connection with the Bonds, according to the terms of this Guarantee, constitutes, for the Guarantor, a direct, unconditional, unsubordinated and unsecured obligation, and ranks and will rank *pari passu* and (subject to such exceptions as are from time to time mandatory under French law) equally and rateably with all other present or future unsecured and unsubordinated obligations of the Guarantor.

- 3.3.** Negative pledge in respect of the Guarantee: The Guarantor undertakes, until all payments due in connection with the Guarantee have been paid, not to create or permit to subsist any mortgage, charge, pledge, lien or other form of encumbrance or security interest which would constitute a *sûreté réelle* or its equivalent under any applicable legislation upon all or part of its business (*fonds de commerce*), assets or revenues, present or future, to secure (i) any Bond Indebtedness (as defined below) or (ii) any guarantee in respect of any Bond Indebtedness (whether before or after the issue of the Bonds) unless the obligations of the Guarantor under the Bonds are equally and rateably secured therewith so as to rank *pari passu* with such Bond Indebtedness or the guarantee thereof. Such undertaking is given only in relation to security interests given for the benefit of other bondholders and does not affect in any way the right of the Guarantor to dispose of its assets or to grant any security in respect of such assets in any other circumstances.

“Bond Indebtedness” means any other present or future indebtedness for borrowed money in the form of, or represented by, bonds (*obligations*) or other securities (including *titres de créance négociables*) which are, or are capable of being, quoted, admitted to trading or ordinarily dealt in any stock exchange, multilateral trading facility, over-the-counter or other securities market.

“outstanding” means all the Bonds issued other than (a) those that have been redeemed in accordance with the terms and conditions of the Bonds, (b) those in respect of which the date for redemption in accordance with the terms and conditions of the Bonds has occurred and the redemption moneys (including all interest accrued on such Bonds to the date for such redemption and any interest payable after such date) have been duly paid as provided in condition 7 of the terms and conditions of the Bonds, (c) those in respect of which claims have become prescribed under condition 12 of the terms and conditions of the Bonds, and (d) those which have been purchased and cancelled as provided in the terms and conditions of the Bonds.

- 3.4. Withholding tax:** If, pursuant to French laws or regulations, payments under the Guarantee become subject to deduction or withholding in respect of any present or future taxes, duties, assessments or other governmental charges of whatever nature imposed by or on behalf of France or any authority therein or thereof having power to tax, the Guarantor shall, to the fullest extent then permitted by law, pay such additional amounts as may be necessary in order that the holder of each Bond, after such deduction or withholding, will receive the full amount provided in the Guarantee then due and payable thereon in the absence of such withholding; provided, however, that the Guarantor shall not be liable to pay any such additional amounts in respect of the Guarantee:

- (i) to, or to a third party on behalf of, a Bondholder who is liable to such taxes, duties, assessments or governmental charges in respect of such Bond by reason of his having some connection with France other than the mere holding of such Bond; or
- (ii) where such withholding or deduction is imposed on a payment to an individual and is required to be made pursuant to any European Council Directive 2003/48/EC, as amended, or any other EU Directive implementing the conclusions of the ECOFIN Council meeting of 26-27 November 2000 on the taxation of savings or any law implementing or complying with, or introduced in order to conform to, such Directive. In practice, such withholding or deduction should only apply in case the interest would be paid by the Issuer out of Austria.

4. Notices

All notices and demands relating to this Guarantee and in particular in relation to the payment of sums under the Guarantee, will be deemed effective if delivered by the representative of the *Masse* of the Bondholders, upon request of any Bondholder, to:

TEREOS UCA

Parvis de Rotterdam
Tour Lilleurope
F-59777 Lille
France

Fax: + 33 3 28 38 79 63

Tel: +33 3 28 38 79 59

Attention: Olivier Casanova

Any change in the above notification details shall be notified to the representative of the *Masse* of Bondholders as soon as possible.

Any sum due under this Guarantee shall be payable at the latest fifteen (15) calendar days following receipt of such a written notice, by wire transfer to the Paying Agent (currently BNP Paribas Securities Services) on behalf of the Bondholders.

5. Duration

The Guarantee applies as of the Issue Date of the Bonds and shall remain in effect until the Company has been discharged of all payment obligations under the Bonds.

6. Governing law and jurisdiction

This Guarantee is governed by and construed in accordance with French law.

Any dispute as to its validity, interpretation or performance will be submitted to the competent court located in the jurisdiction of the Paris Cour d'Appel.

TEREOS UCA

Tereos Finance Groupe I certifies that the Guarantee has been granted by Tereos UCA at its initiative.

TEREOS FINANCE GROUPE I

TAXATION

The statements herein regarding taxation are based on the laws in force in the Republic of France as of the date of this Prospectus and are subject to any changes in law. The following summary does not purport to be a comprehensive description of all the tax considerations which may be relevant to a decision to invest in the Bonds. Each prospective holder or beneficial owner of Bonds should consult its tax advisor as to the French tax consequences of any investment in or ownership and disposition of the Bonds.

EU Savings Directive

On 3 June 2003, the European Council of Economic and Finance Ministers adopted the Directive 2003/48/EC regarding the taxation of savings income (the "EU Savings **Directive**"). Pursuant to the EU Savings Directive and subject to a number of conditions being met, Member States are required, since 1 July 2005, to provide to the tax authorities of another Member State, *inter alia*, details of payments of interest within the meaning of the EU Savings Directive (interest, premiums or other debt income) made by a paying agent located within their jurisdiction to, or for the benefit of, an individual resident in that other Member State or certain residual entities established in that other Member State (the "**Disclosure of Information Method**").

For these purposes, the term "**paying agent**" is widely defined and includes in particular any economic operator who is responsible for making interest payments, within the meaning of the EU Savings Directive, for the immediate benefit of individuals.

However, throughout a transitional period, Austria may alternatively to the use of the Disclosure of Information Method, withhold an amount on interest payments. The rate of such withholding is currently 35%.

A number of non-EU countries and dependent or associated territories have agreed to adopt similar measures (transitional withholding or exchange of information) with effect since 1 July 2005.

On 9 December 2014, the Council adopted Directive 2014/107/UE which amended Directive 2011/16/EU to extend the mandatory automatic exchange of information to a wider range of income in accordance with the Global Standard released by the OECD Council in July 2014 and ensured a coherent, consistent and comprehensive Union-wide approach to the automatic exchange of financial account information in the internal market. This Directive 2014/107/UE prevails on the provisions set forth in the previous Directives on savings.

To ensure the seamless continuation of automatic reporting of financial account information, the Directive 2015/2060 dated 10 November 2015 provides the repeal of Directive 2003/48/EC with effect on 1 January 2016 subject to the following transitional arrangements:

(i) Without prejudice to the provisions set forth in paragraph (ii), the following obligations of Directive 2003/48/EC, as amended by Council Directive 2006/98/EC, shall continue to apply:

- (a) the obligations of Member States and economic operators established therein under the second subparagraph of Article 4(2) of Directive 2003/48/EC shall continue to apply until 5 October 2016 or until those obligations have been fulfilled;
- (b) the obligations of paying agents under Article 8 of Directive 2003/48/EC and of Member States of paying agents under Article 9 of Directive 2003/48/EC shall continue to apply until 5 October 2016 or until those obligations have been fulfilled;
- (c) the obligations of Member States of residence for tax purposes of the beneficial owners under Article 13(2) of Directive 2003/48/EC shall continue to apply until 31 December 2016;

(d) the obligations of Member States of residence for tax purposes of the beneficial owners under Article 14 of Directive 2003/48/EC, with regard to withholding tax levied during 2016 and previous years, shall continue to apply until those obligations have been fulfilled.

(ii) Directive 2003/48/EC, as amended by Directive 2006/98/EC, shall continue to apply with regard to Austria until 31 December 2016, with the exception of the following obligations:

(a) the obligations of Austria and the underlying obligations of the paying agents and economic operators established therein under Article 12 of Directive 2003/48/EC, which shall continue to apply until 30 June 2017 or until those obligations have been fulfilled;

(b) the obligations of Austria and economic operators established therein under the second subparagraph of Article 4(2) of Directive 2003/48/EC, which shall continue to apply until 30 June 2017 or until those obligations have been fulfilled;

(c) any obligations of Austria and the underlying obligations of the paying agents established therein arising directly or indirectly from the procedures referred to in Article 13 of Directive 2003/48/EC, which shall continue to apply until 30 June 2017 or until those obligations have been fulfilled.

Notwithstanding the transitional periods defined above for Austria, Directive 2003/48/EC, as amended by Directive 2006/98/EC, shall not apply after 1 October 2016 to interest payments with regard to accounts for which the reporting and due diligence obligations included in Annexes I and II to Directive 2011/16/EU have been fulfilled and for which Austria has communicated by automatic exchange the information referred to in Article 8(3a) of Directive 2011/16/EU within the deadline laid down in point (b) of Article 8(6) of Directive 2011/16/EU.

Investors who are in any doubt as to their position should consult their professional advisors.

French Taxation

The following is a summary of certain tax considerations that may be relevant to holders of Bonds who do not hold shares of the Issuer.

The Directive was implemented into French law under Article 242 *ter* of the French *Code général des Impôts* and Articles 49 I-*ter* to 49 I-*sexies* of Schedule III to the French *Code général des impôts*, which imposes on paying agents based in France an obligation to report to the French tax authorities certain information with respect to interest payments made to beneficial owners domiciled in another Member State, including, among other things, the identity and address of the beneficial owner and a detailed list of the different categories of interest paid to that beneficial owner.

Pursuant to Article 125 A III of the French *Code général des impôts*, interest and other similar revenues (such as reimbursement premiums) which are paid by the Issuer outside of France in a non-cooperative State or territory within the meaning of Article 238-0 A of the French *Code général des impôts* (a "**Non-Cooperative State**"), are subject to a 75% withholding tax (subject to more favourable provisions applying under an applicable tax treaty), unless the Issuer demonstrates that the main purpose and effect of the transactions to which such interest and other revenues correspond is not to enable their payment in a Non-Cooperative State.

Furthermore, according to Article 238 A of the French *Code général des impôts*, interest and other revenues in respect of the Bonds will not be deductible from the Issuer's taxable income if they are paid or accrued to persons domiciled or established in a Non-Cooperative State or paid in such a Non-Cooperative State unless such debtor can prove the main purpose and effect of the transactions to which such interest and other revenues correspond is not to enable their payment in a Non-Cooperative State (the "**Deductibility Exclusion**"). Under certain conditions, any such non-deductible

interest and other revenues may be recharacterized as constructive dividends pursuant to Articles 109 *et seq.* of the French *Code général des impôts*, in which case such non-deductible interest and other revenues may be subject to the withholding tax set out under Article 119 *bis* 2 of the French *Code général des impôts*, at a rate of 30% or 75% in case of payment made in a Non-Cooperative State (subject to the more favourable provisions of an applicable double tax treaty).

Notwithstanding the foregoing, the law provides that neither the 75 per cent. withholding tax set out under Article 125 A III of the French *Code général des impôts*, nor the Deductibility Exclusion and the withholding tax set out under Article 119 *bis* 2 of the French *Code général des impôts* that may be levied as a result of such non-deductibility, will apply in respect of the Bonds if the Issuer can prove that the principal purpose and effect of the issue of the Bonds was not that of allowing the payments of interest or other revenues to be made in a Non Cooperative State (the “**Exception**”). Pursuant to *Bulletin officiel des Finances Publiques-Impôts* BOI-INT-DG-20-50-20140211, dated 11 February 2014, BOI-RPPM-RCM-30-10-20-40-20140211 dated 11 February 2014 and BOI-IR-DOMIC-10-20-20-60-20150320 dated 20 March 2015, the Bonds will benefit from the Exception without the Issuer having to provide any proof of the purpose and effect of the issue of the Notes, if the Bonds are:

- (a) offered by means of a public offer within the meaning of Article L.411-1 of the French *Code monétaire et financier* or pursuant to an equivalent offer in a State other than a Non-Cooperative State. For this purpose, an "equivalent offer" means any offer requiring the registration or submission of an offer document by or with a foreign securities market authority; or
- (b) admitted to trading on a regulated market or on a French or foreign multilateral securities trading system provided that such market or system is not located in a Non-Cooperative State, and the operation of such market is carried out by a market operator or an investment services provider, or by such other similar foreign entity, provided further that such market operator, investment services provider or entity is not located in a Non-Cooperative State; or
- (c) admitted, at the time of their issue, to the clearing operations of a central depository or of a securities clearing and delivery and payments systems operator within the meaning of Article L.561-2 of the French *Code monétaire et financier*, or of one or more similar foreign depositories or operators provided that such depository or operator is not located in a Non Cooperative State.

Payments of interest and other similar revenues in respect of the Bonds, which are admitted, at the time of their issue, to the operations of Euroclear France, are therefore exempt from the withholding tax set out under Article 125 A III of the French *Code général des impôts*.

In addition payment of interest and other similar revenues in respect of the Bonds will not be subject to the Deductibility Exclusion, solely on account of there being paid in a Non-Cooperative State or paid or accrued to persons domiciled or established in a Non-Cooperative State.

Pursuant to Article 125 A of the French *Code général des impôts* subject to certain limited exceptions, interest and similar revenues received by French tax resident individuals is subject to a 24% withholding tax, which is deductible from their personal income tax liability in respect of the year in which the payment has been made. Social contributions (CSG, CRDS and other related contributions) are also levied by way of withholding tax at an aggregate rate of 15.5% on interest and similar revenues paid to French tax resident individuals.

SUBSCRIPTION AND SALE

BNP Paribas, Commerzbank Aktiengesellschaft, Coöperatieve Rabobank U.A., Crédit Industriel et Commercial S.A., HSBC Bank plc, ING Bank N.V., London Branch and Natixis (the “**Joint Lead Managers**”) have, pursuant to a Subscription Agreement dated 14 June 2016 (the “**Subscription Agreement**”), jointly and severally agreed with the Issuer, subject to the satisfaction of certain conditions, to subscribe for the Bonds at an issue price equal to 99.257 per cent. of the principal amount of the Bonds, less any applicable commission. In addition, the Issuer will pay certain costs incurred by it and the Joint Lead Managers in connection with the issue of the Bonds.

The Joint Lead Managers are entitled to terminate the Subscription Agreement in certain limited circumstances prior to the issue of the Bonds. The Issuer has agreed to indemnify the Joint Lead Managers against certain liabilities in connection with the offer and sale of the Bonds.

General Selling Restrictions

Each Joint Lead Manager has agreed to observe all applicable laws and regulations in each jurisdiction in or from which it may acquire, offer, sell or deliver Bonds or have in its possession or distribute this Prospectus or any other offering material relating to the Bonds. No action has been, or will be, taken in any country or jurisdiction that would permit a public offering of the Bonds, or the possession or distribution of this Prospectus or any other offering material relating to the Bonds, in any country or jurisdiction where action for that purpose is required. Accordingly, the Bonds may not be offered or sold, directly or indirectly, and neither this Prospectus nor any circular, prospectus, form of application, advertisement or other offering material relating to the Bonds may be distributed in or from, or published in, any country or jurisdiction except under circumstances that will result in compliance with any applicable laws and regulations and all offers and sales of Bonds by it will be made on the same terms.

France

Each of the Joint Lead Managers has represented and agreed that it has not offered or sold and will not offer or sell, directly or indirectly, any Bonds to the public in France and it has not distributed or caused to be distributed and will not distribute or cause to be distributed to the public in France, the Prospectus or any other offering material relating to the Bonds and such offers, sales and distributions have been and will be made in France only to (a) persons providing investment services relating to portfolio management for the account of third parties (*personnes fournissant le service d'investissement de gestion de portefeuille pour compte de tiers*), and/or (b) qualified investors (*investisseurs qualifiés*) other than individuals acting on their own account, as defined in, and in accordance with, Articles L.411-1, L.411-2 and D.411-1 of the French *Code monétaire et financier*.

United Kingdom

Each Joint Lead Manager has represented and agreed that:

- (i) it has only communicated or caused to be communicated and will only communicate or cause to be communicated an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000 (the “**FSMA**”)) received by it in connection with the issue or sale of the Bonds in circumstances in which section 21(1) of the FSMA would not, if the Issuer were not an authorised person, apply to the Issuer or the Guarantor; and
- (ii) it has complied and will comply with all applicable provisions of the FSMA with respect to anything done by it in relation to the Bonds in, from or otherwise involving the United Kingdom.

United States

The Bonds and the Guarantee have not been and will not be registered under the Securities Act or the securities law of any U.S. state, and the Bonds may not be offered or sold, directly or indirectly, in the United States except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act or such state securities laws. The Bonds are being offered and sold only outside of the United States in reliance on Regulation S under the Securities Act ("**Regulation S**"). Terms used in this paragraph and not otherwise defined in this Prospectus have the meanings given to them in Regulation S.

In addition, until 40 days after the commencement of the offering of the Bonds, an offer or sale of Bonds within the United States by a dealer that is not participating in the offering may violate the registration requirements of the Securities Act.

GENERAL INFORMATION

1. For the sole purpose of the admission to trading of the Bonds on Euronext Paris and pursuant to articles L.412-1 and L.621-8 of the French *Code monétaire et financier*, this Prospectus has been submitted to the AMF and received a visa no. 16-245 dated 14 June 2016.
2. The Bonds have been accepted for clearance through Euroclear France (155, rue Réaumur, 75081 Paris Cedex 02, France), Clearstream, (Luxembourg, 42, avenue John Fitzgerald Kennedy, L-1855 Luxembourg, Grand-Duchy of Luxembourg) and Euroclear (1, boulevard du Roi Albert II, 1210 Bruxelles, Belgium), with the Common Code number of 143451305. The International Securities Identification Number (ISIN) for the Bonds is FR0013183571.
3. The issue of the Bonds has been authorised pursuant to a decision of Mr. Alexis Duval, member of the Board of Directors (*Conseil d'administration*) of the Issuer dated 9 June 2016, acting pursuant to a resolution of the Board of Directors (*Conseil d'administration*) of the Issuer dated 17 May 2016.
4. The Supervisory Board (*Conseil de surveillance*) of the Guarantor on 17 May 2016 has authorised the Management Board (*Directoire*) and its President to enter with the Issuer into a guarantee agreement in relation to the Bonds, such guarantee being dated 14 June 2016.
5. PricewaterhouseCoopers Audit is the statutory auditor of the Issuer. PricewaterhouseCoopers Audit has audited, and rendered unqualified reports on, the annual financial statements of the Issuer as at, and for the two years ended, 31 March 2015 and 31 March 2016. PricewaterhouseCoopers Audit is registered as *Commissaires aux Comptes* (member of the *Compagnie Régionale des Commissaires aux Comptes de Versailles*) and is regulated by the *Haut Conseil du Commissariat aux Comptes*.
6. The statutory auditors of the Guarantor were PricewaterhouseCoopers Audit, Ernst & Young Audit and Mr Sylvain ELKAIM for the year ended 31 March 2015 and PricewaterhouseCoopers Audit and Ernst & Young Audit for the year ended 31 March 2016. The statutory auditors have rendered unqualified reports on the consolidated financial statements of the Guarantor as at, and for the two years ended, 31 March 2016 and 31 March 2015. PricewaterhouseCoopers Audit, Ernst & Young Audit and Mr Sylvain ELKAIM are registered as *Commissaires aux Comptes* (members of the *Compagnie Nationale des Commissaires aux Comptes de Versailles*) and are regulated by the *Haut Conseil du Commissariat aux Comptes*. The statutory auditors of the Guarantor as of the date of this Prospectus are PricewaterhouseCoopers Audit and Ernst & Young Audit
7. So long as any of the Bonds are outstanding, the following documents will be available during usual business hours on any weekday (except Saturdays, Sundays and public holidays) for inspection, at the registered office of the Paying Agent:
 - (i) this Prospectus together with any supplement to this Prospectus;
 - (ii) the Agency Agreement.

8. So long as any of the Bonds are outstanding, the following documents will be available during usual business hours on any weekday (except Saturdays, Sundays and public holidays) for inspection at the head office of the Issuer at 11 rue Pasteur, 02390 Origny-Sainte-Benoîte, France:

- (i) the *statuts* of the Issuer and the Guarantor;
- (ii) the Guarantee;
- (iii) the audited financial statements of the Issuer for the two (2) most recent financial years (which may also be consulted on the Issuer's website (www.tereos.com)); and
- (iv) the consolidated audited financial statements of the Guarantor for the two (2) most recent financial years (which may also be consulted on the Guarantor's website (www.tereos.com)).

This Prospectus will be available on the websites of the Issuer (www.tereos.com) and the AMF (www.amf-france.org).

9. The estimated costs for the admission to trading are €11,000.
10. The yield of the Bonds is 4.25 per cent. per annum and is calculated at the issue date on the basis of the issue price. It is not an indication of future yield.
11. Save for any fees payable to the Joint Lead Managers, as far as the Issuer is aware, no person involved in the offer of the Bonds has an interest material to the issue of the Bonds.

REGISTERED OFFICE OF THE ISSUER

TEREOS FINANCE GROUPE I

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France

REGISTERED OFFICE OF THE GUARANTOR

TEREOS UCA

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COÖPERATIEVE RABOBANK

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NATIXIS

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HSBC BANK PLC

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ING BANK N.V., LONDON BRANCH

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